

CreditAccess Grameen Ltd. (CREDITACC)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: May 2023

Ref: CAGL/EQ/2023 -24/24

May 20, 2023

To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip code: 541770

National Stock Exchange of India Limited
The Exchange Plaza , C-1, Block G
Bandra Kurla Complex , Bandra (East)
Mumbai - 400051
Symbol : CREDITACC

Dear Sir/Madam,

Sub.: Transcript of Earnings Conference Call for Q4 FY2023

Pursuant to Regulation 30 and Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of earnings conference call, held on May 16, 2023 for Q4 FY2023 . The same is also available on the Company's website at <https://www.creditaccessgrameen.in/investors/financials-and-investor-presentations/earnings-call/>.

This is for your kind information.

Thanking you,

Yours' Truly
For CreditAccess Grameen Limited

M. J. Mahadev Prakash
Company Secretary & Chief Compliance Officer

Encl.: As above
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"CreditAccess Grameen Limited
Q4 FY '23 Earnings Conference Call "
May 16, 2023

MANAGEMENT : MR. UDAYA KUMAR HEBBAR – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – CREDITACCESS
GRAMEEN LIMITED
MR. GANESH NARAYANAN – DEPUTY CHIEF
EXECUTIVE OFFICER AND CHIEF BUSINESS OFFICER -
CREDITACCESS GRAMEEN LIMITED
MR. BALAKRISHNA KAMATH – CHIEF FINANCIAL
OFFICER – CREDITACCESS GRAMEEN LIMITED
MR. NILESH DALVI – SENIOR VICE PRESIDENT AND
HEAD OF INVESTOR RELATIONS – CREDITACCESS
GRAMEEN LIMITED

MODERATOR : MR. NIDHESH JAIN – INVESTEC CAPITAL SERVICES
(INDIA) PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the CreditAccess Grameen Limited Q4 FY '23 Earnings Conference Call hosted by Investec Capital Services. As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nidhesh Jain from Investec. Thank you, and over to you, sir.

Nidhesh Jain: Thank you, Dr. Orwin. Welcome to the Q4 FY '23 Earnings Conference Call of CreditAccess Grameen Limited. To discuss the financial performance of CreditAccess Grameen and to address your queries, we have with us Mr. Udaya Kumar Hebbar, MD and CEO of CreditAccess Grameen; Mr. Ganesh Narayanan, Deputy CEO and CBO; Mr. Balakrishna Kamath, CFO; and Mr. Nilesh Dalvi, SVP and Head of Investor Relations.

I would now like to hand over the call to Mr. Udaya Kumar for his opening comments. Over to you, sir.

Udaya Kumar Hebbar: Thank you, Nidhesh. Good evening to everyone. We thank you all for joining this conference call to discuss our fourth quarter and the FY '23 financial performance. It's comforting to acknowledge that we have once again achieved our annual performance guidance. We closed FY '23 by recording 26.7% Y-o-Y growth in AUM to INR 21,031 Crores, serving 42.6 Lakh customers. It was a historic year for us as we crossed INR 20,000 Crores AUM, becoming the first pure-play microfinance institution to achieve this feat. We were the only NBFC to feature in the top five of the Fortune India Next 500 list given our revenue profile.

We recorded the highest-ever quarterly disbursements of INR 7,171 Crores supported by robust customer additions. We need to note that during FY '21 and FY '22, renewals and new business originations happened in the second half due to COVID-19. Hence, the renewals are also stacked in the second half of this financial year. Further, we have laid emphasis on new customer additions and increasing business from 500 plus branches, which were opened over recent years to improve productivity.

As you all are aware, the CA Grameen-MMFL merger was approved by the National Company Law Tribunal, Bench of Bengaluru, on 15th February 2023. Going forward, we shall be reporting all the operational and financial parameters on a consolidated basis only.

Our customer base grew 11.5% Y-o-Y as we added over 12.3 lakh customers during FY '23 and 8.3% Q-o-Q as we added nearly 5.5 lakh customers in Q4 FY '23 respectively towards our pursuit of creating women entrepreneurs. Around 46% of our new customers added, came outside the top 3 states, which has been a trend for the last few quarters demonstrating the result of our diversification efforts. If we exclude the 3.4 lakh customers written-off during FY '23, 63% of which came from MMFL book, our customer base growth would have been 20.4%. We

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added 167 branches during FY '23, the majority in newer geography leading to a total branch network of 1,786 spread across 352 districts and 14 states. We are gaining healthy traction in newer geographies where we foresee gaining substantial market share in the coming years. Our collection efficiency continues to remain normalized clocking at 98.2% (excluding arrears) efficiency levels similar to the last quarter. Our best-in-class asset quality is driven by a loyal customer base and our execution strength, which is a testament to sticking to basics by following

ing

the classical JLG model. GNPA at 60+ DPD reduced to 1.21% in March 2023 from 1.71% in December 2022, while PAR 90 reduced from 1.34% in December 2022 to 0.96% in March 2023. The net NPA fell to 0.42% in March 2023 from 0.59% in December 2022. Overall, ECL stood at 1.78% at the end of Q4 FY '23, which is again higher than our GNPA.

Our NIM improved further from 11.9% in Q3 FY '23 to 12.2% in Q4 FY '23, one of the most competitive in the microfinance industry. They are expected to remain in the range of 12% to 12.2% going forward.

As guided, our major drawdown in the last quarter came from domestic sources, helping stabilize our marginal and average cost of borrowing. Our marginal and average cost of borrowing for Q4 FY '23 stood at 9.4% and 9.5%, respectively. We would like to put on record that despite the repo rate raising by 250 bps in the last 12 months, our judicious mix of utilising various funding avenues has led to the average cost of borrowing increase of merely 60 bps to 9.5% compared

to 8.9% at the end of March 2022. We have always strived to keep our interest rate to our customers one of the lowest in the industry, which is a factor of efficiencies built throughout the system.

We would like to inform you that ICRA has also upgraded our credit rating to AA - (Stable) outlook from an A+ (Positive) outlook, given our asset quality and earning profile. We are now rated by both ICRA and India Ratings with an AA- (Stable) outlook, being the highest standalone rating in the microfinance industry. Further, our inherent ESG adherence and strong compliance standards helped us to secure ESG ratings from Sustainalytics and S&P Global. Our ESG rating fares better than many leading BFSI companies in India and across the world. We have also obtained Second Party Opinion from Sustainalytics on the Social bond and Loan framework in FY 2023. These developments will further help us to assess ESG-linked funds from global lending institutions and further strengthen our liability profile going forward.

For the Q4 FY '23, NII grew by 32.7% Y-o-Y to INR 690 Crores, while the cost-to-income ratio stood healthy at 30.2%, which is 360 bps lower Y-o-Y. PPOP grew by 36.3% Y-o-Y to INR 503 Crores, demonstrating a strong operational profitability trend. For FY '23, NII stood at INR 2,234 Crores registering a 35.1% growth, while PPOP grew by 39.8% to INR 1,506 Crores, indicating a strong operating profitability trend. The credit cost in Q4 FY '23 stood at INR 105 Crores, including INR 14 Crores management overlay on the legacy book of MMFL amounting to INR 131 Crores or 0.6% of total AUM. The credit cost was partially offset by INR 16.8 Crores of bad debt recovery during the fourth quarter. Therefore, the net credit cost for FY '23 stood at 2.1%.

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Our PAT grew by 86.4% Y-o-Y and 37.5% Q-o-Q to INR 297 crores during Q4 FY '23, resulting in ROA and ROE of 5.5% and 24%, respectively. For FY '23, we delivered a PAT of INR 826 Crores leading to a ROA of 4.2% and ROE of 18% meeting our annual performance guidance. We are further maintaining a comfortable capital adequacy ratio of 23.6% at the end of March '23.

Our expansive presence across India, differentiated operating model, customized product offerings, highly stable technology stack, experienced management team, diversified liability profile and strong balance sheet place us at the forefront to establish ourselves as the preferred financial partner to millions of underserved low-income households. Our business model based on the premise of suitable processes, products and pricing along with suitable servicing has always rewarded us.

Assuming a stable operating environment, we look forward to achieving loan portfolio growth of 24% to 25% in FY '24. Given our stronghold on borrowing costs, we foresee maintaining NIMs in the range

of 12% to 12.2%, with a cost-to-income ratio between 35% to 36%. We are anticipating a credit cost of 1.6% to 1.8%. Overall, we aim to achieve a ROA of 4.7% to 4.9% and an ROE of 20% to 21% in FY '24. So with this, I would like to open the forum for questions and answers. Thank you so much.

Moderator: Thank you very much. The first question is from the line of Nikhil Rungta from Nippon India Mutual Fund. Please go ahead.

Nikhil Rungta: Congratulations on a great set of numbers sir. A few questions, 2 to 3 questions from my side. To start with, first of all, your view on both sides of the margin, I mean, on the yield side. I mean, any more increase can we see in the new disbursement rate, which currently is 21.9%? And in turn, any more scope in the portfolio yield, which is at 19.7%?

And second part is, you already indicated the marginal cost of borrowing. So it's down to 9.4% from 10.2% in the December quarter. What are the key reasons? Do you think it will stabilize at this level or can improve any further from these levels? So this is the first question on the margin side.

Udaya Kumar Hebbar: Sure. Maybe I'll answer the margin question first. The change is basically when we borrowed more domestic borrowings in Q4, whereas in Q3, we borrowed a bit of international borrowings plus NCDs we raised. Therefore, the marginal cost was higher in Q3, whereas the cost is lower in Q4, as the majority of our borrowings were domestic borrowings. Therefore, the cost has come down. Therefore, the average cost of borrowing also has come down. So this is the difference that comes.

On the yield and NIM, so yield might go different, a little bit more than the Q4, but Q4 may be a bit of a benchmark with maybe a 20 to 30 bps higher possibility for the next financial year. In the meantime, NIM would remain in the same range of 12% to 12.2% as a little leverage impact will be there. Therefore, we presume that it will remain around that range.

Nikhil Rungta: Okay. And on this marginal cost of borrowing, do you think we'll stabilize at these levels if there are no more or hardly any repo rate hikes going forward?

Udaya Kumar Hebbar: It might go up a bit actually, our estimation is that it will still go up by about 20 to 30 bps because some of the MCLR increased by the bank who have not yet transferred to us because we have a lot of borrowings at 1-year reset clause. So with that, it may go up by 20 to 30 bps, but we can always pass on that with the next borrowing. Therefore, we still will be able to maintain our NIM within this range.

Nikhil Rungta: Okay. And sir, on the average ticket size, we are now at approximately INR 51,000. So, do you think it will stabilize at these levels? Or where are we planning to take it?

Udaya Kumar Hebbar: Yes, it's INR 51,000. That's a small increase on an annual basis about 9% to 10%, it will go up. So, there are two reasons. One is that our customer vintages keep going on. Two is 20% of our book, which is Madura, which is still at a low average because the base of that was very low when we took over. To that extent, that can still go up a bit. But if you look at the portfolio per customer, it's high in the top 3 states where we have high vintage customers, which is about INR 54,000. The entire balance is about INR 39,400. Therefore, it's not a worrying fact for us at this point of time. So, therefore maybe more on about 8%, to 10% might go up. But for any loan that we give more than INR 60,000, we give a three-year loan. Therefore, again, the repayment load on the customer also will not change. So, it will only further decrease the N. Therefore, we are not seeing any vulnerability here also.

Nikhil Rungta: Okay. And what would be our next leg of growth? Would it be expanding into newer geographies or districts or deepening into existing districts?

Further, do you think Madura might see strong growth given the recent court order on Telangana?

Udaya Kumar Hebbar: See, Madura will definitely grow faster because it has less productive branches, I would say, or we have enough headroom in the Madura branches. Therefore, it will give us good growth going forward. But overall, it will be expansion plus deepening, both will be together.

For example, we estimate about 14% to 15% customer growth, which will fuel that 24% to 25% portfolio growth. There will be about 8% to 10% branch expansion, and the acquisition of customers in the existing branches, which includes Madura's 480 branches which should give us extra headroom. But it will be fueled by customer acquisition all across. So, 14% to 15% customer acquisition will lead to 24% to 25% portfolio growth. That is what our estimation is.

Nikhil Rungta: Okay. Last question, sir, from my side. Sir, now that we have already merged Madura with us. And yesterday, there were plans or talks that smaller MFIs are still unable to get a good rate of funding and hence, there are plans of making or creating a fund for helping the smaller MFIs. Do you plan or see any more inorganic acquisitions in the near future, say in the next 1 to 2 years?

Udaya Kumar Hebbar: So nothing in our plan at this point of time. Actually, we don't see any opportunity which is significant for our growth because even acquiring a smaller MFI is not an efficient process for us. Therefore, we don't see any inorganic growth opportunity at this point of time because unless it's complementary in terms of geography, in terms of product, in terms of culture, in terms of price, it won't fit for us. So, therefore we don't have any such plans at this point of time.

Nikhil Rungta: Got it. Got it. That's all from my side. I'll come back in the queue and expect to see a similar type of quarters from your side.

Udaya Kumar Hebbar: So maybe we'll add one more point. When we say expansion for your earlier question, so we still have a lot of opportunities for opening more branches in Gujarat, Rajasthan, Uttar Pradesh, Bihar and Jharkhand. That will keep continuing as our normal philosophy of contiguous growth, that will continue, which will add about 8% to 10% of new branches. That is also one of the key pointers in terms of our expansion.

Moderator: Thank you. The next question is from the line of Renish Bhuvra from ICICI. Please go ahead.

Renish Bhuvra: Congrats on a great set of numbers. Sir, 2 questions, one on the data side. So this quarter, we have seen other opex sort of falling by 10% despite we are opening more than 50 branches.

Udaya Kumar Hebbar: Can you just repeat, suddenly it becomes low. No, no, sorry, I think we lost you.

Renish Bhuvra: Is it better now?

Udaya Kumar Hebbar: No. I think you need to repeat the question fully.

Renish Bhuvra: Yes, yes. Okay. So on the other opex side, this quarter, we have seen there is a decline in other opex despite opening more than 50 branches plus the robust disbursement growth. So, what is the reason for the decline in other opex?

Udaya Kumar Hebbar: So opex has come down . Yes, in Q3, it was a little high on account of the fundraise, the NCD public issue, we raised now. That expense was part of Q3, therefore, it's basically a spike in that quarter. It is not a reduction in this quarter. We lost you again.

Renish Bhuva : No, sir, I can hear you.

Udaya Kumar Hebbar: Yes. You've got my point. No, it's not the reduction. Basically, the Q3 had a little spike because of the public NCD costs.

Renish Bhuva : Okay. So there was a big impact basically?

Udaya Kumar Hebbar: Correct .

Renish Bhuva : Okay. And sir, the last question from my side, a bit on the strategic front. So , as you rightly mentioned that we are the first MFI to cross INR 20,000

Crores of AUM. So from a, let's say, 2

to 3 years perspective, do you feel that there is a need for us to, let's say, start venturing into non-MFI products and build the non -MFI portfolio? Or do you feel there is enough headroom for the MFI portfolio to grow at 20% to 25%?

Udaya Kumar Hebbar: I think this discussion we had a year back, and we have initiated pilots. Lots of pilots going on, the scaling will happen. I think we explained earlier also. So , we have piloted many products and a couple of them are already scaling up. By the next financial, we are looking at good momentum there. I think our view is very clear, keep following our customers and keep enhancing the product for our mature customers. And again, work within the customer segment

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and ecosystem and then build the non -microfinance book also. I think we already explained earlier also that in 4 to 5 years' time , we will have about 10% to 12% of the non -microfinance book. And I think we are clear on that path, and we are working on that anyway. Maybe , Ganesh, you want to add a couple of things here.

Ganesh Narayanan: It's okay.

Udaya Kumar Hebbar: Great. So it is fine. So already, we have published this earlier also.

Renish Bhuva : Got it, sir.

Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equirus Securities. Please go ahead.

Shreepal Doshi: Congrats on a good quarter. So my question was pertaining to yields. So I wanted to understand what is the rate hike that we have taken in the last 6 months? And what is our current yield for the group loan product and for the retail product?

Udaya Kumar Hebbar: Our current yield is about 21.9% on the new disbursements. And then the overall is about 19.7% for the quarter and the retail non -microfinance products are also by and large the same only.

There's not too much because , in some places, it is higher than the group portfolio. So since it is insignificant now, it won't make too much difference currently.

Shreepal Doshi: Got it, sir. The second question was pertaining to the FOIR. So , what is the FOIR that we have for our existing customers?

Udaya Kumar Hebbar: As the regulation clearly says that it should not be more than 50%. But what we observed for about 70% to 75% of customers , the FOIR is less than 40% currently.

Moderator: We have the next question from the line of Suraj Nawandhar from Sampada Investments. Please go ahead.

Suraj Nawandhar: Sir, my question was really more of an industry -related question. Other players, even the smaller ones have given very strong guidance for the industry. Just one of the players in their call said that the industry might grow 5x in 5 years. So my question was being the industry leader, do you also see such kind of growth coming into the overall microfinance industry? And if yes, then what are the triggers on the ground, which can lead to such kind of exponential growth in the overall sector?

Udaya Kumar Hebbar: Not really. We don't see. Definitely , our estimation is not that for the industry. We believe that the industry also will be within about 20% -25% CAGR for the next 3 to 4 years. Beyond that, probably it will further taper down actually. That's what our view. So , our estimation is within that.

Suraj Nawandhar: Okay. So then we are also planning to go around 25%, aren't we planning to go up higher than industry rates?

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Udaya Kumar Hebbar: We shall also be in that range actually. So there are two parts to our growth. For microfinance growth, maybe slightly it will come down and non -microfinance will kick in. So , therefore together, it is 24% to 25% what we are talking. Microfinance might come to 22% to 23% by the

next year and the year after. And other products will actually take over the pace.

So overall

growth, we are talking about 24% to 25%.

Suraj Nawandhar: Okay. And sir, what would be your branch expansion plans for this year?

Udaya Kumar Hebbar: As I said, we normally do between 8% to 10%. Earlier, we used to do more, but now because the base is quite high, our expansion plans are around 8% to 10% or 12% of our existing branch size.

Suraj Nawandhar: So around 80 to 100 branches.

Udaya Kumar Hebbar: No. We are at 1,786 branches currently, 10% is 178 branches.

Moderator: Thank you. The next question is from the line of Shweta Daptardar from Elara Capital. Please go ahead.

Shweta Daptardar : Congratulations on a great set of numbers. I have two questions. One is if I look at the presence .

So, as you rightly mentioned, largely the diversification is now coming by. So, if you look at the Eastern geography, the presence there has increased for the company , as well as there , have been positive signals coming from the Northern belt, especially UP. So, could you just throw light on the demographics and the positives coming from these 2 geographies and where the confidence has been reinforced ?

Udaya Kumar Hebbar: See, I think for demographic expansion, we always go by contiguous district -wise. I agree that some states are a little different in terms of economic activity, growth and the GDP expansion is changing. But we always gain the benefit from going through this process of contiguous district approach . This helps us to understand the district better and then put our employees to work in the next district in a better way and have better control of that expansion . Risk and expansion costs are minimized, which helped us. I think despite those kinds of spikes , we still believe in going into the contiguous part. We are already in UP, we will continue to open branches in our bordering district . Similarly, we are also present in Rajasthan, Gujarat and Bihar where we continue to open. So , we keep actually acquiring that kind of, what you call, new geography through a district -based approach. With the typical replication of business, we don't see too much difference in terms of repayment or disbursement or acquisition . This helped us to grow very sustainably in all these areas.

Shweta Daptardar : Right, sir. Well understood. So secondly, you did guide on the cost to income at around 30% to 35%. So, where do you see the synergies and triggers coming to maintain this kind of quality number because even if I look at opex to assets, you are one of the lowest in the industry . So how do you see the sustainability here going forward?

Udaya Kumar Hebbar: If you look at the last 5 years, we're still sustained within that, right? I think we have been with in the optimal cost range . It's more of replicating that model . And now that we have the ability to

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price based on risk, therefore, even the margin is better compared to the earlier regime. So , then the credit risk also has to come down, it's already coming down . We are seeing that happening. And all these things including our own historic quality of operations, sustainability we've maintained over a period of time and very calibrated growth. All these will help us to manage and keep on improving the overall efficiency, overall financial results. I think what we talked is from 36% to 35% to 34% kind of thing, which is definitely possible with the economy of operations plus quality.

Shweta Daptardar : Got it, sir. Sir, and one last question. What is the scenario on the ground in terms of center meeting attendance?

Udaya Kumar Hebbar: So, we have been witnessing a very good improvement over a period of the last 6 to 12 months. We had a little lesser attendance just after COVID, but by and large, we are back to normal . Maybe pre -COVID to post -COVID, the variation is maybe about 5 % to 6% today. So , we are

quite good at that.

Moderator: Thank you. The next question is from the line of Rajiv Mehta from Yes Securities.

Rajiv Mehta: Many congratulations on a strong set of numbers. So sir, firstly, a clarification, you spoke about 70% to 75% of customers having a FOIR of less than 40%. This is incremental, right?

Udaya Kumar Hebbar: Yes. It's a new disbursement only, Rajiv. We are not going back and checking the existing borrowing. If you see largely, we disbursed about INR 17,000 Crores to INR18,000 Crores, so largely about 60% of the portfolio . 70% of the portfolio is new today. So , automatically, largely it represents.

Rajiv Mehta: Got it. Got it. And sir, can you share the average disbursement ticket size, for Q4 and Q3?

Udaya Kumar Hebbar: It is about INR 37,000, the average ticket size , right?

Ganesh Narayanan: Average disbursement.

Udaya Kumar Hebbar: Average, about INR 45,000, sorry.

Rajiv Mehta: And has it gone up significantly in Q4 versus Q3? Because I see an 8% to 10% jump across

vintages in your portfolio per borrower .

Udaya Kumar Hebbar: Yes. The one linked to vintage would have gone up that way because it's a natural phenomenon as the customer vintage goes up, this will go up. Plus, we also had a good disbursement in Madura, so slowly we are aligning bad customers, those customers' GLP also. So , to that extent, if you cover, it might have gone up by 7% to 8% considering both these factors together.

Rajiv Mehta: Sir, actually, I'm looking at CA Grameen vintage -wise borrower. The average GLP per borrower for CA Grameen vintage -wise and across vintages, it has grown by 8% to 10% on a Q -o-Q basis.

Udaya Kumar Hebbar: Correct. You're right. That's correct.

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Rajiv Mehta : So, would that be driven by higher incremental ticket sizes in this quarter?

Udaya Kumar Hebbar: There's a minor change , in particular, the high vintage lines. But it is not a big change in credit policy. So , I think if you see Y -o-Y, the increase is about 8% to 10% only, the overall GLP per customer. The increase is in the Madura book, if you see the slide, there is an increase about 28%, that's why the overall change is there. Correct. If you remember, it was just INR 18,000 when we started operating with them.

Rajiv Mehta: Correct. Correct. So, sir, actually, I was coming from the fact that now the loan ticket size is not determined by FOIR . Then, do we have a scope for kind of going higher on the ticket size?

Because you're also guiding for FY '24, that 8% to 10% of the portfolio growth can come from an average ticket size increase. That is something we cannot predict, right? Because that will be determined by the borrower's leverage and the FOIR which is available.

Udaya Kumar Hebbar: No. It is determined by the vintage actually. Our vintage customers also keep increasing by 5% to 10%, right? So , automatically, to that extent, the increase will be there. So , because for every renewal, if you see, we have 88% customer retention, which means if we renew that automatically, they'll say additional limits available to them, right? So , automatically, there will be a little increase. If you see , the 10% growth will come from renewal and increase and the 15% growth will come from new customer acquisition. This is what is normal. Even if you see last year also, this was the case by and large. There was a bit of aberration because of the write - off and mix. Otherwise, our new customer acquisition was almost 20% last year also.

Rajiv Mehta: Got it, sir.

Udaya Kumar Hebbar: One more thing, Rajiv, I just wanted to reiterate the point that we would always try and see adequate money rather than restricted money. And try and see for the vintage clients, it is sufficient for their life cycle, and as much adequate to them rather than just restricting with the ticket size. So , that's only with

with vintage clients, who are there for more than 4 years with us, the risk levels are less, where we are looking for adequate funding.

Moderator: The next question is from the line of Sagar Shah from Phillip Capital.

Sagar Shah: First of all, congratulations to the entire team for such a great set of numbers actually. So , my first question was related actually to our loan book. So , in our retail finance portfolio, which comprises individual loans , two-wheelers, LAP , gold loans, affordable housing. How do you see in the next 2 years scaling up that actually as compared to microfinance ? You already explained actually the entire industry is focusing towards growth, and there is demand actually on the ground. So , how do you see the retail finance portfolio as part of CA Grameen actually going in the next 2 years first of all and in terms of products also?

Ganesh Narayanan: So, this is Ganesh here. As we guided, right for the next 4 to 5 years . Our indication over the next 4 to 5 years is around 10%. In that range, probably how we grow over the next 2 to 3 years will also base upon our experience in scale. So right now, we have 82 retail finance branches where we are doing mortgages, which is a loan against property as the primary product. So affordable home loan is something that we will pilot during this year.

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Some products will scale during the year, like your unsecured individual loan for graduated customers, two-wheelers, you will see a scale -up in loans against property. Affordable home loan will be a pilot. Gold loan is anyway a long pilot for us, and we don't see a large volume coming from it. So , overall retail finance majority growth will come from mortgages. It will come from two-wheelers and it will come from graduated customers borrowing unsecured loans from us. I hope I answered your question.

Sagar Shah: Yes, yes, absolutely. So just a follow -up on that. How are you actually classifying as graduated customers of individual loans from the JLG loans?

Ganesh Narayanan: This is basically a combination of factors if I have to put it. So it's a mix of the vintage of the

customer, it's a mix of credit behavior with us. It's a mix of the customer profile, income earnings, capacity to demonstrate cash flow, multiple income streams, etc. This is basically cherry-picking customers who have got a stable business and stable income, right? You will have to look a little more. And hence, we have also guided these unsecured loans to graduated customers that even in the long term, will be anywhere between 5% to 7% of our overall book, not beyond that.

Sagar Shah: Okay. Got your point, got your point. So, I got an idea about how you actually plan to scale up your retail finance book. Now, coming on to your portfolio yield actually. Although, retail finance obviously offers a lower yield, but it was hardly comprised, if I am not wrong as per my estimate, not more than 5% to 6% in the next 2 years on a broader level on the consolidated portfolio. So, we are at 19.7% as of now. So, in the next 2 years, how do you see your yields shaping up? Or maybe are we planning to increase our yield in microfinance as other players are offering more yields than you. The portfolio yield is even better than yours. So basically, how do you see your yield shaping up in the next 2 years?

Ganesh Narayanan: See, our retail finance book does not dilute our yields. It is in a similar range of microfinance because this is a different segment we are working on, right? So the maximum ticket size is around INR 20 Lakhs when it comes to mortgage, average ticket size is INR 5.5 Lakhs, INR 6 Lakhs. So this is the affordable home segment, small ticket LAP. This is not diluting our returns when it comes to business, even a two-wheeler does not dilute our returns. Gold loan, we've already said that the

these are short-term in nature. Hence, once we pick up volumes, we can borrow short-term money and hence, it will not have a hit on our yield. Again, in microfinance, we've guided a NIM of 12% to 12.2%, we should be able to manage that, right? So that's what it looks like.

Udaya Kumar Hebbar: The yield is dependent on the pricing. The price goes up, for example, if borrowing cost goes up, probably it should go up. If the price comes down, it will come down. But what we have to look at is the NIM, which is 12% to 12.2%, probably the best in the industry today.

Sagar Shah: Okay. Sure, sir. So, basically, I used that point one of the earlier participants had asked you. Your cost of borrowing is down sequentially. So, can you state again the reason, we are at around 9.5%. And secondly, you already told that if the bank raises MCLR, then we will be around 20 - 30 bps higher. So, but any reason for such a sequential decline in the cost of borrowing?

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Udaya Kumar Hebbar: It's only declined from a marginal cost from Q3 to Q4. Q3, our marginal cost is high because we borrowed high-cost funds and also raised public deposits. There is a public NCD, which was a higher cost for the longer term. Therefore, the marginal cost for Q3 was higher, and it's come back to normal again. In Q4 it has reduced because we did not raise such high-cost long-term funds. That's the only difference.

Sagar Shah: Okay. Sure, sir. And now my final question actually is related to microfinance. Microfinance, as you have guided for about 24% to 25% growth on a broader level. But on the ground, even with a higher yield, how is the demand in the rural actually shaping up? Now you're even moving to other states from Karnataka, Maharashtra, and Tamil Nadu. So, how do you see demand in the other states? Do you see this demand sustaining in the next 2 to 3 years? Or do you see that this is just something like a pent-up demand sort of after almost a downfall we saw for 1 to 2 years?

Udaya Kumar Hebbar: For us, it looks sustainable at this level because if you see even the previous year, we grew by 23%. Now, we grew by 27%. But we are guiding about 24% to 25%. We believe it's sustainable and with the increased customer and geographic expansion, which will help us to grow. We believe it is possible for 23% to 24%.

Moderator: Thank you. The next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: So, my first question was are our competitors also giving 3-year loans for higher ticket-size products? Or the industry is at 2 years and we are unique in this product?

Udaya Kumar Hebbar: We are not sure, actually. We are not sure. We have been doing this for the last 2 years, actually. So currently, 29% of the portfolio is 3 years.

Piran Engineer: Okay fair enough. And sir, secondly, just I noticed between Q3 and Q4, there's a sharp jump in the ticket size in retail finance from INR 50,000 to INR 85,000 to INR 90,000 am I reading that wrong?

Udaya Kumar Hebbar: You're reading right. Our majority of the mortgage pilot picked up in Q3 and Q4, therefore the average has gone up.

Ganesh Narayanan: The erstwhile unsecured book, which was with a lower average ticket size is running down, right? And you are disbursing average ticket sizes of INR 5.5 Lakhs in retail finance. So, the old book is running down and the new book is catching up and hence, you will see an increase.

Moderator: The next question is from the line of Nikhil Rungta from Nippon India Mutual Fund. Please go ahead.

Nikhil Rungta: Sir, two things. First, what would be our outstanding re turn of the portfolio? I mean , if we see bad debt recovery this year, it was INR 58 Crores. Last year, it was INR 74 Cores. So going forward, what type of outstanding portfolio do we have and what type of recovery we are predicting?

Udaya Kumar Hebbar: So in our experience, Nikhil, all these write -offs have been played hard for 270 days before writing off. So therefore, in our experience, all the recovery, we will recover only 10% to 15%
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over 2 to 3 years. Today, we have about close to INR 2,000 crores of write -off book. And so far, we already recovered against that about INR 195 crores. And then we keep increasing. Now the speed may go up a little bit . But eventually, it will stay between 10% to 15% or 18% of the recovery in 2 to 3 years' time because it won't go too much high also, this is our experience.

Nikhil Rungta: Approximately , INR 50 crores to INR 100 Crores approximate amount will continue to come in, in every year .

Udaya Kumar Hebbar: Yes. You're right.

Nikhil Rungta: Okay. Sir, one more question on the competition now. I mean, Bajaj Finance has recently announced foray ing into MFI. I don't want your commentary on Bajaj Finance, but I want your view on the competition which now has started coming in from the larger NBFC s. These guys have definitely a presence in deep rural areas. So what is your view on the competition coming in from there?

Udaya Kumar Hebbar: Yes. We expected this competition because after regulators recognized the mainstream business and had made a com mon rule . So, there is a potential that some of them will add this as one more portfolio. But keeping ourselves ahead of the competition, the pricing, the process and the quality efficiency always helps us. Our sense that the potential is so large, we stil I have close to 10 crores households not touched by or not accessed microfinance or formal finance . I think there's a huge potential for co -existence everywhere. Many times, the new entrants will start in the urban and then go to rural. But being in the rural already, probably we have a little upper hand, with the potentially better process and better p roducts and better prices that will help us. So we expect that some competition will go up. We expect some co -existence will be there in all places. Even now when we go to rural, our new to credit is still more than 30% even now. So, we believe that that w ill remain for at least the next couple of years. And also, the other side is 70% is coming from other MFIs who lend them and they borrow from us. So , over a period of time, they will stay with us only . That is the trend , almost. We saw that in one year's time, 11% of customers who borrowed from others joined us, stayed back with us, but left others. I think this is going to be a competitive game going forward slowly.

Moderator: Thank you. The next question is from the line of Aditya Padhi from Girik Capita l. Please go ahead.

Aditya Padhi: Great set of numbers and congratulations to the team. I just have one question on the operational front. I'm referring to Slide 22, where do you see the borrowers per loan officer going forward in the future? Like over ye ar-over-year, I have seen like around a 4.5% increase versus borrowers per branch hav ing grown by 2%. So , is that the math going forward? Or do you have like a credit number or rather you would invest anything in IT versus the human capital to increase the borrowers per loan officer ?

Ganesh Narayanan: The average numbers that you are seeing in the PPT typically go up and down depending on the new branches that you opened and the fresh employees you had. Last two years, you have seen a dip because of write -offs, higher write -offs. But a better number for you would be to see in an ideal state, in a state where we are for a certain period of time . We can reach anywhere between
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500 to 550 customers per loan officer. So that is the number we target over a period of time depending on the life of the branch.

Aditya Padhi: Okay. Sure. So , sir like ho

w many years would you consider for a branch and a branch officer to have that around the 500 number?

Ganesh Narayanan: 3 to 4 years .

Aditya Padhi: 3 to 4 years. Okay perfect. So that's the growth that you see going forward . Say in 2021, if I added a branch, in 2025, where it should be adding?

Udaya Kumar Hebbar: Yes, absolutely, correct. Even otherwise also, we don't look at productivity from an angle of the number of borrowers per loan officer . We don't want them to handle too many. It's more of how

many centers they can handle per day rather than the number of borrowers they handle because this is always a relationship business. Therefore, there has to be sufficient space for the employee to work and the number of customers need to be lesser other than very high. So, each one of them will handle 5 to 6 centers only per day. So, that is the count rather than the number of borrowers we watch actually.

Moderator: Thank you. The next question is from the line of Pooja Ahuja from Monarch Network. Please go ahead.

Pooja Ahuja: Congrats on the quarter. Most of my questions have been answered. So, I just wanted to understand the attrition that we see in our borrowers. If you could provide some more color in terms of where do we see these borrowers moving to? Maybe other NBFCs or SFBs or banks, some color on that, sir?

Udaya Kumar Hebbar: Yes. I'll give to some extent only. I can give the estimates actually because we do a couple of checks of a dropped-out borrower. We keep tracking them for some time, at least for a year, what they're doing. So, what we saw is about 60% of dropped customers from us have no borrowing thereafter actually. So, they're actually winding down from the borrowing, maybe they don't want to borrow more thereafter. Or spouse somebody started borrowing so that they don't need to borrow. That could be one reason. Other 40%, we saw some of them moving into the upper segments like different NBFCs for higher requirements. That is where our pilot started. Because of these insights, we started these non-MFI products for such customers. If they are going to a NBFC, why don't we create that product. So, that is a bigger reason for us. Let us follow our customers who are not only graduating, but who are asking for different products other than microfinance, we can address them. Whether it is housing or larger business or mortgages or two-wheelers or individual business loans, everything we are addressing. So, it's a part of our research to address this. This is one of the reasons we started the non-microfinance business. But frankly, 60% of them, we found that they're not borrowing.

Pooja Ahuja: Right, sir. So, sir, out of 40%, any ballpark, if you could share, how many are moving because of higher ticket size, which we can now capture. And how many could be moving to, let's say, other products?

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Udaya Kumar Hebbar: So, we have not done that kind of demand and supply. We only checked it from the bureau's point of view because they are no longer with us. What they borrow or do, we have the data anyway. So, we check with Bureau and ascertain. I think we have not checked beyond that.

Pooja Ahuja: Sure. Understood. And lastly, do you see borrowers from any second or third lender coming to you?

Udaya Kumar Hebbar: Yes. We see that it's happening. A strong word-of-mouth factor is in favor of us. So, we saw 70% of the ETC is our new customer, there are cases of 2 lenders and 3 lenders also. But we look at our overall borrowing as criteria. We kept what you call, breakup both for new customers. Total borrowing from the household should not be more than X to join us. So that's already there. But we feel that they can enjoy our products old and over a period of time, they may be our unique customers eventually. So that's happening.

Mod

erator: The next question is from the line of Rajiv Mehta from Yes Securities.

Rajiv Mehta: Yes. Sir, just one question on the industry. Sir, in your view and as per your knowledge, is the industry following this household-level FOIR based loan eligibility in true spirit? And whether the data availability from the bureaus is clean and complete.

Udaya Kumar Hebbar: We have not made many analyses so far actually based on the income because it's only just the last two quarters. But maybe some of them are following the true spirit, very difficult to define because everybody claims that they are following. But right now, we don't have clear data.

Maybe in three to four quarters together, if you start reviewing the entire data of the household, probably we will get some sense after some time because many of them started after October only. Therefore, it will take some more time to get a full insight into how this is happening.

Rajiv Mehta: But the leverage data of the household debt is completely available, right?

Udaya Kumar Hebbar: Yes. We are not seeing too much variation. But still about, yes, 10% to 12% leverage variation when we take our income versus you see the trending. But, we will not know the leveraging in the other end, right? Yes. When they come to us, we have the leverage to that extent. But overall, we don't have full insights at this point of time.

Moderator: Ladies and gentlemen, that was our last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.

Udaya Kumar Hebbar: Thank You. Thank you to all of you for hearing us patiently and looking forward to any queries. You can reach us at our investor desk and Nilesh will take care of any further queries you have. So thank you so much, and have a good day.

Moderator: Thank you. On behalf of Investec Capital Services, that concludes this conference. Thank you

for joining us, and you may now disconnect your lines.

Call: Jul 2023

Ref: CAGL/EQ/2023 -24/57

July 26, 2023

To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip code: 541770
National Stock Exchange of India Limited
The Exchange Plaza
Bandra Kurla Complex , Bandra (East)
Mumbai 400051
Scrip code: CREDITACC

Dear Sir/Madam,

Sub.: Transcript of Earnings Conference Call for Q 1 FY24

Pursuant to Regulation 30 read with Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Q1 FY24 earnings conference call, held on July 21, 2023. The same is also available on the Company's website at <https://www.creditaccessgrameen.in/investors/financials-and-investor-presentations/earnings-call/>

Thanking you,

Yours' Truly
For CreditAccess Grameen Limited

M. J. Mahadev Prakash
Company Secretary & Chief Compliance Officer

Encl.: As above

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"CreditAccess Grameen Limited
Q1 FY24 Earnings Conference Call "
July 21, 2023

MANAGEMENT : MR. UDAYA KUMAR HEBBAR – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – CREDITACCESS
GRAMEEN LIMITED
MR. GANESH NARAYANAN – DEPUTY CHIEF
EXECUTIVE OFFICER AND CHIEF BUSINESS OFFICER -
CREDITACCESS GRAMEEN LIMITED
MR. BALAKRISHNA KAMATH – CHIEF FINANCIAL
OFFICER – CREDITACCESS GRAMEEN LIMITED
MR. NILESH DALVI – SENIOR VICE PRESIDENT AND
HEAD OF INVESTOR RELATIONS – CREDITACCESS
GRAMEEN LIMITED

CreditAccess Grameen Limited
July 21, 2023

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Moderator: Ladies and gentlemen, good day, and welcome to CreditAccess Grameen Q1 FY24 Earnings Conference Call, hosted by Equirus Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Shreepal Doshi. Thank you, and over to you, sir.

Shreepal Doshi : Thank you , Seema. Good evening, everyone. I welcome you all to the Earnings Conference Call of CreditAccess Grameen to discuss the Q1 FY24 performance of the company, industry trends and business updates . We have the management team of CreditAccess Grameen with us represented by Mr. Udaya Kumar Hebbar, who is Managing Director and CEO; Mr. Ganesh Narayanan, Deputy CEO and Chief Business Officer; Mr. Balakrishna Kamath, CFO; and Mr. Nilesh Dalvi, who is Head of Investor Relations.

I would now like to hand over the call to Udaya sir for his initial comments, after which, we can open the floor for questions and answers. Over to you, sir.

Udaya Kumar Hebbar : Thank you, Shreepal.

Good evening to everyone. We thank you all for joining this conference call to discuss our first quarter FY24 financial performance.

Before we commence the discussion on Q1 FY24 results, I take pride in informing you all that we have entered the 25th year of our operations, playing an instrumental role in expanding financial inclusion across the length and breadth of our country. Our strong fundamentals, work ethics, customer-centric business model, and employee-centric operating model have helped us to remain socially relevant and become the preferred financial partner to a large number of low-income households across rural India. While our aim is to soon surpass INR 25,000 Crore loan portfolio during the 25th year of our operations, the next 4-5 years plan is to see us doubling our loan portfolio to over INR 50,000 Crore by leveraging our solid foundation and leadership position in the microfinance industry.

Talking briefly about the first quarter, we witnessed strong business momentum led by growth in our customer base. We added 3.28 Lakh customers, of which 47% came from outside of the top 3 states. Our customer base grew 19.9% YoY and 3.7% QoQ to 44.2 Lakh. Our AUM grew 39.7% YoY and 3.7% QoQ to INR 21,814 Crore while the disbursements grew by 122.3% YoY to Rs 4,771 Crore. Our footprint expanded with 40 new branches, taking the total branch network to 1,826 branches across 353 districts.

Our interest income grew by 50.1% YoY and 14.6% QoQ, largely driven by robust loan portfolio growth in the fourth quarter and the benefit of loan re-pricing over the past 12 months. Our average and marginal cost of borrowing for Q1 FY24 stood at 9.6% and 9.7% respectively. Since our cost of borrowing largely remained stable during the quarter, our NIM expanded to 13.0%.

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However, we expect some increase in the cost of borrowing over the coming quarters as we work towards increasing the share of long-term borrowings. The USD 100 Million drawdown under the social loan facility happened in the last week of June. Hence it did not impact the cost of borrowing in the first quarter. We should see its impact in the second quarter. Further, we shall complete the drawdown of the remaining USD 100 Million under the social loan facility in the second quarter. Also, we have to work towards raising the second tranche of public NCD before November 2023. These drawdowns would result in a 20-40 bps increase in our cost of borrowing over the coming two quarters. However, on the lending

side, we should also be

cognisant of the fact that 16% of our loan portfolio which is pre-April 2022 originated, is yet to be re-priced and should provide some cushion against the rise in the average cost of borrowings. Hence, as of now, we reiterate our guidance of 12%-12.2% NIM for this financial year.

Our maiden USD 200 Million syndicated social loan facility marked the first such transaction in the NBFC-MFI industry and the fourth in the country. This has helped us to broaden our lender base to over 70 lenders with many banks from Taiwan and the Middle East taking maiden exposure to the Indian microfinance industry through this transaction. This also resulted in

increasing our share of foreign borrowings to 19% at the end of June 2023 compared to 14% in the last quarter. Our liability strategy, which is essential for keeping the growth engine well in place is playing out really well, with 39% of total drawdowns in Q1 FY24 coming from foreign sources and undrawn sanctions in hand also coming 27% from foreign sources. This will further diversify our liability profile, increase the share of long-term and stable funds, and enhance the positive ALM mismatch as per our plans. We continue to pursue our plan on liability diversification as we grow larger.

Our operating profitability significantly improved in the first quarter, with the net interest income growing by 65.4% YoY to INR 763 Crore and the Cost to Income ratio declining from 39.7% in Q1 FY23 to 30.8%. We expect Cost to Income Ratio to moderately increase in the coming quarters and shall remain within the guided range, as we invest in branch expansion, technology initiatives and additional measures for building manpower for growth and controls in the coming quarters. PPOP grew at a healthy pace of 87.7% YoY to INR 544 Crore. The credit cost in Q1 FY24 stood at INR 76 Crore, including INR 7.8 Crore management overlay on the legacy book of MMFL which was only INR 72 Crore or 0.3% of the total loan portfolio. The credit cost was partially offset by INR 12 Crore of bad debt recovery, resulting in a net credit cost of 0.3% in Q1 FY24. Our collection efficiency (excluding arrears) stood at 98.7% at the end of the first quarter. GNPA measured at 60+ DPD reduced further to 0.89% at the end of June 2023 compared to 1.21% in the last quarter while Net NPA stood at only 0.27%, signifying best-in-class asset quality. Our PAR 90+ stood at only 0.70%.

PAT grew 151.5% YoY and 17.5% QoQ to INR 348 Crore during Q1 FY24, marking the highest-ever profitability in the first quarter. This resulted in RoA of 5.8% and RoE of 26.4%. The capital adequacy ratio remained comfortable at 24.4% at the end of Q1 FY24. The strong performance during Q1 FY24 vs. our guidance was primarily due to robust customer and portfolio growth. While we do anticipate borrowing and operating costs to moderately increase over the coming quarters, we believe that the benefits of strong portfolio growth in the first quarter will continue to accrue in the form of higher interest income over the coming quarters.

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Hence, we shall continue to monitor our performance and re-evaluate our annual guidance after two quarters.

Before I hand over the forum for the Q&A session, I would like to quickly touch upon the successful promoter stake sale, comprising 90 Lakh shares or 5.7% share, which was consummated on 30th June 2023. As informed earlier in our various communications, this transaction has helped us to further expand our shareholder base and increase the free float in our stock. Post this transaction and the issuance of shares to MMFL shareholders as per the share swap arrangement post-merger, the Promoter holding now stands at 66.77% as on 30th June 2023. The Institutional investor holding has increased from 21.95% in March 2023 to 27.12% in June 2023. The transaction received

strong interest from both existing as well as new

investors. As indicated earlier, this measure was facilitated by our promoter for broadening our shareholding base as well as free float, and we have largely achieved our objective quite successfully. The patient capital from CreditAccess India B.V. and their firm support will continue to help us channel our energies towards fulfilling the growing business potential as presented during our Analyst Day on May 18, 2023, and most of you joined in this conference. Lastly, I would like to congratulate Ganesh Narayanan for being elevated to Chief Executive Officer effective from 1st August 2023 subject to shareholders' approval in the upcoming AGM. Consequently, I shall continue to lead as Managing Director.

Thank you for your patient listening. We may now open the forum for the question-and-answer session.

Moderator: Thank you very much. We will now begin with the question-and-answer session. We take the first question from the line of Mr. Nikhil Rungta, Nippon India Mutual Fund. Please go ahead, sir.

Nikhil Rungta: Yes, hi, sir. Thanks for the opportunity. First of all, congratulations on a great set of numbers. And also, congratulations to the new CEO, Mr. Ganesh. Sir, just a couple of questions from my side to start with. First of all, this is one of those seasonal quarters wherein we see the weakest quarter for our company in general on an annualized basis.

But this time we have gone against the trend. So do you see this as structural that all four quarters would remain as strong quarters or is it just a one-off in terms of seasonality?

Udaya Kumar Hebbar: I think it was supposed to be a good quarter even last year but we took the decision to implement regulatory changes. Otherwise, from July onwards, we have grown well. Last year also, if you remember, in Q2, we did extraordinarily well and we are continuously doing well.

But in any case, in the first half, normally in this business, performance is about 40% of the

annual growth. So, 60% normally goes to the second quarter. Our sense is that it will be a continuous, strong performance going forward because we have built everything, and every pillar of the organization is in place. Every pillar of our engine is in place. Therefore, we believe we will be able to perform quite well in all quarters.

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Nikhil Rungta: Okay. And since we have grown at 40% in terms of AUM, but you have maintained your guidance of 24% to 25%, do you think there is a significant upside risk to our guidance, both in terms of AUM growth or margins or ROA or ROE or anything? I mean, because if I compare or collate this with my first question, then Q1 being the weakest quarter for the year, the guidance should have an upside risk. So do you believe that could be a possibility?

Udaya Kumar Hebbar: As I said in the initial remarks, the customer acquisition improvement as well as disbursement picked up, which has contributed to better performance this quarter. And that benefit will keep occurring for the entire year. But still, we would review after Q2 or Q3 to re-evaluate our guidance.

Nikhil Rungta: Okay. And sir, last question from my side. How much yield repricing is still pending in our AUM as of now? I believe you touched upon this in your opening remarks, but things were not clear. So, I just wanted to clarify that.

Udaya Kumar Hebbar: About 16% of the portfolio is yet to be repriced. Therefore, that's what exactly we said. Though there is a potential increase in the cost of borrowing, there is a repricing also there for about 16% of the portfolio. So some cushion is available. But we need to watch for the next two quarters to evaluate our overall guidance.

Moderator: Thank you. We take the next question from the line of Mr. Sumit Rathie from Centrum PMS. Please go ahead, sir.

Sumit Rathie: Thank you

for giving me the opportunity and congratulations on the great set of numbers, sir.

So my first question is on the qualitative side, how are we seeing Bihar and Uttar Pradesh as geographies and the other newly added geographies where we are adding on our branches incrementally, how have you been experiencing things so far, sir?

Udaya Kumar Hebbar: Our experience in all the states, particularly Bihar, UP, Odisha and Jharkhand are quite good. And we are not seeing any weakness or difficulty in any geography there. All are performing very, very well.

Sumit Rathie: Great. Another thing, sir, our GLP per branch is around INR 12 Crore and our GLP per loan officer is around INR 1.8 Crore. So where do you see, in a steady state business, the saturation point to come, which makes you decide to open a new branch or add an incremental employee and also if you can add branch covers what kind of catchment area on a steady state for us?

Udaya Kumar Hebbar: So you know branch when we start over a period of time, it grows. What we decided is when branch crosses about 7,000 customers, we actually open one more branch and shift the portfolio to the other branch so that both can go together. The load is managed in such a way. But as a loan officer, the outcome of how many customers he handles is the outcome of how many centres he handles actually.

So therefore, we limit the loan officer to handle not more than 5 to 6 centres so that he can manage the relationship well rather than just collecting money. If the number of centres is five to six, the maximum portfolio he may handle is between INR 1.8 Crore to INR 2.2 Crore, depending on the geography, and depending on the vintage of the customers as well.

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Sumit Rathie: Great, sir. Sir, on our new types of loans which we have come up with and envisaged the idea about that in our recent meet also. How are we seeing the progress over there? On the ground level?

Udaya Kumar Hebbar: Yes. Yes, it's a quite good pilot. We actually published that two of the pilots will continue, and three of them will start scaling up, particularly individual business loans, individual LAP as well as 2-wheeler will scale up and gold loan will continue to repilot if we want to test more, whereas affordable homes, we had to start the pilot this year. So all are giving a very good result so far. So but we are continuing to scale it up and then test more. I think at this point in time, it is only about 1% of the business. As we grow, we'll start publishing the numbers also.

Sumit Rathie: That's great. And one last question. On the cost-to-income ratio, this quarter would have been probably one of the best quarters at 30%. So how do we envisage this on a steady state basis? Is it like 34% to 35%? Or it can be below 34% and slightly up 30%? Where do you see it going given that great momentum and business pickup has been observed?

Udaya Kumar Hebbar : What we guided is 34% to 35%. Right now, we are reconfirming our ability to meet the guidance and maybe after one next one or two quarters, we will re-evaluate and come back if there is a change in our guidance in all the four parameters that we guided you.

Moderator: We take the next question from the line Mr. Renish Bhuva from ICICI. Please go ahead, sir.

Renish Bhuva : Yes, hi, sir. Congrats on a great set of numbers and congrats to Ganesh for the new role. Sir, just two questions again, sorry to circle back to the cost part. If you look at this quarter, you know there is no one-off income and at the same time, there is no one-off expense as well. I mean, is it fair to assume that this 31% cost to income is the new normal given maybe we are now actually benefiting out of this scale and we might not get back to those 34% -35% cost to income? I mean what is your internal assessment of this, sir?

Udaya Kum

ar Hebbar : It's difficult to assume with one-quarter change, you know, Renish. So that's why we said that we'll watch for one or two more quarters to review and come back. Because as I explained in the initial remark that, there are certain costs might come in Q2 as we grow, we have to open more branches, we are actually adding more manpower for control and growth. There are some costs that will become upfront, right? Therefore, it is difficult to assume right now. We need to watch for stable one more quarter to review this.

Renish Bhuva : Okay but later, we are not going back to let's say those 38% - 40% cost to income, which we used to have let's say in FY18 – FY19?

Udaya Kumar Hebbar : But in any case, we have guided that 34% to 35% rate, we are ensuring that, we will be able to reach there.

Renish Bhuva : Got it, sir. And sir, my second question is slightly at the maybe industry level or slightly longer term. So let's say since FY23, we, the sector or industry have been going through one of the best cycles and have been growing almost 20% - 25% at the industry level. Of course, good players like you are growing a bit faster. But historically, we have seen, whenever an industry has seen this kind of growth for two years, or three years, there is a tendency of any state or any pocket

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sort of derail the momentum. So internally, sir, what kind of early warning signals do you guys track to frame the business cycle? It could be, let's say, a centre attendance or anything.

Udaya Kumar Hebbar : In the analyst meeting we have clearly told about how our control systems and risk management are able to control the growth as well as the credit monitoring. We have put in a strong monitoring system and multiple defense systems. I think the three defense systems, we mentioned, while before acquiring clients and then after lending to them. And top of that, creating loyalty and high touch. All these are very, very important to work in a bad time. Even if something goes wrong, I don't think it is only for microfinance. It is important to keep the customers in touch, keep the employees highly motivated, and try to enhance our ability to get the data in terms of the risk, having the dashboard, having the monitoring system, using as much system, data and analytics. All these we keep improving. At least based on the past history, we are able to perform better in all such events that you described. So you can hope that we'll be definitely doing better even in the future if such circumstances come in front of us.

Renish Bhuva : Got it, sir. And this is just the last data-keeping question. So of the total customer base, what percentage of the customer base will have more than INR1 Lakh outstanding at the industry level?

Udaya Kumar Hebbar : Industry level, I don't think, we have data as of what today. I think as of March, around 7.5 % or 8% I believe. I don't have the answer with me right now. Maybe Nilesh will try to gather from the Micromet er and let you know.

Renish Bhuva : No, sir. Sorry. Let me rephrase it. Let's say, what percentage of our customer base will have total outstanding of INR1 Lakh, including other lenders?

Udaya Kumar Hebbar : Right now, in front of me, more than INR 50,000, that's about 43%. But the average is about INR 63,000 for customers with a vintage of more than six years. Only those guys will be able to get more than INR 1 Lakh. The average is about INR 63,000. And in our case, if there is something different, we need to look at it. As we explained earlier also, any customer with vintage more than four years has a very less risk in our case.

We even price them 1% lower than others. Any customer who has more than INR1 Lakh, he's always more than four years with us. So that kind of profile, we have, the vintage profile, which has a very, very big deterrent

for us in terms of credit risk, actually.

Renish Bhuva : Got it, sir. This is very helpful, sir. Thank you, and best of luck, sir.

Udaya Kumar Hebbar : Thank you. Thank you so much.

Moderator: Thank you. We take the next question from the line of Shweta Daptardar, Elara Capital. Please go ahead.

Shweta Daptardar: Thank you, sir, for the opportunity and congratulations on a great set of numbers. So a couple of questions. One is, if we look at the current quarter, then there is a marginal drop in the IGL loan and a tad rise in home improvement and retail finance loans. And also, if you look at the CreditAccess Grameen Limited
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industry level, individual loans have been on the rise. So how do you perceive this from the risk parameter matrix going forward?

Udaya Kumar Hebbar : No, I think it is not a big number because the overall number in the non-microfinance is just 1% or less actually. It may be a very very small variation to see though. I don't think, it's any significant what you call or you say, we cannot make anything out of that right now because of such a small portfolio in the non-microfinance book.

Shweta Daptardar: Okay. I will rephrase it in a different manner. So we have also alluded to the fact that individual loans will be slightly increasing in the portfolio. Sir, whether these individual loans are largely cross-sold or graduated from the existing customers or these will be coming from the newer portfolios and new to-credit customer base?

Udaya Kumar Hebbar : Yes, Ganesh?

Ganesh Narayanan: Okay. These individual unsecured loans, as we had guided earlier, even in the medium term, should hover in the range of 5 %-7% of our portfolio and these are pre-selected graduated customers with certain credit behaviour with us and a certain vintage and certain types of profile that is chosen after assessment. So that is definitely a graduated book, and we believe this would also behave well as we move forward.

Udaya Kumar Hebbar : Yes. For your question about is there a new customer, it's completely existing retained customers, Shweta.

Shweta Daptardar: Okay. Noted, sir. Sir, second question, if I look at the borrower mix, so clearly, the borrower share from the home turf markets and the markets where we had a key presence, this is continuously falling. What is the kind of growth that we are seeing in the top four states of Karnataka, Maharashtra, Tamil Nadu and Madhya Pradesh, and what would that be in comparison with other few markets which are going for you? Is Karnataka or Maharashtra's growth now in single digits? And how are you perceiving penetration and growth in the existing home turf of markets?

Udaya Kumar Hebbar : So based on the base and the vintage of Karnataka, Maharashtra and Tamil Nadu, we believe that, this growth will be either the single digit or the low double-digit growth, whereas overall, we already said that, we will grow between 24% to 25%, which means northern geography, which is non-core market, will grow faster. We are witnessing that growth already. That is why that particular data about the new customer of 47% are coming from a different geography than the top three states, which is good from a diversification point of view.

Shweta Daptardar: Okay. Thank you, sir. I will come back in the queue.

Udaya Kumar Hebbar : Thank you.

Moderator: Thank you. We'll take the next question from the line of Mr. Abhishek Murarka from HSBC Bank. Please go ahead, sir.

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Abhishek Murarka : Yes, thanks. Hi, Udaya and team. Many congratulations for the quarter. And congratulations to Ganesh for the new role as well. So, one question, sorry to sort of get back to the yield and cost question. You said that there's about 16% of the book, which is pre-April 2022. There would be some more part of the book, which would

be the first half of last year, which was also at a lower yield. So cumulatively, how much yield benefit are you looking at from this re-pricing and over what period?

Udaya Kumar Hebbar : See, the 16% is pre-April, which was the pre-regulation portfolio. In the post-regulation portfolio, there is not much change actually. Basically after February 2023, we have not changed the prices at all. So, therefore, the majority of the portfolio will not have too much replacing actually. Replacing benefit will get only 16% and the additional will get a little insignificant, not very significant.

Abhishek Murarka : But Udaya, the Q1 FY23 and Q2 FY23, if I look at your presentation, it gives numbers of 20.3% and 20.8%, as a disbursement rate.

Udaya Kumar Hebbar : Yes, correct. Correct, I got your point. But this will take a longer time as we would not get into immediate re-pricing actually because of long-term loans. So, we are not re-pricing that unless they are maturing and re-lending, right?

Abhishek Murarka : Right.

Udaya Kumar Hebbar : We will not get the benefit immediately. That is why, I am telling that the benefit, that there is not significant for a yield point of view. Because it is not re-pricing based on a floating rate.

These are all fixed rates , right?

Abhishek Murarka: Fixed rate, yes.

Udaya Kumar Hebbar : And then 90% of loans are more than two years. That is why.

Abhishek Murarka: Right. So incrementally, maybe 20 bps to 30 bps is the maximum we could get out of this on a blended basis.

Udaya Kumar Hebbar : But that also takes a longer time. I think, 16% will give about 25 bps to 30 bps. Correct. You're right. So that is what we said, your cost of borrowing might go up between 20 bps to 40 bps.

There is a cushion of repricing which will take care.

Abhishek Murarka: Got it. And regarding cost , you also explained that some drawdown was left and you are borrowing long term. Can you give a little more detail about what exactly will lead to this 20 bps to 40 bps? Sorry, I couldn't follow in the opening comment.

Udaya Kumar Hebbar : We have announced that we have borrowed almost 39% of our borrowing in Q1 from foreign sources, which have a higher cost compared to domestic borrowing, but the actual borrowing happened only at the end of the quarter. The real impact of that borrowing will come in Q2. And on top of that, we are also estimating to borrow some more international borrowing which is in the pipeline and is already committed. Plus, we would raise Public NCD also. So , we all will

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have a higher cost compared to the other borrowing cost. Therefore, it might be impacting about 20 bps to 40 bps of the cost of borrowing. Hope I clarified.

Abhishek Murarka: Right. And the landed cost of this foreign borrowing would be how much? Post hedging?

Udaya Kumar Hebbar : Between about 9.5 % to 10 % depending on the country and geography and then the type of lender.

Abhishek Murarka: Got it.

Udaya Kumar Hebbar : Some of them are close to 10 % actually.

Abhishek Murarka: If I put these two things together Udaya, so incrementally may be 20 bps, 25 bps, 30 bps of yield increase and at the most 20 bps to 40 bps of cost increase. So broadly your NIM should be stable, maybe plus or minus 10 bps to 15 bps. But you're still maintaining a 12 % to 12.2 % NIM guidance. So don't you think, I mean, what is going to bring it down?

Udaya Kumar Hebbar : You need to look at the one more, two more quarters because there is a base effect, there is a capital adequacy effect. There are multiple things we need to see. We will not be able to take a decision based on the one-quarter result, Abhishek. That is what we said. We will take a decision after one or two quarters based on the actual , how it moves in the next two quarters .

Abhishek Murarka: Got it. Thanks. And just a second

question would be on this retail...

Moderator: Sorry to interrupt you, sir. May we request you join the question queue, please? We take the next question from the line of Mr. Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: First of all, congratulations to your team on a good quarter. And congratulations, Ganesh sir.

Very, very good to see his appointment this elevation to the CEO role comes true. Sir, I mean, I don't have any questions on this quarter, but what I really wanted to understand is, given that we now have state elections coming up later in this calendar year, and then next year when we are heading to general elections, obviously that noise around elections, the potential of any loan waiver announcements, right, might come into the picture, might kind of be the narrative in the coming quarters.

So I mean, will it be wrong to claim that given that loan waivers when they were announced in Assam and subsequently, I remember advertorials from the government requesting citizens that if they are capable , not to take or opt for those schemes or take those loan waivers. And given that, I mean, the recent announcement that we had from the court in Telangana and Andhra Pradesh, wouldn't it be wrong to assume that at least the magnitude and frequency of such loan waivers from political parties will at least decline going forward, even if we cannot rule out that as a risk going forward?

Udaya Kumar Hebbar : I think Abhijit, we are on the same page, with what you are describing. It's such a good thing, actually, you know. Even in the last decade or so, elections never impacted microfinance significantly anywhere. There are even earlier, the Madhya Pradesh government or Karnataka

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government or Chhattisgarh government, announced loan waivers . But the customers, by and large, know that their loans are not getting waived.

And also, there's a significant awareness on the political side about the capital creation that microfinance is bringing to the rural, which normally government cannot do directly. Therefore, there's great support from every side, whether it's the administration, there's Finance Minister or the regulator. And you can see all the sides, there's a lot of support for microfinance. Even they would call us for suggestions when the finance bill is worked. The way the government supported while there was COVID, the liquidity, the moratorium, or many things they supported the sector to ensure that sector should grow, sector to stabilize.

And even in the case of COVID, the two years is a great ground if the politicians wanted to create any problem, where we did not see any issues anywhere in the country. Assam is a different issue that can be discussed separately because it is not the outcome of any election, this is the outcome of many different events over three years to four years including COVID, CAA protest, student agitation, the election and the government announcement. There are three, four events in the three, four years' time. Basically, to solve the issue of microfinance, they had to come up with a solution, which was effectively solved. It's a great example of how government and the institutions together can resolve the issue.

Looking at all these things in the last three years, four years, I think, there's a lesser impact because of the elections or such events. There's great support from the entire system everywhere. We don't expect any issues in the election year. It's always every five years there is a national election. Every year there will be multiple state elections. And we have been dealing with that carefully.

So maybe during the election period, one or two months, there may be muted growth because of the regulations around. But for that, we don't see any significant impact because of these elections around.

Abhijit Tibrewal: Thank you

you, sir. And just one last question here.

Moderator: Sorry to interrupt you, sir. May we request you join the question queue, please? Thank you. We take the next question from the line of Mr. Sameer Bhise from JM Financial. Please go ahead, sir.

Sameer Bhise: Yes, hi. Thanks for the opportunity and congrats on a strong set of numbers. Congrats to Ganesh as well. Just a quick question, Udaya, on some thoughts on creating management overlay as we continue to navigate the good period in the sector. Some thoughts would be helpful.

Udaya Kumar Hebbar : Sameer, if you look at our way of ECL, there is a huge or very significant inbuilt overlay. It's not that because if you look at our GNPA which is about 0.89% whereas provision is about 1.59%, you know, at a 90 days basis, which means compared to IRAC. So, there's a huge overlay already there.

And again, we recognize Stage 2 as a 15-day DPD. This means any event we are already there recognizing the requirement and that 60 days we recognize as Stage 3. Therefore, there is an

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inbuilt layer and there is no such accounting principle that allows us to create a different overlay when there is no specific event around us. I think, there is sufficient overlay inbuilt and we always have a habit of only recognizing the risks which have been observed, we have all observed over the last couple of years. We have sufficient cushion instead of any specific overlay here.

Sameer Bhise: Fair enough. So it's okay to assume that the credit cost run rate could be around the current levels, is that a fair conclusion?

Udaya Kumar Hebbar : Excuse me, can you repeat, please, Sameer? Sorry.

Sameer Bhise: Is it fair to assume that the credit cost run rate would be around current levels?

Udaya Kumar Hebbar : It should be, because we guided the credit cost between 1.6 % to 1.8 %. Definitely, it's within that range. I think we'll be able to meet that guidance.

Sameer Bhise: Great. That is all from my side. Thank you and all the best.

Udaya Kumar Hebbar : Thank you, thank you, Sameer.

Moderator: Thank you, sir. We take the next question from the line of Mr. Nidhesh from Investec. Please go ahead, sir.

Nidhesh Jain: Thanks for the opportunity. Sir, what are the plans to scale our operations in Andhra Pradesh and Telangana, these two states which have opened up? Have we started opening branches there already?

Udaya Kumar Hebbar : We would want to watch it there in both states because administratively, we need to see the alignment of the administration on microfinance because, for at least 10 years, 11 years, or 12 years, the administration is tuned to not to accept the microfinance there. Therefore, we are watching that. Maybe we will be opening a few branches and test it, how it works, and then take the expansion later actually. We will not be in a hurry to go and start operations in Andhra Pradesh and Telangana. We'll be watchful there.

Nidhesh Jain: Sure sir. And secondly, how is the asset quality experience in the individual unsecured loans that we are scaling in the group format?

Udaya Kumar Hebbar : It's absolutely great. It's within our expectations , and the portfolio is behaving very well.

Nidhesh Jain: Sure. And lastly, given that the operating leverage has been playing out quite beautifully, so any plans to pass on the benefit to customers? The current ROA and ROEs are very good, but any plans to pass it on to customers to give them the benefit of the operating leverage?

Udaya Kumar Hebbar : If you look, after February, we have not changed the price at all. Even now, again for next quarter, we are not changing the price. We are retaining the same pricing for customers. We are not increasing any price. And already we are the lowest -priced microfinance in this segment.

And I think we'll continue to ensure that the customer gets the best from our side.

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Nidhesh Jain: Sure, sir. Thank you, sir. Thank you.

Udaya Kumar Hebbar : Thank you so much.

Moderator: Thank you, sir. We take the next question from the line of Sagar Shah from Philip Capital. Please go ahead.

Sagar Shah: Good evening, sir. Thank you so much for the opportunity and first of all congratulations to the entire team for a solid set of numbers yet again. My first question was related to our AUM actually. We had around a sequential growth of around 4% I wanted to understand that obviously, sorry, for reiterating again, this point was already addressed before. But I wanted to gain more knowledge and depth that sequentially we grew by only 4% and it was below my estimates actually. Was this just because of Q1 being a seasonally weak quarter before or is it now that the competition is actually hurting us? Can you specify a reason for slow growth?

Udaya Kumar Hebbar : No. I think a sequential growth of a portfolio growth is on the base of the 18% growth we had in the last quarter actually. So it is still good. And I think you need to compare the Q1 with the Q1 of FY23 other than Q4 FY23 to Q1 FY24 actually. If you see Y -o-Y, the metrics are completely different and positive. We don't see any.

Sagar Shah: Yes, sir. Y -o-Y, completely agree sir that you compare Y -o-Y numbers it was a strong quarter but last Q1 actually was a different situation and a scenario altogether when the new regulation came into place we had to de-grow actually for one of the quarters. Is it safe to assume that in the next three quarters, we will see stronger growth than in Q1?

Udaya Kumar Hebbar : See, next three quarters maybe. But then if you see compare the last year to this year, you said clearly, the Q1 last year was lower because of the regulatory implementation of what we did in the first two months and from July onwards, it's started growing. Whereas the growth in the last year, maximum came in the last two quarters, Q3 and Q4. That is more of a higher base exhibit . Against the higher base, the first quarter is showing a little lower. I think at this point in time, we believe that we will continue to grow between 24% - 25%. And we'll again review after one to two quarters, to see how this will change.

Sagar Shah: This similar growth will be contributed and will carry forward the number that's outside Maharashtra, Karnataka and Tamil Nadu, actually. Which states actually are you getting traction in, obviously, Madhya Pradesh is the fourth most important state for your portfolio comprising almost 8%. But outside of these three states, how is the demand or how are you planning out actually?

Udaya Kumar Hebbar : So demand and supply by and large even everywhere, but the higher growth is coming from the new geographies because the older geographies are at a higher base, and the vintage. The growth is lesser compared to the growth in the newer state like Gujarat, Rajasthan, Uttar Pradesh , Bihar, and Jharkhand which gives the higher growth, whereas Karnataka, Maharashtra, Tamil Nadu and Madhya Pradesh will give the lower growth .

Sagar Shah: Okay. Sure. Now, my last question is related to asset quality. You have already stated that credit costs will remain at these levels. Say, obviously, keep the management overlay at these levels.

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Now, obviously, our asset quality has actually once again improved in Q1. And that has been commendable. Your PAR 0 has come down to almost 0.7%. So just my one suggestion, maybe from one from my end, that why don't we actually create some extra provisions maybe for any, you can say, although we are holding an ECL provision of 1.59%, but why don't we create some extra contingency or a management overlay provision, so that maybe unforeseen event in the next general election or anything.

comes up, we can be at least secured by that. Your thoughts on that, sir?

Udaya Kumar Hebbar : Sagar, I think I have already answered this question earlier. We said clearly that we are already indirectly holding the additional layer of management overlay within our ECL system, which I explained already to an earlier participant.

Sagar Shah: Okay, got it. Thank you so much.

Udaya Kumar Hebbar : Thank you.

Moderator: Thank you, sir. We take the next question from the line of Mr. Rajiv Mehta from YES Securities. Please go ahead, sir.

Rajiv Mehta: Many congratulations on solid performance and congratulations to Ganesh also for his elevation as CEO. Sir, you know, the question and clarification I seek is on, whether a promoter is looking at pairing for the stake in the near term. I'm checking just in the near term. And when would we likely raise capital since the growth is running ahead of expectations?

Udaya Kumar Hebbar : I think in my opening remarks, I clearly said about the promoter's stake. What is the objective and it's already largely achieved what we have requested from the promoter on support to increase the investor base and increase the float. Largely, we have achieved that objective.

And the second part is, I think, again, we said clearly earlier that at least for the next seven to eight quarters, we don't see any capital raise because you can see that's a healthy capital getting accrued and then we have sufficient cushions for growth for next two years. We don't estimate any capital raise for the next two quarters, Rajiv. Sorry, next two years.

Rajiv Mehta: Got it. Great. Thank you so much and best of luck.

Udaya Kumar Hebbar : Thank you.

Moderator: Thank you. The next question is from the line of Piran Engineer from CLSA. Please go ahead.

Piran Engineer: Good evening, sir, and congrats on the quarter. Just wanted to get an update on, the share of our unique customers. We usually used to have around 40% -45%, but with how the industry has grown over the last couple of years, what would that number be today for us?

Udaya Kumar Hebbar : It is slightly reduced actually, because as we grow in the newer geography, as we grow in the existing geography, we are able to target more customers who might be customers of other MFI, eventually moving us as a unique customer. Therefore, some 40% actually come down by 5% to 6% at this point in time. But what we observed is, over a 12 -month time, they are coming to

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us as a completely moving out of other MFIs and coming to us as a full unique customer. I think as the competition increases, this type of unique customer number will keep changing.

Piran Engineer: Yes. And how many will have more than one lender? Like you and one more lender, I meant.

Udaya Kumar Hebbar : About 35%. 32% to 35% more than one lender. Only one lender, sorry. More than one lender is about 20%.

Piran Engineer: Sorry 20%?

Udaya Kumar Hebbar : 20%. Sorry. 20% more than one lender, sorry, 34%, sorry.

Piran Engineer: So 34% of your customers have three lenders including you?

Udaya Kumar Hebbar : No. More than one lender, you said. So more than two lenders if you want it is 14%.

Piran Engineer: Okay. No, so it does not add up. It's more than one.

Udaya Kumar Hebbar : Unique is 34%. Unique -plus one is 32%. Unique -plus two is 20%. Then more than two is 14%. Total is 100%, right?

Piran Engineer: Yes. Okay. So Unique -plus three is 14%. Okay, got it. More than three is 14%. And sir, then which states have the highest share of unique customers? Like, you know, I'm just trying to think as to where is the white space which is not yet penetrated by microfinance in terms of geography.

Udaya Kumar Hebbar : Always, you know, our old geography where we have been established for more than many years, particularly Maharashtra, Karnataka and Tamil Nadu. So we

always have a very high percentage of unique customers.

Piran Engineer: Okay, got it, sir. Thank you and all the very best.

Udaya Kumar Hebbar : Thank you so much, Piran.

Moderator: Thank you. We take the next question from the line of Mr. Ajit Kumar from Nomura. Please go ahead, sir.

Ajit Kumar: Thank you. Congrats on the great set of numbers. Just a few data -keeping questions. What would be the average disbursement ticket size in this quarter?

Udaya Kumar Hebbar : The average is about INR 44,000 - INR 45,000.

Ajit Kumar: Similar to last quarter, right?

Udaya Kumar Hebbar : Yes, it's same. If you see outstanding per customer also, by and large, remains the same. There's no change.

Ajit Kumar: Okay. Thank you. And just last thing, any comment on borrower leverage, including all lenders would have data for four to five quarters now?

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Udaya Kumar Hebbar : So borrower leveraging is defined by the regulator already. It's more of a leverage. And rather than leveraging, more of F OIR, how much they're actually paying, their obligations, actually. So that's more important. While we can actually go up to 50% F OIR obligation, 75% of the borrowers have F OIR of less than 40% today.

Ajit Kumar: Okay. Thank you. And congratulations on your progressive good number. Thank you.

Udaya Kumar Hebbar : Thank you so much.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I would now like to hand the conference over to Mr. Shreepal Doshi from Equirus Securities for closing comments.

Shreepal Doshi: Thank you, Seema. And thank you to all the participants for being part of the call. We would like to thank the management of CreditAccess Grameen for giving us this opportunity to host the call. Thank you, everybody, and have a good weekend.

Udaya Kumar Hebbar : Thank you so much. And I'm passing on all your wishes to Ganesh here. So thank you very much and have a nice day.

Ganesh Narayanan : I'm also thanking all of you for your good wishes. Thank you so much.

Moderator: Thank you. On behalf of Equirus Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2023

Ref: CAGL/EQ/2023 -24/104

October 25, 2023

To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip code: 541770

National Stock Exchange of India Limited
Exchange Plaza , C-1, Block G
Bandra Kurla Complex , Bandra (East)
Mumbai - 400051
Symbol : CREDITACC

Dear Sir/Madam,

Sub.: Transcript of Earnings Conference Call for Q 2 FY24

Pursuant to Regulation 30 and Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Q2 FY24 earnings conference call, held on October 20, 2023 . The same is also available on the Company's website at <https://www.creditaccessgrameen.in/investors/financials-and-investor-presentations/earnings-call/>.

This is for your kind information.

Thanking you,

Yours' Truly
For CreditAccess Grameen Limited

M. J. Mahadev Prakash
Company Secretary & Chief Compliance Officer

Encl.: As above
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"CreditAccess Grameen Limited
Q2 FY24 Earnings Conference Call "
October 20, 2023

ANALYST : MS. SHWETA DAPTARDAR – ELARA SECURITIES
PRIVATE LIMITED

MANAGEMENT : MR. UDAYA KUMAR HEBBAR - MANAGING
DIRECTOR - CREDIT ACCESS GRAMEEN LIMITED
MR. GANESH NARAYANAN - CHIEF EXECUTIVE
OFFICER – CREDIT ACCESS GRAMEEN LIMITED

MR. BALAKRISHNA KAMATH - CHIEF FINANCIAL
OFFICER - CREDIT ACCESS GRAMEEN LIMITED
MR. NILESH DALVI – SENIOR VICE PRESIDENT &
HEAD INVESTOR RELATIONS – CREDIT ACCESS
GRAMEEN LIMITED
CreditAccess Grameen Limited
October 20, 2023

Page 2 of 15 Moderator: Ladies and gentlemen, good day and welcome to Conference Call to discuss CreditAccess Grameen Q 2 FY2024 Earnings. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to M s. Shweta Daptardar from Elara Securities Private Limited . Thank you and over to you Madam !

Shweta Daptardar : Thank you Sagar . Good evening, everyone. O n behalf of Elara Capital, we welcome you all to the earnings conference call of CreditAccess Grameen to disc uss the Q2 FY2024 earnings performance. From the esteemed management today we have with us Mr. Udaya Kumar Hebba r, Managing Director ; Mr. Ganesh Narayanan, Chief Executive Officer ; Mr. Balakrishna Kamath, Chief Financial Officer ; Mr. Nilesh Dalvi, SVP & Head Invest or Relations . Without much further ado I now hand over the call to Mr. Heb bar for his opening comments post which we can open the floor for Q&A. Thank you and o ver to you Sir!

Udaya Kumar Hebbar : Thank you, Shweta . A warm w elcome to everyone and a very happy Navarat ri to you and your family. We thank you all for joining the conference call to discuss our second quarter and first half FY 2024 financial performance. We have witnessed another healthy quarter reflecting strong growth momentum. We ar e confid ent of maintaining business traction in H2 FY20 24 with all key foundations in place . The rural demand continues to remain strong supported by high entrepreneurship spirit.

Despite Q2 being a historically weaker quarter due to seasonality, we continue d to witn ess robust growth in our borrower base in Q2 FY 2024. We added 3.36 lakh new customers of which 40% came from outside the top 3 states . Overall , in H1 FY2024 we added a healthy 6.64 lakh new customers with an av erage monthly addition of over 1.1 lakh demonstra ting customer -led growth across our operating markets. The customer base grew by 21.2% Y -o-Y and 4.1% Q-o-Q to 46.03 Lakh while the AUM grew by 3

6% Y-o-Y and 3.1% Q-o-Q to INR 22,488 Crore .

Disbursements grew by 13.5% Y-o-Y in Q 2 FY2024 to INR 4,966 Crore . We forayed into Andhra Pradesh and Telangana in line with o ur contiguous district -based approach . With this expansion , our presence is across 16 states and one union territory, the branch infrastructure stood at 1,877 spread across 364 districts wi th 51 new branches opened in this quarter.

Our interest income grew by 53.9% Y -o-Y and 7.4% Q-o-Q to INR 1,187 Crore . Our average and margin cost of borrowing for Q2 FY 2024 stood at 9.8% and 9.6% respectively. The increase in the average cost of borrowing was p rimarily on account of the USD 100 m illion drawdown of social loan in June 2023 followed by INR 990 Crore public NCD in September 2023. We believe that our cost of borrowing would largely peak out at 9.8 % to 9.9% a s the incremental drawdown plan for the next two quarters is predominantly from domestic sources as we , by and large, achieved our foreign borrowing requirements.

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Page 3 of 15 Our NIMs stood at 13.1% for the second qua rter as the increase in borrowing cost was offset by the increase in our portfolio yield. F urther , NIM primarily benefited due to three factors : i) superior asset q uality leading to minimal interest reversals . ii) strong control on the cost of borrowing and iii) the higher share of portfolio growth funded through internal accruals . It is important to note that we have deliv ered heal thy NIM s while still being one of the lowest -cost lenders for our customers .

We successfully raised INR 990 Crore in September 2023 through the second tranch e of our public NCD . The fund s came at an average coupon rate of 9.3% which is 3 0 bps lower comp ared to our first tranch e last year with an average tenure of three years. T he share of public NCD now stands at 7.9% with the share of foreign borrowing standing at 18.4% and the share of long -term borrowing is around 70% . This has further strengthened our ALM posi tion with an average maturity of assets at 19 months and an average maturit y of liabilities at 25.2 months resulting in a posit ive mismatch of over six months. T he robust liability strategy embossed by us has helped us to address liquidity , positive ALM , long-term fun ding and adequate diversification along with lower price s to ou r customers . While our pr icing is one of the lowest in the market , we have been further able to retain our pricing which was last change d in February and we shall be maintaining our price durin g Q3 FY2 024.

Our operating profitability continues to follow an upward trajectory with the net interest income growing by 49.6% Y-o-Y to INR 772 Crore. The cost-to-income ratio was 31.7% on the back of the improved income profile. PPOP grew at a healthy pace of 68.3% Y-o-Y to INR 563 Crore. The credit cost to day at INR 96 Crore which was partially offset by INR 11.7 Crore of bad-debt recovery resulting in a net credit cost of 0.4% non-annualised in Q2 FY2024. By H1 FY2024 net credit cost stood at 0.7% non-annualised and our collection efficiency excluding arrears was steady at 98.7%. GNPA measured at 60 plus dpd further reduced to 0.77% compared to 0.89% in the last quarter whereas net NP A stood at only 0.24%. PAR 90 is at 0.6%. We continue our effort to maintain the best-in-class asset quality by various quality controls in place. PAT grew 98.1% Y-o-Y to INR 347 Crore resulting in ROA of 5.6% and ROE of 24.7%. Our H1 FY2024 ROA stood at 5.7% and ROE at 25.5%. Capital adequacy remains comfortable at 25% at the end of Q2 FY2024.

On the back of our operating performance during H1 FY2024, we are happy to provide you with revise

d guidance for FY2024. The key factors that have resulted in upward revision are more balanced growth across all parameters, ii) improved total income profiles and profitability, iii) robust capital adequacies leading to a higher share of growth getting funded through internal accruals and iv) strong controls on cost of operations. We maintain our portfolio growth at 24%-25%. We expect the improvement of NIM to the range of 12.7% to 12.8%. The cost-to-income ratio will be in the range of 31%-33% while we maintain credit cost at 1.6% to 1.8%. We expect improved ROA and ROE in the range of 5.4% to 5.6% and 24% to 25% respectively. Thank you for your patient hearing. We look forward to answering your all queries during the question and answer session. Thank you.

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Page 4 of 15 Moderator: Thank you very much. We will now begin the question-and-answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Renish Bhuva from ICICI. Please go ahead.

Renish Bhuva: Hi Sir, congrats on a good set of numbers so just two questions from my side first is on the liability side now given our balance sheet size, which is now almost I think INR 25,000 Crore and we have been in a complete unsecured product business so how we are going to manage the liability side especially considering the size and a product nature?

Udaya Kumar Hebbar: You said two questions.

Renish Bhuva: Yes, so secondly from the borrower attrition side so just wanted to understand that in the last one year we have lost almost 0.5 million customer base despite being the leader in the sector. Our lending rate is still far lower than the competition so to whom we are losing this customer and if you can also share what are the primary reasons for this attrition?

Udaya Kumar Hebbar: Thank you, Renish. The liability side is one of the key things we kept on working to strengthen which has been the strategy for the last many years. We have witnessed that this is going to be one of the primary requirements to expand our liabilities beyond domestic, beyond banks because the requirements keep increasing by at least 25% every year and then many banks will not be able to give that much money every year. We also want to build a very positive ALM so that we should not be vulnerable to any liquidity-tight kind of situation. Therefore, we have been planning to expand liability beyond banks and then beyond domestic territory to go to international also. In this process, we did a couple of things. One is going to the non-bank side which is BFI and then the international borrowings and what you call the conventional public NCD route. Our view is over a period of time our dependency on the bank should be within 50% and the rest 50% of the funding should be outside the bank and as much as possible outside the geography so that we have a continuous supply of funds with a longer maturity resulting into higher ALM, positive ALM as well as very strong diversification.

We are largely in the process today. Only 53% of our funding is from banks, close to 20% is from the international side which is a minimum 3 years all the way up to seven years, another 7% to 8% is from public NCD, about 11% is from non-bank DFI's and then about 7% from normal short-term DA or PTC kind of thing. Our liability strategy is going very strong and this strategy is important for us to grow in the future while maintaining a continuous positive ALM mismatch as we diversify our assets. For the second point of the question, I will request Ganesh to respond in terms of attrition.

Ganesh Narayanan: Attrition for us is range bound currently around 13% so we have been around 13%-15%. Attrition

happens because of a combination of a few reasons as we have stated earlier too. There are a certain number of customers who are moving up, there are a certain amount of customers whom we do not want to lend and there are a certain amount of customers who do not want any further
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Page 5 of 15 borrowing . It is generally a combination of these three that comprises our attrition so I think it is on the right track .

Renish Bhuva : Got it. I was just trying to get a sense that given a leader like us losing customers does it signal let us say aggressive lending in the segment or is it the normal attrition rate?

Udaya Kumar Hebbar : So far , we have seen this as quite normal and then I think it is in the range of what we have been observing over the last 5-6 years . We are not seeing any new differences . We have started addressing this through our product lines by following our customers . Some of the pilots that we did last year and have now scaled it now are going to address one set of customers moving up to the next level of intuition or having requirements of a larger value . Then those who do not want to borrow or whom we do not want to lend anyway , we do n't want to get into . Those who are going into NBFC kind of thing so probably we already started addressing that through our diversified differentiated non-micro finance range .

Renish Bhuva : Got it . Just the last question from my side on the revised guidance now I think we will be the first MFI company in the industry to say that we will be delivering 24 %-25% ROE . Is it fine to assume that this will be let us say new steady state ROE or is let us say this ROE because of we might be getting some margin benefit as of now and which might not be there maybe a year down the line . How should one look at this revised guidance sir?

Udaya Kumar Hebbar : I think it should be at least in the medium term to long term it should be a steady state because our capital adequacy also will be within the same rangebound between 20% and 25%. We should be able to maintain such a steady state of RoE going forward.

Renish Bhuva : Got it. Let it move from my side Sir. Thank you and best of luck Sir.

Moderator : Thank you very much. The next question will be from the line of Ajit Kumar from Nomura. Please go ahead .

Ajit Kumar : Sir congratulations for a great set of numbers . The first question is on disbursement yield which has increased by another 10 basis points sequentially . Is there any plan or scope of increasing this further from here on ?

Udaya Kumar Hebbar: Not really . I think we remarked already that our growth rate is quite comfortable and we are maintaining the same price to customers we may not be in increasing the price to customers . By and large over 90% of our lending portfolio has been already repriced so there is not too much scope for increasing the yield.

Ajit Kumar : The second question is on the number of employees which has increased substantially in this quarter the increase is by roughly 1,800 and which is quite higher than the normal run rate and this is despite the fact that your number of branches has increased by usual roughly 50 branches every quarter so what is the reason for that and which function this hiring has happened ?

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Page 6 of 15 Udaya Kumar Hebbar: No, actually last quarter it was low because lot of transfers and we have not tried it too much

most of the time we are spending on completing the transition from Madura to CreditAccess Grameen . Now that everything settled, we started hiring back and it is a normal growth . That is why we said last time our cost of operations those are not the benchmark it will increase going forward because of the branch opening, hiring , tax expenditure , all those we

actually told last

time. You have to combine the first half year rather than one quarter .

Ajit Kumar : Sure thank you , sir.

Moderator : Thank you so much. The next question is from the line of Abhijit Tibrewal from Motilal Oswal . Please go ahead.

Abhijit Tibrewal : Sir just two to three questions, first thing this insurance distribution income that is reported is much higher than in the past few quarters just wanted to understand are there any things which have got bumped up and kind of there in this quarter some income which were there for earlier quarters and in the previous quarter or is this now going to be a steady state run rate in insurance distribution income . If that is the case what has kind of led to this amount of quarterly insurance distribution ?

Udaya Kumar Hebbar: We have been the corporate agent for many years . By regulation we used to get only a 5% commission till Q1 and now that IRDA has revised the pricing which allowed the insurers to give a higher commission which actually increased between 12 % to 15% now. Therefore this will be a steady state revenue going forward so there is no bump I think about only about INR 8 Crore in this which is an insignificant part of the fee on accrual . Otherwise , this should be steady state income going forward at least the medium range until and unless the regulator changes any fee cap or some thing, as of now we should be assuming that we should get this kind of income on a very steady state basis . I do not know anything second part to the question which I could not hear.

Abhijit Tibrewal : This is exactly what I was kind of trying to understand so out of this INR 50 Crore we have reported insurance distribution income you suggested INR 8 Crore was accrued from the first

quarter .

Udaya Kumar Hebbar: No, actually only INR 30 Crore is the insurance income rather than the normal like FD interest or mutual fund interest all those things . INR 30 Crore is the additional insurance income which is going forward steady state income for the quarter.

Abhijit Tibrewal : Got it, the second question was again around margins so if I look at the first half performance in margins he re around 13.1% while we guided for 12.7 % to 12.8% like the revised guidance of the full year . So if we have to assume that given that you said to the prior participant that not much scope for any further increase in yield given that the cost of borrowings will increase from here

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Page 7 of 15 what we have reported in this quarter in margins and income we should see some moderation in margins is that the right way to look at it?

Udaya Kumar Hebbar: First quarter income is actually kind of based on the basic and growth is lesser than the internal accruals so we use more capital and when you use the entire year you use the capital than when we use more borrowings also so that average NIM will come down . Therefore , the first quarter ROE is 25% , annualized growth is only about 16% right so obviously there will be a gap, when you complete the whole year you will use the borrowings and then the capital . Automatically NIM will change so therefore we guided the steady state NIM for the potential .

Abhijit Tibrewal : Got it. Sir just one last question did this quarter have any impact from floods in the last quarter some parts of the country that reported floods this quarter had any impact on floods in the last quarter and the related question going forward is that we are heading into some state elections are there any noise or impact that you seeing all collections from the upcoming elections ?

Udaya Kumar Hebbar: Not really . I think we have not seen any such impacts and even if there is an impact if it is 15 days plus, then automatically we would have provided more than 50% as our PAR would have increased

. No such impact so far we observed and we strongly believe that what we guided is sufficient from the credit cost point of view as we see including the second half of the year .

Abhijit Tibrewal : This is very useful and thank you and all the very best to you and your team .

Moderator: Thank you very much . The next question is from the line of Shreepal Doshi from Equirus Securities . Please go ahead.

Shreepal Doshi : Hi sir good evening and congrats on a good set of numbers . Sir my first question was when we are entering a new state in fact in the last couple of years we have entered newer states like Bihar , Uttar Pradesh , even Rajasthan, Gujarat so what is the kind of new-to-credit ratio that we are seeing because these are not our vintage states per se. I wanted to understand what is the kind of new-to-credit ratio that we are seeing in these states and also what is the thought process on ramping up our operations in Andhra Pradesh and Telangana .

Udaya Kumar Hebbar: I think we said already that we have entered Andhra Pradesh and Telangana through the contiguous district approach which has borders into Tamil Nadu or Karnataka or Maharashtra or Odisha . We opened eight branches in Andhra Pradesh and four branches in Telangana in the bordering districts . The first part of your question is that when we go to new geography there is less new to credit because probably we are entering a place where some people are already operating but still it will be in the range of 20 %-25% kind of new to credit whereas in the existing states like Maharashtra, Karnataka or Chhattisgarh or Madhya Pradesh our new to credit is also 40% to 45%.

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Page 8 of 15 Shreepal Doshi : Sir the second question was like what is the thought process in the sense that like currently we

have added eight branches in Andhra Pradesh and probably four branches in Telangana so from here on like how many more branches do we plan to add in these states say over the next 12 to 18 months time period is there thought process to sort of scale it up further ?

Udaya Kumar Hebbar : As a policy , we do not look at the state-wise numbers instead we look at our district actually , how many of our districts around us where we have to operate, we evaluate . But yes , Telangana and Andhra Pradesh are new but still, we would go again the contiguous manner . Probably we will open a few more branches during this year or the first quarter of next year and then penetrate and move to the next districts . That is the way we operate . Maybe over a period of time , we penetrate the entire state it will take a couple of years for us so same like we still expanding in Bihar, expanding in Uttar Pradesh , expanding in Rajasthan, expanding in Gujarat , similarly we are operating here also, so we look at districts rather than the state when we are expanding .

Shreepal Doshi : Got it so the second question was on the non -microfinance segment that we aspire to sort of scale it up so how is the management bandwidth that we are planning to create over the next 12 months so that we are able to scale up that segment as well ?

Ganesh Narayanan : From a management bandwidth perspective I think we are adequately staffed. We have adequate resources to take care of newer businesses in fact the newer businesses most of them are run

through a separate vertical and we have a business head, we have an NCM so we will have all the manpower already in place. Apart from expansion and field staff, we do not see a requirement coming in for management for the new business.

Shreepal Doshi: Got it and sir one last question was with respect to recoveries so like we have taken the hit of COVID and we have written off some accounts so are we seeing any healthy recoveries lined up in the third quarter or in the fourth quarter?

like we have seen during this quarter as well but do

you expect that there could be some healthy recoveries coming up in the second half?

Ganesh Narayanan: The stronger recovery from the COVID portfolio has almost been completed now and for the last few quarters we have seen a similar trend. It will be in the range of around INR 4-5 Crore a month and that keeps coming but as a broad guidance, we can always see around 10% to 15% of recovery coming from it every year.

Shreepal Doshi: Got it, sir. Thank you so much and good luck for the next quarter.

Moderator: Thank you. The next question is from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain: Thanks for the opportunity, Sir. So firstly on the new initiatives new businesses that they are scaling up if you can share some progress how has the traction been in this quarter?

Udaya Kumar Hebbar: As I said earlier, more time was spent last year on pilots and this year we started scaling up the two products which is particularly higher in individual loans unsecured which are not more than

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Page 9 of 15 INR 2 Lakh per client which is actually growing very well. I think we should start presenting the numbers from the next quarter and also what you call LAP which is just progressing very well already. The two-wheeler is still in the nascent stage and the home loan we are planning to pilot this year and the last gold loan we are not very sure still so it was still in INR 2-3 Crore of portfolio which we are continuing your pilot to evaluate and see whether it is the right product we should continue or not, so other products are getting scaled up, probably from next quarter on we will start presenting the non-micro finance initiatives also.

Nidhesh Jain: Sure sir, and secondly from the ROE point of view reporting 24%-25% ROE how do you think about creating buffers for future specialized passing on the benefit to the customer or we are okay with 24%-25% ROE spending beyond that also with operating leverage?

Udaya Kumar Hebbar: No, there are two things. The passing on can happen through the operating efficiency, and the cost of borrowing so many of the areas are there. I think as we said we are seeing the cost of borrowing getting into peak mode, in fact, we start moving down, then stable and then moving down. Opex again today at 4.7% is actually basically including the investment what you are working with the retail and all these new initiatives also so that also there will be some leverage, this all will get passed on to customer actually going forward so that we will be trying to keep the return intact as far as possible and as the capital consumption is becoming more and more then we will be able to maintain this easily without any difficulty.

Nidhesh Jain: With this sort of internal accrual, we should not require capital in the future because our growth is also around 25%, book value growth will be higher than 25% so ideally, we should not require capital.

Udaya Kumar Hebbar: At least for the near future we are not looking for any capital.

Nidhesh Jain: Sure sir. That is it from my side. Thank you so much.

Moderator: Thank you. The next question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka: Hi Udaya and team congratulations on the quarter. Sir, my question was again on the new products can you share what was the disbursement in those products in the last quarter and let us say in a year's time what percentage of AUM are you targeting to get to in terms of mix?

Udaya Kumar Hebbar: Currently it is about 1.5% of the portfolio and the disbursement last quarter was INR 160-170 Crore. It is behaving quite well.

Abhishek Murarka: Let us say by the end of next year what percentage do you think will be contributed by this

portfolio you have any target in mind or any threshold?

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Page 10 of 15 Udaya Kumar Hebbar: I think we spelled out clearly in our analyst meeting we said that in the four-five years, we should

be actually achieving about 12% to 15% which means around INR 6,000 to 7,000 Crore is our target to reach by the next four-five years' time.

Abhishek Murarka: Got it. Thank you so much.

Moderator: Thank you. The next question is from the line of Arvind R from Sundaram Alternates. Please go ahead.

Arvind R: Hi Sir thank you so much for the opportunity. I have a few questions on my mind like this might

have been answered but the average disbursement rate is 1% higher than the portfolio yield and like cost of borrowing is also lower than the marginal cost of borrowing is 25% slower than the cost of borrowing. Does it mean that like the NIMs can improve further from here more the next several quarters that is my first question.

Udaya Kumar Hebbar: NIM may not go up further because most of the portfolio is replaced already and the marginal cost is not a reflection you have to look at the weighted average cost which is the real cost getting into overall financial metrics. The marginal cost is only the cost of the borrowing for that quarter so next quarter we got to borrow at a little higher cost the marginal cost has suddenly gone up, so therefore weighted average cost is the one we have to look at. We believe it will go by another 10-20 bps maximum and what you call portfolio yield may not change too much because the average portfolio does not change too much. We will use more borrowings in the next two quarters because normally 60%-65% of the growth will come from the second half which means we start using the borrowed money in the next two quarters whereas we used more capital in these two quarters. Given these two-three combinations, we believe NIMs will come down a lesser than the current.

Arvind R : Understood Sir. My other question would be about the number of branches if I could see like Maharashtra like I have all similar branches to Karnataka or like even slightly higher but the portfolio is like almost only just half of the portfolio in size in Karnataka is there any target like reaching the current levels of Karnataka book in Tamil Nadu and Maharashtra like in next 3 years or something like that?

Udaya Kumar Hebbar: Karnataka has quite old branches, quite matured branches and then we continue to grow the same branch that is quite higher. Whereas as we go more and more to the newer geography that is Maharashtra was next and then the Madhya Pradesh we keep on doing all this just like that. Instead of based on the vintage the branch will grow so eventually most of them will be at that level. Tamil Nadu specifically because many Madurai branches became a part of the Gramheen in this financial year where average outstanding are quite lower the average looks a little lower. The whole idea of the Madurai acquisition was to grow there. Obviously, we will grow there so eventually all these will come into a similar range of productivity.

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Page 11 of 15 Arvind R : Sure sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Kashyap Javeri from Emkay Investment Managers. Please go ahead.

Kashyap Javeri : Thank you so much sir and congratulations for a good set of numbers. I have only one question which is on the disbursement side. Quarter-on-quarter disbursement is about 4% and YoY about 18% which itself looks like slower growth as you said for these new initiatives of about INR 150 Crore this number would have been down by about another 3% so for the full year what is our view on the disbursement growth as well

Is why it would be a slow number this quarter?

Udaya Kumar Hebbar: So these are not lower actually. If you see first-half growth we have done better than any other year actually. We have to look at what is the normal natural first-half growth and second-half growth and we also said that we are retaining the guidance we said that our guidance is 24 %-25% annualized growth which we have returned that guidance. I think that guidance is intact.

Normally in the third quarter and fourth quarter, the higher disbursement will happen therefore I do not see any reason to worry about the potential growth guidance.

Kashyap Javeri : Sure Sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Rajiv Mehta from Yes Securities. Please go ahead.

Rajiv Mehta : Sir congratulations on a very good set of numbers, my question is on credit cost guidance so when I look at you have maintained your credit cost guidance but when I look at the collection efficiency excluding arrears it is at 98.7% on the whole portfolio, your PAR 30 number is also small, your buckets are even smaller and you are carrying good provisions on stage two and stage three assets. Could we have not lowered the credit cost guidance or are you expecting that collection efficiency may not hold up?

Udaya Kumar Hebbar: Credit cost is not just the PAR, our provisions are higher than others. We provide 60 days for NPA and 15 days for stage two. The credit cost will be higher than the NPA figure. Only the first quarter was a blip which was much better but that is not the comparison. Q2 FY24 is the comparison. If you see Q2 our cost was about 0.4% annualized to 1.6%. I think we are quite in line with our guidance.

Rajiv Mehta : From the collection efficiency being reported on the whole portfolio ex of arrears being 98.7 % was implying that the flows going into stage two and stage three are a lot less and which is why the requirement?

Udaya Kumar Hebbar: It is because of the policy. If you go by the iGAP methodology our requirement of provision may be half of what we are doing whereas we are doing more right so automatically the cost will go up. We have a GNPA of 0.77% and 1.60% of provisions.

Page 12 of 15 Rajiv Mehta : Correct and sir on the NIM guidance again just a clarification because when I look at the first half NIM it is 13.1 % you have given a full year NIM guidance of 12.7 %-12.8% but again when I look at your incremental disbursement yield it is 1% higher than the portfolio yield so that gain will come and unless the cost of fund goes up significantly and I understand the leverage part that you will grow much higher in the second half but is it just a leverage or something else also are you building some question for any other reason as well?

Udaya Kumar Hebbar: Look at last quarter , we and everybody were revising . If you look , our yield has gone up but ROA has come down . So NIM has slightly gone up but the ROA has come . There is more linkage between the leverage and the operating cost. Even if operating costs increase by 20 bps that has an impact or huge ramifications . Even if there is a 10 bps increase there is ramification because of the growth we are talking about opening many more branches also in the next two quarters . We have opened only 90 branches where the plan is to open 180 -190 branches and then usage of capital is another impact so all these three to four things, we have to look at together . We did that analysis and then came out with a stable potential NIM for the year .

Rajiv Mehta : Sir you have maintained your growth guidance between two quarters so do you see some risks in growing faster than 24 %-25% because we have the capacity, we have been expanding in your markets and the cycle is also good , collections

are also good, so is there any harm in growing slightly faster ?

Udaya Kumar Hebbar: Not necessarily but we also believe that 24 %-25% is good growth at the base of what we are operating . The newer market entry will actually give you expansion but the growth you will get only next year not the current year normally . We are preparing for expansion for next year by entering new markets , so I think 24 %-25% is decent growth , you still need to do a lot for that, annual growth is only 16% we need to really grow almost about 30 %-40% annualised growth for next second half to achieve this itself .

Rajiv Mehta : Got it Sir thank you so much for answering all my questions . Best of luck.

Udaya Kumar Hebbar: Maybe one more point I want to add is we are actually strengthening our operations also at this point of time. It is always good to strengthen our operation when the good time is going on right .

Rajiv Mehta : Yes sir. Thank you.

Moderator: Thank you so much. The next question is from the line of Shreepal Doshi from Equirus Securities . Please go ahead .

Shreepal Doshi : Hi sir thank you for again giving me an opportunity . I wanted to check like where we differentiate among the peers in the landscape on the expense upon AUM front wherein we are probably at 4.5 %-4.6% . So on that front wanted to understand and so with that angle , I wanted to understand what is the attrition rate at the loan officer level and at the middle management level .

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Page 13 of 15 Udaya Kumar Hebbar: Our attrition rate is around 28% including loan officer and middle management together . If you

ask only loan officer credit it is about another 5%-6% more and middle management or higher management may be about 5% less, an average of about 28% -29% which seems to be reasonable for us . Maybe it is less than the market , but we do not have an appropriate number of others with us. Similarly , customer attrition is quite low for us which is one of the reasons why our operating cost is better because growth is largely coming from the retained existing customers which comes as an advantage for a better operating matrix .

Shreepal Doshi : Right you said 13 % to 15% is the attrition for the customers right ?

Udaya Kumar Hebbar: I think we observed the industry around maybe north of 25%.

Shreepal Doshi : So customer attrition is north of 25% you said ?

Udaya Kumar Hebbar: Yes, for the industry .

Shreepal Doshi : For the industry okay . Got it thank you so much and just one bit on the expense upon AUM there would not be any further improvement and we would want to maintain these levels right ?

Udaya Kumar Hebbar: So, it is range bound if you see it is always ranging between 4.5 %-5.0%. Quarter -on-quarter we do not see and there would be some gaps but annually we saw it between 4.5 %-4.75%, not more than that.

Shreepal Doshi : Got it, sir. Thank you so much.

Moderator : Thank you . The next question is from the line of Omkar Kamtekar from Bonanza Portfolio . Please go ahead.

Omkar Kamtekar : Thank you for taking my question . Firstly , the end of it was previously answered but just to get a proper understanding even in the guidance we have said that NIMs have expanded because we have used internal accruals and own funds for growth so therefore in the near term I think we may not require any external funding so I think INR 990 Crore that we raised I think would be fair enough for the year.

Udaya Kumar Hebbar: We do not need capital, our book runs 75% by borrowing only, and we do not need capital that is what we said.

Omkar Kamtekar : Sure. Thank you for the clarification. I need growth guidance or maybe color from you in the GLP product mix segment the home improvement and the retail segment have shown good growth so the home improvement has almost doubled and retail

finance has almost increased by

60% on a year-on-year basis, the growth has been more so ramped up since Q4, Q1 and Q2 so do we see this ramping up and also the average amount per loan is also increasing for both. Could

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Page 14 of 15 we please give us an understanding of how much can go up to as a part of the entire portfolio and will this be margin accretive?

Udaya Kumar Hebbar: See Omkar these are the products we piloted last year scaling up this year. Last year INR 10 Crore and this year INR 20 Crore is 100% growth that is what the way it was in the initial stages so these all products were piloted last year and we are actually growing now and scaling it up therefore growth is definitely important and it should happen as I said earlier to somebody. I think Omkar we have a plan to grow this at least from the current 1% to 2% portfolio to almost 10% to 15% in the next 4 to 5 years. Therefore, there will be a ramp-up of these products continuously.

Omkar Kamtekar : Okay thank you and just a small clarification, want a review on the microfinance industry as a whole of a quick overview of what you feel the next two or three years would be for the MFI industry as a whole from your lenses?

Udaya Kumar Hebbar: Our NIM is quite stable actually post regulation changes things are definitely good post-COVID. Also, I think the industry has been very resilient in terms of coming back to normalcy, customer segment what we operate are so very resilient so we believe the industry should actually move well with at least 2.5% CAGR growth for the next two to three years.

Omkar Kamtekar : Thank you very much.

Udaya Kumar Hebbar: That is potential to grow.

Moderator : Thank you. The next question is from the line of Arvind R from Sundaram Alternates. Please go ahead.

Arvind R : I just had one query non-JLG loans we are looking to grow is that margin accretive? Can you give me some guidance on what would be like the yields in those products?

Udaya Kumar Hebbar: These product yields are actually equal or more than group loans. Since we have individual loans we charge a little higher whereas in group loans we have a differential rate between high-risk, medium-risk and low-risk segments. Here we have a common pricing of over 22-23% leading to higher yields. Margin accrual is also higher because we are doing it only for the existing customers who are moving into the next level. Therefore, we do not have acquisition cost and gives an additional advantage in terms of margin.

Arvind R : I did see like for other banks and NBFCs even the sector data like loans which are like less than INR 50,000 ticket size started to see some signs of stress, is that the cause of worry for you like or do you see any issues in the ground not necessarily for CreditAccess but for the industry term?

Udaya Kumar Hebbar: It depends on what type of clients those are. If you want to go and give individual loans to a new-to-credit customer then probably that is a challenge. Our model is clear to the existing retained

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Page 15 of 15 loyal customers who have been with us for at least three years and always repaid well with good credit history. I think there is very little comparison for this.

Arvind R : Thank you so much.

Moderator : Thank you so much. Ladies and gentlemen, we would take that as our last question. I now hand the conference over to Ms. Shweta Daptardar for closing comments. Please go ahead.

Shweta Daptardar : Thank you. On behalf of Elara Capital, we thank the management of CreditAccess Grameen for giving us the opportunity to host the earnings call. Thank you and thank you all.

Udaya Kumar Hebbar: Thank you very much and then I think very, very happy Festival

season for all of you. Thank you so much.

Moderator: Thank you so much. On behalf of Elara Securities Private Limited that concludes this conference call. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2024

Ref.:CAGL/EQ/2023-24//14 2

January 23 , 2024

To

BSE Limited

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai - 400001

Scrip code: 541770 National Stock Exchange of India Limited

Exchange Plaza , C-1, Block G,

Bandra Kurla Complex , Bandra (East)

Mumbai - 400051

Scrip code: CREDITACC

Dear Sir/Madam,

Sub.: Transcript of Earnings Conference Call for Q 3 FY24 :

Pursuant to Regulation 30 and Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Q 3 FY24 earnings conference call, held on January 19 , 2024. The same is also available on the Company's website at <https://www.creditaccessgrameen.in/investors/financials-and-investor-presentations/earnings-call/>.

This is for your kind information.

Thanking you,

Yours' Truly

For CreditAccess Grameen Limited

M. J. Mahadev Prakash

Company Secretary & Chief Compliance Officer

Encl.: As above

Page 1 of 14

"CreditAccess Grameen Limited

Q3 FY24 Earnings Conference Call "

January 19, 2024

MANAGEMENT : MR. UDAYA KUMAR HEBBAR – MANAGING DIRECTOR

– CREDIT ACCESS GRAMEEN LIMITED

MR. GANESH NARAYANAN – CHIEF EXECUTIVE

OFFICER – CREDIT ACCESS GRAMEEN LIMITED

MR. BALAKRISHNA KAMATH – CHIEF FINANCIAL

OFFICER – CREDIT ACCESS GRAMEEN LIMITED

MR. NILESH DALVI – SENIOR VICE PRESIDENT AND

HEAD OF INVESTOR RELATIONS – CREDIT ACCESS

GRAMEEN LIMITED

MODERATOR : MR. AJIT KUMAR – NOMURA

CreditAccess Grameen Limited

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Moderator: Ladies and gentlemen, good day, and welcome to the CreditAccess Grameen Q3 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star and then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ajit Kumar from Nomura. Thank you, and over to you, sir.

Ajit Kumar : Thanks, Zico. Good evening, everyone. On behalf of Nomura, I welcome everyone to the Q3 FY24 Earnings Conference Call of CreditAccess Grameen. From the management team, we have with us today Mr. Udaya Kumar Hebbbar , Managing Director; Mr. Ganesh Narayanan,

Chief Executive Officer; Mr. Balakrishna Kamath, Chief Financial Officer; and Mr. Nilesh Dalvi, Senior Vice President and Head of Investor Relations.

We will start with the opening remarks and then open the floor for Q&A. I'll now hand over the call to MD sir for his opening remarks. Over to you, sir.

Udaya Kumar Hebbar: Good evening and wishing you all a prosperous New Year and Sankranti. We thank you all for joining the conference call to discuss our third quarter and nine months of financial year '24 performance.

This quarter holds a special significance in our 25 years of inclusive journey, as we redefined many possibilities and continue to display the benchmark standards of excellence in microfinance business. Our profitability milestone touched the new mark as we recorded a profit after tax of INR 1,049 Crore for 9 months FY24, way higher than the full year of FY23, which was INR 533 Crore. We successfully completed the core banking solution upgrade, enabling significant business scalability and making us future ready. We received a credit rating upgrade by CRISIL from A+/Positive to AA-/Stable, making us the highest-rated standalone microfinance company in India by three credit rating agencies. Further, we are honoured with renowned accolades such as Microfinance Organisation of the Year at the Global Inclusive Finance Summit 2023 and Best Small NBFC 2023, at the Mint BFSI Awards Summit.

The thrust of our growth story revolves around customer additions as we added 14.86 Lakh customers in the past 12 months, of which 44% came outside the top 3 states. The customer base grew by 19.2% Y-o-Y to 46.93 Lakh, while the AUM grew 31.5% Y-o-Y to INR 23,382 Crore at the end of Q3 FY24. Disbursements grew by 10.3% Y-o-Y in Q3 FY24 to INR 5,344 Crore. Business momentum was temporarily impacted for two to three weeks in November 23, as we completed the major core banking system upgrade and migration process. It subsequently returned to normalcy in December 23, witnessing a disbursement of INR 2,245 Crore and a new borrower addition of 1.2 Lakh during the month. We opened 17 new branches during the third quarter, taking the total branch count to 1,894 spread across 367 districts.

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Our average and marginal cost of borrowing for Q3 FY24 stood at 9.8% and 9.7%, respectively. We believe that our cost of borrowing should remain stable going forward in the near term. We draw good comfort from our diversified liability profile with continued access to funds from domestic and international lenders, improved credit ratings, also a well-capitalized balance sheet to maintain sufficient liquidity and strong control on our borrowing cost.

The interest income grew by 45.6% Y-o-Y to INR 1,245 Crore. The net interest income grew by 41.6% Y-o-Y to INR 802 Crore. Net interest margin stood firm at 13.1%. Ope

rating cost

efficiency further improved with a cost-to-income ratio of 29.5% and opex to AUM at 4.4% for the quarter. PPOP stood strong at INR 602 Crore, growing by 58.6% Y-o-Y. The gross credit cost stood at INR 126 Crore, partially offset by INR 10.9 Crore of bad debt recovery resulting in a net credit cost of 0.5% for Q3 FY24. Our net credit cost during 9 months FY24 stands at 1.3%. Collection efficiency, excluding areas, stood at 98.3%. GNPA measured at 60 days DPD was at 0.97% compared to 0.77% in Q2 FY24, whereas net NPA was at 0.29% only. Our PAR 90-plus 0.75%. The PAT grew 63.8% Y-o-Y to INR 353 Crore resulting in ROA of 5.5% and ROE of 23.6%. Our nine months of FY24 ROE stood at 5.6% and ROE at 24.8%. Capital adequacy remained comfortable at 24.5% at the end of Q3 FY24.

I shall now briefly discuss the small increase in overall PAR and GNPA during Q3 FY24. As shown in Slide 7 in the investor presentation, the fresh PAR accretion during nine months of FY24 has been within the guided range. The PAR increase during Q3 FY24 was primarily driven by seasonality factors, slightly higher steady-state delinquencies outside Karnataka, and the temporary impact of floods in Tamil Nadu. The PAR in flood-impacted Tamil Nadu branches has been coming down as we continue to witness a strong recovery. The increase in GNPA during Q3 FY24 was on account of business-as-usual slippage and higher steady-state delinquencies outside Karnataka. The ECL provisioning rates both for standard and delinquent loans are higher in other states versus Karnataka. Hence, higher growth outside Karnataka will result in slightly higher ECL provisioning. However, this will be adequately compensated by higher loan prices in the other states.

I would like to inform you all that the company has reduced the lending rate by 50 bps for both the MFI business as well as retail finance business during December and January based on our board-approved pricing policy. The company reviews the lending rates every quarter, and the current rate cut has been on the back of consistent improvement in operating efficiency, stability in the cost of borrowing, and expectation to further remain stable over coming

quarters. We expect to maintain guided NIM as the full impact of revised pricing on portfolio yield will be gradually realized over the coming 18 months to 20 months.

Our proactive strategy of diversifying our liability profile has been executed very well over the last six to eight quarters. As of December 23, our share of foreign borrowings stood at 21.5% and the bank borrowings at 50.4%. The share of long-term borrowing stood at 75%. We maintained a healthy positive ALM mismatch with the average maturity of assets at 18.7 months and the average maturity of liabilities at 24.4 months. We have always believed that the quality of lending business is equally determined by the quality of liability for achieving a sustainable growth path.

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I would like to drive your attention to the major technology project that took place this quarter with minimal business impact. We successfully upgraded our core banking solution, which was implemented in 2015. This upgrade will lead to improved business scalability and meet increased business requirements, which shall have enhanced functional process flexibility and product customization leading to faster go-to-market. Our digital initiatives, improved decision-making, and risk management capabilities will enhance our responsiveness to evolving customer requirements. In our growth story, technology is just not an enabler, but a business partner and hence, this is a big step in that direction.

Lastly, we reiterate our guidance for the financial year. Thank you for all your valuable time. We look forward to answering all your queries during our Q&A session. Thank you very much

Moderator: Thank you. The first question is from the line of Rajiv Mehta from Yes Securities. Please go ahead.

Rajiv Mehta : Yes, hi sir. Congratulations on the good numbers. And thank you for taking my question.

Firstly, sir, thank you for giving a very granular disclosure on asset quality in the PAR movement. My first question is, given that the PAR situation is fast normalizing in the impacted districts of Tamil Nadu, would it be right to presume that our collection efficiency, which had dipped, and credit costs which slightly spiked in Q3, should normalize or should come back to Q1, Q2 levels in Q4, if all the other reasons hold up?

Udaya Kumar Hebbar: See, Q1 and Q2 were a little much better than what we anticipated. But in Q4, we expect this to come back to normalcy, and we should be within our guided numbers Rajiv.

Rajiv Mehta : Okay. And sir, also, now that you have implemented the CBS upgrade, can you quantify the efficiency increase post this? Maybe in terms of business or terms disbursement run rate, for the same branches and same LOs, does the disbursement capacity go up by 5%, 10%, 15% more? Does it have any effect like that?

Udaya Kumar Hebbar: No, I think it is not just the disbursement. There are a lot of other factors involved, it involves the scalability for the future, it involves in digitalization of many of our future efforts in digital lending areas. And then also risk mitigation and controlled areas. It also includes the efficiency of centre management, group management, location management, and travel route management. So many different factors we baked in to this upgrade. I think overall it will take a little more time, maybe two to three quarters to give a significant benefit to us. It will benefit in all areas and not just one I would say. It will help us to go to market faster, it will help us to improve our paperless processing or speed decision making, so many different areas, it works. So, disbursement goes up in the process itself.

Rajiv Mehta : Got it. And just a last thing on this lending rate, we have cut by 50 bps. So, I mean, you've kind of broadly explained. But still, I would want to ask you that we haven't seen any cost of funds reduction so far, and we are expecting only stabilization going ahead? And we are already the lowest-cost lender in microfinance. So, what prompted us to cut rates slightly early?

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Udaya Kumar Hebbar: See, the pricing policy is determined by four factors. One is your credit cost, other is the operating cost, funding cost, and your capital cost. So, we review all four costs every quarter. So, we have seen that actually, we have a pricing policy initially based on the overall operating cost of around 5% because we presume that it will be for a longer term as the new RBI guidelines will make the make a little higher cost because of the various factors there. But as we kept on reducing it, now we are in a stable situation. As you see our cost has come down by almost 50 bps. So automatically, it makes us pass on that benefit to customers

because this is part of the pricing policy. It's not that only borrowing costs will change and will pass on. It's completely based on the existing policy, which needs to be reviewed regularly. Even tomorrow, say, credit cost will go up next quarter, for example, to 25 bps, then we will have to go back and see whether we have to increase the price. Or credit cost goes down by another 25 bps, so we have to go back and check. The policy clearly defines every quarter to review and recheck. So, we are going by that process Rajiv.

Rajiv Mehta: Got that. So basically, there was no competitive or growth angle in this decision-making?

Udaya Kumar Hebbar: No, no, no. Not specifically that. It's more of a policy and then we have to go by policy.

Rajiv Mehta: Okay, got it. Thank

you so much and best of luck.

Udaya Kumar Hebbar: Thank you.

Moderator: Thank you. Our next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Thank you and good evening, everyone. Sir, just kind of circling back to the cut that we have done in the lending base, about 50 bps. I'm sure you would have followed that I mean, another NBFC shared yesterday that they have also cut their lending rates by 50 bps. So understandably, you have said in your opening remarks as well as in your presentations, why you did that and the pricing policy, which is in place. Just wanted to kind of reconfirm that. I mean, all the noise around RBI saying that the kind of net interest margins and eventually even ROAs that MFIs are making, there's not been any even soft communication from the RBI, right, which is prompting lenders to review their lending rates?

Udaya Kumar Hebbar: If an institution does not form the right policy and does not make the right disclosures in the policy, definitely RBI will keep harping and repeating the comments. So, we have the right pricing policy. We kept on reviewing the policy over the quarter. This movement is baked on our reviews. But the regulator will actually keep asking you if there's a big change in the pricing, if there's a big change in the overall cost to the customer, so they will always ask the industry to correspond and review the policies. I think that they are doing their job definitely. So, we are doing our responsible lending practices, we keep reviewing the operations. So, our passing on benefit is fully based on the pricing policy review.

Abhijit Tibrewal: Okay. Sir, my second question was on I mean, again asset quality. You have articulated the impact that was there from the Tamil Nadu floods. But what we have recently started hearing is that MFI players are kind of also looking at calibrating their business growth in a few states.

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So, for you outside Karnataka, so non-Karnataka, non-Tamil Nadu states, are you seeing higher PAR in particular states where delinquencies are higher and you are maybe looking to calibrate your growth in some of those states if you can speak about a few states if at all?

Udaya Kumar Hebbar: So, there's no significant change in any state. But yes, overall, if you see about a 10 bps difference compared last quarter to this quarter in the non-Karnataka area. This is particularly coming from the Northern part of Gujarat and some parts of Rajasthan, where some kind of migration is going on there. We are always very careful with those belts. So, to that extent, we have seen little variation. However, we are not seeing any significant variation in any of our geographies.

Abhijit Tibrewal: And sir, just in the interest of time, I wanted to squeeze in one last question. This time around, opex, whether we look at opex to AUM or cost-income ratios have settled lower than where they used to be in the past, even lower than the last couple of quarters, I would say. So now given that you have been acknowledging that there is positive operating leverage that you are seeing, where on a steady-state basis can either of these opex to AUM or cost-to-income ratio settle in?

And sir, another question, you might remember noticing just maybe nitpicking, we have added a few branches, around 17 branches this quarter despite that about 250 to 300 decline is there in the number of loan officers that you've reported. Is this usual attrition or how to kind of explain that?

Udaya Kumar Hebbar: So, there are a few variations in loan officers at the quarter end that have nothing to do with the quarter end. It may be a very small variation. There will be some attrition. But we have higher employees last quarter if you see. We are planning to open more branches. Therefore, we are hiring more also

. So, we don't have any shortage of employees in this area. There may be some loan officers, which are allocated to different branches who may be on training right now, therefore, it will not be in loan officers buckets right now. We have sufficient recruitment in place even for opening branches for next quarter also. That is your second question. And the first question, what is that actually?

Abhijit Tibrewal: Your opex.

Udaya Kumar Hebbar: Yes. For the quarter, it is low at 4.4%. But if you look at 9M FY24 it is 4.5%. So, we are looking at least the near term between 4.5% to 4.6% only. And then the cost to income between 31% to 32% kind of thing is what will be the trajected cost -to-income ratio we are expecting.

Abhijit Tibrewal: Got it. This is very useful. Thank you very much and all the very best to you.

Moderator: Thank you. Our next question is from the line of Shweta Daptardar from Elara Capital. Please go ahead.

Shweta Daptardar: Thank you, sir, for the opportunity. A couple of questions. If I look quarter -on-quarter Tamil Nadu portfolio, so while the loan book has definitely marginally sort of increased, but if you look at the number of borrowers, that has slightly come down. So, is it that we are slightly
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calibrating your, after the flood impact or the business has already normalized in the entire region?

Udaya Kumar Hebbar: Yes, I couldn't get your question.

Shweta Daptardar: Sir, if I look at quarter -on-quarter movement in the Tamil Nadu belt. Sir, if you look at the loan book, that has actually gone a tad higher on a sequential, but the number of borrowers has fallen?

Udaya Kumar Hebbar: Shweta, flood impact happened on 15 December. We have grown from 1st October to 15 th December, right . So only four districts had some impact . Till then, both portfolio as well as borrowers have grown actually. I think we have not reduced any growth. That four districts, of course , will take some time to come back to normalcy. It's already working on that. In other parts we are growing, there is no problem there. The number of borrowers reduction is not a reduction actually, it's gone up only. Borrowers and portfolio both have gone up in Tamil Nadu.

Shweta Daptardar: Okay, got it. Sir, as far as the unique borrower count is concerned, what is the number today?

Udaya Kumar Hebbar: We are at about 33% to 34%.

Shweta Daptardar: So, sir, if I compare with the corresponding quarter last year, we were north of 40%. Is this the outcome of growing outside of home turf? Or is the trend that we'll continue to see going on for CREDAG ?

Udaya Kumar Hebbar: Yes. I think if we have to competitively grow in this segment, we need to attract customers from other MFIs. If we attract customers from other MFIs, your uni que count will come down over a period of time. So, I think it is no different than growing in all the areas and then competitively advancing. But the good part is, when the customer s in the other MFI who join us, we are seeing in a year, almost 11% of them becoming unique customer s to us. So, while joining obviously, there will be some other MFI, and we are seeing that kind of migration from MFI to us. I think it's a good part of our expansion trajectory.

Shweta Daptardar: Just a follow -up there on similar lines, the first cycle ticket sizes have also been increasing, right, for us?

Udaya Kumar Hebbar: No. If you look at the slide, for continuously less than three years bucket is the same . INR 40,000 plus for the last four quarters.

Shweta Daptardar: Okay. So that was always around 40,000 -plus. It was never lower than that?

Udaya Kumar Hebbar: Correct. You are right.

Shweta Daptardar: Okay. Thank you. That's all from me.

Udaya Kumar Hebbar: Thank you.

Moderator: Our next question is from the line of Piran Engineer from CLSA. Please go ahead.

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Piran Engineer: Thanks for taking my questions. Congrats on the quarter. And I dialled in a bit late, so I apologize if this is repeated. Just firstly, our client addition of 90,000 was weaker than our usual run rate, right? Any particular thing to read into this?

Udaya Kumar Hebbar: I think you missed that, we grew. I mean that the impact was 2 to 3 weeks in November. If you read Slide 6, we mentioned that actually, there was a lesser disbursement and customer acquisition in November because of our core banking system upgrade and we came back in December. To some extent, there is a dip in the actual borrowers. Whereas customer acquisition is still quite high, 2.7 Lakh customers acquired in this quarter. This gets converted over a period of time.

Piran Engineer : But sir, I think one month worth of customer acquisition also if you count , it would have gone from 90,000 to 1,35,000, it's still lower than what it was last quarter.

Udaya Kumar Hebbar: There is a 1 Lakh difference because previous quarter, we acquired 3.7 Lakh customers. And this quarter, we acquired 2.7 Lakh. There's a 1 Lakh difference is there in the acquisition. So, the borrower growth is not just the acquisition. You are having release and, what we call, attrition also comes there. Attrition and write-off, both come in the quarter also. You need to look for a longer period.

We have actually mentioned specifically, the 12 months, how much we acquired, how much attrited, how much written-off, everything. So, therefore, I think in the quarter, based on this data, we cannot presume that the growth is low, right? We had a 19.5% customer growth in the 12 months' time.

Piran Engineer : Okay. So let me ask it in another way. For the full year, are we still confident of 25% growth?

Udaya Kumar Hebbar: Yes. We reiterated that.

Piran Engineer : Growth of 11% for the first 9 months?

Udaya Kumar Hebbar: All the guidance, we reiterate that we will be able to deliver.

Piran Engineer : Okay. Okay. Fair enough. Sir, secondly, just our opex is down Q-o-Q. Can you just remind us what happened there?

Udaya Kumar Hebbar: We've become more efficient. I mean if you see the trajectories, first quarter opex will go up, second quarter a little down, third quarter a little low, fourth quarter further down. These are normal trajectories in the microfinance business. But we are a little higher because there is one component about INR 5 Crore there is a reversal in the Q3, which is employee cost just pointed higher in the previous quarter. To that extent, this is a small aberration actually.

Otherwise, it's in the normal steady-state number Piran.

Piran Engineer : Okay. Okay. Fair enough. Sir. And just last question. I don't need to harp too much on this. So, the 50-bps interest rate reduction that you have done, how would you think about revising your NIM guidance for next year? Now 1 quarter seems to not change, but for FY25?

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Udaya Kumar Hebbar: No, no, it needs it takes almost 20 months to give you the impact of this. It won't happen in one or two quarters actually. 50-bps divided by 20 months, that's the impact. So, it won't impact anything majorly in any of the quarters. In the meantime, there will be changes in the quarter borrowing, we see the steady-state and there'll be change there also. So, we can keep checking that again and again, we don't see any major impact on our NIM guidance because of this rate cut.

Mod erator : Our next question is from the line of Omkar Kamtekar from Bonanza Portfolio. Please go ahead.

Omkar Kamtekar : So, the first question is with respect to the core banking system upgrade that we have upgraded. So technically speaking, with this update, we will be effectively a bank at scale and technology. Would that be a fair

assumption?

Udaya Kumar Hebbar: Absolutely, you're right.

Omkar Kamtekar : Okay. So, in effect, we are a MFI banking company. And with respect to that, then we are also planning to expand ourselves, our presence in other locations and the branch additions that we have made, we have added 17 -odd branches in the quarter and over 100 branches in the 9 months. So incrementally, how are we looking to expand? Are we looking to expand in geographies that we are not present or we are further going deeper into the existing geographies? How is the branch addition going to look ahead?

Ganesh Narayanan : Okay. Thanks, Omkar. Most of our expansion has been in our newer geographies, right? So, when I say we are not entering new states, wherever we are in our 16 states, leaving our top three to four states, our expansion in branches would be significant in the other states. In the top three to four states, our expansion will only be by way of split branches because of the size of the branch.

Udaya Kumar Hebbar: Yes. When we expand in other states, it's always a district-based expansion, the contiguous districts only.

Omkar Kamtekar : Okay. So, what we do is we are tapping into the districts of the particular state. So, for example, if it is Kerala, so specific district that we have not covered, we enter the first time then we move out of the state if it is completely saturated. So that's the way it is?

Udaya Kumar Hebbar: Yes. Correct. Correct.

Omkar Kamtekar : Okay. And just a clarification and I would want your understanding on. So effectively, with our opex to AUM also coming down, staying lower, our cost to income is also near industry leading at 31% -odd. So, I would want to understand how are we able to sustain this. And this effectively becomes a cost leadership advantage for us. So can you please give us a colour as to how are we able to sustain? Is this sustainable for, say, two or three years?

Udaya Kumar Hebbar: We believe this is sustainable because we have been sustainable at less than 35% continuously so far because of the low operating costs, low borrowing costs as well as a better NIM what we

have. I think we expect further improvement in efficiencies also. We strongly believe that we can remain between 31% to 32% or 33% of the cost-to-income ratio going forward.

Mod erator : Our next question is from the line of Nidhesh Jain from Investec.

Nidhesh Jain : So firstly, on asset quality, there is also a bit of an uptick in the PAR 30 number from 90 bps to 120 bps. So, what explains that?

Udaya Kumar Hebbar: No, that's the slight increase in other states, that is what we said. There's some seasonality factor normally in Q2 and Q3. To that extent, there's an increase in the PAR 30 but it is much equal to March 31 or Q1 FY24. We always believe that every Q2 or Q3, due to rain, due to holidays, due to festivals, sometimes there is an impact. To some extent , there will be an impact.

Nidhesh Jain : Sure, sir. Secondly, what is the customer acquisition number for the last quarter? This quarter, you have disclosed around 2 Lakh, but for the last quarter, what was the number?

Udaya Kumar Hebbar: Previous quarter it was 3.3 Lakh and 2.7 Lakh in Q3 FY24.

Nidhesh Jain : Okay. 3.3 Lakh has become 2.7 Lakh just because of the 2 or 3 weeks of delay .

Udaya Kumar Hebbar: Correct. So, November is a half month. Correct.

Nidhesh Jain : And sir, out of these 2.7 Lakh customers that we have acquired, how many are new to credit, new to the microfinance sector?

Udaya Kumar Hebbar: Almost 33% Nidhesh.

Nidhesh Jain : Okay. So that trend still remains, even in the new geographies and we are still able to ...

Udaya Kumar Hebbar: Yes, correct.

Nidhesh Jain : Largely on the retail finance side, what share of the book which will be unsecured, which is individual loans to customers and what i

s a secured portfolio there?

Ganesh Narayanan : The total retail portion is around 2.1% . Of which I think the majority at this point will be the unsecured graduated loans . 80% is unsecured loans and the other 20% is your secured loans.

Nidhesh Jain : Okay sir, that's s it from my side.

Mode rator : Our next question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka : Good evening sir. Congratulations for the quarter again. So can you talk a little bit about the borrowing ? So, you had been bringing down your bank borrowings for a while. And again, this quarter, we've seen a bit of an increase, especially in light of the fact that this is the quarter where probably there would have been an increase in the cost as well because of the RBI circular. And also, your marginal cost is now almost equal to your outstanding book cost, and it is inching up.

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So how do you see that? Can you just talk a little bit about what's the policy and strategy here?

Udaya Kumar Hebbar: It's some contra data Abhishek. So marginal cost has come down. Bank borrowings also has come down from 55% to 50% compared to the previous quarter.

Abhishek Murarka : Actually, I think it has gone up, right? Sequentially, the absolute amount has gone up, I think?

Udaya Kumar Hebbar: Yes, the amount would have gone up, but the book has grown. The amount will go up, but the percentage of the bank borrowing came down in terms of overall liability. So, the value would have gone up because of the overall borrowing would have gone up, sorry actual number would have gone up. And then marginal cost also is stable from 9.6% to 9.7% so that's also stable. But the bank borrowing might go a little up in Q4 because we are planning to draw the maximum money from banks in this quarter . There are a lot of sanctions undrawn from the banks.

Normally for the first and second quarter s, we venture for the other kind s of borrowings and the quarter three and quarter four normally borrowed from banks. S till o ur idea is always to keep it lower in terms of bank borrowing between 50% to 55%. Balance 45% will be diversified between the international, DFIs and the NCDs that's what we are doing. And we believe this will change by 5% for the next few years, more 45 % to 50 %, 50% to 55 % kind of things.

Abhishek Murarka : Okay. And what would be the marginal cost of borrowing from banks in international and DFI today?

Udaya Kumar Hebbar: I will give you a rough number, marginal cost from a bank borrowing may be around 9.4% to 9.5%. International may be 9.8% to 9.9%. DFIs are also approximately 9.6% to 9.7%. And public deposit being public NCD also at 9.4%.

Abhishek Murarka : Okay. So, all of it is roughly around your outstanding cost?

Udaya Kumar Hebbar: Correct. That's why the average is stable around 9.8% .

Abhishek Murarka : Got it sir. Thank you that was my question and all the best. Thank you.

Moderator: Thank you. Our next question is from the line of Omkar Kamtekar from Bonanza Portfolio.

Please go ahead.

Omkar Kamtekar : Thank you for the follow -up. So, sir, firstly, I wanted to ask about the leverage. So currently, our ROE is close to 24% and the ROA is 5.5%. So, it implies a 4.4 times leverage. We are looking to maintain this kind of leverage or we will be looking at any equity raise or some ways that the leverage does not go high or are we looking to increase the leverage?

Udaya Kumar Hebbar: We philosophically always want to maintain at least 20% of capital. So currently, we are at 24.5%. So, we are not expecting to raise any capital for at least the next two to three years time.

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Omkar Kamtekar : Okay. So, in that case, I think, the leverage would continue to increase. So, if we maintain this kind of ROA s, so

the ROE would maybe further ramp up if that is the case?

Udaya Kumar Hebbar: May not be, may not be because what we are expecting the growth and the ROE may be almost equal. Therefore , this would largely remain in the same range bound .

Omkar Kamtekar : Okay. And lastly, with respect to the retail loans. So, in the product range suite that we have mentioned, what I have observed is the average per-loan amount of the retail product has increased. So, it has increased from 51.2 thousand in the previous quarter of the last year to 162.5 thousand in the current quarter. And I think on an overall basis, this will also pull the total borrowing per borrower , is this trend going to continue? Or are we looking to cap it at a certain level?

Ganesh Narayanan : You will continue to see an increase in the average outstanding retail finance because you are also building your LAP book where your average is over INR 5 Lakh. So as that book moves up, this will keep moving up.

Omkar Kamtekar : So, this will materially move higher. So, what is the maximum amount, I did not catch that. What is the amount, that you said, retail finance?

Ganesh Narayanan : In our loan against property, the average ticket size is a little over INR 5 Lakh. So as that book keeps building up, the average of retail finance will keep moving up.

Udaya Kumar Hebbar: Both individual loans as well as LAP are the two key retail finance products, both are higher than the microfinance average actually. So, the individual loan is in the range of INR 1.5 Lakh kind of average. Whereas a secured loan, which is LAP, is around INR 5.7 Lakh currently. So this portfolio will keep growing up, therefore, the retail finance average will go up eventually.

Omkar Kamtekar : Okay. And from the previous con call, what I remember, we are looking to increase this to approximately 12% to 15% of the total AUM was the last conversation that we had, are we looking to keep it at that? Are we improving that to higher levels of the total AUM going ahead?

Ganesh Narayanan : Yes. This 12% to 15% is a medium -term guidance that we have given . We stick to that and we will be range -bound there, yes.

Omkar Kamtekar : Okay. Medium term. Okay. And then the approximate. And just to clarify, on the current guidance of 25% loan growth, I think we'll be close to 2x of the AUM in three years' time, that's FY'27, so the total size of the book will be close to 8,000 to 7,000 of the new retail, new products. Would that be a fair assumption?

Udaya Kumar Hebbar: No, no, sorry. So, we said by FY 27 - FY28 we would reach about 12% to 15%. So, by that time, would reach that. So, it's not three years . It's four to five years.

Omkar Kamtekar : Correct. Correct. Okay. Pardon me, sir. Okay. I understood that. So, by FY27 - FY28, we'll be there to, INR 6,000 to INR 7,000 Crore understood. Thank you.

Moderator: Thank you. O ur next question is from the line of Nidhesh from Investec. Please go ahead.

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Nidhesh : Thanks for the opportunity again. T he attrition of the customer is almost 15% of the opening customer base is getting attrited. So, any strategy to reduce customer attrition? And what is the reason that we continue to see almost 15% of customers getting attrited in a year's time?

Udaya Kumar Hebbar: The 15% is a range -bound . Between 85% to 88% is our retention continuously. It's one of the best retention at this point in time in the industry probably. I think that the retail product, what we have piloted and launched now, is majorly to address this kind of customers who are graduating from microfinance who would expect better product, higher differentiated products. I think as we grow the retail finance , we will address the majority of the customers who are

attriting because of the product gap with us . So that's solved.
But the customers who don't want

to borrow or we don't want to lend them. To that extent,
always 10% to 12% of customers will be there, and we may not want to lend them again. So
that is a trend always. Almost 8% of customer s we always attrite because we don't want to lend
to them. About 4% to 5% are leaving because they didn't have a proper product with us. So, we
addressed that factor right now. I think going forward, we will be able to retain that kind of
customer. We may retain the attrition might eventually come back to about 10% to 12% from
15%.

Nidhesh : Sure, sure. Thank you, sir. That's it from my side.

Moderator: Thank you. T he next question is from the line of Kashyap Javeri from Emkay Investment
Managers. Please go ahead.

Kashyap Javeri : Thank you so much for the opportunity. C ongratulations on a great set of numbers despite
some of the events during the quarter. I have two questions. One, if I look at your book in
Madhya Pradesh, that's not been sort of growing for about four quarters, stagnant at about INR
1,450 Crore. Any particular reason why that's happening?

The s econd question is on overall ticket size now. If I look at, again, two states, Karnataka as
well as M adhya Pradesh , ticket sizes are either stagnant or declining. On the overall ticket size,
what's the view going forward?

Udaya Kumar Hebbar: So, in Madhya Pradesh specifically, during the year, we saw some vulnerability in some
districts, particularly migration purely . But it is not that permanent. Probably we already
started growing back there. So, we fixed some of the issues, whatever there. We are back into
it. I think w e will grow in Madhya Pradesh also.

Karnataka is always a growth of high single digit. We never wanted to grow very high in
Karnataka. Our entire effort was to diversify the other states. Therefore, the focus is more on
the newer states in terms of growth. Karnataka is more about retaining our clients and
maintaining a high-quality portfolio.

Kashyap Javeri : And overall ticket size, let's say, Karnataka is about let's say INR 63,000, then you have
Maharashtra and Tamil Nadu at INR 53,000 and INR 49,000 and then M adhya Pradesh and
others at about INR 42,000 and INR 37,000. Overall, each of the states eventually can
converge with Karnataka or Karnataka is different because of our longer -term presence there .

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Udaya Kumar Hebbar: No, there are two or three factors. One is about the vintage of the clients, how long customer s
are with us and what type of vintage they are with us, so that determines the ticket size. Second
is the income level. What you can give at the first cycle, second cycle , and third cycle based on
the income of the client. In some states, we may not increase the ticket si ze at the higher level,
even though the vintage is going up. It may not be as same compared to Karnataka, but
probably number of customers will go up but not necessarily the same level of ticket size. So,
it will evolve over a period of time.

For example, Tamil Nadu right now is INR 49,000 not because of the vintage it's because we
merged the Madura, which used to be a very low ticket also. So that's why it's a little. That will
grow up actually . Maharashtra is a stable state. So, it will remain at INR 50,000 to INR 55,000
average ticket size. So, each state will have its own different, different features. But largely,
determined by the vintage, income of the client. So, these two are key different iating or
deciding factors.

Kashyap Javeri : Okay. Sure. That's it from my side, sir. Thank you so much and best of luck.

Udaya Kumar Hebbar: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question of our question -and-answer
session. As there are no further questions, I would now like to hand the conference over to the
management for closing commen

ts.

Udaya Kumar Hebbar: Thank you so much, everybody participating in the late evening. So, we'll catch up next
quarter. All the best and have a nice day.

Moderator: Thank you. On behalf of Nomura and CreditAccess Grameen, that concludes this conference.
Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

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Ref: CAGL/ EQ/2024-25/26

May 11, 2024

To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip code: 541770
National Stock Exchange of India Limited
Exchange Plaza , C-1, Block G
Bandra Kurla Complex , Bandra (East)
Mumbai - 400051
Symbol : CREDITACC

Dear Sir/Madam,

Sub.: Transcript of Earnings Conference Call for Q 4 FY24

Pursuant to Regulation 30 and Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Q 4 FY24 earnings conference call, held on May 07 , 2024. The same is also available on the Company's website at <https://www.creditaccessgrameen.in/investors/financials-and-investor-presentations/earnings-call/>.

This is for your information and records.

Thanking you,

Yours' Truly
For CreditAccess Grameen Limited

M. J. Mahadev Prakash
Company Secretary & Chief Compliance Officer

Encl. As above

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"CreditAccess Grameen Limited
Q4 FY24 Earnings Conference Call "

May 07, 2024

MANAGEMENT : MR. UDAYA KUMAR HEBBAR – MD, CREDIT ACCESS

GRAMEEN LIMITED
MR. GANESH NARAYANAN - CEO, CREDIT ACCESS
GRAMEEN LIMITED
MR. BALAKRISHNA KAMATH - CFO, CREDIT ACCESS
GRAMEEN LIMITED
MR. NILESH DALVI – SVP & HEAD, INVESTOR
RELATIONS , CREDIT ACCESS GRAMEEN LIMITED
MODERATOR : MR. NITESH JAIN – INVESTEC

CreditAccess Grameen Limited
May 07 , 2024

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Moderator: Ladies and gentlemen, good day and welcome to CreditAccess Grameen Q4 FY24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then 0 on your touchtone phone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Nidhesh Jain. Thank you and over to you, sir.

Nidhesh Jain : Thank you, Sagar. Welcome to the Q4 FY24 Earnings Conference Call of CreditAccess Grameen Limited .

To discuss the “Financial Performance ” of Credit Access Grameen and to address your queries , we have with us today , Mr. Udaya Kumar Hebbar - MD of CreditAccess Grameen; Mr. Ganesh Narayanan – CEO of CreditAccess Grameen; Mr. Balakrishna Kamath - CFO and Mr. Nilesh Dalvi - SVP and Head , Investor Relations .

I would now like to hand over the call to Mr. Udaya Kumar Hebbar for his “Opening Comments .” Over to you , sir.

Udaya Kumar Hebbar : Thank you, Nitesh . Good evening, everyone and we welcome you to join the Conference Call to discuss our 4th Quarter and Full Year FY24 Business Performance .

CA Grameen has stood as a preferred financial partner supporting the entrepreneurship journey for millions of women over the past 25 years. We take pride in being the first standalone microfinance entity to surpass the significant milestone of INR 25,000 Crore AUM in our Silver Jubilee year of operations. We have been once again certified as a “Great Place to Work” for the fifth consecutive year given our purpose -oriented approach .

We ended FY24 on a solid footing , having registered AUM growth of 27.0% Y-o-Y and 14.2% Q-o-Q to INR 26,714 Crore supported by a healthy increase in the customer base . The customer base grew 15.3% Y-o-Y and 4.8% Q-o-Q to 49.2 Lakh at the end of FY 24. Our customer addition momentum continued to remain strong as we added over 13.5 Lakh new customers during FY24 and 4.2 Lakh new customers in Q4 FY24 with an average of 1.1 Lakh addition every month. The expansion in the outside core markets has been playing out well as 44% of our yearly customer additions came outside of the top three states. We added 86 branches in the last quarter and 194 branches during this year, taking our total infrastructure strength to 1,967 branches spread across 383 districts at the end of March 24 . We also merged 13 branches to enhance our operational efficiencies.

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Once again, disbursements were the strongest in Q4 FY 24 at INR 8,053 Crore, an increase of 12.3% Y-o-Y given robust customer additions and renewal trends from the retained borrowers. Our progress in retail finance portfolio continued to thrive with an AUM of INR 708 Crore at the end of March 24 , an increase of 320% Y-o-Y. This book being 2.7% of our overall portfolio is performing extremely well with PAR 30 of around 0.07% across new products like individual business loans, mortgage -backed loans , two -wheeler loans, etc. In line with our evolving customer philosophy, we are supporting our graduated customers through retail finance products, resulting in an industry -leading customer retention rate of 88%, proof of strong customer affiliation with our brand.

Net interest income in Q4 FY 24 grew by 33.7% Y-o-Y to INR 922 Crore. We continue to remain one of the lowest -cost lenders with a portfolio yield of 21% , a stable cost of borrowing at 9.8% , and operating with an 11.2% interest spread . Our diversification and liability franchise, both source and geography -wise, the highest standalone credit rating , adequate ESG disclosures and ratings , and healthy capital adequacy contribute to our un

ique positioning. We believe that our cost of borrowing for FY25 should remain stable as we continue to maintain a robust ALM position.

While our interest spread was 11.2% in Q4 FY 24, NIM stood at 13.1% . The cost-to-income ratio was healthy at 30 .1% which is 10 bps lower than Y-o-Y. We created an additional provision of INR 26 Crore towards long -term incentives and a one -time special bonus to our employees while celebrating our Silver Jubilee year. PPOP grew by 35.8% Y-o-Y to INR 683 Crore. The credit cost in Q4 FY24 stood at INR 153 Crore partially offset by INR 13 Crore of bad debt recovery. The collection efficiency excluding arrears stood healthy at 98.3%. G NPA at 60 DPD s stood at 1.18% , and PAR 90 plus at 0.94% and net NPA at 0.35% . ECL provisioning stood at 1.95% higher than our GNP A. Our PAT grew by 33.9% Y-o-Y and 12.4% Q-o-Q to INR 397 Crore during Q4 FY24, resulting in ROA of 5. 7% and ROE of 24.9% . For FY24, the net interest income grew by 45.9% Y-o-Y to IN R 3,260 Crore, while P POP grew by 58. 7% Y-o-Y to INR 2,391 Crore.

Gross Credit cost stood at 2. 06% in FY24. As explained on Slide 7 of the investor presentation, the credit cost on account of the delinquent loan was 1.71% which included 1.52% of actual credit loss in the form of write -off and 0.19% provision in Stage -2 and Stage -3 provisioning. The remaining difference of 0.35% was on account of an increase in standard asset positioning on the Stage -1 asset basis of the revised ECL policy introduced in FY23 . Our Stage -1 provisioning increased from 0.82% on March 23 to 0 .92% at the end of March 24 . The net credit cost after incorporating INR 48 Crore bad debt recovery stood at 1.8% for FY24 in line with our guided range. The company continues to hold over and above 100 bps higher provisioning compared to IRAC prudential norms.

Our PAT in FY24 grew by 75% Y-o-Y to INR 1 ,446 Crore leading to a ROA of 5.6% and ROE of 24.9% . In line with our annual performance guidance , capital adequacy remained comfortable

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at 23.1%. It is important to note that our cross -cycle ROA and ROE over the past 8 financial years from FY17 to FY24, despite facing three external shocks stood at 3.6% and 15 .0% respectively . Our distinctive methodology for conducting the business in the form of a classical JL model , diverse product suite, flexibility in repayment , and continuous district -based expansion approach supported by a strong corporate governance structure ensures stability and enhances resiliency.

Commemorating over 25 years of operations, the Board of Directors has recommended the onetime final dividend of INR 10 per share, a dividend payment of INR 159 Crores translating to a dividend payout of 11% subject to shareholder 's approval at the ensuing annual general meeting of the company.

Assuming a stable operating environment, we look forward to achieving loan portfolio growth of 23 % to 24% in FY25. On the back of our competitive lending rate and strong control on the cost of borrowing , we foresee NIM in the range of 12.8 % to 12.9% . The cost-to-income ratio should be range bound at 30 % to 31 % . We are anticipating credit cost of 2.2 % to 2.4% with the write -off rate being within 2%. Overall, we aim to achieve ROA of 5.4% to 5.5% and ROE of 23.0% to 23.5% in FY25 .

Looking at the medium term from FY25 to FY28, we anticipate loan portfolio growth of 20 % to 25% , NIMs in the range of 12.7 % to 12.9% , and cost-to-income ratio between 30 % and 31%, helping keep our leadership position intact. We expect a similar credit cost of 2.2 % to 2.4% while delivering ROA of 5.4% to 5.5% and ROE of 2.02% to 23.5%.

With this, I would like to open the forum for questions and answers. Thank you for your supportive listening .

Moderator: Thank you very much. We will now begin the question -and-

answer session. The first question

is from the line of Renish from ICICI. Please go ahead.

Renish : Sir, just two -three questions from my side , one on the clarification side. So, on sequential basis, our emergency loan proportion has spiked up significantly to INR 1,000 plus Crore, so can you please throw some light on what sort of emergency loans these are?

Udaya Kumar Hebbar : I think there is some data error, less than 0.8% of our book actually . We will rectify that Renish.

Management : The emergency loan is INR 5 Crore. We will rectify it in the deck.

Renish : I think so there is a mistake between home improvement and emergency, I guess .

Udaya Kumar Hebbar : We would rectify that .

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Renish : Sir, secondly, on the margin side, of course , this year has been fantastic for us, but now going ahead , when we say that we will be maintaining this 12.7 % to 12.8% NIM and the way sort of regulator is commenting on the yields , do we foresee any risk to sustain these margins going ahead?

Udaya Kumar Hebbar : So, now if you look at our financials, our interest spread is only 11.2% currently , it is quite reasonable when compared to the regulatory direction also as well . We offer the lowest price to customer s. NIM comes from the efficiency of managing capital and managing operations. We don't see a reason where this is seen negatively. I think this will be seen positively.

Renish : And sir, just last question, maybe a bit lengthy one , on the credit cost side , so we were guiding for 2.1% of credit cost for FY 24. Of course , we ended very close to that , but then when we look at the increase in guidance from 1.6 % to 1.8% to 2.1% and now 2.2 % to 2.5%. Sir, what has changed fundamentally, which is sort of leading to this increasing guidance for credit cost maybe every 6 months?

Udaya Kumar Hebbar : Two things that are happening. One is as we grow more in the noncore markets , our provisioning is higher because we provide them as a high-risk state, or if the standard provision itself with the impact of increased credit cost is almost 35 bps coming from the higher provision , what we are creating for the standard asset as I explained earlier also, it is also available in our deck . Our actual effective credit cost effective is at 1.7%. As we grow more in the nonmarket, there will be some impact on the credit cost and two, we are also observing that stable credit cost is slightly higher than what it was compared to Q1 and Q2, which we also explained in the last quarter . So, stable credit cost will remain around this and that is why your actual write -off of assets may be less than 2%, but credit cost may over between 2.2 %-2.4% considering early recognition of risks and higher provision on standard assets .

Renish : So, basically , you are saying, let us say incrementally, between FY25 and FY28, our growth will be coming largely from the non -Southern market or in the sense noncore markets and given our ECL model is , this Stage -1 provisioning will be always higher vis-a-vis the historical trend , is that the correct understanding, sir?

Udaya Kumar Hebbar : Correct. As you see our Stage -1 provisioning which was less than 80 bps, moved to more than 90 bps right now. So, the difference between the last year, 35 bps of increasing rate was only because of this change. So, basically , there is a cushion being built by recognizing early and then having sufficient cushion against the potential risks.

Renish : And again follow up on that like so basically you are trying to highlight that the credit behavior of the customer has changed post -COVID which might lead to a little higher steady -state credit cost than what we have seen pre -COVID?

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Udaya Kumar Hebbar : Correct. It is a combination of two things as you have

said. There will be a little higher steady -state credit cost and a little higher provisioning itself. So, the combination of that will show higher credit cost.

Renish : So, does this reflect in the center attendance as well, sir? What are the parameters to track this? I mean a change in customer behavior?

Udaya Kumar Hebbar : So, there is not too much change in customer behavior . Core markets to noncore markets I was telling actually. So, noncore markets have a little different tendency , therefore it will potentially go up a bit as a steady state.

Renish : And what explains the sequential increase in the PAR portfolios across the bucket, sir?

Udaya Kumar Hebbar : There is only a 20 bps increase in our portfolio if you observe. So, almost 10 bps is coming from the flood situation still continuing because it is staying on and off. Most of them are paying still in the PAR bucket . So, another 10% is just a simple movement here and there.

Renish : But nothing, let us say any stress building up in the sector you see , right?

Udaya Kumar Hebbar : At least we are not seeing that in any of our markets. There will be small variations between different states, but not significant changes.

Moderator : Thank you. Our next question is from the line of Rajiv Mehta from YES Securities. Please go ahead.

Rajiv Mehta : On credit cost, just two clarifications on the guidance that you have given of 2.2 %-2.4% of FY25, is it gross or is it net of bad debt recovery, that is first?

Udaya Kumar Hebbar : Gross.

Rajiv Mehta : Does it assume any further increase in the provisioning rate on Stage 1 and Stage 2? I know we are currently at 92 basis points and 55% for Stage 1 and Stage 2 respectively , do we intend to take it?

Udaya Kumar Hebbar : That could be because now actually moved to a district level, recognizing the ECL actually. If a district looks higher risk or a higher delinquency bucket, high -risk district , then there will be higher standard provision also. So, there could be small movement if there is an increase in the trend , but that will get countered with the pricing , correct . So, they may be also moving to district -level pricing . We will actually manage booking both pricing as well as risks . So, there could be small movement here and there , but overall, we should not see too much of variations.

Rajiv Mehta : And just follow -up two questions on this borrower attrition through the year was 5,78,000 borrower. Can you point out was it concentrated in certain markets that we let go of borrowers

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because of leverage and because of competition ? That is one ? And second is, there is a meaningful sequential increase in GLP per borrower in higher vintage buckets of 3 to 6 years and more than 6 years . So, is it driven by cycle migration or something else?

Udaya Kumar Hebbar : One is our attrition has not changed . The customer retention rate is 88% earlier also, it is for now also. There is no change in the trend actually . Within that and which is what we hope to maintain between 85 % and 90% of our retention . We are within that range. So, there is no significant variation in the bucket . That one variation we saw that in the Madura book where we lent renewed , some of them probably a little higher in terms of attrition because they all moved from monthly to weekly, some of them may not accept weekly, they want to go back to monthly or so. We saw a little higher there, but otherwise , there is no significant change anywhere. Overall, it is very insignificant , and the average ticket size increase . I would say increase only at more than 3 years to 6 years bucket only where we have a very strong loyal customer base . We have seen sufficient vintage and the risk is also lesser here. If you see we provide lesser , we have always seen lesser risk in that bucket. S

o, it is a normal demand and supply. So, this kind of increase always has because if you see below 3 years it is consistently the same trend.

Rajiv Mehta : It is anyway less than 10%?

Udaya Kumar Hebbar : Yes, it is overall 8%. So, if you see the annual growth of average ticket size used to grow between 9% to 10%, but within that range only , now also , it is about 8% overall increase.

Moderator : Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal : Congratulations on a good quarter. Sir, just one question. Just trying to understand wherein the presentation also we say that some bit of the PAR accretion that we are seeing is happening because of stronger growth outside our core states and you also suggested that as part of this , increase in our credit cost guidance, some bit of it in terms of higher write-offs is going to come from our growth in the noncore states. So, if you could just provide some more texture with regards to particular states where you are seeing that the PAR accretion is higher or is the credit behavior of your noncore state customers very different from your core state customers?

Udaya Kumar Hebbar : Abhijit , correction, it is not PAR increase , we said credit cost increase because we provide higher considering that new markets we are positioned at little higher risk and provide higher even for standard as well as Stage -1 and Stage -2 also. Therefore, the credit card is going up a little bit , not necessarily the PAR is going up. If you see, PAR has gone up only by 20 bps between last 12 months that is 10 bps coming from the flood infected, only 10 bps increased because of the overall change. It is not a very significant increase.

Abhijit Tibrewal : I was trying to talk more about the credit cost?

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Udaya Kumar Hebbar : Credit cost because more of provisioning itself is higher in the noncore markets, that is why.

Abhijit Tibrewal : But then any particular reason? Typically sir, most of the lenders talk about the ECL.

Udaya Kumar Hebbar : In the old core market where we know the behavior well over a period of time , we are able to assess the risks properly and our ECL is low consistently . Whereas in new markets we would take little more time to assess carefully and see whether it is low risk or high risk or medium risk. So, we provide based on either the medium risk or high risk, not the low risk for the new market at this point of time. Therefore , the credit cost or a provision what do you make is a little higher in the new markets.

Abhijit Tibrewal : Sir if I understood you right. I mean, which is the conscious choice that we have made of making higher provisions on the new markets rather than our ECL models asking us to do that ?

Udaya Kumar Hebbar : So, for example, Maharashtra we treated as a high risk . We provide higher in Maharashtra , Madhya Pradesh, Chhattisgarh, Rajasthan, and Gujarat, all of them are treated as a high-risk state. Whereas states which are in UP, Bihar and all we provide as medium risk. So, Karnataka we provide as low risk state. Tamil Nadu, we provide as medium -risk state. We have to differentiate. From there we are moving to the district now. So, now we have about 29% of the districts that are in high -risk. Moving forward, we look at the granular approach at the district level, which is the high -risk and low -risk. There will be some changes in patterns in terms of providing, but still , there won't be too much variation in this process.

Abhijit Tibrewal : And then try to conclude that just like you are doing risk weighting based on these districts , the pricing is also I would say risk-based in these districts ?

Udaya Kumar Hebbar : Absolutely. We are moving toward that direction.

Moderator : Thank you. The next question is from the lin

e of Shreepal Doshi from Equi rus. Please go ahead.

Shreepal Doshi : Sir, my question was firstly on this decline in the marginal cost of borrowing. So, what is it that is helping us on the cost of funds, sir?

Udaya Kumar Hebbar : I will ask Kamath to respond this. So, only thing is the majority of our borrowing in Q4 was done domestically only. That is one of the reasons, maybe Kamath will give details on that.

Balakrishna Kamath : Normally, in the 4th Quarter of the year we borrow from all the domestic banks, and we want to utilize all the sanctions. We have not drawn in the NCD, or we have not drawn any foreign borrowing. That is why the average marginal cost of borrowing has come down in the 4th Quarter.

Shreepal Doshi : So, for the whole year, it should be broadly in the range of 9.8 sort of a percentage for FY25?

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Udaya Kumar Hebbar : Yes, the rate may not go down from here because we still continue to diversify borrowing to NCD, external borrowing everything. It will remain stable at this level unless, a major change in the lending cost from the RBI side or from the Fed side.

Balakrishna Kamath : Yes, you may see some divergence between the quarters based on how we draw the funds, but on average we feel it should be largely stable till the Fed and RBI signal the downward movement on the rate.

Udaya Kumar Hebbar : And till it passes on to us.

Balakrishna Kamath : Yes, that might take some more time because it is all MCLR based. Our loans are not on the repo, so till we get the benefit of a lower MCLR, the rates could be largely stable.

Shreepal Doshi : Sir, one question pertaining to pricing and linking it with your earlier commentary on states like say high risk and medium risk, so what is our pricing in say high-risk states and medium risk states versus Karnataka, that was question number one? And question number two was pertaining to asset quality again. So, on that front, if you look at the AUM per loan officer has been increasing, so is that a reason or could that be a reason that could explain this deterioration in the high-risk state and also if you could highlight the attendance in the high-risk states and the attrition in the high-risk state?

Udaya Kumar Hebbar : Before that, so firstly about pricing you asked, there are two types of pricing we do based on risks actually. One is risk-based pricing based on the district risk status, the high or low. That is one. Second, is based on the vintage of the client. If the high vintage client, the pricing is low whereas low vintage client will price higher. The difference between low and high is almost about 2%. 20.50% is the lowest and the highest is 22.25%, 1.75% variation between these two. That is point number one.

Ganesh Narayanan : With respect to the increase in GLP per branch or loan officer, the right metric that we watch is borrowers per loan officer, right, so if you see the borrowers per loan officer, still the range is around 375. Typically, a mature market for us can handle around 550 customers on average. As long as the borrowers are in control, an increase in GLP is only a factor of vintage and along with in a particular geography.

Udaya Kumar Hebbar : And then particularly in the newer market, our customer handling is lesser, not the higher. The higher will be handling the core markets. So, there is no correlation between these two.

Shreepal Doshi : And then the last part on say attrition at the employee level in the high risk and also if you could give some color on the attendance in these states at the center meetings?

Ganesh Narayanan : So, overall attrition is quite under control. In fact, for us even in newer geographies, attrition is far better, it is lower than your mature markets. And regarding center attendance, we have not

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seen much of a change, but if, say 80% is something that we normally prescribe, probably will be anywhere between 65%-70% depending on geographies. Specifically in high-risk geographies where the penetration is lower, etc., we would demand slightly larger attendance and that is something that varies again from state to state.

Udaya Kumar Hebbar : Not only attendance, we will have a higher control and audit also in the newer markets where the high risk we have will help us when we design the district-wise high low risks, we also can trigger the different controls in the district also. So, we have that ability also, right now new markets will have higher audit controls, and higher risk controls, which is always a part of our controlling mechanism.

Shreepal Doshi : Sir, just last question, if I can squeeze in, which states would be the key states for us to help us deliver this 23%-24% growth in FY25?

Udaya Kumar Hebbar : Our core market will deliver between 10% and 15%. So, basically the other market, it is more of a Bihar, Uttar Pradesh, West Bengal, Odisha and the new market, which is Telangana, Andhra should deliver higher than 25%. So, that will be an average 23%-24% growth.

Moderator : Thank you. The next question is from the line of Balakrishna Vagharia from Axanoun Investment

Management. Please go ahead.

Balkrushna Vaghasia : Sir, my first question is on a global level regarding the sector, so as the results are coming for the 4th Quarter for all the microfinance companies, everybody is projecting some say 20% growth for the next 3 -4 years, 25 % 30% even higher than that. So, what are the signs that may or may not be present right now, but in the future we should look for when there is overh eating in the sector or there is a high kind of optimism which can lead to some sort of correction in the sector ?

Udaya Kumar Hebbar : Our view is in fact we declared last year that we can grow at least between 20%-25% till FY28. We said what we can reach with based on the potential in the market, based on the customer retention what we can manage, based on the liability, based on the controls and risk management, what we can do. I think I would look at our company that we have the ability to grow to that level. From a global perspective, on a country perspective also, the market, what we are, is less than INR 3 Lakh income households which are currently touched by the industry only by about 40% which means 60% of the households are yet to get into a formal market. The first formal market, they would get into microfinance. So, even if they convert another 40% in the next 5 years, I think it is still difficult. The market will double by that time. And also top of them, there will be an inflation impact on the loan size, there will be the impact on the vintage customer, higher loan per customer, all these factors together. There will be enormous growth opportunities for the industry. And then after a certain set of penetration, there is 60 % or 70%. It is more of a competition like what you are seeing today in the housing market. I think then you need to really
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compete with your product, process, pricing, service, everything. I think we should be able to do that. Therefore, we believe that there is an enormous opportunity for us to grow.

Balkrushna Vaghasia : What are some of the big risks that you see for your company and as well as for the sector that you can say with which your imagination that there are some of the big risks for the industry as well as for the company?

Udaya Kumar Hebbar : We are not expecting any known risks actually. There could be an unknown risk which is unknown anyway. So, known risk if you see the last 10 years or 15 years, the risks which have come to this industry are unknown. Whether it is

COVID or demonetization, the second COVID, all are unknown. The industry has not lost because of any known risks. It is all very small, sometimes a flood or a famine. These are at small concentrated places, so we are not seeing any big risks for this industry, which is known and manageable. Unknown, sometime unknown, but if you are able to manage right control, right risk management, right customer service, still we can manage better.

Balkrushna Vaghasia : I think the CreditAccess Group has set up some insurance business as well, so how are they going to use our distribution channel or how are we going to integrate with them, or that is a completely different business, and we have nothing to do with that?

Udaya Kumar Hebbar : It is a completely different business. It is not even a group company. It is a parallelly future company you can say, but Credit Access Life Insurance (CALI) is one more service provider for us like all other insurance. Totally, we have 5 insurance providers, and one among them is CALI. So, we keep supporting, we keep innovating the product for this set of customers because CALI is more of a low-income household focus, it is for a microinsurance segment, so there will be opportunities for us to co-work and innovate new products for this segment which is not an option with other mainstream insurance providers. We will continue to work together to ensure the right product for this set of customers.

Balkrushna Vaghasia : And do we have insurance for, in case, the borrowers are not able to repay then the insurer will pay for a couple of installment or something like that ?

Udaya Kumar Hebbar : No such insurance as of now for anybody in the country.

Balkrushna Vaghasia : And the last question, what is the update on the income tax demand that we received a year back or so?

Udaya Kumar Hebbar : A year back, it was closed. It was refunded to us already what we paid in advance. So, only what is pending is what we received in the last month which is about INR 46 Crore and our auditors clearly said that there is no need for any provisioning or even contingent provisioning for this, because we feel that there is an error in the assessment. We have already made appeal and we are sure that we will get this cancelled. The demand gets cancelled. It will take some time, but
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of course, it is in process always. We will follow the process and we are pretty much confident that this is not the right demand.

Balkrushna Vaghasia : So, there was some big demand that is closed, right? There was a very huge demand, it is closed.

Udaya Kumar Hebbar : That was in 2021 and it is reduced to INR 100 Crore later , then it is always already cancelled and removed. We have published that also. There is no other demand on us.

Moderator : Thank you. The next question is from the line of Hardik Shah from Goldman Sachs. Please go ahead.

Hardik Shah : Sir, my first question is on retail finance. Can you share some trends that you are seeing on the ground across products?

Ganesh Narayanan : Hardik, this is Ganesh here. So, on the retail finance side, we are 3% of our AUM out of which the unsecured individual loan portfolio, which is being extended for graduated customers is trending around 72% and the other 28% comprises of secured loans, which includes loan against property , gold loan and affordable home loans . The total RF book is around INR 708 Crore.

Hardik Shah : And what do you think is your right to win in these segments versus competition, Ganesh and your confidence in scaling up?

Ganesh Narayanan : Yes, so for the first product which is your Unnati product, this is more of a graduating product for a certain profile of customers and while like in microfinance, we do command a very low - interest rate for this particular product and it is selectively

given to certain set of customers, centrally decided by us for various parameters . Then it is reinforced or reassessed that ground for certain other surrogates and only those customers we extend this product. So, this is scalable , we believe in the range of 5 % to 7% of our overall AUM and this portfolio has behaved consistently well . Since this is given to vintage customers we believe that it increases customer loyalty for us and it should benefit us over a period of time . Concerning loan against property once again, we command a far better interest rate compared to the market and we also have a good sourcing channel . We have roughly around 13,500 field officers going to thousands of villages on a daily basis, and we are looking at the majority of this business both home loan as well as the loan against property comes from our existing customers. So, that means you are going to significantly reduce your sourcing cost. Try and cross-sell to a certain profile of customers who are looking at this , who are capable of repayment, who are able to establish a cash flow and hence once again you are retaining your customer better. So, that means I will be able to do something like a mortgage business at a far lower cost than probably HFC is doing today. From a customer's perspective, they continue the journey with us. They are comfortable in dealing with us. They are getting a product probably much cheaper than what they will get from any closest competitor in the market, and they will continue with us. And if you take a two-wheeler similar , we don't take share from the dealer. So, we don't ask for a market share from CreditAccess Grameen Limited
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the dealer . We source business and take it to the dealer and hence we don't incur sourcing costs . Because we have given only to our existing customers , it is something that is building a lot of loyalty for our customers because these women are enabling the first new two -wheeler in their home for their children, for their husbands , for themselves, which is quite unique, And this again is extended to them with a weekly model and it is quite successful at this point of time .

Hardik Shah : And one follow-up on this, how should we think about these products compressing yields on the overall book ? Can you share yields ?

Ganesh Narayanan : Almost all the products except home loan are very close to our microfinance rates, which are still competitive compared to what are charged in the industry . Home loans are like we said earlier, it would take some time for us to build the portfolio. Hence you will not see any immediate impact on the volume and as the volume takes up, we will figure out methods of ensuring that it does not compress our yields .

Hardik Shah : One last bookkeeping question if I may, can you share your unique to CREDA G customer in group trending?

Ganesh Narayanan : It is 28% as of the end of the financial year . As we keep growing in markets which are new to us, this ratio I think will slightly blip and then move up over a period of time.

Moderator : Thank you. The next question is from the line of Sameer Bhise from JM Financial. Please go ahead.

Sameer Bhise : Just one question. What would be the interest rate differential between say first cycle loans and the three-year loan for say 75,000 plus ticket size customers?

Ganesh Narayanan : So, there is no differential on interest rates depending on the cycle, it is only the vintage, so less than 4 years and greater than 4 years. So, there is a pricing benefit of 1% given to customers because the ECL model also predicts a much lower credit cost.

Sameer Bhise : Only 1% across the vintage ?

Ganesh Narayanan : No, so less than 4 years, greater than 4 years. If the customer is greater than 4 years, they get a 1% benefit.

Udaya Kumar Hebbar : I will just clarify further. I explained this before actual

ly . The pricing is based on two factors.

One is the vintage factor. One is the risk factor, the risk of geography factor. So, if you are in high geography , the risk is at higher pricing even for the first year, but whereas there are more than 4 years, then the low price, they will get the benefit almost 1. 15% different. So, the lowest paid for the charge lower to higher difference is about 1. 7%.

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Sameer Bhise : And secondly, if I just look at the state -wise GLP mix, Karnataka has dropped a bit while the other two large states Maharashtra and Tamil Nadu , the decline is slightly slower. Is it likely to remain that way that Karnataka 's share may drop while others converge to the second and third largest states as the noncore states grow ?

Udaya Kumar Hebbar : The change will not be significant actually . It will remain to a large extent between 18%-20% by the next 3-4 years. So, it won't drop faster actually. So, it will remain at that level.

Moderator : Thank you. The next question is from the line of Abhishek Murarka from HSBC. Please go ahead.

Abhishek Murarka : Sir, two questions. One, I think you partly answered or touched upon . In your PD & LGD calculation , do you also take the vintage of the customer into account apart from the district and all of that?

Udaya Kumar Hebbar : Yes, we will look at both factors, vintage and geographic risk.

Abhishek Murarka : So, as long as you are acquiring a lot of customers with low vintage and in new geographies or riskier geographies, then your blended credit costs will continue to go up in those markets.

Udaya Kumar Hebbar : You are absolutely right.

Abhishek Murarka : And when do you take a geography or district to have become mature? I mean does the credit cost have to show a lower trend and that is when you say okay, now this is matured ? How does that happen or is it just an AUM size ?

Udaya Kumar Hebbar : We recalibrate this district risk status every year and then normally we would make a decision once a year or once in two years based on the continuous trend of high -risk, low-risk status but every year we will review and recalibrate the district.

Abhishek Murarka : And just the second question on retail finance, what kind of, let us say AUM are you looking at from a, let us say next one year, two years perspective , let us say of course, it is in a startup phase. So, the growth is exponential, but what is your target or milestone two years out ?

Udaya Kumar Hebbar : If you look at what we declared last year during your analyst meet, we said we will reach about 10% to 15% of our book in retail finance by FY28. Currently , we are at 3 % , maybe every year 2% to 3% , we would add to reach that which means we may have to reach around INR 7,000-Rs. 8,000 Crore by FY28 and even if we convert our current 10% of customers into an average of INR 3 Lakh in the mix of all the products, so we will be more than INR 15,000 Crore. We need only about 6 %-7% customer conversation with an average of about 2 Lakh to 3 Crore portfolio . That is all. That is why it is more of an in-house business to expand with a very low or nil acquisition cost.

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Abhishek Murarka : And just for these customers, you are cross -selling to or graduating from your group lending to individual, what are the minimum criteria as in what does the vintage have to be? What do you look at before you decide to cross -sell?

Ganesh Narayanan : So, it is a combination of various factors including the kind of district, the state. So, you will have vintage, you will have geography, you will have economic profile, you will have the type of business. So, there are setups that we built which is also something we consistently change .

Abhishek Murarka : Minimal it is three years or something, right?

Udaya

Kumar Hebbar : The minimum is 2 years, but we have to meet many other criteria .

Ganesh Narayanan : I think one strong differentiator will be they have to be able to demonstrate cash flows better. And they also have to have multiple sources of income. They should have segregated places for business, etc .

Moderator : Thank you. The next question is from the line of Shweta Daptardar from Elara Capital. Please go ahead.

Shweta Daptardar : I have two questions. One is , sir, what is the movement of average ticket sizes across the core market?

Udaya Kumar Hebbar : The exact value , I don't know, Nilesh will share it with you separately . It will always be higher movement in the core market because you will have a higher vintage customer in the core market. In the newer market, the movement will be very low because it has to complete 2 years and then 4 years kind of thing. Therefore, by default , our core market will have a higher movement.

Shweta Daptardar : And sir, second question, what is the rate differential for your bank borrowing vis-a-vis our

marginal cost of funding because since two quarters we have been drawing down on our bank borrowing ?

Udaya Kumar Hebbar : Yes, actually bank borrowing normally is about the 9.5% range. This time we are able to get a little more benefit from the bankers. So it is about 9.3 %-9.4%, and international borrowing and NCD , all will cost around 9.75%-10.0%. Overall, about 75 bps more, but it is important to do the diversification because those funds are long-term funds which will give up ALM benefits and also diversification benefits. Therefore the overall cost increase by increasing the diversification is about 20 -30 bps only.

Moderator : Thank you. The next question is from the line of Mohit Jain from Tara Capital Partners. Please go ahead.

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Mohit Jain : Sir. I was just looking at the incremental disbursement yield on the new portfolio and that seems to be slightly higher than the portfolio yield over the last four quarters. And I think you suggested that the borrowing costs are expected to be flat. In this situation , the NIM guidance that we are seeing for the next year is 20 -30 basis points lower , are we fairly conservative or we pushing the interest rate?

Udaya Kumar Hebbar : For example , our new disbursement rate is 21.8 % in Q3 and 21.4 % in Q4 because we reduced the pricing by 50 bps between December and Q4. Therefore, we expect in the next 1-2 years, there will be an impact of some 20 bps. So, therefore we project a little lower.

Mohit Jain : And sir, just one more question . Sir, if I am looking at one of the NBFCs, which also has a bigger MFI portfolio, they have resorted to monthly collections at the beginning of the month and their argument is to see, the bandwidth of the manpower because they focus on the collection at the beginning of the month and throughout the month, we can focus on the disbursement. I know, sir we have always been a proponent of the weekly collection , weekly and fortnightly. So, but have we evaluated the ever that we need to the monthly one or so that we will have a better business , some of your views on the entire argument?

Udaya Kumar Hebbar : I think we have done enough study internally about what is the best for the resiliency in this business. It is not just the collection for this month and then we should not be looking at only based on the good time performance. We also need to look at the bad time performance. How this will differ between good times and bad times. We have been experiencing this situation over the last 10-15 years and we strongly believe giving the option to customers rather than deciding one way . We give monthly, fortnightly or weekly options to customers to decide how they want to pay. So, we give the option to customers saying that whichever the p

eriod or the frequency

you want to decide when borrowing. Around 62% of customers have decided to go for a weekly , and about 34% decided to go for fortnightly and balance monthly. We have all three options for customers whereas we meet our customers every week . Based on the choice of frequency that customers choose they are paying, I think we thought this is the best way we have been operating this model for the last 20 years and we believe that this should work better in good times and bad times.

Ganesh Narayanan : And also, increasingly, since you are now doing various other things with the customer, it is better to meet them more and help you with relationships as well as offer options to the customers . You are not restricting yourself just to one product today. You have multiple loan products in the group loan itself. You have retail finance, you are offering products to the ecosystem , and the connectivity is much higher . You have a better relationship. I am going to meet probably four times compared to people who are in monthly but different school of thoughts, different behavior. I think we should not criticize any of it. It is just time period like what I say good and bad times that should determine.

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Moderator : Thank you. The next question is from the line of Shreyans Jain from Elixir PMS. Please go ahead.

Shreyans Jain : Sir, all of my questions have been answered. I just have one clarification about this weekly, fortnightly, and monthly model. So, the customers are repaying 60% weekly and 30% fortnightly, 10% monthly , but are they coming to center meeting every week or they are only coming when they have to pay themselves ?

Udaya Kumar Hebbar : They will come every week. Those who have opted for weekly will pay every week. Those who opted for fortnightly will pay only in an alternative week. Those who opted for monthly will pay once in four weeks.

Shreyans Jain : And what is the center attendance then on a whole country basis?

Udaya Kumar Hebbar : It is about 65 %-75%. Here also we have to note that normally about 12 weeks in a year we allow

them to take off.

Shreyans Jain : 12 years?

Udaya Kumar Hebbar : That means almost 20% of the time they will not attend the meeting. It is a legitimate holiday available to them.

Moderator : Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to Mr. Udaya Kumar Heb bar for closing comments.

Udaya Kumar Hebbar : Thank you so much for spending time in the evening and it is quite late. Thank you for all your support. We hope we have responded to your queries and if you have any more queries , our Investor Relations desk is always available to reach out. Thank you so much. Have a good evening.

Moderator : Thank you. On behalf of Investec, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2024

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July 22 , 202 4

To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip code: 541770
National Stock Exchange of India Limited
Exchange Plaza , C-1, Block G
Bandra Kurla Complex , Bandra (East)
Mumbai - 400051
Symbol : CREDITACC

Dear Sir/Madam,

Sub.: Transcript of Earnings Call for Q 1 FY25

Pursuant to Regulation 30 and Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Q 1 FY25 Earnings Call, held on July 19 , 2024.

The same is also available on the Company's website at www.creditaccessgrameen.in .

This is for your information and records.

Thanking you,

Yours' Truly
For CreditAccess Grameen Limited

M. J. Mahadev Prakash
Company Secretary & Chief Compliance Officer

Encl. As above

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"CreditAccess Grameen Limited
Q1 FY25 Earnings Conference Call "

July 19 , 202 4

MANAGEMENT : MR. UDAYA KUMAR HEBBAR - MANAGING DIRECTOR ,
CREDIT ACCESS GRAMEEN LTD.
MR. GANESH NARAYANAN - CHIEF EXECUTIVE

OFFICER , CREDIT ACCESS GRAMEEN LTD.
MR. BALAKRISHNA KAMATH - CHIEF FINANCIAL
OFFICER , CREDIT ACCESS GRAMEEN LTD.
MR. NILESH DALVI - SVP & HEAD INVESTOR
RELATIONS , CREDIT ACCESS GRAMEEN LTD.
MODERATOR : MR. ABHIJIT TIBREWAL - MOTILAL OSWAL
FINANCIAL SERVICES LTD.

CreditAccess Grameen Limited
July 19, 2024

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Moderator: Ladies and gentlemen, good day , and welcome to the CreditAccess Grameen Q1 FY25 Earnings Conference Call.

As a reminder, all participants will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touch-tone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Abhijit Tibrewal from Motilal Oswal Financial Services Limited. Thank you and over to you, sir.

Abhijit Tibrewal: Thank you, Sreejil . Welcome everyone to the CreditAccess Grameen Q1 FY25 Earnings Conference Call .

We have with us today from the senior management Mr. Udaya Kumar Hebbar - Managing Director; Mr. Ganesh Narayanan - Chief Executive Officer ; Mr. Balakrishna Kamath - Chief Financial officer and Mr. Nilesh Dalvi - SVP & Head Investor Relations .

With this brief introduction, let me hand over the call to the Management for their opening remarks post which we will open up the floor for Q&A. Thank you and over to you, sir.

Udaya Kumar Hebbar: Thank you. Good evening to all and a warm welcome for joining the conference call to discuss our first quarter FY25 business performance.

Before we begin, I would encourage everyone to read our FY24 Integrated Annual Report themed 'Being Sustainable and Responsible ' which is available on our website. This report highlights our initiatives aimed at sustaining robust cross-cycle business performance, promoting strong governance and best practices , conscious efforts to reduce our environmental footprint , and safeguarding the stakeholder 's interest. As we reflect on the last quarter, it is evident that we navigated well through a seasonally moderate period for microfinance coupled with the general election process during a large part of the quarter . Despite facing challenges such as extreme heat waves across regions and operational limitations during general elections, we maintained consistent performance in our net interest margins, operating efficiency , and return ratios.

Our overall AUM grew by 20.6% YoY to INR 26,304 Crore . The GL book grew by 18.2% to INR 25,542 Crore as against our annual guidance of 20% while the RF book delivered a healthy growth to INR 762 Crore. The overall portfolio declined on a sequential basis , in line with our internal estimates , given the seasonally weaker business momentum in the first quarter coupled with the general elections . We had factored this in our annual guidance of 23% to 24% portfolio growth in FY25, estimating a lower growth of 20% in the Group Loan business as against 24.7% CreditAccess Grameen Limited

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growth in FY24. Therefore, we reiterate our annual growth guidance for FY25 and we do not see any downside risk to our growth guidance.

The disbursement stood modest at INR 4,476 Crore. We added 1.90 Lakh new customers in Q1 FY25 leading to 12.7% Y-o-Y and 1.3% Q-o-Q growth in the customer base to 49.84 Lakh. Our branch infrastructure stood at 1,976, spread across 388 districts at the end of June 2024 as we added 9 branches during the quarter.

The net interest income grew by 24.8% Y-o-Y to INR 953 Crore in line with the loan portfolio growth. Our portfolio yield at 21% continues to remain the lowest in the microfinance industry resonating with our belief in serving customers with responsible pricing. On the other hand , the cost of borrowing was also stable at 9.8% despite the tightening liquidity scenario in the banking system. We expect our cost of borrowing will be within the range of 9.8 % to 9.9% for FY25 guided by a healthy mix of domestic and foreign borrowings along with maintaining a robust ALM position.

While we operate with an inter

est spread of 11.2% , our NIM for the quarter stood at 13.0%

benefiting from our strong capital position on our balance sheet. The positive operating leverage generated due to the scale of our business coupled with an improved income profile , and

controlled costs resulted in a cost-income ratio of 29.2%. PPOP grew by 30.4% Y-o-Y to INR 709 Crore.

Coming to the asset quality, we saw a transitory increase in delinquency trend during the first quarter due to i) low base impact on account of a 1.5% QoQ reduction in the loan portfolio, ii) extended impact of low rainfall during last year followed by a severe heat wave across several regions throughout the quarter, coupled with iii) operational limitations during general elections which impacted regular collections and follow-ups in the delinquent buckets considering the sensitivity of the elections with the borrower's profile. We have been anticipating a gradual increase in business-as-usual delinquencies over the past three quarters due to on-ground issues like temporary customer migrations, rising customer leverage trends, third-party loan utilization issues, and higher steady-state delinquencies outside Karnataka, and accordingly, we had budgeted higher credit cost for FY25 compared to the previous year. We however, expect the delinquency trend to stabilize in the coming quarter and credit cost within the guided range of 2.2% to 2.4% for the year. As you can see on Slide No. 6, we continue to witness sustained partial repayments in the PAR 60 bucket with an improving repayment trend as you move forward. Additionally, we have taken adequate measures like tightening credit filters while onboarding new customers while extending new loan to existing customers limiting leverage while dispersing etc., and deploying senior and experienced field staff and business support teams to control the PAR trend in some pockets.

Despite the increase in delinquency during the quarter, our asset quality continues to remain strong with collection efficiency excluding arrears of 97.8% for Q1 FY25, PAR 90+ at 1.13%

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GNP A of 1.46% measured at 60 plus DPD, and net NPA of 0.45%. The credit cost of INR 175 Crore during the first quarter compared to INR 153 Crore during Q4 FY24 reflects our early risk recognition and conservative provisioning policy. Our ECL provisioning stood at 2.29% which is 116 bps higher than our PAR 90 plus and 130 bps higher compared to IRAC provisioning norms. We have strengthened our ECL provisioning policy further by aligning the provisioning rates based on district-specific risk compared to state-specific risk earlier along with customer vintage. Our conservative approach of granular risk recognition and higher provisioning has historically positioned us to quickly navigate any potential asset quality cycle and capitalize on growth opportunities.

We plan to implement district-based loan pricing in Q2 FY25 leveraging the business rule engine that would help align the loan provisioning rates on a granular basis. Thus, by tailoring loan pricing strategies based on district specific factors, we not only aim to mitigate the potential risks but also optimize revenue generation, safeguarding our overall returns. Our gross credit cost stood at 2.7% for Q1 FY25 while net credit costs stood at 2.6% which is slightly higher due to the transitory nature and base effect of Q1 as explained earlier.

Coming to the return profile, Q1FY25 PAT stood at INR 398 Crore resulting in ROA of 5.4% and ROE of 23.5% in line with our annual guidance. This is the 6th consecutive quarter where we have delivered ROA over 5% and ROE exceeding 20% resulting in sustainable profitability mirroring our strong cross-cycle performance. Looking ahead, we would like to reiterate our confidence in achieving our annual growth and profitability

targets. Our strategic initiatives

coupled with the resilient business model and dedicated team, position us well to mitigate the known risk effectively.

Lastly, before we open the forum for a question-and-answer session, I would like to highlight the guidelines implemented by the industry body, MFIN, earlier this month imposing a cap on micro finance limit to INR 2 Lakh, number of lenders to 4. The industry collectively has come forward to move towards a sustainable growth path given large credit advancing opportunities available through the micro finance channel.

We look forward to your insights and questions as we delve deep into our Q1 FY25 result and strategic outlook. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Rajiv Mehta from YES Securities. Please go ahead.

Rajiv Mehta: I have a couple of questions, Sir, first question is, as we're defining this increase in delinquencies as temporary, have you already seen improvement in fresh PAR accretion in June and July or conversely if you can share whether there has been improvement in the collection efficiency of June and July so far?

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Udaya Kumar Hebbar: June and July are still remaining stable at a little higher frequency only, but we believe that

overall by Q2 FY25 we should improve. So, what I'm trying to explain to you is, in the 60 days what the general election time you had difficulty in managing the collections particularly going to the field, going to do a follow-up of delinquent customers, that bucket would have moved further whereas new PAR we are able to collect back or collect partially or moving backward. Therefore overall delinquent trend may remain the same but the new PAR ability to collect is much higher than the first 60 days.

Rajiv Mehta: And sir, you have mentioned about strengthening of the ECL provisioning policy in first quarter and you have aligned your provisioning rates on districts versus states earlier and also along with the customer vintage. But when I look at the ECL coverage on standard loans with the stage 1 loans, it remains the same. So, incrementally as the growth picks up in the remaining quarters, would this ECL coverage percentage increase because more and more growth will come from the newer geographies?

Udaya Kumar Hebbar: Correct. It's right. When we realigned, in all 3 buckets you could see variation. For example, you are seeing in the standard asset, it has come down by 2 bps whereas Stage 2 and Stage 3 have gone up by 1%. It is more of when we moved from a state level to a district level, we moved it to granularity. In some of the states, the actual numbers would have changed the coverage. For example, take the example of Maharashtra, which we decided as a high-risk state earlier. Now when we moved to district-wise, some districts moved to the medium district, and some districts moved to the low district. The customers also moved the same coverage buckets. So, therefore, there is a one-time aberration for a change based on moving from a state level to a granular level, and going forward this should actually remain the same or follow the past 36 months trend, we get reevaluated every quarter.

Rajiv Mehta: And just lastly, we don't see any structural issues in any of the large markets like Bihar, Tamil Nadu, Karnataka, and Maharashtra. In terms of rejection rates increasing or in terms of unique borrower acquisition challenges in these metrics. Are we seeing any issues at all, because your guidance seems to suggest that things will come back normally in the coming quarters?

Udaya Kumar Hebbar: There could be some stabilization because of the new guardrails which were implemented. Overall if the total borrowing of any customer is more than INR 2 Lakh you will not be able to

ble to

acquire the customer per new guardrails which is going to be common for the whole industry not just for CAGL. Our view is that we should not be impacted too much because we always have this policy with us. Therefore, we don't see any challenge because of this, but yes, there is a little increase in the rejection rates. But I think it will help us to acquire new customers to compensate that kind of rejection.

Moderator: Thank you. The next question is from the line of Renish Bhuvra from ICICI Securities. Please go ahead.

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Renish Bhuvra: Just two questions from my side. So, one on the PAR 0 trend, I mean, if we exclude the Karnataka and Maharashtra which has been the best-performing state for us as well as I'm assuming for the industry wherein we have 50% of our book. Now, if I exclude these two states, then the rest of the states' PAR 0 is actually I think 4%. So, it clearly suggests that there are some challenges across these states. Now of course this could be because of transitory in nature because of election, etc. But how one should sort of read this data? I mean, is this due to the overleveraging given the industry has been growing at an accelerated pace post COVID or is there any structural change in the customer behavior because we have been hearing a lot from the industry players that the center attendance is not sort of back to the pre COVID level and which of course tells us that the customer behavior has changed structurally. So, where do you see PAR 0 settling down in the near term for us as well as for the industry?

Udaya Kumar Hebbar: So, PAR 0 other than the core market was a little higher earlier also. That is why in our earlier call, we said that we have to increase our credit cost guidance as we continue to grow outside Karnataka. Therefore it actually moved up by about 60 bps to 70 bps compared to earlier in the first quarter. We have to see the next quarter or Q2, we feel it should stabilize from here but on a continuous sequential basis last 3 to 4 quarters we have seen an increase in the credit cost in the non-core markets. So, therefore we anticipated an increase in credit cost guidance last year for the year itself. Currently, we are seeing a little higher than what we anticipated in these cases but we believe it is transitory in nature in the first quarter and it should come down to a normal stable cost of what we anticipated about 3.5% outside these core markets.

Renish Bhuvra: So, let me put it this way, sir. So, do you think this 3.5% in other markets is a steady state PAR zero one should think of going ahead?

Udaya Kumar Hebbar: Even then your PAR 90 may be much lower. 4.1% is higher considering the aberration, different Q1, right? PAR 90 we should look at maybe 1% to 1.2%, maybe a stable PAR 90 for a non-core market. That is what reflects in our credit cost, what we build up for FY 2024-25.

Renish Bhuvra: So, in a nutshell, is it fair to conclude that whatever we have been hearing in the newspaper or

media articles about building up stress in the sector , on ground or maybe as per your assessment things will come back in Q2?

Udaya Kumar Hebbar: Should be. It should be stable in Q2 and you still have out to complete the journey what you had in Q1, right? So, actually , the fresh accrual should come down and on top of what you had already in the Q1.

Renish Bhuvu : So, do June and July doesn't indicate those improvement s?

Udaya Kumar Hebbar: The months of June and July are still stable . Our ability to collect back is better actually. So, the delinquent trend remains stable but ability to collect is better whereas in April and May , the delinquency was there, but our ability to recover was bad. The difference is that.

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Renish Bhuvu : So, basically, net fl

ow forwards in June and July should be lower than April and May?

Udaya Kumar Hebbar: Absolutely. Look at Slide No. 6 where we said that in the 0 to 60-day bucket , the collection % is much higher almost close to 40% - 45% whereas the 60+ bucket collection is much lower because it was part of April -May.

Renish Bhuvu : Just last thing on the on the retail loan side, of course now that book is at around INR 750 odd Crore. So, which product is driving this growth? Is this the individual loans that are driving this growth or other s?

Udaya Kumar Hebbar: Individual is a larger portion because we started that as a first product , already it's a vintage product , more than 2 years now. The other products we started recently. Currently , 70%-75% is more of an individual business loan.

Renish Bhuvu : And let's say the PAR trend or asset quality is similar to that of J LG or it is slightly worse than that?

Udaya Kumar Hebbar: It is much better than the JLG at this point in time because these are all cherry -picked , seasoned vintage customers .

Ganesh Narayanan : It's quite clear at the moment across all RF products, nothing significant to mention about.

Renish Bhuvu : Ganesh sir, do we have any internal let's say cap in terms of to which to what percentage we will scale up this book ?

Udaya Kumar Hebbar: So, we already said earlier by 2028 , it we will reach up to 15% of our book.

Renish Bhuvu : The individual loan , I think that was for the total retail asset ?

Udaya Kumar Hebbar: Correct. See , it will all go by a different product starting from different points of time. For example, individual loan started 2 years back , then Loan Against Property (LAP) , Two-wheeler and then we went to Affordable Housing Loan (AHL) . Eventually , by 5 years ' time we are looking at about 40 % - 45% secured book in terms of LAP , AHL and Two-wheeler . LAP and AHL are long-term product s whereas the individual loan is always 3 years product, less than that it will churn out . So, when you have a seasoning of the retail , you will see a 45% - 55% kind of secured and unsecured book.

Renish Bhuvu : So, maybe if I were to just split it, 7.5% would be secured and 7.5% would be individual loans .

Udaya Kumar Hebbar: It will be a 7-8% kind of thing, correct. You're right . Because, the LAP book will not run down, right ? It will only keep accruing whereas other book like they start running down over a period of time.

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Moderator: Thank you. The next question is from the line of Kunal Shah from Citibank. Please go ahead.

Kunal Shah: So, firstly, in terms of the incremental delta of 70 odd basis points, maybe earlier you said like there is an increase, but any specific state which is leading to a higher delta ex of Karnataka and Maharashtra? So, any particular state wherein that increase of 1.7 % to 2.5 % , is it like spread across all of them or maybe we are seeing one or two states having relatively higher?

Udaya Kumar Hebbar: Other than Karnataka, we saw largely everywhere, but Karnataka, Maharashtra is actually standing good , even Madhya Pradesh standing good with less than 2.2% PAR0 whereas others have little higher which actually forms only 15% of our business . Particularly what we saw a little higher is Rajasthan , Kerala , a bit of Jharkhand , and some pockets of Tamil Nadu.

Kunal Shah: Rajasthan, Kerala, Jharkhand , and some pockets of Tamil Nadu?

Udaya Kumar Hebbar: Correct .

Kunal Shah: And secondly with respect to disbursement, so if you can just suggest in terms of the monthly run rate because maybe it's like less than INR 1500 Crore a month , so how would that have been maybe like April and May or slower and getting into June -July we are seeing the traction better because on year -on-year basis also there is a decline. So , I just want to look at it how it should actually pan out i

n the coming quarters ?

Udaya Kumar Hebbar: Year -on-year dip is basically the first 2 months , if an election process , normally you have a lot of restriction s due to the code of conduct, cash handling , and number of customers joining together, all these issues related to the administration. Therefore , we anticipated lower disbursement in any case during the first quarter. But we would retain our annual guidance of growth and we believe our disbursement will continue to become normal maybe after 1 or 2 months because we still believe June, July, and August may be more of a calibrated growth because we have to see how the whole industry , across players it is playing . So, in one or two months or three months , we will be calibrated but in Q3 and Q4, we should be able to grow because normally in microfinance Q3 and Q4 are higher than this. Therefore, we still believe there is no risk of non-complying with the annual guidance.

Kunal Shah: Maybe July -August also we could see INR 1,500 Crore a month kind of disbursement run rate, not much ?

Udaya Kumar Hebbar: Right, maybe between INR 1,500 to INR 2, 000 Crore. It will be, you can calibrate it .

Moderator: Thank you. The next question is from the line of Shweta from Elara Capital. Please go ahead.

Shweta: Sir, two questions . One, while we have maintained portfolio yields over the past 3 to 4 quarters , now given the fact that we are going to implement district -based loan pricing in Q2. So, do we see any changes out there in the trends going forward on the yield front?

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Udaya Kumar Hebbar: Should not be, even if it is there, it will be very small because when you move to granular there will be small ways like ECL which I had explained earlier , a small variation. This may have a small variation but we are not anticipating any significant variation here.

Shweta: Sir, the second on the borrower addition front ; so obviously seasonally Q1 tends to be a weaker quarter. Also , there have been transitory challenges as you explained, but this consistent decline in borrower addition in the past three to four quarters. So, now that we are at a number of 1200 or kind of a number, how much of this would you attribute to these transitory challenges and how much would be on the grounds of prudence wherein we a re sort of trying to curb the challenges because of the industry headwinds.

Udaya Kumar Hebbar: I think there is a correction , our customer additions have not reduced except last quarter. Y-o-Y we have seen the borrower base go up by almost close to 13%. So , it's quite healthy customer relations. It's only in Q1 that we had a transition challenge . Now we are already back to normalcy about 100,000 customer s per month we should start going back . If you go back last 12 months other than the first quarter you would have added almost 100,000 new customers every month. There is no reduction in earlier quarters, but it's already come back to normalcy in terms of the acquisition , we would be able to acquire almost 100,000 clients from this month onwards.

Moderator: Thank you. The next question is from the line of Abhishek M urarka from HSBC. Please go ahead.

Abhishek M urarka : My first question is, just on this rains which have been really di sruptive ; there have been flood conditions in several parts. Any kind of impact due to that in this second quarter so far?

Udaya Kumar Hebbar: We don't see. Normally Abhishek, when the rain impact is a very short term , nothing should happen actually. When the rain impact on the ground is more than 1 week to 2 weeks, then there is a difficulty in the earning capacity of the customer, then it will impact. But we are not anticipating that. So far that situation has not happened. So, let us say in 2019 when 15 days there was rain across causing flooding, and people getting displaced , the

n there was an impact .

But we are not anticipating anything.

Abhishek M urarka : So, far you have not seen that in any major ...

Udaya Kumar Hebbar: No.

Abhishek M urarka : And sir the other thing is their credit cost guidance, so at 2.4 % also, for the full year, the implied credit cost for the rest of the year has been 2.1% -2.2%. So, do you think there is an upside risk to that?

Udaya Kumar Hebbar: Should not be actually. Now, as you said it is a kind of stabili sing now and we will review it by Q2, but we have a strong sense that it should be normal. We anticipated and which is in line is

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the only Q1 little higher actually, but we still believe that our overall credit should be within the guided range for the year. The f irst quarter has a low base effect as well as a low growth effect.

At the overall level, it should not change .

Moderator: Thank you. The next question is from the line of Ashlesh Sonje from Kotak Securities . Please go ahead.

Ashlesh Sonje: Just a couple of questions. Firstly on the MFIN rules, would you have a sense of what is the proportion of your borrowers who would be in breach of either of those two rules, either there

are more than 4 lenders or the exposure is more than 2 Lakh .

Ganesh Narayanan : Our current analysis says there could be an impact of roughly 8%. But I think with new customer acquisition, we should be able to manage that.

Ashlesh Sonje: And what is the typical plan of action for these borrowers in your case?

Udaya Kumar Hebbar: See, normally these borrowers have a high vintage and good business . There's always a position for them to move to retail finance also. Some of them because it is the right business, right culture , and opportunity, we have a few fair products, and they can always move to them. Other s, we may have to decline. But yes, we have to compensate through our higher customer acquisition in such case.

Ganesh Narayanan : And to a certain extent , this INR 2 Lakh limit was an internal guideline already we have .

Udaya Kumar Hebbar: Already we are following .

Ganesh Narayanan : So, we could have a certain impact with four lenders. But I think that we should be able to compensate through a better run rate.

Udaya Kumar Hebbar : Ashlesh , INR 2 Lakh cap we are already following as a part of internal guidelines .

Ashlesh Sonje: Understood, s ir. And you mentioned that you have tightened some credit filters. Can you please elaborate on what changes you have made exactly?

Udaya Kumar Hebbar: So, one is whatever M FIN is asking , largely we are already doing it in our book. On top of that, we have certain geographical grade filters using the rule engine. For example, if you feel a state is a high risk, we would n't allow even 4 lender s, we may do 3 lender s or 2 lender s, depending on our loan size variation based on the geography and risk , pricing based on geography risk. All these are filters that we are using in the rule engine. So, it depends on each risk there is , we can actually play with the ru les that we are using.

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Ashlesh Sonje: And these tighter credit filters would be largely temporary or these are more permanent in nature?

Udaya Kumar Hebbar : It depends . If the risk continues, we have to continue the filter, right? So, we will keep evaluating every quarter or two quarters and see if there is a variation whether you have to tighten or loose, we can do that. So, the good part is we have right software , right engine to manage the se things.

Moderator: Thank you. The next question is from the line of Sebastian from DWS Investment GmbH . Please go ahead.

Sebastian: I just have a general question about the regulatory environment , as per the RBI , the regulator making any statements about the bank, for the loans to NBFCs ? How do you expect the

regulatory environment for the rest of the year to shape up? What kind of measures do you think the financial sector needs to put on itself in order to appease the regulator bit more?

Ganesh Narayanan : I think there has not been any further regulatory action or indications except for pricing that the regulator is closely monitoring. However, the self-regulation that the industry has put in through the SRO is also in the right direction, right? So, you are reacting much proactively to the market conditions and that I think will go on the right way toward the regulatory governance.

Udaya Kumar Hebbar: On loans to NBFCs, I think it's more of NB FCs that are exempted from such kind of risk weight for priority sector lending. So, by default any lending by banks to NBFC -MFIs, the rules are exempted , Sebastian.

Moderator: Thank you. The next question is from the line of Hardik Shah from Goldman Sachs. Please go ahead.

Hardik Shah: I have two questions. The first one is on the borrower addition . Incrementally , what could be the proportion of NTC borrowers that we are onboarding and on a stock basis, what would be the customers which would be unique to CRE DAG ?

Udaya Kumar Hebbar: If you observe for the last four quarter s, we saw about 30 % , 32% to 35% new to credit . We feel that will remain at the same trend of 30%-35% and unique customers are little declining base because as we keep acquiring customers from other MFIs, the unique count will come down. Currently , we are at about 29% . It's a small marginal change that will happen as we add more and more customers with other customers belonging to other MFIs or other lenders.

Hardik Shah: Understood. And sir my second question is on the over-leveraging . Your slides also mentioned that you're seeing some kind of overleveraging on the ground and also Bureau data suggests that there is a high level of retail loan exposure to the MFI borrowers especially in the states of Karnataka and Tamil Nadu. So, can you share some color on your portfolio? How much of your

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borrowers would have detail overlap in terms of the number of customers as well as value if you have that?

Udaya Kumar Hebbar: I think the percentage you are referring to Crif HighMark report , so largely it resonates with

other players and us also but it's more of a secured kind of book what we saw like gold loans or a Two-Wheeler or a housing loan kind of thing, home loan . So, which are longer tenures or somebody in the home other than the customers would be paying. We are not seeing any such impact because of that on our customers . Gold loan is one common thing across the southern part of the country , which is normally they would pay only interest and again keep renewing it, so therefore it won't impact as leverage for our customer. However, in the last three quarters what we observed is the leverage of the customer has increased by about 16% or something , the overall leverage we saw on a sample basis, not full customers . Similarly , the FOIR or repayment load or something also increased by about 12%. So, which we saw in our sample, we keep watching this and taking corrective action s based on the pocket s. As I said, we strengthened the management , strengthened the teams in the pockets where things happen ed. We keep watching with the samples, we lot of full data, but we have to go by some samples.

Ganesh Narayanan: Our retail finance strategy will also take care of it . The whole logic of building a retail franchise in CreditAccess Grameen is seeing the trend in which customers are availing retail finance loans and the products that we have chosen are also in that nature . So, as the customer's income profile improves, we have a better credit history. They will have access to retail finance products from CreditAccess itself. We can move them up as we mo

ve forward.

Hardik Shah: Interestingly, the retail finance delinquencies are much higher than the microfinance delinquencies that we see in the industry. Any specific reason for that? How do you read that?

So, you mentioned that is a more secure kind of a book, for example, housing loans are showing 30 plus DPD as high as 10% as of March 24, so how do you read that data?

Ganesh Narayanan : See, the difference between industry and CA Grameen is that we are doing retail finance with carefully selected products who have vintage with us , who got a credit history and relationship with us. Hence, we will always be better than the industry even in this side of the business.

Udaya Kumar Hebbar: See one of the data points probably what Ganesh says , it is very important. The unique to Grameen and vintage with Grameen, we have seen absolutely great credit patterns . That is what we are actually capitali sing on when we do this retail book.

Moderator: Thank you. The next question is from the line of Shreepal Doshi from Equirus Securities. Please go ahead.

Shreepal Doshi: Just one question on the classification of states in terms of low risk, medium risk , and higher risk. So, have you seen any deterioration in this in the last quarter given that the PAR number in states like as you highlighted Rajasthan, Kerala, and Jharkhand has increased and also in the CreditAccess Grameen Limited

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slide that we have given in the presentation, shows that even states like Bihar have elevated P AR 0 number ? So, have you seen the risk classification changing for some of the key states for us?

Udaya Kumar Hebbar: State wise we have stopped tracking now. Our total 29% portfolio which was falling under high risk whereas when you moved to the district , now 24% fell under high risk . And then medium actually 40 :30, 40% medium it actually reduced to 30% whereas low risk it used to be 31% of the book actually which is now around 35 % of the book com ing under low risk , given this transition.

Shreepal Doshi: So, there has been some movement is what you're trying to indicate but it is less on the state and more on the district side.

Udaya Kumar Hebbar: More district side, correct.

Shreepal Doshi: The second part, like with this new MFIN guidelines, d o you expect that even in key states like Bihar , Andhra , and the newer states that you are targeting for incremental growth, we would see some moderation in our aspirations given that like especially Bihar , UP, these are decently penetrated states in terms of MFI presence. So, overall, our loan growth would also see some moderation in terms of what's in our guidance in the presentation .

Udaya Kumar Hebbar: It is important to note that the industry body has come up with the self-regulatory assurance that we rebuild, or we will make it a more resilient business going forward. I think we should anticipate this better and improv e the learning p rocess going forward because it is accepted by all entities and everybody comes together under the banner. This includes the MFIs, the S FBs, the NBFCs , and the banks together. Today, all of us are part of one entity , MFIN and then the responsibility is accept ed by all of us together. We believe it should be better going forward. I agree that there could be some moderation in growth for a shorter period , maybe not a longer period . In the short period , there could be some growth moderation for the whole industry. We too assumed a kind of little lesser growth . If you see , last year our microfinance growth was 24.7%. What we actually build for FY24-25 is only 20%. Though the total growth we anticipated is 23% - 24%, microfinance growth is only 20%. This is already built into our budget. When we started our annual exercise this year , the little higher credit cost, and little low growth in microfinance were anticipated specifically for Grameen .

Shreepal Doshi: Just last one question, it is on center meeting attendance . What is the difference that we have when we talk about center meeting attendance in the state of Karnataka, which is probably the best performance state for us and for industry versus probably the rest of the states ? So, for us , what would be the difference in terms of center meeting attendance?

Udaya Kumar Hebbar: See largely Karnataka, Maharashtra, Madhya Pradesh, and Chhattisgarh, all are quite good in terms of attendance, with little deviation we could see in the other parts of the country . Where we have a core market and the first entry, we are able to maintain that culture to a large extent,

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but overall, still we have a good 50 %-50% in most part of the country. Yes, a little higher in Karnataka definitely.

Shreepal Doshi: So, what would be in Karnataka, for example, like just to benchmark it?

Udaya Kumar Hebbar: Karnataka maybe about 70 % - 72% and then the overall market may be 50% approximately. I'm not able to give right now yet. But overall sense I'm having.

Moderator: Thank you. The next question is from the line of Ajit Kumar from Nomura. Please go ahead.

Ajit Kumar: So, my first question is the regulator has been instructing MFI lenders to lower growth in Bihar and UP as per various news articles. Is there any communication that is currently going on with the regulator on this and also your portfolio in Bihar and UP has become 3x and 4x respectively between FY22 to FY24, much higher than the overall AUM growth. Are you going to intentionally tone down growth in these states that would be my first question.

Udaya Kumar Hebbar: There has been no communication from RBI to any MFI . We have also seen news articles , but nothing else. We have not heard from anybody that RBI wrote to any one to reduce or make any statement about it. In terms of growth , we follow the calibrated growth approach . We continue to watch the industry , watch the risk of each district , and accordingly , we'll go. I think our growth what we estimated is not very high. Therefore, we will still continue to grow with the calibrated manner in most states also, but in Bihar , we are not planning any branch openings because we have sufficient branches there. It's only growing in the branch where we already have existing branches . In Uttar Pradesh probably , we will expect to add some more branches, but new branches should come from Andhra Pradesh , Telangana , or West Bengal .

Ajit Kumar: Sure. And sir in order to achieve this 23 % to 24% AUM growth target in FY 25, what is the disbursement growth target in FY25?

Udaya Kumar Hebbar: It is similar to about 23% to 24% of disbursement growth.

Ajit Kumar: For the full year, right?

Udaya Kumar Hebbar: Yes, correct.

Ajit Kumar: So, sir, in that context, disbursement growth in the remaining FY 25 has to be around roughly , you can say 28 % to 30%. That is a steep task given soft disbursement even in July and August. And if we see the last year , disbursement growth during 2Q 24 to 4Q 24 versus let's say 2Q 23 to 4Q 23 was only 12%. So, this disbursement growth target seems a little bit on the higher side .

Udaya Kumar Hebbar: No, annualised growth last year for Q1 and Q2 together was about 8%. The balance 19% of the growth we achieved in Q3 and Q4, the last year. We believe in microfinance normally , 60% to 65% growth comes in the second half of the year .

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Ajit Kumar: Sure, so that is achievable.

Udaya Kumar Hebbar: Correct, you are right.

Moderator: Thank you. The next question is from the line of Raghav Garg from Ambit Capital. Please go ahead.

Raghav Garg: Just one question from my side. When you look at the food inflation data , that food inflation has been quite persistent and it

matters even more as food expenditure as part of the overall expenditure is pretty large for bottom -of-the-pyramid customers given their income levels and rural wage growth in real terms has been negative for last quite a few quarters. On the other hand, you have a typical MFI customer seeing about 10 % to 11% increase in exposure levels on a Y-o-Y basis. So, in light of this, how do you expect the repayment capacity to evolve over the next 12 months for your customers or if you can comment on the broader industry, that will be very helpful. Thanks.

Ganesh Narayanan : I think we have seen in history in times of inflation , our customers who are largely into similar profiles earn a little more and sometimes it's also giving a negative correlation to collection.

Having said that, whatever the self-regulation that MFIs imposed, I think this will limit any kind of overleverage that could build up over the next few quarters and it should improve from here. I don't see it deteriorating from where it is today over the next few quarters .

Moderator: Thank you. The next question is from the line of Sarvesh Gupta from Maximal Capital. Please

go ahead.

Sarvesh Gupta: Most of my questions have been answered. Just one question on this overall sort of delinquency that we are seeing, I think you have been alluding to these being majorly caused by the election and the heat waves, but at the same time, there are a lot of concerns and the news reports that we have been reading about over leveraging and this sort of credit cost being expected to go up along with that. So, how do we reconcile this information? I mean this is just a Q1 phenomenon which should stabilize by let's say Q3 for you or we are still in a wait and watch mode to understand how things will shape up with respect to delinquency, especially in the non-core states?

Udaya Kumar Hebbar: Yes. I think about the delinquency potential in the non-core states, we had anticipated that there would be a little higher credit cost compared to the core states, the mixture of all things being over-leveraging, it could be customer migration, it could be political, or some local intervention. Many other parts will be there. That is a major reason why the credit cost increased because of the sensitive period of 60-70 days, the ability to follow up and convince the customer was less due to this sensitivity. This is the major reason the buckets have moved further. Now what I'm telling is that after that, I think it's the ability to go back and talk to customer and convince them to repay is higher. Therefore your ability to control the credit cost is higher. We can keep listing
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many other events also, but we only give the high-frequency reasons during the quarter. And our strong belief is that this is a one-time and a little higher and as we said earlier, we saw 3-4 quarters, there's a little increase all the time in the non-core states. There's a reason we build a little higher credit cost. So, I just explained that earlier.

Sarvesh Gupta: And it also appears from your comments as well as what the industry body is trying to do that any such effort to contain the credit cost going forward would be at a significant cost to the industry growth rate in terms of the AUM. So, would you agree with that sort of statement?

Udaya Kumar Hebbar: It depends. If somebody wants to go and lend to the same customer in the industry then what is right. But there is still opportunity because as per the industry estimate, potential microfinance customer are almost 16 Crore. And what you addressed is only about 8 Crore so far. So, if you spread around your acquisition formula and go to a deep rural place instead of doing it only in cities, I think still you have a good opportunity.

Ganesh Narayanan: Growth has to be widespread

Udaya Kumar Hebbar: Growth has to come from the customer acquisition route, not particular by increasing ticket size, that's all.

Sarvesh Gupta: Understood. And sir finally, at the same time, we are also seeing normal sort of rainfalls across the country. So, that is expected to sort of help the rural economy. So, do you expect any upsides happening because last year was also not so good on that account? So, in your model projections and what we are seeing on the ground, do you see any upsides coming from a normal rainfall?

Udaya Kumar Hebbar: Rainfalls should actually help you stabilize further on what you call credit cost and collections actually. Automatically when the rainfall is normal, agri product, agri job level gets improved, and agricultural level improve. I think it will only improve the collection efficiency and less of delinquency, demand will go up. It is always positive.

Moderator: Thank you. The next question is from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain: Sir, you mentioned in the presentation that you are tightening filters while onboarding new customers and extending loans to existing customers. So, what exactly we are doing here and what will be the target in terms of new customer acquisition for FY25?

Udaya Kumar Hebbar: The target for new customer acquisition, I think we already told, it is about 13%-14% which will be our customer growth anticipated for FY 25. The tightening is on both sides. One is renewal and one is both the new customer and even in both cases, the tightening will be different in different states, probably different districts. Depending on the risk behavior, we may like what I said earlier though MFIN said four customers or not more than four lender, so in many states we have only 2 lenders as per the rule. Maybe in some districts we will go only with only 2 lenders'
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rule or less, so it's all actually based on the risk. We will not have a general rule for everything.

We go by the risk and react to the risk at each district level. So, the granular check is given anticipating risk, tightening the rule, tracing it appropriately, and provisioning accordingly. All three will go with the correlation actually, all four items go with correlation at a granular level.

Ganesh Narayanan: And if I may add with us adopting the rule engine, we have got a lot more power in hand. So, all our attempt is towards making this a lot more finer, making it a little more resilient than what it was when we were doing it at a state level. So, we could work on many variables including

repayment obligations of customers like some of you pointed out, and their overall leverage including retail loans, you can even look at many other variables as we move forward . We can work on pin codes, we can work on certain villages . Whatever we want , we have the power to do it. So, we are able to look at things a lot more granular than what we used to do earlier.

Nitesh: Sure. Secondly , in terms of PAR 0, do you think this has peaked out here or there is a possibility of a further increase in PAR 0 from the current levels?

Udaya Kumar Hebbar: Our belief it will be stable for some time and start coming down.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to the management for closing comments.

Udaya Kumar Hebbar: Thank you everybody for joining in the late hours. So, look forward to the next quarter and for your support. Thank you so much.

Moderator: On behalf of Motilal Oswal Financial Service Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line s.

Call: Oct 2024

Ref: CAGL/EQ/2024 -25/115

October 29, 2024

To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip code: 541770

National Stock Exchange of India Limited
The Exchange Plaza , C-1, Block G
Bandra Kurla Complex , Bandra (East)
Mumbai - 400051
Symbol : CREDITACC

Dear Sir/Madam,

Sub.: Transcript of Earnings Conference Call for Q 2 FY2025

Pursuant to Regulation 30 and Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of earnings conference call, held on October 25, 2024 for Q 2 FY25. The same is also available on the Company's website at <https://www.creditaccessgrameen.in/investors/financials-and-investor-presentations/earnings-call/>.

Thanking you,

Yours' Truly
For CreditAccess Grameen Limited

M. J. Mahadev Prakash
Company Secretary & Chief Compliance Officer

Encl.: As above

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"CreditAccess Grameen Limited
Q2 FY25 Earnings Conference Call"

October 25, 2024

MANAGEMENT : MR. UDAYA KUMAR HEBBAR - MANAGING
DIRECTOR , CREDIT ACCESS GRAMEEN LIMITED
MR. GANESH NARAYANAN - CHIEF EXECUTIVE
OFFICER , CREDIT ACCESS GRAMEEN LIMITED
MR. NILESH DALVI - CHIEF FINANCIAL OFFICER ,
CREDIT ACCESS GRAMEEN LIMITED
MR. SAHIB SHARMA - DGM, INVESTOR RELATIONS ,
CREDIT ACCESS GRAMEEN LIMITED

MODERATOR : MR. RENISH BHUVA - ICICI SECURITIES LIMITED

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October 25, 2024

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Moderator : Ladies and gentlemen , good day, and welcome to CreditAccess Grameen Limited Q2 FY25 Earnings Conference Call hosted by ICICI Securities Limited.

As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touch -tone phone. Please note that this conference is being recorded.

I am now handing over the conference to Mr. Renish Bhuva from ICICI Securities . Thank you , and over to you, sir.

Renish Bhuva: Hi, thanks Nirav. Good evening , everyone , and welcome to CreditAccess Q2 FY25 Earnings Call. On behalf of ICICI Securities, I would like to thank the CA Grameen Management Team for giving us the opportunity to host this call.

Today we have with us the entire top management team of CA Grameen represented by Mr. Udaya Kumar Hebbar - Managing Director; Mr. Ganesh Narayanan - CEO; Mr. Nilesh Dalvi - CFO and Mr. Sahib Sharma - DGM, Investor Relations .

I will now hand over the call to Mr. Udaya Kumar Hebbar for his opening remarks , and then we will open the floor for Q&A. Over to you, sir.

Udaya Kumar Hebbar : Thank you , Renish . Good evening, everyone and thank you for joining the conference call to discuss our second quarter and the first half of FY25 business performance. The unsecured lending space, marked by high growth, has been witnessing an increase in delinquency levels over the past 3 -4 quarters. Given the short -term nature of unsecured lending and timely calibration by various institutions, we believe this credit cycle to be transient in nature. Taking due cognizance of this, the microfinance industry represented by MFIN, implemented the guardrails in July -2024 to strengthen the underwriting norms across all regulated entities. While we have been witnessing an accelerated realisation of delinquencies in the last few months, we believe that the MFIN guardrails are essential for fostering a healthier environment for the industry in the medium to long term.

Coming to the second quarter performance, the overall AUM grew by 11.8% YoY to INR 25,133 Crore with the GL book growing by 9.3% YoY to INR 24,188 Crore. Meanwhile, the RF book continued to show robust growth driven by selective customer base, with an AUM of INR 945 Crore. The customer base grew 7.2% YoY to 49.33 Lakh at the end of Sep -24. On a QoQ basis, we witnessed 4.4% decline in the overall AUM and 1.0% decline in customer base. We added 1.46 Lakh new customers during the quarter and 3.37 Lakh during H1 FY25. Our branch infrastructure expanded to 2,031 across 398 districts as we added 55 new branches during the quarter.

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The Net interest income grew by 20.8% YoY to INR 933 Crore. As guided before, our average and marginal cost of borrowings remained steady at 9.8% and 9.4% respectively. Our portfolio yield at 21.1% and interest spread of 11.4% too remained stable and continued to be one of the lowest in the microfinance industry. NIM stood at 13.5% for Q2 FY25 compared to 13.0% in Q1 FY25, because of higher capital adequacy of 26.2% and low base effect on account of a decline in loan portfolio. The cost -to-income ratio was 30.7% while PPOP grew by 19.5% YoY to INR 672 Crore at the end of Q2 FY25.

We would now like to draw your attention to slides 6 to 10 on the asset quality update. We have observed a temporary increase in delinquencies across various geographies on account of several factors. There have been localized disruption in repayments caused by third -party interventions in various states. Customers have been facing tight

liquidity and cash flow constraints as the

lending industry has curtailed disbursement with more focus on controlling delinquencies.

Further, certain customers, especially agri-laborers, have also faced income variations on account of low rainfall last year followed by severe heat waves during April to June '24.

Furthermore, there has been also a transient impact on heavy rainfall in several regions during September quarter.

On top of all the above, a segment of over -leveraged borrowers with lower cash flow also are part of this delinquent bucket . We expect the situation to stabilize in Q3 FY25 and business sentiment should improve in Q4 FY25. The company continues to strengthen its collection effort with additional PAR control measures by deploying senior and experienced field staff and quality control teams on the back of continuous customer engagement in addition to strong

underwriting measures.

We have tried to understand the current delinquency trend by analyzing the customer overlap with other lenders along with leverage and vintage. The delinquency is the lowest in the case of unique customers with high vintage and highest in the case of customers with low vintage and high velocity of loans being availed from multiple lenders. As on Sep -24, [CA Grameen + 4 & above] accounted for 12.6% of the group lending portfolio and had PAR 15+ of 12.2%. Hence, the overall PAR 15+ impact on account of [CA Grameen + 4 & above] customers is only 1.5%. We have also drawn state-wise comparisons of delinquency versus the micro finance industry by sourcing Credit Bureau data for the month of Aug-24. As visible on slide 9, our performance has been relatively better than the industry across our top five states, accounting for over 85% of our gross loan portfolio.

Our collection efficiency (excl. arrears) stood at 96.3% for Q2 FY25, PAR 90+ at 1.74%, GNPA of 2.44%, and NNPA of 0.76% both predominantly measured at 60+ DPD. The credit cost stood at INR 420 Crore for Q2 FY25 which includes an additional INR 29.8 Crore provision on account of increased ECL% across all three stages compared to Q1 FY25. Overall, the annualized gross credit cost stood at 4.7% for H1 FY25.

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While analyzing our credit cost figure, we would like to draw your attention to our early stress recognition and conservative provisioning policy. The Company is currently holding ~179 bps (INR 431.1 Crore) higher provisioning over PAR 90+ and ~256 bps (INR 629.2 Crore) higher provisioning compared to IRAC prudential norms. Even when we compare us with the average provisioning policy adopted by the NBFC industry, we are currently holding additional INR 102 Crore provisions on account of our early recognition and higher provisioning rates. This will help us to recognize 70 -75% of the current stress in the current financial year instead of deferring it to the next year.

We had a comfortable liquidity position as on Sep -24 with cash and cash equivalents of INR 2,036 Crore amounting to 7.6% of total assets. We have sanctions in hand of INR 3,830 Crore and another INR 6,918 Crore worth sanctions in the pipeline. Our capital adequacy remains strong at 26.1%, further adding strength to our balance sheet.

Our Q2 FY25 PAT stood at INR 186 Crore, with a ROA of 2.7% and ROE of 10.7%. For H1 FY25, the PAT stood at INR 584 Crore with a ROA of 4.1% and ROE of 17.1% reflecting our strong operating profitability on the back of resilient business model. In light of the current industry landscape and short-term challenges encountered, we have revised our estimate for FY25 annual performance guidance. We anticipate loan portfolio growth of 8 -12%, NIM of 12.8-13.0%, credit cost of 4.5 -5.0%, ROA of 3.0 -3.5%, and ROE of 12.0-14.0%. We note that the revised guidance is based on our estimation of stabilization of delinquencies in Q3 FY25

followed by improved business momentum in Q4 FY25. This should be on the back of improved rural economic dynamics during the second half of FY25 driven by healthy agricultural activities. The country has witnessed the highest monsoon rainfall over the past 4 years which should help in increased sowing activities resulting in a positive spillover effect. We reiterate our medium-term growth outlook aiming to reach INR 50,000 Crore mark by FY28 as guided earlier through a combination of both Microfinance and Retail Finance businesses.

Lastly, we would like to share with you all an important update related to the management team. Mr. Gururaj Rao has been elevated to Chief Operating Officer and KMP effective from 01st November, who was serving as the Chief Audit Officer. Also, Mr. Nagananda Kumar, currently serving as the Head – Operations, is now appointed as the Head – Internal Audit with effect from 01st November 2024. Both of them have been associated with us for more than 15 years, contributing to the Company's growth and success. I am confident that under their leadership, we will further strengthen our market share and deliver exceptional value to all our stakeholders.

Thank you for your patient hearing. We look forward to addressing your queries as we open the forum for questions and answers.

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In the meantime, I am requesting Nilesh to give you a 5-minute brief on the asset quality slide,

so that he will give a little more clarity on those slides.

Nilesh Dalvi: Hi, good evening, everyone. So, I will be referring to Slide # 6 to 10. Since there is a lot of data we have shared, I thought it is better we provide you some interpretation of the data given.

On Slide # 6, we have given an update on how the PAR has moved up from Q1 to Q2. So, overall, PAR 0 has increased by 2.9% and PAR 90 has increased by around 1% and PAR 60 has increased by around 1.5%. These percentages are on a pre-write-off basis.

Overall, the slippage what we say at 60 DPD, is around 1.5% and at 90 DPD, the slippage is around close to 1%, the new PAR accretion. And we have also given the PAR0 figures across our top 5 states. So, Karnataka, it is 2.3%, Maharashtra and Madhya Pradesh relatively they are holding well at 4.2% and 4.6%. In TN, it has increased to 6.2%, and Bihar is on the higher side at 8.9%. And other states, it is 8%, but here we have to also take into account that the book debt growth is higher because there are certain states where we are kind of not growing much like Rajasthan, Gujarat, Kerala, etc. So, to that extent, there is a base effect which is kind of playing out there.

Now we move to the Slide #7. Here we have just tried to analyze the PAR by looking at the vintage, lender overlap and leverage. So, the first chart shows the portfolio breakup. This is the lender overlap and the vintage. We see that unique customers, they are accounting for around 27% of the book in AUM terms and CA Grameen +4 and above that segment is accounting to around 12.6% of the overall portfolio. Here we see that the larger proportion of customers in 4 and above bucket, it is in the low vintage, that is between 0 to 4 years. And the table to the bottom right, there we have given the PAR 15+, that is Stage -2 and Stage -3 across lender overlap and the vintage.

So, again, here we see that the PAR is lower in the unique and CA Grameen +1, +2 categories, whereas it inches up in the +3 and +4 and above buckets. CA Grameen +4 and above it is around 12.2% in the PAR 15 as on Sep-24 end. Again, here we see that the PAR is higher in the 0 to 4 years of vintage bucket.

Largely, what we have inferred from this is that customers who we recently onboarded over last couple of

years who have relatively lower vintage with us, that is where since we cannot meet their entire requirement because we will start with say INR 40,000-45,000 kind of a loan, that is where they have larger overlap with other lenders because maybe they might have a certain history in the microfinance industry and their overall funding requirement is higher.

I wanted to highlight is the CA Grameen +4 and above cohort, it is 12.6% of the overall group loan portfolio where the PAR 15+ is 12.2%. So, overall, CA Grameen +4 and above cohort CreditAccess Grameen Limited

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accounts for 1.5% PAR on the overall book. Out of whatever 5% PAR we have, out of that the impact of this cohort is around 1.5%, CA Grameen +4 and above cohort.

Now, moving to Slide # 8, here we have again tried to analyze the PAR by considering the leverage. Here, as we see in the first table to the top left, the total indebtedness of more than INR 2 Lakh, there it is around 9.4%, the overall borrowers, and the PAR 15 for that cohort, that is more than INR 2 Lakh, it is 6%. So, again here, as we see, the PAR is lower for high vintage customers even though their overall indebtedness is higher. As we see in the table in the bottom left and the PAR is higher in the case of low vintage customers who have taken higher leverage. Again, the point we are trying to reiterate is that if higher leverage is aligned with vintage, then the PAR is lower and only in early vintages, if customers have taken multiple loans or they have higher leverage, that is where the PAR is relatively higher. Now considering the two tables on the right-hand side, wherein we have tried to understand CA Grameen +4 and above borrowers, 4 and above borrowers with more than 2 Lakh leverage, that is 6% of the overall borrower base, and there the PAR 15 is around 10%. Again in the bottom right table, the same point appears again that the PAR is higher in the low vintage buckets where the leverage is higher and as the vintage increases, the PAR is relatively lower.

Now, we go to the next slide, that is Slide # 9. Here we have tried to assess our performance versus industry during March to August. So, across all our operating states, PAR 1 to 180, so we are considering 1 to 180 because the write-off policy varies from player to player across industry. That is where the 180 plus, there is a large variance. That is why we are considering 1 to 180 bucket and that is where as on August-24 end, CA Grameen's PAR 1 to 180 was 3.4% versus 6.0% for industry.

In our top four states, we are doing better than the industry. In the case of Bihar and UP, we are largely in line with the industry. So overall, the top five states which account for 85% of our portfolio, there we are relatively doing much better than the industry. This is the CRIF Highmark data what we have sourced for the month of August, which is the latest available data.

Moving to the next slide, on Slide # 10, we have indicated the ECL what we have taken as on Sep-24. So here, the thing is that since ECL is a forward-looking model, we keep revising the

underlying data every quarter. We typically take 36 data points, three-year data. And as the recent data enters into the computation, the ECL rates vary.

So here, from Q1 to Q2, we have seen the ECL rates have increased across Stage -1 and Stage -2. In Stage 1 last quarter, our ECL was 0.89%, which is now 1.0% and in Stage -2, it has gone to 57.6% from 56.7%. So, because of this, it is helping us to build early provisioning buffers and that is where today we see that compared to IRAC norms, we are almost holding over INR 600 Crore of additional provisions, and even when we compare it with the NBFC industry norms, wherein the Stage -2 is provided after 30 days and Stage -3 is provided after 90 days, since we do CreditAccess

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early recognition, we are providing INR 100 Crore of additional provision by booking Stage -2 after 15 and Stage -3 after 60.

To that extent, we believe that the current delinquency which has arisen, almost 60% of the impact has been taken in the P&L and that gives us confidence that the current delinquencies will be largely taken care in this year, so that the spillover effect in the next year will be relatively limited.

These are the larger points I wanted to make. We can now take questions.

Moderator: Thank you very much. We will now begin with the question and answer session. The first question is from line of Dhaval from DSP Mutual Fund. Please go ahead.

Dhaval: Thanks for sharing all these additional data points that are quite useful. I have two questions. First is related to Slide #6 and Slide #9. So, if you look at the change in August to September in PAR, it seems quite sharp in certain states. The PAR increase has been quite sharp. Is that how you expect the, so, the first part is, when do you think this number starts stabilizing based on the past experience? And so, that is one part of the question. And the second is, given that you said 60% of the recognition or at least the provision part is taken, do you think this is the peak level of credit cost and we should start seeing moderation from next quarter?

Uday a Kumar Hebbar: First question, PAR, it is not August to September, it is June to September, I think, what you asked. The change is from June to September and is not in the slide 6.

Dhaval: Sorry, sir, what I was referring to, so if you look at the state-level PAR that was shared, CREDA G versus industry, I think, in slide 9, where we have given, for example, states like Bihar and MP and Karnataka, etc., so, that PAR is as of August for the industry and for us as well. And in September, we have given PAR data in, I think, slide 6. So, the delta change that I am seeing in each of the state numbers is quite sharp. I just wanted to be concerned that that is a kind of magnitude of increase that one has seen and when we think this will stabilize, especially in the top five states.

Uday a Kumar Hebbar: I think there are some data variations. So PAR 90, it is showing. See, Dhaval, that is the difference. That is 180, this is 1 to 270. That is why there is a difference between that because we don't have 1 to 270 proper data from the system, from the Highmark. That is why we took comparable data which is 1 to 180 from the High mark data. So, our data is 1 to 270 days. Therefore, there will be some differences.

Dhaval: The underlying question is basically, this PAR increase that you would have seen, PAR 0 is what I am referring to, between August and September, what would be the kind of change that you would have seen in the top five states? And when do you think this starts peaking out? That's the underlying question actually.

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Uday a Kumar Hebbar: Actually, there may be a difference between 75 bps to 100 bps. That's the difference between that. Now every month it's a variation of 50 bps to 75 bps. So, maybe September was a kind of peak. It could be above. We don't have the right exact data here because quarter-to-quarter data is available with me here, but it could be a little higher about 75 bps, it could be higher than August to September. Just from estimation, it may not be too different.

And on the second part, you said about whether this is the peak. So, our view also should be peaked, but credit cost wise it may not be. What I am telling is the PAR accretion or increase should be peak as per us this quarter or maybe the trend of reversal should start from Q3. So, it may be October may be stabilized, November may start turning around, and December may be

e

bit improvement. So that kind of change we are estimating for Q3.

Dhaval: And so credit cost, you are saying that should peak in Q3, so credit cost wise?

Uday a Kumar Hebbar: Yes, that is our estimate.

Dhaval: And the bulk of the pain should be, I mean 80%-90% of the pain should be crystallized in FY25.

Is that how one should think about it?

Uday a Kumar Hebbar : That is exactly what we are talking about because our 15 + is carrying almost 60% average , right, already. Every quarter, we are already carrying more than 60% for the 15 +DPD book. So , by default even at the March level, we would have carried 60% plus for the 15+DPD already, right. So, automatically , we will be carrying, we will be crystallizing majority of the cost in the same financial year.

Dhaval: And just one last question in terms of growth, how should one think about this current environment and going forward for FY26 as well, from a growth standpoint, if you have any thoughts?

Uday a Kumar Hebbar : Our view is that we should see a turnaround from Q4 and this continue afterwards. I think we don't see any challenge in FY25-26. So , that is why we are reiterating the medium -term growth or medium -term, what you call , guidance for INR 50,000 Crores by FY28. We are reiterating that.

Moderator: Next question is from the line of Rajiv Mehta from Yes Securities . Please go ahead.

Rajiv Mehta: Sir, w hat was the regular bucket collection efficiency in Q2 and versus Q1 ? And is October showing an improvement in that parameter?

Uday a Kumar Hebbar : So, Q2 was 96% and Q1 , was 97% actually. That is a 1% variation.

Rajiv Mehta: I am asking for the regular bucket , 0 DPD bucket collection efficiency , specifically you have that number?

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Nilesh Dalvi: Yes, Rajiv. So, the on -time collection is 95 % for September .

Uday a Kumar Hebbar : Last quarter it was 96%.

Rajiv Mehta: And October?

Nilesh Dalvi: As on September end it's 95 %. So, usually , you can take it as whatever is in PAR , that will be the non -standard.

Uday a Kumar Hebbar : So, it should be 95 %.

Rajiv Mehta: And then is it the right thing to understand that this metric has to start stabilizing and improving for at least the fresh PAR creation will have to start stopping for the whole situation to stabilize?

Is that the right way to monitor this number?

Uday a Kumar Hebbar : No, it will not stop, but it will reduce from here on. That is our estimation. We believe that September may be the peak, with October stabilizing at the same level before starting to decline.

This is our estimation, and we are already observing this trend in a couple of cases.

Rajiv Mehta: So, what is the parameter in terms of collection metric which you are looking at which will make you start dis bursing again more assertively?

Uday a Kumar Hebbar : No, we are actually dividing branch es between the stable branch and a bit of non -stable branch. In the non -stable branch and stable centers , we are planning to start disbursing . We are already disbursing to some extent, and we will start to look more carefully in this upcoming quarter, specifically in Q3 .

So, our metric is more of a stable branch and stable center for growth and the non-stable branch and non -stable center is more of a focus on control and collections. F rom a data perspective , I will tell you , 70% of centers have a 0 DPD actually. So, that's why we are actually working on how to renew well , how to renew with better under writing and all. 73% for the sake of numbers , 73% of our customer center s have 0 DPD.

Rajiv Mehta: And sir, your 0 to 60 DPD bucket has fallen from 1.1% as of June to 2.5% as of September. I am sure you have put a lot of collection effort there, but what is your assessment? Would it largely flow into 60+, or can you reduce the flow because of wha

tever effort you have put?

Uday a Kumar Hebbar : Unfortunately , our view is the flow is higher, not lower, because these are the type of customers, as I said earlier also, it is more customers we acquired in the last 1 to 2 years, probably at the higher multiple lending segment . So, we are not seeing too much recovery from there . As I said , we are very careful and providing it upfront . It will come back to some extent, but not too much . The f low is a little higher compared to earlier.

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Rajiv Mehta: And sir, one last question . When I look at PAR 0 and PAR 30 figures in Bihar , in the newer states, it is pretty high versus the vintage states, versus the older states, but even in Bihar , we are on a very similar line with the industry . There is no difference between CRED AG and other player or the industry as such . Generally , that is not something that we have seen in the vintage states.

Uday a Kumar Hebbar : Bihar is only an exception at this point of time .

Rajiv Mehta: Even in the newer states, I believe that when I look at even in the newer states for which you

have not given the data of 1 to 180, I am sure you are very much around the industry there .

Uday a Kumar Hebbar : There we explained, where we reduce our portfolio drastically, there is an impact of the base effect also . At least 2% variation is because of the business impact, the denominator impact is there . Bihar and UP largely we are in line with industry .

Moderator: The next question is from the line of Gaurav Kochar from Mirae Asset . Please go ahead .

Gaurav Kochar: Three questions from my side . Firstly , how much of this PAR 0 buildup that you have seen in September ? How much of this would you attribute to , let's say , the late monsoon that we saw in floods in various areas ? And you have also mentioned in one of the slides that there were floods and there were collection -related challenges. How much of that would you attribute ? And in sync with that, let's say, in October, has that PAR improved?

Uday a Kumar Hebbar : So, flood -related is about INR 70-80 Crore. No, last September . Now it has actually already come back to almost INR 20 Crore. Normally, there is a small impact on this number because of flood related , but that will not significantly impact us. It will actually come back. It has already come back to a large extent. So, we should not worry about that. That is not a big part. It is a small part actually in the September numbers. When again October some more would have gone up in the last couple of days, but again those will come back. What was the second question?

Gaurav Kochar: Yes, just in sync with this, let's say, the overall October collection efficiency front , has that improved over September so far, while there are still five more days?

Uday a Kumar Hebbar : So far it has remained stable alongside September, Gaurav. There haven't been many changes, that's what I was saying. October and November will be more about stability and then we should look for improvements . Maybe in November , we will see that little improvement and in December we should see more improvements.

Gaurav Kochar: And sir, the AUM growth guidance that you given 8 %-12% for the full year , now even if I take the lower end of that guidance 8%, that is translating into (+15%) growth in the second half of this year. Given the trends currently when we are in stabilization sort of a mode, are you comfortable to grow this portfolio by 15% over the September24 levels in the second half?

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Uday a Kumar Hebbar : Yes, that is our estimation. In Q3, we should be able to turn around. That is what the symptoms show in our book as well as in our field level estimation. If that happens, we will get almost four months of disburse

ment time, which is actually quite sufficient for growing, because we have a very large number of customers where renewals are coming in the second half.

Normally, in the microfinance business, the second half has higher renewals. And we have a very large number of retained customers. So, obviously we will be targeting our own renewal customers. So, we have a good chance of achieving it.

Gaurav Kochar: Just the last question, if I can squeeze in. Your credit cost guidance of 4.5% to 5.0% for the full year, if I look at the first half, you delivered, and if I annualize that, it is closer to 4.6 % to 4.7%.

And you are saying that you expect the collection trends to stabilize in Q3 and in Q4 it should improve. So, is it more on the conservative side or do you believe that overall credit cost outcomes may be slightly better than that? Is it maybe more conservative on the guidance side? Because if I do the math, it translates into, let's say around INR 700 or INR 720 odd Crore kind of numbers, which is pending in the second half. So, do you expect that sort of credit cost in the second half?

Uday a Kumar Hebbar : That is why we kept it a little larger, what you call range, right? So, the larger range we kept, because the best case could be the lower range, and the worst case should be the other range. So, that is why we kept that. So, because this little uncertainty is there everywhere, right? You can't be very precise as of today .

That is why if you see our entire guidance has a larger range compared to our earlier guidances . Because there is uncertainty , we have some plans , some indications . Accordingly , we are working . So, our view is we should do better . That is why if we do better , we will get a lower range.

Moderator: The next question is from Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Two things I want to understand . The first thing is in the slide and even in your opening commentary , when you call this a transitory or temporary increase in delinquencies , I think what we are wanting to communicate is that maybe this credit cycle that we have seen in the MFI sector today that could be more short -lived , could get over in this year rather than transitory in the sense that these are temporary operational difficulties and will get course corrected in the coming quarter . Is my kind of understanding correct when we use a word transient or temporary ?

Uday a Kumar Hebbar : Yes, exactly , but it is not necessarily operational difficulty. It is a bit of environmental issues also there. Environment, I am talking about the whole industry sector . It is not that the micro -finance industry is struggling . There are a lot of other industries which are the finance sector, micro -finance sector, individual loan sector, personal loan sector, credit card sector, retail loan sector. You can see all of them maybe because of some of the reasons which are in the nature of

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third-party intervention, some of the nature of lack of income, some of the nature of the lack of liquidity and cash flow because of tight credit norms by everybody. All these are mixed here . So, that is why we are saying because these are short-term loan cycles , so this cycle also should be short-term and should be over in this financial year itself. That is what our view .

Nilesh Dalvi: Abhijit, one more point to add here . So, the thing is that the MFIN guardrails which have been introduced in the month of July , so that will or that has significantly tightened the underwriting norms in the industry. What we are seeing is that because of this , it will be more of accelerated recognition of the stress. What we have been seeing since last year September , there has been a steady-state increase in the delinquencies on account of various factors.
So, n

ow it is more of accelerated recognition of the se delinquencies which will happen in this financial year or which started in July, June and maybe it should end somewhere in t he third quarter. So, to that extent, as you said rightly, it will be a short-lived delinquency cycle and post that, the industry delinquency trend should be relatively better.

Moderator: Next question is from the line of Shweta from Elara Capital . Please go ahead.

Shweta: So, two questions . One is, sir, you have implemented a district-based pricing model, but if I look at Q2 versus Q1 yields , they have remained largely stable. And the second question relates to you Nilesh . So, you mentioned that customers with 4 and above lenders are largely the low vintage portfolio customers and the overlap with other lenders is higher primarily because your origination amount or initial amount has been as low as INR 40,000 to INR 45,000. So, does it mean that these customers initially came to you and then suddenly they moved to the other lenders? That's why the number of lender count has increased because you were giving less amount of loans in the initial phase.

Nilesh Dalvi: Yes, Shweta, I will take the second question first. So, the point I was trying to make is that, as you know, every year, whatever new customers we are adding, 30% to 35% of the customers are new to credit, which means that the balance of 65% to 70% customers are from the existing market and the unique proportion is higher in the core markets wherein we have a longer operating history. And in the newer markets, it's relatively lower around say 20 % - 25% or 25 % - 30%.

What happens is that when we go in newer markets and we are tapping customers from the industry, it is very much possible that the customer has been operating in the microfinance industry for 5 to 10 years. And since she is new to us, we have to start at level zero, wherein we will be lending anywhere between INR 40,000 to 50,000. So, that is where since we are not able to meet their entire requirement, they might end up availing loans from two or three lenders more.

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That is the point I was trying to refer . And as the customers build higher vintage with us, their eligibility keeps increasing cycle after cycle, post which we are able to largely fulfill their entire financial requirements. That is where in the higher vintage customers we see that we have a higher wallet share.

Uday a Kumar Hebbar : Yes, on this District-based spacing , yes, we implemented it already . So, there is a bit of a shuffle between the district s from the state level to the district level now. But it should not change too much numbers because it only starts catching up quarter-by-quarter over a period of time, it may change a bit. But it will actually help us to identify the risks and place this properly at the district level, at a granular level. It will not change too much on the yield immediately , and it is actually not anticipated to have a yield change. It will remain stable because of this. We have actually degrown during the quarter . So, it will not make too much difference.

Moderator: The next question is from the line of Nikhil Rungta from LIC Mutual Fund . Please go ahead.

Nikhil Rungta: Sir, just two questions, I will say it in one go. One is, we have seen unseasonal rains in October . Of course , you have mentioned that in October , the collection efficiency should be similar or better than September , but because of this unseasonal rain, do we see any impact on October efficiency as well?

Second, when will disbursement growth come back. And also, you had earlier mentioned that in every cycle , there is some or the other learning . So, what is the learning from this cycle and how are we implementing the change?

Uday a Kumar Hebbar : Nikhil, thank yo

u. We had almost INR 80 Crore of defaults in September because of the rains because we had rains in Bihar, Madhya Pradesh, Maharashtra, West Bengal, everywhere. But

that default has already come down to INR 20 Crore. The rains of such kind of default normally will not be a long time. This is hardly one week or two weeks and next week money will come. Similarly, even if in October we may have some difficulty, I am anticipating, Orissa, Bihar will have some default in the next two days. But still, this will come back. We really not worry much about it. So, whatever collection efficiency will remain stable even with that. So, we don't worry much about it.

The second one is about when the growth will come back. We estimate we should get at least four months of good, what you call, business momentum in this financial year. Therefore, we have calibrated about 8% to 12% growth potential for FY25. From the learning perspective, the data that Nilesh explained clearly shows that the default rates are coming from the new customers whom we acquired from different MFIs. Because if you see unique customer, even the new customer is behaving better. So, we need to improve the underwriting. MFN guardrails, one way it's helping us also. In some states, we have made more stringent rules than the MFI guardrails, particularly in newer states, so that we will not make similar mistakes. CreditAccess Grameen Limited
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what we did before. So, it should help us to retain the customers, which will help us to do well. Again, data clearly shows that. So, the learning is to retain our customers and have better underwriting for the new customers in the new geography.

Moderator: The next question is from the line of Shreya Shivani from CLSA India. Please go ahead.

Shreya Shivani: I just wanted two questions. First, I am not sure if you have already shared this, but this 15.3% that you have shared the CREDAG +4 borrowers, as of Aug-24, what would that number be, say, a year ago or any like year ago, year-and-a-half ago, that will be useful.

And second, I wanted to understand that you spoke about, you split your branches into stable, non-stable, etc. So, is 70% of your branches that data that you shared out, does that mean that those are stable, and the group meetings are continuing over there and the rest 30%, there is some disruption in the group meetings? I just wanted to understand details of that 70% data that you were speaking about earlier.

Udaya Kumar Hebbar: Yes. For CREDAG, plus 4, we mentioned about 12% to 13%. A year ago, it was around 8%, if I remember correctly, but not exactly. Maybe Nilesh will check it and let you know later. And in the case of branches, I mentioned the centers, not the branches. About 70% of the centers are performing well; maybe it's distributed among the branches, but at least 40% to 50% of branches have a lower PAR. We are actually enabling those branches to conduct business better going forward because, at this point, we are actively managing them, as the surrounding system is not very strong. We've tightened controls there as well. Perhaps in six months, they will be able to manage within the 2% threshold. I think we are actually starting to work on this and motivate them to acquire customers and disburse more with a strong underwriting process.

Shreya Shivani: And these customer centers, which are under stress, obviously the bigger chunks would be coming from the state of Bihar for you, right?

Udaya Kumar Hebbar: Not necessarily. Bihar portfolio itself is only 5% of ours, Shreya. It is only 5%. It won't make it work. It is distributed.

Shreya Shivani: And sir, just last question, I wanted to understand if I just check the CRIF High mark's data on Bihar state, the different buckets, it seems like the majority of the deterioration has just happened

in the past 2-3 months, right?

This is still June. The trends are still not so worse off as it looks right now. At least from your numbers, assuming your numbers are closer to the industry in that state.

Udaya Kumar Hebbar: Yes, it is the last 3 months. Our numbers have also increased in the last 3 months.

Moderator: Next question is from the line of Bhavik Dave from Nippon Mutual Fund. Please go ahead.

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Bhavik Dave: Sir, a couple of questions, one is on incremental growth. And when we see, how difficult is it to add new customers? We have seen new customers addition drop out and for us to come back to the growth level that we thought about in FY26 maybe, in the current environment, how difficult is it to add new customers considering 6% of our existing customers are already in that 4+ lenders plus 2 Lakh plus ticket size, right? So, even the existing customers will attract. So, a bit on how we are thinking about growth?

Udaya Kumar Hebbar: See, the growth will come from two buckets, one is from renewals, and one is from new customer acquisition. So, a large number of customers will come for renewal in the second half actually.

Even if we think about 6% of customers we have to drop, so we have already, if you look at, we are already acquiring more than 50,000-60,000 new customers per month with the new guardrails, right? So, it is a bit of scaling that normally will happen in the second half. You will

have a n increase in customers also, an increase in renewals also. These two things should take care of our, what I call, moderate growth, what we estimated.

Bhavik Dave: Another question was, in terms of customer behavior , right? And we have understood that customers have a very high understanding in terms of their credit scores. Is this cycle wherein the incomes have not got impacted , but obviously some overleveraging has taken place. Do you see customers coming back and repaying as and when they have their money in their account rather than just going away? Is that recovery or behavior visible in this cycle because COVID incomes got impacted , so that during demon , this cycle is very different. So , how is the consumer behavior or customer behavior in this cycle , if you could just talk about that?

Uday a Kumar Hebbar : I think we need to wait and see. As of now, in the last three to four months, our experience says that actually moving forward is much higher than the recovery here. We have to see probably the next three months and see how it changes. As of now, it's mostly moving forward, the lesser recovery we are seeing.

Moderator: The next question is from the line of Hardik Shah from Goldman Sachs. Please go ahead.

Hardik Shah: Sir, I have two questions. One is in the last quarter, you alluded that your ability to access customers was better in 2Q and hence you are receiving partial payments. How is that trending for delinquent customers? Number one.

And number two, if I see the fresh flows across states from Q1 to Q2, that has gone up across states. Karnataka has gone, for example, from 0.3% to 0.9 % , Tamil Nadu from 1 % to 1.7 % , Maharashtra from 0.5 % to 2.6%. So , what is giving you confidence that things will stabilize in 3Q and improve in Q4, given that fresh flows are continuing to come across states?

Uday a Kumar Hebbar : The access to delinquent customer s is still good, but unfortunately, the recovery is a little less compared to earlier . We thought in the June quarter, we should be able to recover, but it is not exactly what we had wished earlier. It is not on expected lines. We expected to recover more.

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Unfortunately, this kind of customer has multiple lending , and probably what we say over-leveraged or so, I think there are actual

lly so many third -party interventions in many states. They are not repaying. So, less repayment is coming.

The second, what you said is, yes, there is an increase in the , what you call, Karnataka , Maharashtra also, but it is not as high as compared to the whole industry or compared to the other states. We strongly believe that this will still be controllable and then we will be able to manage much better . And already we keep checking the field, we keep checking the field information how it is moving. We are seeing the stabilization in both Karnataka, in Maharashtra and Madhya Pradesh and Chhattisgarh and even Tamil Nadu.

For example, today it shows a PAR 0 of 6.2%, but it has largely stabilized, with accrual additions in August, September, and October not exceeding those of the previous month. Therefore, we are observing similar trends in many states. We strongly believe that we should be able to turn things around in Q3 and achieve growth in Q4, unless something significantly different happens, as of now.

Hardik Shah: The ban made by RBI for a couple of NBFCs or also microfinance players, will that accentuate problems in some of the states that you operate in, in terms of liquidity and hence the problem that was accentuated by MFN guardrails could kind of get accentuated even further?

Uday a Kumar Hebbar : It should not be because our overlap with any of the se players is very, very low. Therefore, we don't see any issues because our maximum overlap is only with IndusInd Bank . We don't have even double -digit overlaps with other players . So, we don't have any worries about that.

Hardik Shah: And sir, last question on your retail book, which you have grown a lot in this quarter, although it remains a very low proportion . Any color on the asset quality there? How is that trending?

Uday a Kumar Hebbar : No, that asset quality is very very good actually. I think , overall , within 0.6% of PAR 30 kind of thing. Sorry, it's 0.3 %.

Moderator: The next question is from the line of Gaurav Sharma from HSBC . Please go ahead.

Gaurav Sharma: So, two questions. One is, sir, we have seen that you have increased your branches, but in the number of employees , we have seen that they have decreased from the last quarter. So , what explains this divergence ? That is number one.

And second, sir, you have mentioned in the medium term that the share of retail finance would be around double digit s. And given your target of INR 50,000 Crore, so do you think you will be growing these segment s more aggressively and their share may increase in medium term or you will stick to your previous guidance over the share of this retail finance portfolio?

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Uday a Kumar Hebbar : I will answer the second one. Now retail finance will grow as per our earlier model of what we

said that by FY28, we would reach up to 15%. So, that is the way we are doing. So, it will not grow too fast, but it will not grow too slowly also. 15% reaching by FY28 means we should reach INR 7,500 Crore, which is almost, from INR 1,000 Crore to INR 7,500 Crore is not small. It will grow in speed, but the percentage will remain about 15%.

On the employees, it is a small aberration. I think it is about a few hundred employees who have changed. There may be more in trainees, which does not come in the number. So, there is no, what you call, worry about any employee attrition issues with that.

Gaurav Sharma: And sir, the hiring for these additional branches has already been done or it will come in the, like, the Op ex.

Uday a Kumar Hebbar : Yes, normally we start with a few employees because once you open the branch, it takes at least two months' time to start the business. So, therefore, in that process, we will take employees and we will hire maybe one or two employees we would have hired first,

one branch manager and

one employee. Then within two months, we will hire more employees for those branches.

Gaurav Sharma: Those are my only questions.

Moderator: The next question is from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain: So, one question. So, the key issue at this time is over-leverage at the customer level. And this will keep on repeating with two, three years. So, what are we doing to make customers exclusive for us? Because the best asset quality experience is provided by the customers who are exclusive to us. So, from here onward, what are the steps we are taking so that more and more customers are exclusive to us?

Uday a Kumar Hebbar : See, our operating model is to always acquire and retain, Nidhesh. It is only in that process. It is only reevaluated that that is the best way of running this microfinance business. So, I think it is more of an underwriting improvement, which we already know, sometimes, they are actually stringent than the MFN guardrails. Some more analytical abilities we have used. So, I think we will keep doing what we did and press additional underwriting process and high touch will remain as our core business model, which will help us to grow. That's why it is temporary, but yes, we will definitely learn some of these lessons and build a more robust process to retain our employees, our customers.

Nidhesh Jain: Sir, just to add that MFN guardrails are also pretty aggressive. They are allowing up to four lenders. So, it is reasonably aggressive in my mind and up to INR 2 Lakh they are allowing. So, ideally we should be operating at much lower numbers, at least in the number of lenders internally.

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Uday a Kumar Hebbar : I think it should be calibrated. I think it's not that time to comment on that from my side, but we should look at the vintage customers of non-vintage and then we should work on a different model. As you see from some data, a vintage customer with high leverage, still it is good that there is no delinquency or less delinquency, right? So, we need to be a little careful in designing it, but we will at least this time it is important to start something. It may be 3 lenders or 4 lenders. There was enough debate. Finally, we said, let's start with 4 lenders. Maybe over a period we will move to 3 lenders also, depending on looking at the implementation and the results actually. But the MFN said that after Q3, they will again review and see the impact of the guardrails, whether to make it more stringent or to add more parameters, they would look at it.

Moderator: The next question is from the line of Shreepal Doshi from Equirus Securities. Please go ahead.

Shreepal Doshi: Sir, my question is on how are the center meeting attendants trending in the month of October? And from the qualitative aspect side, is there a, like, how is the inherent will to repay the loan, that aspect being discussed with customers from your RMs or your senior RMs who are right now going at the ground level probably?

Uday a Kumar Hebbar : So, center attendance, there is no variation in October or September. I think largely we are more than 60%-65% in the southern market. So, it is a little less in the northern market. Now, it may be 50%-55%. There is always a huge difference. And willingness to pay, even if you take an average 50% or 50%-55%, your one-time collection is 95%. That itself shows there is a willingness to pay, correct? So, even they ensure that they are paying to the center actually. So, if you ask me what is my door-to-door collection, it's only about maybe 3% to 4% other than everything that is paid in the center and on time. Therefore, sometimes we need to be giving that extra space to customers. Even though they are not coming to the center

meeting, they are willing

to pay and pay on time in the same center. They may have their own difficulties attending the center meeting. So, therefore, we are fine with that actually.

Shreepal Doshi: Just one last question. From these 27% centers which are relatively having higher delinquency, so which state would these be coming from or would be part of?

Uday a Kumar Hebbar : This is spread across all states. Higher the delinquency state would have a higher percentage. A

lower delinquency state would have a lower percentage. Correct? But there were largely it is little higher delinquency states, like in Tamil Nadu, Bihar, Jharkhand, Rajasthan, and Kerala. These are a little higher in terms of the percentage of centers .

Shreepal Doshi: And what strategy we have deployed to improve our collections there?

Uday a Kumar Hebbar : So, those centers need to be basically assigned to the better -experienced employees there. A higher proportion of centers will be handled by a more experienced employee to handle and motivate the customers.

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Moderator: Thank you very much. Ladies and gentlemen, we will take that as a last question. I will now hand the conference over to Mr. Renish Bhuvra for closing comments.

Renish Bhuvra: Thank you, CreditAccess team for the detailed answers. Thank you, everyone. We can now log off.

Moderator: Thank you very much.

Uday a Kumar Hebbar : Thank you , everybody , and Happy Diwali to everybody.

Moderator: Thank you very much. On behalf of ICICI Securities Limited, that concludes this conference.

Thank you for joining us , and you may now disconnect your lines. Thank you.

Call: Jan 2025

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January 29, 2025

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Dear Sir/Madam,

Sub.: Transcript of Conference Call for Q 3 FY25 Results

Pursuant to Regulation 30 and Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Q 3 FY25 Results Conference Call, held on January 24, 2025.

The same is also available on the Company's website at :
<https://www.creditaccessgrameen.in/investors/financials-and-investor-presentations/earnings-call/>.

This is for your information and records.

Thanking you,

Yours' Truly
For CreditAccess Grameen Limited

M. J. Mahadev Prakash
Company Secretary & Chief Compliance Officer

Encl. As above

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"CreditAccess Grameen Limited
Q3 FY25 Results Conference Call "

January 24, 2025

MANAGEMENT : MR. UDAYA KUMAR HEBBAR – MD, CREDIT ACCESS
GRAMEEN LIMITED
MR. GANESH NARAYANAN - CEO, CREDIT ACCESS
GRAMEEN LIMITED
MR. NILESH DALVI - CFO, CREDIT ACCESS GRAMEEN
LIMITED
MODERATOR : MR. KRISHNAN ASV – HDFC SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY25 Results Conference Call of CreditAccess Grameen hosted by HDFC Securities Limited.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Krishnan ASV from HDFC Securities Limited. Thank you and over to you, sir.

Krishnan ASV : Very good evening, everyone and welcome to the Credit Access Grameen Q3 FY 25 Earnings Call. On behalf of HDFC Securities, I would like to thank the Credit Access Grameen management team for giving us this opportunity to host the call.

Today, we have with us the senior management team of CreditAccess Grameen represented by Mr. Udaya Kumar Hebbbar – the MD; Mr. Ganesh Narayanan - the CEO and Mr. Nilesh Dalvi - the CFO.

Without further ado, I will now hand over the call to Mr. Udaya Kumar Hebbbar for his opening remarks and then we will open up the floor for Q&A. Over to you, sir.

Udaya Kumar Hebbbar : Thank you, Krishnan. Good evening, everyone. I wish you all a happy and prosperous New Year. Thank you for joining today's conference call to discuss the performance of CA Grameen for the third Quarter and the first 9 months of FY25.

The resilience of the microfinance industry has been tested and validated multiple times in the past when both business operations and asset quality were affected by various external and internal factors. Today the industry is mature and capable of proactively taking corrective measures to navigate any crisis. The MFN guardrails introduced by the industry serve the purpose of strengthening the underwriting standards which will not only protect the customer interest but also help in maintaining stable asset quality. While there has been a transient increase in the delinquency trend due to tighter underwriting norms, we believe that these measures will make the industry robust and drive balanced growth in the future.

CA Grameen has consistently demonstrated superior cross-cycle performance on the back of our customer-centric and employee-first approach, which has not only shaped our day-to-day operations but also served as the pillars of our resilience. The recent increase in the industry delinquencies has again tested the strength of our business model and we have been able to emerge stronger, given our enduring fundamentals and agility in responding to evolving circumstances.

Our initial assessment of the current delinquency cycle being transitory in nature has come true as we see the new delinquency addition rate slowing down across various geographies in mid-CreditAccess Grameen Limited
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November 2024. While we had initially estimated the delinquency trend to peak out in September, the actual peak was seen in October and November due to the temporary impact of festivities, heavy rains, cyclones and localised disruptions. The new delinquency trend reversed as was materially visible across various markets beginning mid-November, getting further stronger in December and January. While Tamil Nadu has been showing an improving trend, the minor increase of PAR 15+ in January was due to the lagged impact of heavy rains/cyclones in November and December. However, we expect this to normalise since there are large number of borrowers paying partially. Overall, we believe that the new delinquency addition should normalise by Q4 FY25 or Q1 FY26. We have also seen the roll-forward rates having reduced

in

the PAR 1-60 bucket driven by over >40% borrowers making partial repayments. This improvement is due to employee attrition being addressed, with more feet on the street providing

additional bandwidth for collections, and employee strength returning to normalised levels in January.

With delinquency trend showing the signing of improvement, growth has regained our focus, reflected by the AUM growth in December after 8 months of contraction. Our monthly disbursement rate which was at 50 -60% of the normal trend over July to November, crossed 80% in December and 90% in January. A similar trend is also reflected in our new borrower additions, which saw the share of New -to-Credit customers increasing from 30 % - 35% to 42% in Q3 FY25. Our Retail Finance division, central to our diversification strategy, also experienced significant growth with disbursements increasing by 51% QoQ, reflecting robust customer demand and our ability to deliver tailored solutions. Retail Finance now accounts for 5.0% of AUM amounting to INR 1,245 Crore at the end of Q3 FY25 compared to 2.1% a year ago.

In light of the current industry scenario, it is important to quantify the current impact of existing MFIN Guardrail 1.0 and the potential impact of Guardrail 2.0 applicable from Q1 FY26. We would like to draw your attention to the Slide 10 briefing about the current impact. Notably, there has been a significant deleveraging on both the customer base and the loan portfolio. In the >= CA Grameen + 3 lenders cohort, the GLP share decreased to 18.8% in December 2024, compared to 25.3% in August 2024. Additionally, in terms of the customer base, the share dropped by 500 bps to 23.6% at the end of December 2024. Furthermore, the deleveraging trend is clearly evident in the cohort of borrowers with unsecured indebtedness > INR 2 Lakh. The AUM% has decreased significantly from 19.1% in August to 13.3% in December, reflecting a sharp reduction in exposure to this segment. At the same time, the share of borrowers in this category has declined to 11.6% in December compared to 16.7% in August. Kindly note that unsecured indebtedness refers to both MFI loans and unsecured retail finance loans, as defined by the guardrails stipulated by MFIN.

Now coming to the delinquency portion on Slide 11, the impact of tighter underwriting standards has largely been realised. PAR 15 + in the case of borrowers with 4 lenders increased from 6.1% in Q2 FY25 to 10.1% in Q3 FY25. Similarly, PAR 15 + in the case of borrowers with more than 4 lenders, stood at 22.1% in Q3 FY25 vs. 12.2% in Q2 FY25. Out of overall PAR 15 + of 6.3%, CreditAccess Grameen Limited
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2.9% was on account of borrowers with 4 or more lenders. Similarly, PAR 15 + on account of borrowers with unsecured indebtedness > INR 2 Lakh was 1.3%.

We have also analysed the loan performance of MFI borrowers with active retail finance loans and found that the delinquency rates for both segments are not significantly different. The PAR 15+ for MFI borrowers with retail loans is 7.0%, compared to 6.0% for those with only MFI loans. This is an encouraging sign, given our strong underwriting standards and the fact that the majority of the retail exposure is in the form of gold loans, where PAR is technical in nature.

The assessment of the potential impact of MFIN guardrails in the coming quarters is captured in Slide 12. Out of 23.6% of borrowers with >=4 lenders, 84% are promptly paying. This will help them in a gradual reduction of leverage and multiple loans, making them eligible for future loans. Further, only 30% of this cohort have unsecured indebtedness exceeding INR 2 Lakh. Based on our internal evaluation, we are confident that we can retain more than 80% of borrowers in the 4/5 lenders cohort. This analysis clearly shows that MFIN guardrails will not have any major impact on our customer retention a

nd future growth.

Now, I would request Ganesh to brief you on financials, new initiatives undertaken and performance guidance. Over to you, Ganesh.

Ganesh Narayanan : Thank you, Udaya. A very good evening to everyone on the call. I start by wishing you all a very happy New Year. Thank you, Udaya for the detailed brief.

While we are anticipating the new delinquency accretion rate to normalize over the coming months, it is imperative for us to complete the accounting journey for the existing delinquent book. Our early risk recognition and conservative provisioning policy have been key drivers in maintaining financial stability and ensuring that we are well-positioned for the future.

Further, our approach to taking accelerated write-off over the 3 quarters starting from Q3 FY25 is an effort to early recognize the impact on our financials by the end of Q1 FY26. Accordingly, we took an accelerated write-off on loan accounts with 180 + DPD on paying amounting to INR 229 Crore this quarter resulting in an additional credit cost of INR 73 Crore. The total write-off for Q3 FY25 stood at INR 376 Crore and for 9M FY25 at INR 606 Crore. Overall, we continue to hold INR134 Crore higher provisions compared to the NBFC industry, 243 bps or INR 587.5

Crore higher provisions over PAR 90 and 412 bps or INR 1,010 Crore higher provisions compared to IRAC prudential norms .

The credit cost stood at INR 750 Crore in Q3 FY 25. Our collection efficiency, excluding arrears stood at 93.3% and collection efficiency, including arrears at 94.1% for Q3 FY25. PAR 90 stood at 2.64%, GNPA at 3.99% and net NPA at 1.28%, both predominantly measured at 60 DPD. The collection efficiency X bucket was over 99.20 % for December. The net interest income grew by 7.4% year-on-year to INR 862 Crore with a portfolio yield of 20.2% and an interest spread of

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10.4%. We have been able to maintain our average cost of borrowing at 9.8 % for the last 6 quarters, despite the prevailing scenario .

In Q3 FY25, we raised INR 3,862 Crore including €25 million from German Investment Corporation DEG and INR 170 Crore from Cit i through a Co-financing facility. With DEG on board, we now have 6 international DF Is in the lender profile. These strategic partnerships are crucial in diversifying our funding sources and providing access to long -term cost-accretive capital . NIM s lightly declined to 12.5% for Q3 F Y25 due to an interest reversal of Rs. 75 crores, while 9 months F Y25 NIM stood firm at 30%. The cost -to-income ratio was a t 31.3% while PPOP stood at INR 623 Crore in Q3 FY25 and INR 2,004 Crore in 9 months FY25.

While conservative provisioning and accelerated write -offs impacted Q3 FY25 profits, it will safeguard our profitability over the coming quarters with the growth rate getting normalized.

Overall, despite elevated credit costs, we estimate to deliver 2.3% ROA and 9.2% ROE in 9M FY25. We are maintaining healthy liquidity levels with cash and cash equivalents of INR 3,222 Crore amounting to 11.7% of the total asset. Additionally, we have sanctions in hand of INR 4,071 Crore backed by both domestic and foreign lenders and another INR 6,733 Crore worth of sanctions in the pipeline. The capital adequacy remained high at 25.9 %.

As a part of our strategic initiative , we are pleased to introduce two new applications , Grameen Maitri designed for employees, which is a comprehensive platform that manages the entire customer life cycle from onboarding to drop out. It streamlines branch operations by enabling all required tasks to be performed within a single unified system. On the customer side, MAHI, our customer digital handle has been launched to offer convenient access to individual and group loan products , request for additional loans, receive payment reminders and make repayments through

UPI, etc. With over 2 Lakh registered users so far , the app is available in 10 languages across our operational regions. Built with the latest technology stack, it integrates all necessary digital APIs and interfaces, ensuring a seamless user experience. Basis the transaction history , the app will offer varied features /experiences to the customers .

Drawing reference to past crisis like Demonetisation and COVID, we witnessed normalization and profitability over 3 quarters . Considering the current scenario, we are aiming for an AUM growth of 7%-8%, NIM of 12.8 %-13.0%, credit cost of 6.7 %-6.9%, ROA of 2.3 %-2.4% and an ROE of 9.5 %-10.0% in F Y25. The preliminary outlook for FY26 projects healthy 18 %-20% AUM growth , 4.2%-4.5% ROA and 17%-19% ROE.

We shall come up with detailed FY26 guidance in May along with our F Y25 Financial Performance . We thank you for your time, interest and continued support. We look forward to addressing your queries as we open the forum for questions and answers. Thank you.

Moderator: Thank you. We will now begin with the question -and-answer session. The first question is from the line of Shreepal Doshi from Equirus. Please go ahead.

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Shreepal Doshi : Sir, my question was firstly on this accelerated write -off during the quarter, so what was exactly the profile of these customers in terms of they being more than INR 2 Lakh ticket size or they being CreditAccess +3, CreditAccess +4, if you could just some color on that ?

Udaya Kumar Hebbar : Sorry Shreepal, this is more based on the repayment profile because these customers are already more than 180 days and there is no repayment coming from them from a minimum 90 days. So, that is where we thought into a write -off. We have not gone through that kind of detail, which we can analyze and share with you privately after.

Shreepal Doshi : The second question was on X bucket collection efficiency trend from Sep '24 to Jan '25, if you could provide that will be really helpful ?

Udaya Kumar Hebbar : For the month of December , it is 99.2%, I think it is more relevant what is latest, which we will continue and we expect January also continue in the same level . As of now , it is equal to 99.2% level . November and December , it was around 98.8 % and 98.7 % between October and November and for the month of December, 99.2 % . January in a similar performance.

Shreepal Doshi : Is this available in your presentation actually?

Udaya Kumar Hebbar : In Slide # 6, it is available . Actually, it is PAR 15+, but I think more or less you can see that , PAR 15+ is already available, that the reverse data is actually expected.

Shreepal Doshi : And sir, one last question was on the industry side, so with guardrail 2.0 being implemented from April 2025 and while we are seeing positive trends on a asset quality side and also on the disbursement trend that is highlighted in one of your slides in Jan , but how do you see things shaping up for us and for industry in FY26 in terms of trends on growth as well as on sustainable growth?

Udaya Kumar Hebbar : So, maybe I will be able to give trends for us actually because we need to see exactly for the industry after getting more balance sheets and publications by others. So, for us, we are clearly seeing visible improvement. Two, for new customers, largely we already implemented that guardrail. We feel that it is very important for new customers , though it is referred to 1st April .. And also we put that trend there in our presentation that even if it is implemented from 1st April , the implication is quite low because that set of cohort, already 84% are paying and our internal assessment clearly shows that we will be able to retain more than 80% of customers in that bucket also.

Shreepal Doshi : But I know you had the growth percentage guidance would be

given later on, but will it be like

structurally coming off at closer to 15% or there is a possibility of even better trends on the growth front ?

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Udaya Kumar Hebbar : No, for the industry, it is difficult to say right now . We have actually estimated if you see the slide which talks about annual guidance, we said 18%-20% growth is estimated preliminarily by us for the next FY25-26 and for the current year , we are talking about 7 %-8% growth.

Moderator : Thank you. The next question is from the line of Neetu Tharakan from MFO. Please go ahead.

Neetu Tharakan : Mr. Ganesh, I didn't get the presentation, so maybe some of my questions is because, I don't have a physical , not able to see the PPT . But I am just curious , we see the trend of delinquencies across the industry, but when can we expect a normal figure coming in maybe like what Q1 of next year or it might take more than that?

Udaya Kumar Hebbar : I will take that. I think we did that initial remark, I think between Q4 this year and Q1 next year. Between that, we should be getting into a normal zone , Neetu .

Neetu Tharakan : I was just asking, what is the loan portfolio size now compared to last quarter and I heard that you are seeing a positive trend, so I am expecting it to grow in the next few quarters, but right now I don't have the figures for this quarter ?

Ganesh Narayanan : So, as of December, the AUM of the company stood at INR 24,810 Crore. As of January 20th, it is at INR 25,125 Crore. So, year-on-year, we have grown , quarter -on-quarter, we have decreased growth because of the accelerated write -off.

Moderator : Thank you. The next question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani : Sir, my question is more around the business operations on the field. We had heard about loan officer attrition being high across MFI players and probably that number is north of 50% for the industry. Where would we stand? Can you help us understand what are the key concerns the loan officers have currently, and we had also picked up from some industry interaction that there is a peculiar case in the MFI industry that many of the loan officers who quit their jobs in the past couple of months, they actually quit and did not join any other formal sector. So, can you help us understand what is exactly going on at the branch level among the loan officers and at the operational level, not so much to do with what is happening with the customers over here ?

Ganesh Narayanan : Normally, in periods of elevated stress, the attrition does moderately go up, same for it, but however, for us differently, during this cycle we have got roughly around 3,000 employees requesting to rejoin the CA Grameen . So, I think we will be able to manage even if the attrition goes up slightly, but right now it is not a big challenge for us.

Shreya Shivani : Sir, is there attrition rate higher than 50% or lower than 50%? Is there some number you can?

Ganesh Narayanan : It is lower than 50%.

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Shreya Shivani : And sir, this is not just specifically about you, but if you could just help us understand, yes, in times of stress, the loan officers do exit , but is there a trend where they exit and they do not take up jobs in the formal market because we picked up this in some of our conversation with some other industry experts ?

Ganesh Narayanan : It is a combination. Some of them do, some of them don't. So, it can be probably equal in number. A lot of young guys and girls who join , test the waters, and if it doesn't suit them, they leave the industry and if it doesn't suit the organization, they go with some other company.

Shreya Shivani : And sir, in times of stress , does the attrition rate pick up more in loan officers who have joined

within the p

ast one year or with more than 2 years or 3 years or was there a change in the way hiring was done that did the industry hire people with lower expertise or something like that? Had something changed in the last 2 years that led to much worse behavior in attrition trends currently or because of this normal trend that has gone on?

Ganesh Narayanan : It is a normal phenomenon under stress. Like I said, a lot of pressure will come in. They will not be able to kind of handle the situation, but once an employee normally crosses 6 months or 1 year, they don't have all these issues.

Shreya Shivani : And sir, my last question, just one follow-up over here. Have we changed any requirements in our hiring process for these loan officers? Have we tweaked it upside or downside?

Ganesh Narayanan : So, you would know that we always hire only fresher s and we stick to our strategy and there is no tweak in any of our processes.

Moderator : Thank you. The next question is from the line of Sanket Chhed a from D AM Capital. Please go ahead.

Sanket Chhed a : Sir, my question was on our guidance, particularly this year we have been stretched on our credit cost guidance as we move quarter after quarter. And now, as there was earlier question that from April, the guardrail 2.0 will be in the effect and we have different shares in terms of CreditAccess +3, 3+ and 4+, so what makes us so confident to give this guidance of 18 %-20% growth plus ROAs also, almost in the range of normalized levels and ROE while it has been a turbulent last few months. November was just the peak. After that it is just 1/2 month that we are seeing some improvement, but we are yet to solidify those trends. So, what gives us that confidence to be so early in terms of guiding mostly a normalized year this is FY26 ?

Ganesh Narayanan : So, if you look at our earlier guidance about peaking out and how we will normalize, we are more or less there. We have got a 4-week delay, but otherwise we are already seeing that pattern emerged more than December as well as January. And we are confident that we should sustain it during the year, right. And like we said earlier, all our internal analysis, we have done a full PR of our customers, etc. Basis our internal analysis, it gives us enough confidence that the next CreditAccess Grameen Limited
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year growth also irrespective of the new guardrails coming in, we should be able to maintain and we have strategies around it.

Nilesh Dalvi : Sanket, I will add here. So, see one thing is that if you see always, a majority of our growth has come from customer retention, historically 60% growth has been from retention of customers.

So, as we have shared data, we have a fair visibility on retaining the customer cohorts who have say more 3 or 4 loans because a majority, more than 80% of those customers have been promptly paying. So, as a result of that, there has been a normative deleveraging which has happened over last 6 months and which will continue to happen over next 3-4 months as well. So, in a normative fashion, they will become eligible to avail future loan. So, that is where it gives us visibility to retain our customers and second is the addition of new customers.

In the month of December, we have added 70,000 customers, the current run rate in Jan suggests that we will cross 80,000 and in a normal period, we have been typically adding around 1 Lakh customers a month. So, adding 1 Lakh customers a month, next year should be achievable for us, which will give us a high single-digit growth in borrower base and overall microfinance portfolio maybe around 15%-16% and on top of it, we will also be getting growth from retail finance which has been demonstrating healthy growth. As you see over last one year, retail finance had grown from 2% -5%

and lastly it is behaving very well from the asset quality point

of view as well and it is a step towards retaining our high vintage customers. So, a combination of all these factors gives us the confidence to deliver that growth in the next year.

Sanket Chhed a : And in our ROA guidance, what have we assumed in terms of the credit cost for next year?

Nilesh Dalvi : Sanket, like if you see our guidance this year, we had earlier guided around 5%, now we have revised it to 6.7 %-6.9%. So, basically 1.2 %-1.4% delta, it is on account of a month of delay in the improvement in the reversal in the delinquency cycle. So, that is where 1% has added to this year's credit cost. And now, as we said, we are going to take accelerated write-off over Q3 FY25, Q4 FY25, and Q1 FY26. So, that will help us to absorb more than 80% of the current year's impact in the current year itself. From that perspective, maybe in a normative year, if our credit cost is around say 2.0%-2.5%, on top of it, maybe another 75-100 bps might get added into the next financial year. So, that is where for next financial year, as of now, the estimation is we should have a credit cost of 3%-3.5% which will give us an ROA of 4.2% -4.5%.

Udaya Kumar Hebbar : From an ROA point of view, Sanket, in the current year, our ROA is less by 3%, a total of 3% ROA, it will take this year and 1% ROA, it will take next year. So, net-net overall the delta of ROA hit to us because of this event in both years, together is only 4%, 3% this year that means we will be delivering almost 4.0% next year, we will be able to deliver ROA of about 4.5%.

Moderator : Thank you. The next question is from the line of Rajiv Mehta from Yes Securities. Please go ahead.

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Rajiv Mehta : Sir, my first question is, sir, while the new PAR addition is now lessening, any improvement is also seen in resolutions across SMA buckets, can you comment on that? Is ample recovery also improving along with the new PAR getting less added, are you seeing improvements there also in the bucket reduced with an NPA?

Udaya Kumar Hebbar : I think it is an improvement in both sides. One is a reduction in new PAR accrual, second is the improvement in the forward. Forward is actually reducing and the increase in the momentum so all three are combination actually, Rajiv. You see, almost 40% of Stage -2 bucket already in a partly payment stage and the reduction is rich as X bucket. The collection efficiency is more than 99% now.

Rajiv Mehta : So, sir, what do you attribute this improvement to collection across buckets because as I see, you haven't added employee or collection team like so many peers end because your employee base is actually flat. So, what do you attribute this improvement in collections? Is it attributed to any improvement in center meeting attendance, better customer reach out and how have you done it?

Udaya Kumar Hebbar : No, I think we anticipate early also it is more of a transient nature and I think we estimated that it will peak out and start coming down the new PAR, I think it happened in October from November. Several days, we are also able to deploy more people, experience ones if there are pockets of collections to work on that and then the underwriting quality is changed for at least new customers and new disbursements. So, all these are a combination of things and then, we didn't have so much of attrition also. If you compare the attrition, it is not a very large deviation from normal. That also helped us. All these together in a combination effort, I think where the customer was defaulting largely have already defaulted. I think there is no more new customer defaulting now, very less new customer defaulting. That also is the trend we are seeing now. So, overall, there is a good improvement in terms of both

other sides, improvement in terms of collection, improvement in terms of disbursement, improvement in terms of lesser forward flows, all these are happening together.

Ganesh Narayanan : In times of such, all our Control Teams also support us with collections. I also wanted to add, Rajiv, as a demonstration to the field team, almost all employees in the management, so the entire top management adopted zones and all of us have traveled extensively over the last few months, including meeting PAR customer collection more towards the demonstration to the field force, right. So, everybody is in the front. I think the biggest difference in such scenarios will be your field supervisors, your seniors getting involved in solving the trouble. And like I said, we also have an additional workforce with a very high number of control teams. So, they also contribute in such times of stress to support the field teams to come back to normal cycle. And you would know about our people strategy, how we play on hiring only freshers and retaining them. A lot of our seniors have seen multiple cycles, right. They also know exactly how to navigate the scenarios. It takes some patience and hard work, but it is something that we have done well so far.

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Rajiv Mehta : Just one last thing, any revision in lending rates that we are evaluating in the light of increased credit cost and maybe even OPEX because when I look at your NIM guidance for the whole year, it implies that in Q4, your NIM has to improve by 30-40 basis points over Q3. So, what will drive this NIM improvement because you will still have higher interest reversals in this quarter, so what we cover up for it? Have we taken any rate hikes?

Udaya Kumar Hebbar : So, Rajiv, our pricing policy is very clear and based on certain data actually. Based on the variation whether in OPEX cost or the credit cost or the borrowing cost, it will change to some extent every quarter being reviewed. I think there is a small review that happened in Q3 where certain basis points the change was there. Similarly, as and when there is a change, every quarter, there will be change. So, there may be a small variation because of that, but because of the higher interest reversals, the NIM is actually moderated back to the same level.

Ganesh Narayanan : And to a certain extent, the pricing policy does not change much because it is a long-term average that you take. You take a few quarters' average and keep repricing as and when required. So, there is Board approved policy for this and every quarter if the credit cost increases for the next 4 to 8 quarters, then it will gradually get passed. So, right now, we don't see a big movement in pricing, but we should come back to normal sequentially.

Moderator : Thank you. The next question is from the line of Rinish Bhuva from ICICI Securities. Please go

ahead.

Renish Bhuva : Sir, just two questions from my side, one on this PAR team plus accretion, so when we look at the state wise numbers, of course there is an improvement across states except Tamil Nadu. And when we look at the Karnataka specifically, though there is an improvement in January, but there are lot of new flows which sort of keeps on coming over last month or so wherein some district, some pockets, some external events are happening. So, how confident we are that the kind of improvement we have seen in Karnataka maybe over the last 2 months, from a peak of 1%, we are now down to 60 basis points that will sustain?

Udaya Kumar Hebbar : You are right, there is some negative news around microfinance in Karnataka, but this was actually happening for the last 2 months, majority was in Gulbarga and Belgaum districts. There are some impacts we saw in the last month there also. Despite that we are able to show better performance in K

arnataka, but recently there is more news in the media. A lot of microfinance news in recent days, there have been few local third-party interventions, particularly at what I said, Gulbarga, Belgaum, Tumkur, Ramnagar districts. Our members and industry bodies have addressed and appreciated to the administration of respective district as well as Government of Karnataka on the governance of microfinance, malpractices, code of conduct, grievance redressal system, regulatory entities like RBI and SRO's governing these REs, these are appraised to them and how these are handled well. Based on various publications, I think the Chief Minister of Karnataka also called a meeting tomorrow of stakeholders including the members and including RBI.

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I think this will serve as a platform to discuss the role of microfinance institutions contributing to the state economy, how the microfinance is actually running following the fair practice code, the regulations and governance. The RBI and SROs can explain what they were supporting and handling. I think this will help us to build a strong connect. The outcome of this meeting will be productive and a step forward for us. I think at the ground level, collections are going on smoothly, no problem. But yes, there is news, particularly what you observed from a non-regulated entity. There are one of the issues difficult to identify and in form, but whether you are informing the police also. I think we will be able to highlight these issues to the administration and the government tomorrow probably. We definitely believe that this will be a good step forward toward resolving this issue.

Renish Bhuva : At this point in time, is it fair to assume that you don't foresee any risk to the sort of improvement what we are expecting in Karnataka?

Udaya Kumar Hebbar : No, we don't see, actually, even if you see the worst scenario in October, November, Karnataka X bucket collection is more than 98.5%, right. So, right now, it is almost 99.4%. Therefore, we don't see any major worries in Karnataka.

Renish Bhuva : And sir, again, the second question is related to that. In Tamil Nadu, though there has been improvement in December, but then again, there is a very sharp deterioration in January, of course, we did mention that these are transitory and maybe things should improve in February, but is there any lead indicators in place wherein sort of we are expecting things to bounce back in February?

Udaya Kumar Hebbar : Tamil Nadu, again it is more of a lag impact of December month's rain and cyclone. There is a small increase in PAR 15+. PAR 0 is still normal right now. PAR 15+, there is a lag impact, but most of the customers are partly paying, not able to pay all four installments. That is why it is still there. So, therefore we don't see this is a major issue in Tamil Nadu also. It is a temporary, maybe this month, by month's end, more things will sort out, so therefore we don't see too much of issues in Tamil Nadu.

Renish Bhuva : And sir, my last question again on the guidance side. So, now, when we look at our FY25 performance versus the guidance, couple of times we have been forced to change our guidance.

Of course, I do understand because of the ongoing situation where in industry, so dynamic, every 2 months things might change and again hence, what sort of confidence you guys have that whatever guidance we are sharing for FY26 that will hold true?

Udaya Kumar Hebbar : This is an extraordinary year, Renish. Otherwise, probably there would be chances to change the guidance actually, but the most important point is to inform you upfront about what we can do.

Actually, that is what we are doing also. When we compared to the revised guidelines, we are actually there

only. Even we are saying that we are achieving between 7%-8% despite we are taking the write-off, external write-off. Therefore we are actually not changing the guidance actually. By the way, changing guidance is on account of credit cost. It is again because of the CreditAccess Grameen Limited

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extraordinary write-off we do plus the small delay in our estimation. We estimated the peak out in September, but unfortunately it was October, it has delayed by one month that costed us about 100 bps additional cost. Otherwise, we remain in the guidance. That is not too much change in the guidance. And for next year guidance, we have calculated carefully, it is the preliminary estimation, but largely we should be there. So, that is what we estimate an internal confidence we have against that. But definitely we will come back with the full guidance in the month of May after the annual performance.

Renish Bhuva : Mainly, let me put it this way, so what are the risks which can lead to sort of we revising this guidance or we revisited this guidance. Internally, do you foresee any risk to this guidance or maybe the parameters which you track very closely, of course, collection is one number, but anything a part from this in terms of, let us say, the districts which are in stress currently because of external events or maybe some particular event happening in some state, etc. What are the key things which you guys would be watching very carefully to ensure that guidance remains?

Udaya Kumar Hebbar : I think we are clearly seeing the improvement which is visible for last I can say 2 months now, from mid-November to almost mid-January. We have seen the change in terms of the reversal of trend, in terms of delinquency, in terms of disbursement and in terms of new customer additions. We are able to see unless drastic change in this trend reversing that. Otherwise, we don't see any other reason for failure in the guidance.

Moderator : Thank you. The next question is from the line of Bhavik Dave from Nippon Mutual Fund. Please go ahead.

Bhavik Dave : Sir, just a couple of points, right, one is again on the guidance bit, we missed the guidance like 2-3 quarters in a row. I think it will be good to maybe get out for the end of the year before giving guidance on growth because my question comes back to growth, right and when I look at your numbers, you have been adding 1,50,000 customers per quarter. You mentioned that you will add 1,00,000 per month and even if you do that and when I do the math, 15%-20% growth seems to be bit of a stretch and in that context it would be great if we could just maybe give us a sense that why will customers after the three guardrails stick to us versus going to someone else who might give a higher loan? Considering the customer segment we have seen as we have very similarly for all lenders, right, it is not that customers are paid X lender and not like I defaulted to the Y, unfortunately, over-leverage borrowers have default behaved in a similar way. Second is on the retail finance as well, majority mind our existing customers and given upgraded them to retail financing. So, a large part of our customers will also be upgraded in that sense, right? The 70%-80% of the customers that pay back after this washout, it seems that the customer that we will be able to lend in the existing format and also the new customer addition seems to be a bit of a stretch is my number that I am working around with. So, if you would explain us how this 15 %-20% growth will come through because I am able to do a little math in terms of the customer and the ticket size that we are working with?

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Ganesh Narayanan : I think broadly what we have guided the growth will come from both retail and microfinance. So,

we have always been saying that as we grow bigger and bigger, the growth rate of microfinance will slow down. You have already seen that our share of retail has moved from 2%-5%. So, with every year moving by, the contribution of retail will continue to grow. And again, we always stated that microfinance will be an entry point for the customers and only a certain profile of customers will be able to upgrade. Not necessarily that everybody will move toward retail. People will have to demonstrate certain history, a certain amount of cash flow to demonstrate for them to move towards retail. So, I think there is enough room in whichever market we are. If you look at any of our non-bond markets, we are still very small and I think there is enough room for us to grow both in microfinance and retail, but increasingly the growth in microfinance will take a step down and retail will catch up. So, with a combination, we are looking at delivering this kind of growth.

Bhavik Dave : And also, sir, when I look at your Bihar PAR here, I see that outside of 3-4 strong states of us, our performance has been quite poor because we have heard other lenders talking about we are recovering quite well for them. In that context, how has our experience been both in microfinance and retail when it comes to the non-core geographies like in a sense, Karnataka, Maharashtra, Tamil Nadu seems to be our strong point. Apart from that, how has our experience been in terms of retail and MFI in the cycle, has it been far worse or what are you thinking about on those lines?

Ganesh Narayanan : So, today, we operate retail only in our core geographies which is Tamil Nadu, Karnataka, Maharashtra, and Madhya Pradesh. We are not there in other geographies because our strategy around retail is to bring in customers, season them to a certain extent and offer retail finance. So, probably, we will take a few more years to reach our non-core geographies. Once we become

a certain size in each of these geographies is when we will overhaul our retail finance strategy . With respect to our retail finance portfolio , it has been a absolutely good even in the first time of stress. We are going through a very high credit cycle. However, the retail finance book has held really good asset quality . I think PAR 30+ as of December, even for unsecured graduated business loans is in the range of 70 basis points. So, this is unsecured , secured even much lower. Bhavik Dave : Unfortunately, sir, what you see is most of these MFI customers have other retail loans and that is what is causing the overall dip just like other industries are just looking at maybe borrowers who are three or four lenders to them. But other than that they have other retail loans and that cohort has done even worse than microfinance customers. So, that is the reason I am trying to maybe drill down a little more ?

Ganesh Narayanan : One comment on your last statement. So, even though our presentation, we iterated and even the numbers that in our case, while it could be some numbers published by different agencies. In our case, what we see is that there is no difference in credit costs between customers who are only micro finance customers as well as micro finance customers with retail overlap. In microfinance
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customer's case , the PAR is around 6% and in those customers with retail finance, PAR is around 7%.

Udaya Kumar Hebbar : You can refer to slide 11 for this .

Ganesh Narayanan : And also in all our retail finance journey, we have consistently reiterated , we are not in a hurry to grow. We will test it, we pilot it each of the businesses for enough time , tested results against these pilots, and only when they scale up . So, there is a clear strategy around whom we will offer retail being secured or unsecured . And what is the marketplace

, what is the space at which we want to grow , so it will be a natural progression over a period of time and we are very mindful about keeping this quality intact .

Moderator : Thank you. The next question is from the line of Arjun Bhatia from Borehead. Please go ahead.

Arjun Bhatia : Sir, we wanted to understand if by any chance get disclosures about loan repayment schedules off your existing customers to other microfinance companies as well ?

Udaya Kumar Hebbar : Disclosed loan repayment ?

Arjun Bhatia : A customer, let us say, he has got loan with three other people or four other people , do they disclose with you the repayment schedules like when is the loan getting foreclosed from the other ?

Ganesh Narayanan : It is available in the bureau reports.

Arjun Bhatia : So, you have entire access to the data?

Ganesh Narayanan : Yes. So, we may not have the entire repayment schedule, but we will know when was the loan disburse and when is the closure.

Arjun Bhatia : And have you used that modeling somewhere in your analysis?

Ganesh Narayanan : Yes, you have to use it for even FOIR calculation, right . So, the regulations states that you have to calculate their overall liability , what is the repayment they make as a family every month and then derive FOIR out of it .

Arjun Bhatia : So, broadly what you are saying is that you have mapped already which customer is going to , loan is getting foreclosed? And therefore, how many loans will get foreclosed at your end versus others? What I understand from guardrails 1 and 2 is that whoever loan it has to be repaid, first that loan cannot be renewed is more than 5, then it has to come down to 4 and in the second guardrail if it is 4 , it has to come down to 3 and so forth. Is my understanding correct?

Ganesh Narayanan : Very true, would you like to join our Strategy team?

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Arjun Bhatia : So, in that sense , I wanted to understand that how do you get the comfort that whosoever is paying you now, after the guardrail 2, he gets choked in terms of further supply , he will end up paying to you, because he is not going to get a repayment. Just wanted to get some perspective on that ? And you model all that in your forecast for growth, all of these like whole get foreclosed first at your end versus the other because wherever it gets foreclosed first, the customer can't come again ?

Ganesh Narayanan : Yes. So, we have taken everything into our model and that is also the reason for our confidence. And again, taking a look is the customer's choice . Not everybody closing the loan asks for a second loan. So, that is when you need to continuously run for new customer acquisition also, right . So, it takes care of many things for you.

Arjun Bhatia : Secondly, sir, I wanted to understand, based on discussion with some of the players, we are told that there is a possibility of new regulations on capping the NIMs directly and indirectly through various ways. Additional top up loans, one could give, we understand, we give some top up

loans, what are your thoughts on that and do you expect any further regulation at some point of time in the next 6 months, 1 year which will lead to further consolidation in the industry ?

Ganesh Narayanan : Right now , we are not privy to any such information. I don't think we should speculate about it.

Moderator : Thank you. The next question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal : So, the first thing that I wanted to understand is , what are the covenants that we have in place from our lenders? What is the GNPA or GS3 threshold in our covenants and what is the threshold in the quarterly profitability ?

Nilesh Dalvi : Abhijit, Nilesh here. So, there is a wide range of covenants . We have more than 70 lenders and covenant levels will obviously

keep varying from lender to lender. So, we have a good amount of comfort, typically in the industry you will see the GNPA crossing say 4 %-5%, then there can be some kind of a challenge. So, as of now , we have no such issues.

Abhijit Tibrewal : Basically, whatever thresholds are there on the NPA or GS3? We are at least much lower than whatever those thresholds are, is it?

Nilesh Dalvi : Yes, as of now, we have not faced any issues there. That is the reason why the access to funding is continuous for us and as we reported even in the 3rd Quarter , we have drawn close to INR 4,000 Crore from more than 17 institutions and from our borrowing cost, there has not been any change. Our marginal borrowing cost continues to stay at 9 .4%. And at the same time, there is continued confidence what we are able to maintain with our lending partners.

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Abhijit Tibrewal : And also remind us while we took accelerated write -offs in this quarter and we spoke about taking some accelerated write -offs in the next quarter as well. What is that usual write -off? What is he just trying to understand this accretion that we are seeing in GS3 right now, at what point in time to start to be written -off?

Ganesh Narayanan : So, in our normal policy, we write -off after 270 days. And during even COVID, we had taken some accelerated write -offs. Similarly, now we have taken write -off for different portfolios which are not being paying for the last 3 months and 180+ dpd .

Udaya Kumar Hebbar : It is actually less than 1% of the portfolio we took the write -off, which has not paid for the last 3 months and already crossed 180 days .

Abhijit Tibrewal : And sir, lastly, just trying to understand, while we did speak about Karnataka, whatever is happening there and you also spoke about that despite all that we have managed a good collection efficiency, let us say, when you look at your X bucket collection efficiency on a national basis and when you look at Karnataka, how lower is Karnataka from the national average?

Nilesh Dalvi : Abhijit, if you see Karnataka, it is around 20 bps better than the overall bucket .

Abhijit Tibrewal : And just one last question then, of all the collections that are happening, what proportion is kind of getting collected in a central meeting and what proportion of collections are happening through door knocks ?

Ganesh Narayanan : Predominantly , it will continue to happen in centre locations. Sometimes what happens if the field officer is delayed for the second meeting when the customers don't wait . So, there they go and collect from the Kendra leaders . Some of them if they don't pay that is when we go for door-to-door collections, but that is supported with massive teams, including control teams , field supervisor. Probably as an indication may be less than 2%.

Moderator : Thank you. The next question is from the line of Parth from Nomura. Please go ahead.

Parth : Sir, on the delinquency trends, you mentioned that they are transitory in nature, and you have been seeing reversing trends since November and December , mid-November . So, on this, sir what has changed on the ground that gives you confidence that this will stay? This is just transitory in nature in the incremental reversals and the delinquencies would sustain going ahead? And sir, my next part, the new borrower addition rate has seen a significant uptake during the month. What has changed on your onboarding processes or your underwriting processes, which gives us confidence that these borrowers would be better in nature than the previous borrowers ?

Ganesh Narayanan : On the first question, I think the whole presentation demonstrates with sufficient data as to why we think this is sustainable. However, they have to see how it goes for Jan, Feb, March, right .

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So, we are reasonably confident we peaked out, we are showing as on date whatever is happening in December and Jan. We have also demonstrated that overall , we are able to see leverage coming down and we have also demonstrated in our presentation how the previous cycles where

and how much time it comes back. So, you would see in our presentation what we did in COVID, what we did in Demonetisation. So, overall, roughly 3 quarters, disruption is what happens for us to come back to normalcy, and we believe it is similar in nature now that we started showing performance in the last 2 months.

New customer additions, we are looking mindful. We have tightened like, say, the guardrails, we have been already doing voter ID validation, the field verification processes have been strengthened in geographies where we are seeing certain higher delinquency, we moved house verification one level up. We also used quality control teams to vet in customers joining us new in all geographies where we have elevated credit cost, it is a continuous process. And in some places, we have also made it stringent with guardrails where we limited the overall maximum outstanding to INR 1.50 Lakh and also the maximum number of lenders to be not more than 2 and 1 in different locations. So, basis that district behavior, we follow a district model.

Depending on the slippages in each district we keep moderating our operating procedures.

Nilesh Dalvi : Our business rule engine gives us the flexibility to adopt or differentiated underwriting process at the district level.

Parth : And just one more question, so I understand Bihar and UP are your core geographies, but some of your peers have highlighted some collection efficiency issues in those two geographies. And while on the PAR accretion part, we have shown some improvement in the December and Jan 25 numbers, so what are you doing differently in Bihar and UP where you have seen better collection efficiencies are improving trends there?

Ganesh Narayanan : See, I think like you said, different people have different geographies depending on which district they are present, which part of the state they are presenting. However, Bihar also has demonstrated that we have significantly come back in the last 2 months. So, we hope this will continue in the next 2 months, in the quarter also.

Nilesh Dalvi : Just to add here, so that whatever increase we have seen in July, August, September, as we said earlier, it was kind of an accelerated increase because the underwriting got tighter in the industry and now because of the deleveraging happening, we are of the view that customers who were not in position to honor their repayments or wherever they were not able to handle multiple loans or they were old leverage, those customers have kind of fall in to higher buckets PAR. But the other customers, they have continued to repay on a prompt basis. So, as we have provided in our presentation, even customers with multiple loans or higher slippage, 80% of those customers have been able to pay us on a prompt basis. Overall UP and Bihar, it is close to 6% -6.5% of the overall portfolio. So, even their larger delinquencies kind of have played out in the month of October, November and that is where we are seeing the new delinquency addition rate slowing

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down at a faster pace in December and January. So, our approach has been consistent across all the markets, but yes, different markets are behaving or kind of reversing at a different phase. If you see, in Maharashtra, in Madhya Pradesh, our portfolio quality has been much superior compared to existing.

Moderator : Thank you. The next question is from the line of Kamal Mulchandani from Investec Capital Services. Please go ahead.

Kamal

I Mulchandani : Firstly, like if you could just let us know that if you are facing some attrition at the branch manager level as well and if yes, like what would be that number for us?

Ganesh Narayanan : No, not very different from the earlier time. We have been range bound and we remain there.

Kamal Mulchandani : What is that number?

Ganesh Narayanan : Around 30%. There is no extra attrition we saw in this period, and we saw little whatever changes, slightly variation only in the loan officer level where we always keep recruiting and having sufficient backup actually. So, that is why the attrition is quite stable.

Ganesh Narayanan : And again Branch Manager and above because we only do internal promotions, there is always a bench which is ready to become Branch Manager in case attrition goes up. And also like I told earlier, because it is a tough time, people who join different institutions or have left CreditAccess Grameen placed the request to join back. We roughly have around 2,900 requests to join back CreditAccess.

Kamal Mulchandani : Also, I would like to know that what is our net forward flow rate from 1 to 30 and to 31 to 60 bucket and what was it earlier versus the current year?

Ganesh Narayanan : Flow forward temporarily has increased.

Nilesh Dalvi : Typically in normative times, we have seen that around 50 %-60% of customers in 0 to 30 bucket, they do roll back and balance roll forward post which as you see our provisioning rates, typically we provide 70% in the Stage -3, which means that roll rates are in that range, around that in the normative times. During the last 4-5 months, we had seen the roll forwards were higher by 10 %-15%, but now it is kind of again reverting to the earlier in month of January. So, we are seeing a reversion in the roll-forward rates.

Kamal Mulchandani : And lastly, if you could just help me what were the interest reversals during this quarter and during Q2?

Nilesh Dalvi : In Q2, we had around 35 Crore of reversal and now in Q3, we have around INR 75 Crore of reversal. So, in this around close to INR 25 Crore is on account of the write -off, overall, INR

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376 Crore whatever we have written -off and balance INR 50 Crore is on account of Stage-3 accretion.

Moderator : Thank you. The next question is from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.

Ashlesh Sonje : One qualitative question from my side and apologies if you have answered this in some form before because I joined a bit late. Sir, in the past few months, we heard of several lenders narrating unpleasant anecdotes , for example, instances when several lenders were queuing outside the doors of delinquent borrowers to collect their respective installments and that resulting intentions at the local level , are those kind of issues now largely sorted declining meaningfully?

Ganesh Narayanan : Our door-to-door collection is probably under 2%. And I think because we have a weekly model , rural model and we also have a larger understanding of how to navigate those issues. We don't see much of an issue, the point that you are making right now.

Moderator : Thank you. Ladies and gentlemen , that was the last question for today. I would now like to hand the conference over to the management for the closing comments.

Ganesh Narayanan : I take this opportunity to thank all of you for your patience and time in joining this call and for very interesting questions. I hope we have answered all your questions and in case there are any further questions, do write to us to reach out to us , we will be happy to clarify them. Thank you so much.

Moderator : Thank you. Ladies and gentlemen, on behalf of HDFC Securities , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

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Ref: CAGL/ EQ/2025-26/21

May 21, 2025

To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip code: 541770
National Stock Exchange of India Limited
Exchange Plaza , C-1, Block G
Bandra Kurla Complex , Bandra (East)
Mumbai - 400051
Symbol : CREDITACC

Dear Sir/Madam,

Sub.: Transcript of Conference Call for Q 4 FY25 Results

Pursuant to Regulation 30 and Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Q 4 FY25 Results Conference Call, held on Friday, May 16, 2025.

The same is also available on the Company's website at : www.creditaccessgrameen.in .

This is for your information and records.

Thanking you,

Yours' Truly
For CreditAccess Grameen Limited

M. J. Mahadev Prakash
Company Secretary & Chief Compliance Officer

Encl. As above

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"CreditAccess Grameen Limited
Q4 FY25 Earnings Conference Call "

May 16, 2025

MANAGEMENT : MR. UDAYA KUMAR HEBBAR - MD, CREDIT ACCESS GRAMEEN LIMITED

MR. GANESH NARAYANAN - CEO, CREDIT ACCESS GRAMEEN LIMITED

MR. NILESH DALVI - CFO , CREDIT ACCESS GRAMEEN LIMITED

MR. SAHIB SHARMA - DGM (INVESTOR RELATIONS), CREDIT ACCESS GRAMEEN LIMITED

MODERATOR : MR. RENISH BHUVA - ICICI SECURITIES

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Moderator : Ladies and gentlemen, good day and welcome to Credit Access Gram een Limited Q4 FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. R enish from ICICI Securities. Thank you and over to you, sir.

Renish Bhuvu: Yes, thank you, Sagar. Good evening, everyone, and welcome to CreditAccess Gra meen's Q4 FY25 Earnings Call .

On behalf of ICICI Securities, I would like to thank CreditAccess Gram een's Management Tea m for giving us the opportunity to host this call.

Today we have with us the entire top Management Team of CreditAccess Gram een represented by Mr. Uday a Kumar Heb bar – Managing Director ; Mr. Ganesh Narayan an – Chief Executive Officer ; Mr. Nilesh Dalvi – Chief Financ ial Officer, and Mr. Sa hib Sharma – DGM (Investor Relations).

I would like to hand over the call to Mr. Uday a Kumar for his opening remarks and then we will open the floor for Q&A. Over to you, sir.

Udaya Kumar Hebbar: Thank you, R enish. Good evening to all. We are pleased to welcome you to the conference call to discuss our 4th Quarter and FY25 business performance.

This year has been transformative for the microfinance industry, defined by the simultaneous unfolding of diverse internal and external forces. The microfinance industry has been tested by a complex set of challenges, including extreme heatwaves, operation al limitations due to prolonged elections, growing customer overleveraging, ringleader issues, tighter underwriting resulting in multiple MFIN guardrails, and temporary disruption stemming from the Karnataka Ordinance targeting unregulated lending practice s.

The rising delinquency trend in the microfinance industry, which began in Apr il 2024, peaked in Nov ember 2024, subsequently reversing till Ma ch 2025. We are already witnessing new PAR accretion rate largely getting normalised across all states, excluding Karnataka. While we expect the new PAR accretion rate in Karnataka to normalise by the end of Q1 FY26. Through every challenge, CA Grameen has emerg ed stronger, proving the resilience and sustainability of the model that we have created.

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We witnessed a declining new PAR accretion rate across all states, partially offset by elevated delinquencies in Karnataka during Q4 FY25. In all states, the turnaround story has been continuing since the November 2nd half, driven by reduced leveraging, im proved ground - level situation, high customer connectivity, expansion of our employee base, enabling more frequent and disciplined follow -ups. Combined with targeted support from our Business Support Team (BST), this strategy delivered stronger recovery ou tcomes across delinquent accounts. We observed encouraging traction in collections from PAR buckets, with 40% of borrowers in PAR 1–60 and 10% of borrowers in PAR 60+ making partial payments. As guided, we strengthened our employee strength from 19,333 in December 2024 to 20,970 by the end of Mar ch 2025. Importantly, we maintained a firm grip on employee retention, achieving an annualised attrition rate of 30.5% in Q4 FY25, amid high churn across the industry.

The revised FY25 growth guidance of 7 -8% issued in Jan uary 2025 was impacted by incremental stress emerging from Karnataka. This stress became visible from the last week of January 2025 because of operational ambiguities in anticipation of the ordinance, on -ground hostile

environment, media & political sensitivities, and collections being limited to centre meetings. I

t is important to highlight the role of MFIN in serving as a unified voice for the microfinance sector in such a situation. They proactively engaged with the Government of Karnataka, the RBI, and other stakeholders, demonstrating the sector's commitment to strong governance, customer protection, and regulatory compliance. Their leadership ensured that the Ordinance focused on addressing unregulated entities with minimal impact on the legitimate operations of regulated institutions.

Despite these challenges, the majority of borrowers continued to repay, reflecting underlying customer resilience. However, disbursement momentum was affected as we prioritized portfolio stability over growth, with disbursement rates dropping to 57% in February and 65% in March as a proportion of the normal rate. While these factors altered Q4 FY25 growth plans, they were necessary to navigate the evolving environment responsibly. As a result, our growth, credit cost, and profitability parameters are not in line with revised guidance.

We added 2.61 lakh borrowers in Q4 FY25, of which 43% were new -to-credit, with the FY25 new borrower addition count at 7.49 lakh. The New -to-credit % trend has increased from 30 - 35% to 40 -43% levels over the past couple of quarters, demonstrating the underlying potential of the microfinance business across the country. As a result, our unique borrower count has increased from 26.3% in August 2024 to 31.1% at the end of March 2025. We opened 100 branches during the year across well-established markets and newer geographies. Our 'Evolve with Customer' strategy is helping deepen our customer engagement, with Retail Finance reaching INR 1,543 crore, contributing 5.9% of the AUM, compared to 2.7% a year ago. MFIN guardrails coupled with our internal policies, including a three lender INR 2 lakh unsecured indebtedness, declined from 19.1 % in August 2024 to 10.8 % in March 2025. But then CreditAccess Grameen Limited
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the average total unsecured debt of CA Grameen borrowers has declined 14 % YOY, while average monthly obligations have declined by 10 % YOY.

Now I am referring to slide #12. It is important to see PAR 15, both at the company level and excluding Karnataka. In the case of borrowers with 4-lenders, PAR 15, excluding Karnataka, remained the same at 11.7% QoQ. Similarly, PAR 15, in case of borrowers with more than 4-lenders, excluding Karnataka, stood at 27.2% in Q4 FY 25 versus 26.1 % in Q3 FY 25. Out of the overall PAR 15 of 6.6%, 41 % of the account of borrowers with more than 3 lenders. Our accelerated write offs initiated in Q3 FY25 alongside a prudent provisioning strategy have advanced the cleanup of trust exposure within the book. We have taken INR 479 crore accelerated write off in FY25 of non -paying loan accounts with 180 plus DPD, resulting in additional credit cost of INR 151 crore. The total write -off of FY25 stood at INR 1,124 crore. Overall, the company continued to hold 179 bps, that's about INR 457 crore higher provision over PAR 90, 370 bps or INR 959 crore higher provision compared to IRAC prudential norms, and INR 98 crore higher provision compared to NBFC provisioning norms.

The credit cost stood at INR 583 crore for Q4 FY25 and INR 1,929 crore or 7.7% for FY25. The deviation in the credit cost compared to the revised guidance was primarily due to the Karnataka issue. Our collection efficiency (excluding arrears) stood at 91.9% for Q4 FY25 while being 92.4% for the month of March 2025. PAR 90 stood at 3.28%, GNPA of 4.76 %, and NNPA at 1.73%, both predominantly measured at 60-plus DPD.

The net interest income grew 1.7 % QoQ to INR 876 crore with portfolio yield at 20.4 % and interest spread of 10.3%. Our average cost of borrowing has remained stable at 9.8 % for the last seven quarters. In Q4 FY25, we raised INR 3,144 crore, including USD 50 million through the ECB route for

from the International Finance Corporation (IFC). The share of foreign borrowings stood at 21.0% at the end of FY25, firmly moving towards FY 2028, medium-term strategy of sourcing 25 % to 30 % of funds from foreign sources.

NIM remained healthy at 12.7 % for Q4 FY25 while 12.9 % for FY25, in line with our revised guidance. Cost-to-income ratio was at 31.9% while PPOP stood at INR 634 crore in Q4 FY25 and INR 2,638 crore in FY25. Our accelerated rate of approach has certainly impacted Q4 FY25 profit, which stood at INR 47 crore, though it will help safeguard our profitability going ahead. The liquidity levels, including cash and cash equivalents, remain adequate at INR 2,336 crore, amounting to 8.4 % of total assets. Additionally, we have sanctions in hand of INR 3,618 crore and INR 4,664 crore worth sanctions in pipeline. The capital adequacy remained comfortable at 25.4%.

Amid the multiple headwinds faced in FY25, we delivered ROA of 1.9% and ROE of 7.7%. Our

cross-cycle performance of RO A of 3.6 % and ROE of 14.4 % over the past 8 years is a testament
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to disciplined execution and consistent value creation. We are well-poised for FY26 on the back of stabilizing asset quality and improving business momentum.

As we look ahead in FY26, we must carefully balance both asset quality normalization as well as business growth. With a more balanced competitive intensity in the industry supported by MFN guardrails, we see a good opportunity to leverage our strong balance sheet and capital position to drive business growth. Our retail finance division will prove to be a strong growth accelerator going forward. However, we also need to be cognizant of various industry challenges in the form of higher delinquencies, managing the productivity of loan officers, reduced credit supply for microfinance customers, and the temporary impact of any potential state government regulation in lines of Karnataka.

Considering the evolving business environment, we are aiming for an AUM growth of 14 % to 18% of which MFI growth will be 8 % to 12 % and the balance will come from retail finance. NIM of 12.6 % to 12.8%, Credit cost of 5.5 % to 6%, ROA of 2.9 % to 3.4%, and ROE of 11.8% to 13.3% in FY26.

Before I hand over the forum for the Q&A session, I would like to inform you all that I shall be retiring from my role of Managing Director on 25th June 2025. With effect on 26th June 2025, I shall be appointed as a non-executive Nominee Director, subject to necessary approval from applicable authorities and shareholders. I shall also be appointed to the Managing Board of Credit Access India B.V., the Holdco, to support the group.

Further, our CEO, Mr. Ganesh Narayanan, shall be appointed as Managing Director & CEO for a period of five years with effect from 26th June 2025, subject to necessary approval from the Reserve Bank of India as well as shareholders of the company.

We look forward to your continued support as we take our company into the next higher orbits of growth. Thank you for your patience.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question comes from the line of Rajiv Mehta from YES Securities. Please go ahead.

Rajiv Mehta: Sir, hi. Good evening. Just a couple of things. Sir, when I look at the ECL coverage, I think they seem to have come down across Stage 1, 2, and 3 assets in this quarter versus the previous quarter. If you can just throw some light about has there been any revision in the ECL model and then what levels of ECL coverage have been carried forward in the guidance of the credit cost. Second is on, when I look at, even excluding Karnataka, when I look at the other geographies and when I look at their monthly PAR -15 accretion rates, they are still 20 -30 bps above, exactly one year back in March and April. S

o when we give out the guidance of a certain credit cost, while you've broken up the guidance of credit cost, are we factoring that this 20 -30 bps of slightly above normal accretion trend to further normalize or you have taken that this will be the new normal credit cost?

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Udaya Kumar Hebbar: Thank you, Rajiv. In the case of ECL coverage, there is a minute change where in the Stage -3 borrowers who are paying more than 50 % of the EMIs, we have taken a little lower credit cost based on our earlier experiences. Therefore, you would see about 2 % variation in the total ECL coverage. However, this coverage is based on 60 -day DPD not 90 -day DPD. Therefore, there is no large variation. This is one on the ECL coverage.

Rajiv Mehta: Even the ECL coverage of Stage -1 and Stage -2 assets has come down?

Nilesh Dalvi Rajiv, Nilesh here. So, on Stage -3, as Udaya said, obviously, on the partial paying customers, we have taken a lower ECL in line with the approach we had taken even in earlier times. In Stage -2, you see the ECL has come down because there is a higher proportion of delinquency from Karnataka. And Karnataka historically has a higher number of low-risk and medium-risk districts. So that's where as you know that our ECL percentages vary, this is the district level risk profile. So that's where the Stage -2 percentage has come down.

Udaya Kumar Hebbar: The low-risk customers and low-risk geographies, because we analyze at the district level, sometimes show high delinquency rates. That's what the change is. On the other geographies, what we said is largely compared to normal. However, when we give the guidance, we can see the slide where the guidance is mentioned. We took 3.0-3.5% as the normal credit cost for this financial year. We captured slightly higher for this financial year. Therefore, it's already captured within the guidance that we made.

Rajiv Mehta: And sir, there is a slide mentioning that you are seeing improvement in center meeting attendance. So if you can just throw some light to what kind of improvement that you are seeing

in terms of maybe percentage of attendance in the meetings ? And employee additions which we have done in Q4, so if you can highlight in which functions, where are these employees added and which geography?

Udaya Kumar Hebbar: Largely , employees are added in the particular state of Tamil Nadu. We had a little higher attrition compared earlier during Q3 FY25 . So higher employees are in Tamil Nadu. Whereas other geography it is fairly common because we didn't have any large attrition in any other states. So, therefore it's a normal attrition. We will try to put a few extra employees in all the places. If we see, we have almost 8 % extra employee base . This which will help us to monitor more and then have higher connectivity and to have higher follow -ups also, which will have a benefit in the coming quarters. And in case o f central attendance, largely it's improved in all geography, including the geograph ies like Bihar, UP, Jharkhand, O disha, also we are seeing good improvement and the people coming back to center meetings and the payment in center is increasing actually. So , we have seen visible improvement in all geographies.

Rajiv Mehta: Okay sir, thank you so muc h.

Udaya Kumar Hebbar: Thank you.

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Moderator: Thank you. Our next question comes from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: Yes, hi. Thank you for the opportunity. You have highlighted in your presentation about the focus on the retail finance segment as well. I wanted to understand ticket sizes in this segment have reached a certain level and they've been range bound for the past four quarters. What is our outlook on how the retail finance segment's tick

et sizes could move? Also, during this entire last one, the last couple of months challenges, how has the retail finance book asset quality behavior been or customer behavior been, if you can highlight these two things ? Thank you.

Ganesh Narayanan: Sure. On the retail finance side, the average ticket size for our unsecured business loan is around INR 1.7 lakh. And we believe that it will be range bound. And secured business loan, the average ticket size has been around INR 5.8 lakh. INR 5.5 to 6 lakh is our model. And we should remain in that range. Home loans, the average ticket size is around INR 6.8 lakh and t hat's where it will remain. PAR 0 is less than 2%, PAR 30 is around 1.5 %-1.9% and with respect to secure business loans, PAR 30 is around 0.89 %, and home loans, it's a new book , so the PAR is almost nil.

Shreya Shivani: Correct. Got it . And sir, this segment, all of these ...

Moderator: Ladies and gentlemen, the line for the management seem to have been disconnected. Please stay connected while we reconnect the management back. Ladies and gentlemen, we have the line for the management reconnected. Please go ahead, sir.

Ganesh Narayanan: Sorry, we got disconnected. I will repeat what I said. On our unsecured business loans, the current average ticket size is around INR 1.7 lakh. We believe it will be range bound around this number. And PAR 30 in this book is now 1.97 %. It moved from around 1 % to 1.97 % predominantly because of the Karnataka effect. A nd in secure d business loan where the average ticket size is around INR 5.8 lakh , PAR 30 is around 0.89 % and in home loans the average ticket size is around INR 6.8 lakh and since it's a new book with around INR 110 crore AUM , there is almost nil PAR . I hope I answered your question.

Shreya Shivani: Yes sir, you did. Just one follow up on this. So you've always mentioned that retail finance is one segment. You are scaling up more in your lower risk districts, which will be more Karnataka and Maharashtra, Tamil Nadu, etc. But as of now, how much scope are you seeing for this business to be able to scale it up in any of your other geographies? Is there any comfort you are seeing in any other geographies? Or should we just consider that it will continue in Karnataka and the lower geographi es.

Ganesh Narayanan: What we had commented upon is that we will launch these businesses in our higher penetrated geographies because there is a certain amount of customer base, the model revolves around evolving with the customer. From that perspective, the book is now in Karnataka, Maharashtra, Tamil Nadu, and Madhya Pradesh. During the year, we would probably look at a few more districts and states where we have a higher presenc e. The unsecured business loan is roughly in

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around 730 branches ou t of the 2 ,063 branches. So , this has scaled up slightly. With every moving year, we scale this up, all these products will move to newer states.

Shreya Shivani: Got it. This is very useful. Thank you and all the best.

Moderator: Thank you. The ne xt question comes from the line of Shweta from Elara. Please go ahead.

Shweta: Thank you sir for the opportunity. Sir, a couple of questions. So was looking at Bihar geography slide and the GLP or borrower base that has declined significantly in Bihar. Even the branch

network has remained steady state. PAR numbers and all are function of base. But we are of the understanding that it's the over-leveraged borrower base that had caused a mess in Bihar. Is there anything more to read that is bothering you wherein you are sort of declining your further penetration into Bihar? That's question number one. Second, can you provide some color on the borrowers with over 3 lenders accounting for 41 % of overall PAR -15 as in from the regional geographic perspective or from the segment perspective? Th

ird observation is the marginal cost

of borrowings have spiked quarter-on-quarter. In fact, where we started off at 9.3%, now it's 9.6%. So how do you see this? Because you mentioned about liability mix being slightly nimble in your opening remarks. So from that perspective, how are you perceiving marginal COB?

Thank you.

Udaya Kumar Hebbar: Shweta, thank you for your question. So marginal cost is basically what we borrowed during the quarter. There we borrowed significantly from the IFC. Therefore, the average cost of marginal cost for the quarter was little higher than compared to the earlier borrowings. But still it is lesser than the average cost of borrowing. The average cost of borrowing is 9.8%. Marginal cost is the borrowing what we made in Q4 stood at 9.6%. Still, it won't impact the overall cost of borrowing. There is one large borrowing we did from the international market. That's why it's slightly higher. Therefore, the average was slightly higher.

The second question is about Bihar. Yes, Bihar, a portfolio has come down to some extent because we took long steps during September to March, kind of September to January to handle with care, to protect the portfolio. Higher management there, higher overview from a risk audit and control side and then also the retention team. So I think those steps actually we try to protect portfolio quality instead of growing during that period. Therefore, there is just a slight decrease total GLP. The reduction of customer is basically because of write off, it's the accelerated write off. Majority part come from that geography. Therefore the number of customers came down. But we already started growing. I think in the months of February month, we started scaling up with the new controls, additional controls, with a little lower ticket size. And then we implemented the new customer controls quite ahead of time, before MFN guardrails. I think it is growing well now. And we are not withdrawing or reducing anything. We will continue to grow and penetrate there. But with higher controls and systems. We don't see any challenges. Things are better now.

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Ganesh Narayanan: There is one point on Bihar. Temporarily we also had certain people challenges. We had manpower shortage. That has also been corrected now. And that is why you will see the reversal in Bihar is quite strong.

Udaya Kumar Hebbar: Reversing trend of delinquencies is quite strong, quite fast. So we are quite fine there now. And the other one is of the borrower with more than three lenders in the under PAR -15 right? So it's 41% of PAR -15. It is a very insignificant number it's not very high actually but it is coming down slowly. We see that's the reason why we actually provided that. Which state which is high I don't know maybe largely in the northern belt. You have any data in that?

Nilesh Dalvi: So Shweta largely it will, like what we have shared earlier we have a higher proportion of unique borrowers in our core markets and obviously in the newer markets wherein we have entered over the last 2-3 years there the proportion of borrowers having more than having 2 or 3 or 4 lenders that proportion is obviously relatively higher than compared to our core market. Since you are referring to Bihar, yes in Bihar a larger number of customers will fall within the 0-to-4-year vintage and that is where those borrowers in case they are having more than three lenders, where the PAR contribution will be more. So overall PAR in Bihar, if you see it is 12%, then obviously at a company level, if more than three lenders are accounting for say 40%, then in Bihar it will be slightly higher. But overall, it's more of a broad-based depending upon the vintage and the overlap of what we have across different states.

Udaya Kumar He

bbar: So to be clear Shweta, this set of customers is about 2.5 % of the overall customers of the company.

Nilesh Dalvi: The purpose of the data point Shweta was to highlight that the entire issue is not because of over leveraged customers. So the point was that 40 % of PAR is because of over leveraging but the balance 60 % PAR is because of the business-as-usual factors in addition to various other factors what we witnessed over the last 12 months in the form of income variations or heat waves, migrations, ringleader issues etc. So various factors have been playing out in addition to over leveraging fact. That's the point we wanted to highlight.

Shweta: Thank you. Thank you for elaboration and best of luck.

Moderator: Thank you. Our next question comes from line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Good evening, sir. Thank you for taking the question. First thing is just trying to understand in our FY26 guidance, we spoke about this 8-12% kind of growth in the group lending business, the JLG business. And you also highlighted this is because of some accelerated write-offs which are expected in H1 FY26. I am just trying to understand why this year the growth is low? What credit can we start seeing the group lending business growing, maybe from FY '27 onwards? So asking this because, I mean, we understand what the industry has gone through. And to that extent now, I mean, after some of this stress from over-leveraging is behind, then at what rate CreditAccess Grameen Limited
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can the industry be growing and within that what could our growth look like in the group lending business?

Nilesh Dalvi : Abhijith, hi, Nilesh here. See the guidance what we have given for next year in group lending, which is 8-12%. So obviously, some extent there will be an impact of write-offs what we will be taking. And if you see when we had given the guidance in month of January, at that time we were anticipating that we will be doing the cleanup by the end of June. However, because of the Karnataka issue, maybe it will get extended by another quarter and it will go to September. So predominantly whatever write-off which will happen in the next financial year, the larger portion of that will happen in first half. That is where you will see the overall growth will be little flattish in the first half, except write-off. Obviously we will cover it up in the second half wherein the write-offs will be more normative in nature. From the growth perspective, obviously the customer additions, renewals, everything will happen. But yes, because of the write-off, we will see a flattish growth in group lending business in the first half and it will catch up in the 3rd and 4th Quarter. So, largely on a steady state basis, Abhijit, as we had said earlier, microfinance, 14-15% growth on a steady state basis is what we will always look for and including retail finance, it will go to 18-20%. Next year, that 14-15% is a little less because as we come out of the current crisis and obviously, the impact of write-off.

Abhijit Tibrewal: Got it. This is useful. And then the second question that I had was, I joined a little late. Have you already covered what we are seeing in Tamil Nadu after the introduction of the bill? Now, why I ask this is that very often we try to understand that, I mean, what we saw in Karnataka, we saw some bit of it growing in media, whether we talk about some news flow around suicides in Karnataka and then the Karnataka ordinance. But I think from what I gathered by speaking to a few other MFIs, it is also the fact that no one saw this Tamil Nadu bill coming while everyone acknowledges it is not really applicable to regulated entities or MFIs for that matter. So the related question is A, what is happening in Tamil Nadu today? What is it that you are seeing? And the other thing is

are there any other states except let's say Karnataka or Tamil Nadu, where there are some problems today and going forward, there could be some such ordinances or ordinances to get passed?

Ganesh Narayanan : In Tamil Nadu today, ground level, there is absolutely no change or no impact as on date. However, we would be mindful, probably we would be proactive in engaging with customers better. But at the ground, there is absolutely no impact at this point. And with respect, it's going to come in any other state, I think we will have to kind of from our perspective, we don't see anything as a signal or sign anywhere at this point of time. But we will have to wait and watch.

Abhijit Tibrewal: Got it. And then the noise is there. There is more noise, but you are not seeing any impact on your collection efficiencies or PAR accretion just yet.

Ganesh Narayanan: Absolutely nothing. We have not heard this from anybody else also. Not necessarily just us. CreditAccess Grameen Limited

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Abhijit Tibrewal: Got it, sir. And then, the last question I had is obviously we can't control what happens in specific states, right? But I mean, this this whole mini credit cycle so as to say that we went through this year, whether we call it because of over leveraging heat waves, maybe Tamil Nadu, some unseasonal flooding cyclones. Is at least that part excluding what is happening in specific states? At least that stress, it is now at least at the fade-end or is it now behind us as we move into the next year?

Ganesh Narayanan: That's how it looks for us and hence we are saying that probably we would have a good second half. And we have also had a good monsoon. There are no other signs at this point of time which is kind of worrying us or which is going to stress us apart from coming out of Karnataka at this point of time.

Abhijit Tibrewal: This is useful. That's all from my side and I wish you and your team the very best.

Moderator: Thank you. Our next question comes from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain: Thanks for the opportunity sir. First question is on the credit cost. What I gather is that on a

steady state basis also we are seeing that the credit cost of the business will be higher than what we were anticipating before this crisis. So how are we planning in terms of yields, margins to negate the impact of higher credit costs in the future, let's say in FY27 and beyond?

Udaya Kumar Hebbar: I think what we envisaged earlier also in May 2024, that there could be higher credit costs. But for the next quarter, we assume that it will be about 3.0-3.5% for the financial year, which is a normal credit cost for the year. That's what we are expecting. We need to review later after the year end, maybe 3-4 quarters down, we will review for the future years. And our district-based pricing and district-based what you call the ECL modeling will help us to have a reasonable, what you call, moderation of yields, will not have too much negative impact to us because if the credit cost goes up in the district, the price also will go up to some extent. So therefore, it will not impact on the yield. That is why our guidance, NIM and yield are not actually different. It remains the same. Impact is only to the extent of the reversal because of delinquency. Otherwise, it remains the same. So therefore, we are not seeing too much impact on the pricing or our credit cost impacting our yields.

Nidhesh Jain: I am asking that in case the credit cost remains elevated at 3%-3.5%, so whether there will be a yield increase on the new loans that you will be disbursing because the risk has increased?

Udaya Kumar Hebbar: It will not be on every loan. Based on the higher risk, we would actually increase the price. Or if there is a lower-risk district, we may reduce the price also.

Ganesh Narayan

an: Also, the pricing model has a slightly longer tenure. It has to run through the tenure to show the impact on pricing. So we may not react immediately, but we will have to see the time period in our pricing policy, how the pricing moves, and if there is anything that can be slowly passed.

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Udaya Kumar Hebbar: Correct. And also there are other impacts in terms of the cost of borrowing impact. That's also a declining trend is there. I think reasonably we will be able to manage it, decent stable NIM and yields.

Nidhesh Jain: Sure, and secondly can you share the retail finance breakup in terms of secured and unsecured?

Ganesh Narayanan: So, the unsecured AUM is INR 1,100 crore odd. So, the overall mortgage book is INR 350 crore. Secured business lending is around INR 240 crore and home loans is around INR 110 crore.

Total RF book is INR 1,543 crore.

Nidhesh Jain: Sure. And just last question is that, so we have shared a lot of data on customer leverage, etc. But if we include other retail loans for our customer base, what percentage of our customers will have other retail loans other than microfinance and unsecured loans?

Ganesh Narayanan: If I remember, right, the overall retail loan is around 40% plus. But majority of that has consistently remained for years in gold loan. The rest of them are single-digit numbers.

Nidhesh Jain: Okay, sure. Thank you. That's it from my side.

Moderator: Thank you, Our next question comes from the line of Chinmay Nema from Prescient Capital. Please go ahead.

Chinmay Nema: Good evening, sir. Sir, firstly, a slightly long-term question. Given that the stress now seems to be subsiding, how do you see or when do you see the PAR numbers basically reversing back to the normal levels as in the Q1 levels or what they were in Quarter 4 last year?

Ganesh Narayanan: I think whatever the PAR is created, it has to take its journey. So that's why we have said we will have probably a normative period in H2. So H1 will remain elevated, H2 should start coming back to normal.

Chinmay Nema: Got it. And secondly, just wanted to confirm, if I understood correctly, basically the provisioning has come down during the quarter, because you are expecting better recoveries in Karnataka. Is that understanding correct?

Ganesh Narayanan: No. Two aspects to this. One, because the PAR in Karnataka has gone up. Karnataka traditionally had a lot of lower-risk districts. Hence, the weightage has fallen, right? So there is a reduction there. And second, in Stage-3 like Udaya said, if customers are paying more than 50%, we have assumed a slightly lower credit cost because this is current repayments coming into the system. And then also the new PAR attrition has come down compared to Q3 FY25. That also in fact has reduced the overall new provisions.

Chinmay Nema: Understood, sir. Thank you.

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Moderator: Thank you. Next question comes from line of Shreepal Doshi from Equirus. Please go ahead.

Shreepal Doshi: Hi sir, thank you for giving me the opportunity. My question was on firstly, why when do we see this more than 3 lender and more than INR 2 lakh ticket size customers, which currently stands at closer to 20.1% and 9.5% dropping to our expected level? That's the first question, sir. Or our targeted level rather?

Udaya Kumar Hebbar: It's difficult to have a targeted level here because these are short-term loans. If you see in past seven months there is almost 10% reduction. So it will actually go on as the MFN guardrails will continue to be there. It will automatically come down on a normal phase as they come back to regularize the loan with the payback and close their loan. Overall, it's already coming down, the journey has begun. Maybe 2-3 quarters it will come down to

an accepted level not only for

us, for the whole industry also. It says that industry targeted measures to deleverage the customers. I think it's already working well and then it will continue to work well.

Shreepal Doshi: Okay, the second question was, we have given a guidance of 5.5-6.0% credit cost for FY26. But I mean, that doesn't have any buffer for any uncertainties that might come up in the state of Tamil Nadu from the ordinance that has come up. So just do you think there could be variation if something of that nature comes up? And if you think so, then should we not already provide that buffer in the guidance?

Udaya Kumar Hebbar: The ordinance, the talk about the ordinance has been there for the last one month almost. We are not seeing any impact on the ground, either to us or anybody else. Therefore, we are not anticipating anything coming practically from Tamil Nadu. There is always a comparison of Karnataka to Tamil Nadu. Maybe I will take one minute to explain why this difference. In Karnataka, what happened, there was a heightened media, police, political intervention, everything before the ordinance, and that led to the ordinance. There was a hostile situation for a month actually. By that time the delinquency was elevated and the ordinance came later with the clarity. So then slowly delinquency came down. Whereas in Tamil Nadu there is no such situation at all. It is the government on its own maybe followed the Karnataka model and tried to implement by excluding upfront the REs and the banks. So therefore we are not seeing any such heightened delinquency trend coming up there. We are not believing that at this point of time, after witnessing almost 20 days of journey, we are not seeing any such events happening there. Of course, a small variation here and there, it is we will be able to manage because that is why we said that regular credit cost may be slightly higher, which is 3.0-3.5%, which should cover this kind of very small event. The larger event definitely, the thing will change. This is subject to reasonable stable period.

Shreepal Doshi: Got it, sir. And just one last question. It's more structured in nature. So what are the changes that you see? Every credit cycle so far has taught us something at industry level and also at organization level, right? So this time around, what are the changes that you see are emerging maybe on, let's say, credit underwriting side, even on tenure structuring side, or even on the CreditAccess Grameen Limited

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collection frequency side? I mean, such as say maybe having credit manager at branch level, do you see such changes or such operational changes being brought in by players in the industry?

Ganesh Narayanan: I think broadly every such cycle takes you back to basics. I think the fundamentals of microfinance are still intact and we need to work on strengthening processes. There was a gap in regulation for different kinds of players that has also been removed now. And the industry is working together in this challenge. So that's a very big positive thing in my view. And whatever steps we have taken, we are seeing it play out. And we are also seeing that people are mindful of expansion, people are mindful of underwriting, people are taking significant steps towards better income assessment. I think the fundamentals of lending will have to play a significant part also in microfinance as we move forward and with strong bureau data over the period of years. And like I said, since the industry is now working together under SROs, we can navigate this better and probably have better environment as we move forward. That is what comes to my mind? Udaya, if you want to add?

Udaya Kumar Hebbar: I think it's a joint effort by the industry, by the regulator, and by the SROs. I think all of them are working closely to see how to navigate going for

ward. The guardrails are one of the

outcomes. When I say guardrail, it is the guardrail made by the industry itself. When you say MFN, it's industry made guardrail. The members are part of making the guardrail for themselves. So I think that kind of consciousness is already there. And again, underwriting systems, many of them are probably improving the underwriting, even our case also. For example, we expanded our audit team to audit the branch at a frequency of even less than 45 days today, which is very hard. We have taken that kind of journey. And to make it more strong, we implemented several engines to accommodate stronger control, stringent inflows, customer checks. So many measures are adopted. I think, similarly, many MFIs definitely would have made that. I think it's a joint effort of all our stakeholders together and what is happening. These learnings are definitely helpful for the future.

Shreepal Doshi: Got it, sir. Thank you so much for answering my questions. I will come in the queue if I have more questions.

Udaya Kumar Hebbar: Thank you.

Moderator: Thank you. The next question comes from the line of Viral Shah from IIFL Capital. Please go ahead.

Viral Shah: Hi, sir. Thank you. So, two questions. One is I look at slide #13, and I look at the state-wise PAR. So when I look at Tamil Nadu, over there, see that for PAR 0, it has declined by around 80 basis points, quarter-on-quarter. Whereas PAR 90 has actually gone up by 130 basis points. And if I say let's do an analysis of the flow through rates, it seems that the flow through rate seems to be much higher in Tamil Nadu compared to even something like Bihar. Is there anything to read over here or what is it?

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Udaya Kumar Hebbar: Difficult to read because Tamil Nadu the higher delinquency happened in January which moved into the bucket. Whereas December actually that moved in whereas others from November actually the trend reversal started early, little one month early. Maybe the month of March is in between. Probably that made a difference. Otherwise by and large the trend is common across the geography. Tamil Nadu we faced little bad situation because of rains and everything in December. That all moved into PAR 90 by the end of March 31st. We are not seeing any very different issue in Tamil Nadu.

Viral Shah: Okay, sir. Sir, my second question is, when we talk of, near to normalized PAR accretion, so even ex of Karnataka, if you look at, say, in the month of April, it is still more than double of what it was last year. So is it something that we should be calling or talking of say close to normalization, because this is going to be a longer journey, right?

Udaya Kumar Hebbar: Yes, I think we said that near normal is correct. But April was a little aberration in the first half of the month due to lot of festivals, lot of employee holidays during that period, leading to a little aberration. But it's already coming back to normalcy in May itself already. It is a temporary brief of for 15 years of April. Otherwise, we are already back into normalcy.

Viral Shah: Sir, but if I recall, like last year, in the first quarter when the trends had started deteriorating, the explanation was, even from an industry perspective, that there were heat waves and elections. So I would think that even in the base, it would have already been there?

Udaya Kumar Hebbar: No, let's compare March-to-March. April, we know that there is a blip. It is temporary and we are aware why it happened because of the fact that will have couple of, when there is a lot of holidays also there, transfer is also there. So we are aware about it. But by May 14th they are already back. If you look at May month, May 1 to May 14th, we are at 0.12% new accretion actually. So it's already come back to normalcy. So it's a question

of a small blip in April 1st

half. Otherwise, we are definitely near normal compared to March last year or April last year.

Viral Shah: Got it, sir. And sir, last question. More I would say a bit philosophical. In this cycle, what is different versus in the previous cycle, how we look at and analyze this? So historically, we always used to look at, PAR, right? When is the PAR peaking out? How it is trending? Now, in this entire cycle, the conversations have moved to, say, incremental pace of PAR accretion, right? At the end of the day, the PAR is still keeping on increase. Are we, I would say, trying to say crystal gaze too much in future, say if trends persist like this 12 months down the line, this is what it could look like. Because when we look at ex bucket collection efficiency, by definition, after 9 months of pain, it has to improve, right? Because we are eliminating the delinquent customers from the base?

Udaya Kumar Hebbar: Correct. So ex-bucket collections need to come below, I mean, need to be above 99.5%. To reach near normalcy, that is what we are telling largely in many states other than Karnataka where more than 99.5% to 99.7% ex-bucket collections. So why one is using ex-bucket as a benchmark today? Because the current PAR in the system is much higher. If you put the PAR as a control,

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it is difficult to assess the actual efficiency because every part of even 0.1% actually increase the total PAR. Therefore, the ex-bucket becomes relevant today. Maybe once this entire journey of provision and write off is completed, we will be back to collection efficiency as a norm. Currently, probably ex bucket collection is more relevant. When this whole journey completes, then things are written off, then you have normal and then you look at better ways the collection efficiency on a PAR 0 kind of thing.

Ganesh Narayanan: And a new PAR accretion rate is important for you to get a view of how things are moving.

Viral Shah: Fair enough, sir. I get it. But if we, in the denominator in an ex bucket collection efficiency scenario, keep on removing the delinquent customers, like after nine months, say, like say 10%, 15%, 20% of the delinquent customers, as they keep getting removed from the denominator, the ex-bucket number will keep improving, right? Because the book has not grown much in this

period, right?

Udaya Kumar Hebbar: Yes, this period it is not important to grow the book also, right? We need to be careful.

Viral Shah: My question sir was more I would say I understand from as a manager how you want to look at it and probably this is the right metric, but more so from say analyzing it are we kind of trying to jump the gun?

Udaya Kumar Hebbar: Viral, from analysis point of view you have all data. You have a collection efficiency, you have PAR 0, PAR 60, PAR 90 plus, you have ex bucket. You have all the parameters available to you to analyze, right?

Viral Shah: Right, fair enough, sir. Thank you.

Moderator: Thank you. Our next question comes from the line of Ashlesh Sonje from Kotak Securities. Please go ahead.

Ashlesh Sonje: Good evening. A few questions from my side. Firstly, can you share the ex-bucket collection efficiency number for months of April and May thus far? I believe we have disclosed a number of about 99.3 -99.4% overall for the month of March. So that is one. Secondly, in your understanding, why are you not so worried about incremental drop-off after the implementation of the 3-lender cap in April, because even now about 9% of your loan book is exposed to that set of borrowers. That's the second one. And lastly, more qualitative, when we speak to industry participants, we understand that there is a general challenge of uniquely identifying borrowers, because different lenders tend to use different KYC documents. Additionally, it also seems like

the credit bureau is not allowed to store or share the other number of the borrower. So where are you and where is the industry in general today on solving that issue? Thanks. Those are all the questions.

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Nilesh Dalvi:

On the overall book it is around say 99.2% because of Karnataka. If exclude Karnataka, it's around say 99.5%, in the month of April. May it will be better because as you see, Ashlesh, as on 11th of May, we have added around say 12 bps of PAR 0. So if we continue the same trend maybe for the full month we add around say 25 to 30 bps of PAR 0 which means that the collection ex bucket will be around 99.7% that is excluding Karnataka, so we need to see.

Udaya Kumar Hebbar: That is one. Second is about the dropout and the incremental growth, right? So we know that there will be about 6%-7% of customers who have to drop and the portfolio also, to some extent, we have to drop almost 7% of income, but still we have an opportunity, if you look at the slide, we talked about guidance. We mentioned what are the challenges and what are the opportunities that we have. We feel we will be able to acquire customers if you look at in the Q4, we acquired 2.61 lakh new customers with the 43% new to credit.

Ashlesh Sonje: Sorry to interrupt you. Hello. Sir, this question was more around worrying about delinquencies because you won't be able to lend to some of these borrowers.

Nilesh Dalvi: Ashlesh, as you see the slide on delinquencies where in ex-Karnataka, we see that even in the case of borrowers with more than 4 lenders the PAR has largely been stable. So this is something we have been saying earlier also that the delinquencies have largely played out and not the entire pool having multiple lender is bad. There we still have 80% customers who continue to make payments and over a period of time normatively the customers who keep making payments obviously at some point in time their one or the other loan gets closed, their overall outstanding falls below 2 lakh and they again become eligible. This is not going to be a permanent loss for us. It is only a temporary adjustment wherein the borrowers will have to wait for some time, get their obligations under control and they again become eligible. Obviously, during this time, customers who might get into delinquency, they are getting into the delinquent bucket. So that is something we have seen over the last six months. Some of it will happen.

Udaya Kumar Hebbar: Also, we need to recognize that these are all short-term loans. That is why it's actually coming down faster. Maybe this month they are not eligible, 3 months down they may be eligible because they would have paid as their fee installments to all of them, whom they borrowed. I think that's why we said 81% of those customers are all paying good standards even today. I think most of them will remain and by the time they come back for renewal, probably they'll be back with eligibility. Therefore, we believe that this is not a big risk for us.

Ashlesh Sonje: Understood sir. The question comes because in the last few months we have seen many lenders starting to disburse as well at a fairly robust momentum. The fear is that, how are we sure that the repayments which are coming through are purely because of recovery and incomes and not purely because of the access to disbursements?

Udaya Kumar Hebbar: See, so long they're paying to all the lenders and then when they come back for the renewal, if they're not what you call default with the other lenders and they're within the three lenders norm or within two lakh, we don't see a risk in renewing. That is point one. Second, maybe some other

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lenders they borrow, they borrow from somebody else and pay to us. But they are paying to be only one instrumen

t, not the entire loan and they would have borrowed with no delinquency with anybody and they are eligible to get the money. I don't think this issue there also.

Ashlesh Sonje: Understood sir. And sir, the last one on borrower identification ?

Udaya Kumar Hebbar: KYC , we have to go by only voter ID at this point of time because of the regulatory requirement, but we actually implemented the entire portal checking long back. So every ID is deduped , followed by checking on the portal .

Moderator: Ladies and gentlemen, the line for the management seems to have been disconnected. Please stay connected while we reconnect the management. Ladies and gentlemen, the line for the management has been reconnected. Please go ahead, sir.

Udaya Kumar Hebbar: Sorry, we had a technical problem. So I was talking about the bureau data, right? Voter IDs being validated through a voter ID portal before acquiring any customer or before giving any loan. And largely, this is stable across the industry today. And one of the problems which we had, most of the banks used to give data once in a month. By regulation, it becomes fortnight . That also is a higher frequency, which helps the identification faster. If any multiple lending can be checked faster. And then even the entire regulator, particularly MF IN, is tracking all th e MFIN members about the KYC side as well as the multiple lender side as well as the le veraging side also and to give back the data if anyone breaches . Largely , it's a good governance there. So therefore , there may not be too much of risk coming. Of course, if Aadhaar would have been there, it was very good for everybody. Unfortunately, that is not the case today. So , they have to manage with voter ID only.

Ashlesh Sonje: Okay, sir. Thank you.

Moderator: Thank you. The next question comes from the line of Hardik Shah from Goldman Sachs. Please go ahead.

Hardik Shah: Thank you for the opportunity , sir. I have two questions. One is on the growth. I appreciate you calling out group lending growth at 8 -12% because of potential write -offs. But if you were to think about FY27 in a normalized environment, how should we think about growth ? If you break that down into borrower growth and ticket size growth? Why I ask that particularly is because penetration levels in some of the large states have already reached at very high levels . Bihar, more than 90 %; Karnataka, Tamil Nadu at 65%. So what are the states that will drive that borrower growth, if you could allude on that?

Udaya Kumar Hebbar: I think, our microfinance growth would remain range -bound between 8 -14% even for F Y27-28 also because we already said that our microfinance growth will remain above lower, whereas non-microfinance growth will be a little higher to compensate that. So therefore, we believe that between 10-15% or 12 %-14% is feasible in microfinance through new customers as well as CreditAccess Grameen Limited

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retained customer renewals, which is still possible. We don't see a risk there. And geography - wise, I think there are still many large geographies unmet. If you look at the entire India, even by 80% of the MFI covered districts, high districts, still you have more than 30 %-40% of unmet demand there. So we can continue to address that in the deep rural. If you look at, our business is deep rural and it is still there is a higher opportunity there. As you see right now, our new to credit is almost 43%, which is basically a new customer site. So that means there is a huge opportunity.

Hardik Shah: Got it. Sir, in terms of borrower and ticket size, fair to assume 8 -14%, if you are calling 12 % as the group landing or is this more going to be only borrower and ticket size kind of remains flat because of what the level .

Udaya Kumar Hebbar: Because we always work on retaining customers and growing, evolving with them. That means the r

etained customer will get a higher ticket size. Therefore, there will be two sets of growth.

One is growth from the new customer , where the ticket size will be lower for the current year, but by FY27, they will get some more. Correct? So it's always a continuous journey. The growth will come , some percentage come s from the ticket size, on a renewal, higher renewal, and then some set of growths come from what you call new customers. So 7 %-8% may be our customer growth, with that. About 10 % to 15 % will be the portfolio growth kind of thing on a range bound I am talking . I am talking about microfinance only .

Hardik Shah: Yes, of course. My second question is on the proposed bill by the central government on banning of unauthorized lending activities (BULA) act pan India which kind of looks like the reading looks like similar to Karnataka ordinance. So any early view on that if at all that was to be implemented how could you navigate that?

Udaya Kumar Hebbar: We don't have much idea, but actually when the Karnataka Government was doing this regulation, actually did go through the draft guidelines of BULA. I think largely aligned with that.

Hardik Shah: Okay . Thank you, sir.

Moderator: Thank you. Our next question comes from the line of Bhav esh Kanani from Swan Investments. Please go ahead.

Bhavesh Kanani: Thank you for taking my question. Just a quick one, some color on the individual loan composition we are looking at over the next couple of years . And the yield differential between the group loan and individual ?

Ganesh Narayanan: So broadly, we have guided that incrementally , the growth in microfinance will slow down and the retail will catch up. And we have guided earlier that roughly by FY 28, we will have anywhere between 12 % to 15 % of non -microfinance loans. And yields , as we said earlier also, most of the retail finance loans are either equal or slightly lower than microfinance loans, except for home CreditAccess Grameen Limited
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loans, which is today averaging at around 16.9%. So we will take some partnership route for home loans once we have some traction and book size , and experience, thereby neutralizing any impact on each.

Bhavesh Kanani: Okay, but would you like to call out within this 12 % to 15 % individual loans? What kind of mix will be contributed by home loans?

Nilesh Dalvi : Bhavesh, overall the retail finance what we looking at maybe might reach to 15 % to 16% . So as of now, this, the secured versus unsecured , is around, unsecured is 75%, secured is 25%. So maybe over the next couple of years, we aim to take it to around say 50 %-50%. So in secured book, largely it will be the secured business loans, affordable housing loans and two -wheeler loans , and unsecured will be the individual business. So maybe it might settle somewhere around 50-50% over the next 2 to 3 ye ars.

Bhavesh Kanani: Okay, so in essence, NIM implications, you don't see any major NIM implications because of the change ?

Udaya Kumar Hebbar: No, we don't see any major implication on NIM . Perhaps , we will have an advantage of better cost implication because there is no or a minimal acquisition cost because as we are going to do the majority of the business with the existing customers . The advantage of that will come .

Nilesh Dalvi : Bhavesh , we will try to be neutral at the PBT level. Since on retail finance , individual business loans, it is all given to our existing customers. And even in the secure d book, which is the secure d business loans and affordable housing loans, we still have around 60 % existing and 40 % new.

Across a larger portion of the retail finance, we will not have any sourcing cost. To that extent, our cost structures will be under control. And we will try to optimize our pricing to be competitive in the industry , at the same time , ensure consistency on the

P BT front. So that's what

we will try to maintain the ROAs across all the products.

Bhavesh Kanani: Thanks for the response.

Moderator: Thank you. Ladies and gentlemen, we would take that as the last question for today. I now hand the conference over to the management for closing comments.

Udaya Kumar Hebbar: Thank you everybody for patiently listening and thank you for questions also and for your continuous support. Thank you very much.

Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2025

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Ref: CAGL/ EQ/2025-26/65

July 28, 2025

To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip code: 541770
National Stock Exchange of India Limited
Exchange Plaza , C-1, Block G
Bandra Kurla Complex , Bandra (East)
Mumbai - 400051
Symbol : CREDITACC

Dear Sir/Madam,

Sub.: Transcript of Conference Call for Q 1 FY26 Results

Pursuant to provision of Regulation 30 and Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Q 1 FY26 Results Conference Call, held on Tuesday , July 22 , 2025.

The same is also available on the Company's website at : www.creditaccessgrameen.in .

This is for your information and records.

Thanking you,

Yours' Truly
For CreditAccess Grameen Limited

M. J. Mahadev Prakash
Company Secretary & Chief Compliance Officer

Encl. As above

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"CreditAccess Grameen Limited Q1 FY'26 Conference
Call"

July 22, 2025

MANAGEMENT : MR. GANESH NARAYANAN - CHIEF EXECUTIVE
OFFICER AND MANAGING DIRECTOR DESIGNATE ,
CREDIT ACCESS GRAMEEN LIMITED
MR. GURURAJ RAO - CHIEF OPERATING OFFICER ,
CREDIT ACCESS GRAMEEN LIMITED
MR. NILESH DALVI - CHIEF FINANCIAL OFFICER ,
CREDIT ACCESS GRAMEEN LIMITED
MR. SAHIB SHARMA - DGM - INVESTOR RELATIONS ,
CREDIT ACCESS GRAMEEN LIMITED
MODERATORS : MR. SHREEPAL DOSHI - EQUIRUS SECURITIES

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Moderator : Ladies and gentlemen, good day and welcome to the Credit Access Grameen Limited Q1 FY '26 Conference Call hosted by Equirus Securities.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions, and expectations of the company as on the date of this call. These statements are not the guarantee of future performance and involve risks and uncertainty that are difficult to predict.

I now hand the conference over to Mr. Shreepal Doshi for Equirus Securities. Thank you and over to you, sir.

Shreepal Doshi: Good evening, everyone. I welcome you all to Q1 FY '26 Earnings Call of CreditAccess Grameen. Today, we have the top Management of Credit Access Grameen represented by Mr. Ganesh Narayanan – CEO and MD Designate; Mr. Gururaj Rao – Chief Operating Officer; Mr. Nilesh Dalvi – Chief Financial Officer; and Mr. Sahib Sharma – DGM (Investor Relations). I would now like to hand over the call to Mr. Ganesh for his opening remarks post which we can open the forum for questions and answers. Over to you, sir.

Ganesh Narayanan: Thank you, Shreepal. Very good evening to all of you. We are pleased to welcome you to the Conference Call to discuss our 1st Quarter FY '26 Business Performance.

We have begun FY '26 with a positive momentum, setting the tone for the year ahead. Our Q1 FY'26 performance has created a new benchmark, achieving the highest ever 1st Quarter disbursement in our history. This is a testament to our resilience and agility that define us given that we are coming off the back of a challenging credit cycle.

Before we deep dive into the 1st Quarter performance, I will encourage all of you to go through our FY '25 Integrated Annual Report theme, Being Sustainable and Responsible, available on our website. This report reinforces the principles that define us while capturing full spectrum of our financial performance, business strategy, progress in our ESG journey, and commitment to robust corporate governance. We have witnessed broad-based declines in power accretion rates across our operating geographies with a strong ground-level execution and disciplined approach to customer engagement. The PAR 15 plus acquisition rate stood at 0.46% in June '25 compared to 1.34% in November '24. Karnataka is gradually inching towards stabilization with new PAR 15 plus accretion rates significantly being controlled at 0.58% for the month of June '25 from a peak of 2% in February 2025. The gradual stabilization in asset quality over the past three quarters has enabled renewed focus on our growth.

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Our employee base grew from 20,970 employees in March '25 to 21,333 employees by the end of June '25 while maintaining lower attrition rate of 27.1% in Q1 FY '26. This has resulted into improved customer servicing and supporting our asset quality outcomes. We have strengthened our market position amid multiple headwinds, increasing our AUM-based market share by 70 basis points during FY '25 to reach 6.9% of the overall microfinance industry. This gain reflects the consistency of our approach with a continuous new-to-credit customers and a strong commitment to supporting our borrowers through every stage of their credit journey. We added 2.16 lakh borrowers in Q1 FY '26 of which 43% were new-to-credit, maintaining a consistent trend quarter-after-quarter. As a result, 33% or one-third of the borrower base is u

nique with CA Grameen as of June '25 compared to 26% in August '24.

The branch expansion is progressing well with 54 branches opened in Q1 FY '26 across a mix of vintage markets and newer geographies. Our retail finance portfolio, the strategic growth lever, witnessed significant increase in YOY share from 2.9% to 6.8% at end of June 2025. We are pursuing a calibrated growth in this segment with strong focus on maintaining asset quality. At the same time, it is important to highlight the increasing share of 3-year loans in GL book, rising to 44.3% in Q1 FY '26 from 33.3% in Q1 FY '25. While this trend reflects the improvement in serviceability and long-term retention, the probability of us handholding these customers into retail finance increases meaningfully given our evolved customer philosophy. Our internal policies on placing limits on credit exposure even before MFIN guardrails were implemented have resulted in a natural and steady deleveraging trend. Referring to slides 10 and 11, GLP of borrowers with greater than 3 pre-lenders stood at 11.1% in June 2025 versus 25.3% in August 2024. GLP of borrowers with greater than 2 lakh unsecured indebtedness stood at 9.5% as of June 2025 compared to 19.1% in August 2024. Further, the average total unsecured debt of CA Grameen borrowers has declined 14% year-on-year while the average monthly obligation has declined by 6% year-on-year.

PAR 15+, in case of borrowers with 4 lenders, stood at 14.3% as of mid-June 2025 versus 12.6% in March 2025. Similarly, PAR 15, in case of borrowers with more than 4 lenders, stood at 31.1% as of June 2025 versus 27.8% as of end of March 2025. This shows that delinquencies have largely crystallized in case of borrowers with greater than 3 lenders while 80% of these

customers continued to make regular payments. Out of the overall PAR 15 plus of 6.4%, 35% was on account of greater than 3 lenders. Similarly, out of the overall PAR of 60 plus, 4.1%, 36% was on account of borrowers with greater than 3 lenders. An accelerated write-off journey which commenced in Q3 FY '25 is steadily driving us towards balance sheet normalization.

In Q1 FY26, we undertook write-off of Rs.693 crore which included an accelerated write-off of Rs.603 crore related to 180 dpd plus non-paying accounts leading to an additional credit cost of Rs.193 crore for the quarter.

As highlighted in slide # 6, the share of credit cost due to new PAR accretion has consistently declined since Q3 FY25 whereas credit cost on account of write-off has increased. This has been

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in line with the company's aim towards balance sheet normalization through conservative provisioning and accelerated write-offs.

Overall, the company continued to hold 133 bps or Rs. 331 crore higher provisions over PAR 90, 323 bps or Rs. 833 crore higher provisions compared to IRAC prudential norms and Rs. 74 crore higher provisions compared to NBFC provisioning norms.

Our collection efficiency excluding arrears stood at 93.2% for Q1 FY '26 while being 93.5% for the month of June FY '25. PAR 90 stood at 3.29%, GNPA of 4.70% and net NPA of 1.78%, both predominantly measured at 60 plus DPD.

Net interest income grew 7% quarter-on-quarter to Rs. 937 crore with portfolio yield at 20.3% and interest spread of 10.6%. We observed a decline of 8 bps in our average cost of borrowings to 9.7% at the end of Q1 FY '26, having remained stable at 9.8% over previous 7 quarters. During Q1 FY '26, we raised Rs. 2,570 crore which included partial drawdowns from our maiden US \$100 million multi-currency syndicated social loan comprising of Japanese Yen and US dollars denominated combined. This transaction is particularly significant as it was priced comparable to our domestic borrowing rates and notably lower than our average cost of borrowing.

We raised money from leading banks from South Asia and Far East

, reflecting our strong ESG

credentials and consistent impact-driven record. We remain confident of building on this momentum as we work towards our strategic objective of achieving 25 %-30% foreign borrowing by FY '28. NIM remains steady at 12.8% for Q1 FY '26. Cost-to-income ratio stood at 33.5% while PPOP stood at Rs. 656 crore in Q1 FY26. The liquidity levels including cash and cash equivalents were adequate at Rs. 2,025 crore amounting to 7.3% of the total assets. Additionally, we have sanctions in hand of Rs. 3,093 crore and another Rs. 6,500 crore worth of sanctions in pipeline. The capital adequacy remains comfortable at 25.5%. We delivered a PAT of Rs.60 crore in Q1 FY26 leading to ROA of 0.9% and ROE of 3.4%. The microfinance sector is showing signs of stabilization supported by implementation of MFIN guardrails and improved lending discipline across the ecosystem.

Looking ahead, the outlook for FY '26 remains encouraging with favourable monsoon forecasts and strengthening rural sentiment laying the groundwork for sectoral development. Our strong business momentum and stabilizing asset quality position us well to deliver robust profitability in the second half of FY '26 as guided.

Thank you for your attention and time. We now open the forum for questions and answers.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mr. Renu from ICICI. Please go ahead, sir.

Renish: Hi, congrats on a good set of numbers. Just two-three questions from my side first on this PAR 15 accretion data. So, it is very clear that except Karnataka, most of the states are either stabilized
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or may be better than the June '24 levels. But when we look at Karnataka specifically, PAR 15 accretion rate is still significantly higher at 58 basis point compared to June '24. And also, when we look at PAR 0, which is increased to 9.2 in June. So, what is happening at the ground level? What are the factors which is causing this delay? And does this also possess any risk to our Karnataka state additional credit cost guidance of 1% to 1.25%, which we shared last quarter.

Ganesh Narayanan: So, Renish, at ground level, the situation is consistently improving. If you see the chart, we have on a month-on-month basis, we've shown improvement in Karnataka also. I agree that it is not at a normal level. But we are hoping that by end of Q2, we should see further drop in new PAR accretion in Karnataka. And we will have to kind of watch Q3 to see where this will settle down. So, we will have to see whether it goes back to the earlier trend of 15-30 bps or it's going to kind of settle down slightly higher. But at least the monthly trend is showing that it is consistently, every month, probably on a weekly basis also, it is showing a very strong trend of recovery. So, the nature of PAR is still the same that certain section of customers are using the ordinance to kind of request for some more time. But however, what is encouraging is that you are seeing in the early buckets, more than 40% of customers, that is before 60 days, more than 40% of customers are partially paying. So, while you are accruing new PAR, the old PAR is also performing through partial payments. So, it should kind of balance out during this quarter is what we see.

Renish: So, this partial payment customers are only for Karnataka, right?

Ganesh Narayanan: No, overall as a company also, we have 40%. Karnataka is also similarly trending.

Renish: For the new PAR accretion you are saying?

Ganesh Narayanan: Yes. So, less than 60 days PAR, partial paying customers at a company level, as well as Karnataka is roughly around 40%-45%.

Renish: Got it. And does this budget in restore credit cost guidance in Karnataka, what we shared in Q4 of 1% to 1.25%?

Ganesh Narayanan: So, we would

want to keep it there. But however, like I said, we will have to see how Q2 pans out and how we stabilize in Q3, right? So, the only comforting factor is every month we are seeing progress. And we will have to see how this kind of tapers down over the next few months.

Renish: Got it. So, second question is on the retail finance. You also mentioned in your opening remarks about strategically scale up of this book. Can you share a little more detail about which product is driving this growth? Which geography? How are they set up? I mean, internally, who is leading this business, etc.?

Ganesh Narayanan: Sure. So, broadly today, retail finance comprises of graduated customers taking unsecured business loans. It also comprises of mortgage loans, that is secured business loans, as well as

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affordable home loans. So, today, as we speak, the unsecured business loan book is around Rs. 1300 crores, which consists of graduated customers taking unsecured business loans. This is predominantly done in our core geographies which is Karnataka, Maharashtra, Tamil Nadu, MP. And during the year, we will scale this up to a few more branches. So, as of last year, we rolled this out in around 500 branches. As of now, we have rolled this out in around 735 branches. So, this is one part of the retail finance. With respect to mortgage loans, the secured business loans book stands roughly around Rs. 250 crores, and home loan stands at Rs. 134 crores.

Renish: Got it. Sir, just a follow-up on that. So, this unsecured business loan, what is the tenure?

Ganesh Narayanan: This is predominantly 3-year tenure.

Renish: And any data to share on month-on-month performance or anything?

Ganesh Narayanan: So, this unsecured business loan, as of last quarter, we were roughly at a PAR 30 of close to 2%.

I think we have seen a slight increase here predominantly because this book is also in Karnataka.

But we are around 75 bps higher than Q4. But we see that also stabilizing in the coming quarter.

Renish: Okay. Got it. And just a last thing. There was a media article suggesting many players are increasing their lending rates in MFI. So, are we also contemplating any rate hike or how is it?

Ganesh Narayanan: So, we have not increased rates for the past few quarters. That media article was kind of quoting what is published on the website as well as comparing it with portfolio yield. So, on a QOQ basis, our average lending rates have not increased.

Renish: Okay. And we are not thinking too...

Ganesh Narayanan: No, we are not looking at in the near future.

Renish: Got it. Thank you so much, sir. And best of luck, sir.

Ganesh Narayanan: Thank you, Renish .

Moderator: Thank you, sir. The next question is from the line of Abhishek from AB Capital. Please go ahead, sir.

Abhishek: I know you already spoke, but just again wanted to ask this. So, you think the challenging portion of the credit cycle, we have already crossed it, right? And we can again grow confidently, aggressively like our past?

Ganesh Narayanan: Yes. That is the confidence that we are seeing consistently month on month, right? So, that is why we have been publishing monthly updates. So, every month we are seeing improvement with certain amount of aberration that happened in April because of year closure and holidays

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and that translating to slightly elevated PAR in May also. But I think consistently if I see as a trend, we are inching towards normalcy.

Abhishek: Okay. And any other state other than Karnataka that you would like to flag as of now where stress is material there a little bit?

Ganesh Narayanan: All other states have really come back quite strongly.

Abhishek: Okay. Thank you.

Moderator: Thank you, sir. The next question is from the line of Shreya Shivani from CLSA. Please go

ahead, ma'am.

Shreya Shivani: Thank you for the opportunity. I have three questions. My first question is on one of your peers had commented in their result call that they are facing some challenges in growing the MFI book in Karnataka and Tamil Nadu. Now, I understand this is your home turf . So, some color you can give about on what kind of growth and new customer acquisition has been seen in these two geographies in the past quarter? I know in the PPT, you give us that data for the past one year, but just for the quarter. That's my first question. My second question is on the employee cost. So, I understand that you had been, your employee count was increasing from 4th Quarter itself. So, the employee cost has come in at an elevated rate. What should be the run rate? How should we build it for the year? Was it that more variable was paid out this year? Some color on that would be useful over here. And my third question is, I think you've partly mentioned, but I still wanted to understand that last time you had mentioned that in your stage three, your provision coverage is at a 50% -60%, whatever level it is, because on the partially paying account, you had kept lower PCR. So, what has been the behavioral trend of this partially paying account? Do we foresee the need to provide more or it's an improving trend? These are my three questions. Thank you.

Ganesh Narayanan: Okay. On the first question, we don't see any specific difference in customer acquisition with respect to challenges in Karnataka, Tamil Nadu. It is like any other state. We are normally, normatively growing across all states. And with respect to OPEX, the employee cost in Q4 was slightly lower because we had reversed certain provisions with respect to our annual performance bonus, given the moderation in the performance of the company. Also, we added people in Q4 and Q1. Further, we have normative salary increments coming in effect from Q1. So, all these factors put together contributed to a higher employee cost on QoQ basis . But with growth starting, you should see overall Opex/AUM less than 5% as we move forward. And on the third question, Stage- 3 provisioning, today we are at roughly around 63%. It is slightly lower than the last quarter because the Karnataka book where majority of the districts are classified as low risk has flown forward to Stage -3. Hence, you are seeing a slight lower provision. Otherwise, there is no change in provisioning model as such.

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Shreya Shivani: Right. Even with the partially paying accounts, you are still comfortable with the level of provisions that you have kept, right?

Ganesh Narayanan: Yes. So, we are quite strong. You would know that we provide Stage -3 at 60 days, not 90 days. And there is already a very high amount of provisioning in all three stages compared to whatever we are able to see in the market.

Shreya Shivani: Got it. And just one follow up. The reason why I am stressing on Karnataka and Tamil Nadu is because you've given us a range of 14% to 18% growth, right? So, any slowdown over there would make me decide whether it's a, you know, will help us understand whether the growth is more towards 14 and more towards 18. Do you think your peers' experience of not a very normative growth in that geography could just be because of that is not their home turf or their home geography or something of that sort? Do you think competition has calmed down in many of the geographies? Any comments around that?

Ganesh Narayanan: With respect to Karnataka, I think the confidence will start coming in as people start seeing their fresh PAR accretion come down. So, in our case, because we are seeing it coming under control

month-on-month, our book will also grow as we move forward, right? So, for different players, it could actually pan out at slightly different points of time. But I see that it

will strongly come back in some time.

Shreya Shivani: Got it. This is very useful and thank you and all the best. Thank you.

Moderator: Thank you. Our next question is from Ms. Shweta D. from Elara . Please go ahead, ma'am.

Shweta D.: Thank you, sir, for the opportunity. Sir , a couple of questions. So, the sanctions which you are holding around Rs. 3,000 odd crores and the pipeline of closer to 6, 500, can you provide the composition across JLG versus individual or retail finance loans? Second is, this Rs. 350 odd crores of provisions which have been made towards new PAR accretion, so, again, here also if you can provide some color on the customer cohort. And lastly, while the employee attrition has been declining but can you just provide any color on any geographic related concentration here in terms of employee attrition ?

Ganesh Narayanan: I think for us, I will take the third question first. With respect to attrition , over the last two quarters, we have been able to kind of stabilize headcount across all states. However, we do see slightly higher attrition in the state of Tamil Nadu, which is more or less I am seeing this as a pattern across BFSI, not necessarily microfinance. But we keep a slightly higher bench there to kind of manage attrition . But otherwise, the rest of the country is kind of quite stable for us. And with respect to the borrowing related question, the sanction in hand, I am asking Nilesh to take that.

Nilesh Dalvi: So, Shweta, with respect to the sanctions in hand and sanctions in pipeline, largely all these funding lines have an underlying as microfinance loans. So, we have not yet started availing

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loans, keeping retail finance as an underlying because that book is still in a growth phase and once we reach a certain disbursement quantum on a monthly basis, then we will look at hypothecating retail finance assets for our funding. So, as of now, the funding is purely basis the microfinance book. And your second question on the provisions on the new PAR . So, the provisioning is again in line with our ECL policy. So, as you are aware, we are taking a district - based provisioning approach. And depending upon the classification of the district, the provisioning is done. So, as of now, the new PAR accretion, we have anyways provided the new PAR accretion across various states for your information and depending on in which district this new PAR comes, whether it is in a low -risk, medium -risk or high-risk , basis that the provisioning rate will be determined. So, largely as of now, we are not seeing any major deviations. It's been a normative trend over the last few months.

Shweta D.: Understood. Thank you so much.

Moderator: Thank you. The next question is from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain: Thanks for the opportunity. The first question is on customer count, which has been written off this quarter and how should we think about active customer growth? When do you expect that to happen? And what is the expectation to reach active customer base by the end of this financial year?

Ganesh Narayanan: Right. So, broadly, I think by end of Q2, most part of the write -off would have happened. And we are confident of adding roughly around 1 lakh customers on an average per month for this financial year. So, hopefully, we should be able to kind of maintain this trend and settle down around how much?

Nilesh Dalvi: We should see growth from 3rd and 4th Quarter .

Ganesh Narayanan: In the customer base because the write-offs will be largely done. And if you see normatively in second half, even if we add 6 lakh customers, so it will have 6 lakh customers on a base of 45 is around close to 15% growth. But then there will also be a normative attrition on maybe around 6% to 7% in the second half. So, we should see around 5 % to 7% growth in

the borrower base on an overall basis.

Nidhesh Jain: Sure. And what is the count of customers which have been written off in this quarter?

Nilesh Dalvi: 4.6 lakhs we have written off.

Nidhesh Jain: In Q1?

Nilesh Dalvi: Yes. Nidhesh, my bad. Trailing 12 -month basis, we have written off 4.6 lakh borrowers. In 1st Quarter , we have written off around 1.8 lakhs.

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Nidhesh Jain: Okay. Sure. And what is the quantum of interest income written off in the quarter?

Ganesh Narayanan: It is a round Rs. 88 crores.

Nidhesh Jain: So, that should also reduce after Q3, right? As write-off slows down, that interest income written off should also reduce from Q3 onwards?

Ganesh Narayanan: Yes. Largely in Q2, we should see a similar figure. But from Q3 onwards, it should taper off.

Nidhesh Jain: And in terms of cost of fund, how should you see the trajectory of cost of fund going forward?

Nilesh Dalvi: Cost of funds, directionally, they should improve. However, today what we are seeing is that our borrowings are linked to MCLR and usually the reset happens on an annual basis at different points in time. So, while the repo has fallen by 100 bps, it takes at least 2 quarters for the transmission to happen in MCLR. So, we should see some benefit flowing in. So, like in Q1, we have already seen around 8 bps of benefit. So, the larger benefit should come by end of the financial year and in the 1st Quarter of next year.

Nidhesh Jain: Okay. Sure. Thank you. That's it for my side.

Ganesh Narayanan: Thank you. Nidhesh.

Moderator: Thank you. The next question is from the line of Aravind R from Sundaram Alternates. Please go ahead.

Aravind: Thank you so much for the opportunity. Considering the accelerated provisioning we have made of Rs. 193 crore in this 1st Quarter, are we still confident of getting to the guidance of credit cost of 5.5% to 6%? That is my first question. And then second question is with respect to higher OPEX. I understand we have made multiple efforts in terms of strengthening connections and maintaining higher bench strength in Tamil Nadu because of higher attrition rate. But do you think this will improve as the growth picks up? That is the second question.

Ganesh Narayanan: Yes. So, first question, on the guidance on credit cost, because we are seeing month-on-month improvement, we believe that we should be able to reach that. But Q2 will give us better confidence if we continue to improve the performance on this and kind of reinforce that we should be able to make this. On the OPEX side, like I said, Q3 and Q4, you will see it dropping and hence by end of the year it should drop-down below 5%. So, currently it is high because of two things, like I said. One is because of higher employees added in Q4 and as well as Q1. And also because of the effect that in Q4, provisions for APB were reversed to kind of rationalize the budget for the same. And that has kind of made Q4 employee cost lower. And we have also added increment provisions in Q1. So, that has also kind of contributed to higher OPEX.

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Aravind: Sure, sir. But just one follow-up question on credit cost. You mentioned that lower credit cost in second half, but it has to be as low as 3% -4% for us to get to a point of 5% -6% credit cost for the whole year. So, that is the reason it was so low.

Ganesh Narayanan: Yes, the confidence for us is that given that the monsoons are better and field level issues have reduced, we are looking at lower migrations and a significant improvement in performance in Q3 and Q4. And hence, we are saying that it should be maintainable.

Aravind: Sure. If I can just ask one more question, like this is with respect to regulatory relaxation in terms of MFI as a percentage of the overall portfolio being reduced from 75% to 60%. Does

it mean

that industry will have much more of individual MFI basically unsecured loans offered to a good set of customers as overall at the industry level? And will that happen with CreditAccess also, like higher portion of individual MFI?

Ganesh Narayanan: Right. So, you would have seen that we have already laid out a 2028 plan where we have said that we will diversify into these asset classes and over a period of the next few years, we will reach roughly around 12% -15% of diversification. Similarly, with this higher room, I think a lot of players will step in to experiment into adjacent asset classes, could be mortgage, some of them could be other asset classes that they are confident about. But I think this will grow in a phased manner. I do not see a significant ramp up across this because all of this needs investment, thought process, technology, credit policy, etc. So, I think this will be a phased growth. But it would be over a period of time, probably most MFIs would see diversification in their portfolio per se. But I do not see it going up very quickly, but it should take a phased growth. Sure. Thank you so much.

Ganesh Narayanan: Thank you.

Moderator: Thank you. The next question is from the line of Rajiv Mehta from YES Securities. Please go ahead.

Rajiv Mehta: Sure. Hi, good evening. Congratulations on very good numbers. So, firstly, on collections, I mean, if you can comment on July collection efficiency or PAR accretion trend so far, and also what we see is this reduction in the PAR 15 accretion rate across markets. Is it also correlating or aligning with the fact that central meeting attendance is now coming back? Central meeting collections are improving. Can you also give us some sense around it?

Ganesh Narayanan: Sure. See, July collections, I would say, have been stable as per our expectation and hopefully, it should remain strong in August and September also. Karnataka is improving, but overall, I

think we have been stable in July also. And with respect to central meeting attendance, today we know that attendance has been to a subsection. It is not as per historical level, but we have always maintained that central attendance today has no direct linkage to repayments. Most of our repayments are coming through central meetings. Like we said earlier, early morning central meetings have better attendance. Post 9 am central meetings have we have seen that attendance

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is dropped. We are also seeing an uptick in digital collections. So, we have reached roughly around 16% of our collections are coming through digital modes now. So, we will have to see how this moves, but I do not see that as a challenge as long as you are investing to see what is happening and kind of complemented with digital modes of connecting with the customer. So, digitization is something that is contributing. Second is the amount of women getting employed has also significantly increased in the digital market. So, that is also resulting. But still, the early morning central meeting attendance is quite encouraging. Post 9 am is something that has been falling, but we do not see it so far as an implication to our repayment. Most of our repayments are happening through central meetings. And today, if you see, almost our daily collection efficiency as well as monthly collection efficiency is similar. So, if you are not getting money in the meeting, this is not maintainable.

Rajiv Mehta: If you can comment on the rejection rate after the April guardrail, what is it now versus what it was before the guardrail came in, in April. And how do you see the rejection rate going forward because the industry is leveraged, the customer leverage is also correcting. So, do you think that in the second half, the rejection rates will kind of ease off, allowing you to add more customers, because the leverage would have settled

by then, and that will also help you for growth?

Ganesh Narayanan: Right. So, so far, after the guardrail 2, which I think we picked up around February, not in the April, most of the industry picked up a little early, the rejection rates have gone up by around 5% to 10%. And we think, according to what you are saying also, our assumption is also that post Q2, because the leveraging would have dropped, it is possible that we could see a slightly better approval rate. But it may not be significantly different, because you will also have to reach out much wider. So, if you are spreading out wider, probably you will have more customers, and then it should balance out. But you could see a slight increase in approval rates as we think, as we see in Q3.

Rajiv Mehta: Okay. Just one last thing on our guidance and our guidance between first half and second half, and second half, we are talking about, Q3, Q4, being near 4.5% ROEs and around 18% ROEs. So, in that sense, are we here assuming that, that the number of customer per loan officer and that metric will improve and give us some operating leverage, cost leverage here because I think, as you said, lending rates, maybe are not changing, cost of fund will gradually improve. So, NIMs, you have already guided, credit cost also you have already guided, where we can land in the second half. But are we assuming some leverage from this metric that the cost can be better absorbed with the growth coming back.

Ganesh Narayanan: All right. So, we should see that, because post Q2, the drop because of accelerated write-off would kind of slow down, right? And you will see that the averages are inching up, along with growth of new customers.

Nilesh Dalvi: See, Rajiv, I will add a couple of points here on the operating, I mean, on the OPEX to AUM question. So, see, largely, as you see, our AUM is still flat at what it was in FY '24. So, we are still at around 26,000. And maybe it stays at this level for another quarter, because of the

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accelerated write-offs. So, while the disbursements are healthy, customer additions are happening, but maybe because of the accelerated write-off, the denominator is at 26,000. And in second half, obviously, it will grow in line with whatever disbursements we are envisaging. So, it is more of a base effect in first half, wherein our employee expenses on a YOY basis, obviously, they will go up, because we will have our annual increments will be in place. And plus, whatever employee addition we did in the 4th Quarter, almost 1000 new employees were added in 4th Quarter. So, obviously, their salary contribution will also reflect in this year. So, there is a normative increase in the operating expenses. And also, historically, the branch expansion we have typically conducted in the first half. So, even in Q1, we have added around 50 plus branches and we will have, we will primarily complete our branch expansion in second quarter. So, even that leads to certain front loading of expenses, which usually gets adjusted in the second half. So, this OPEX, which is today around 5.1, it may stay at that level in Q2. And then Q3, Q4 as the growth picks up, we should see that ratio again dropping below 5.

Gururaj Rao: Rajiv, Gururaj here. Just to add to the point of customers per loan officer, currently it stands at

around 320. And we have accelerated write off what we are taking, which is resulting in lower customer base. But we do expect that post -September when the accelerated write-off is completed, this number will revert back to our historical average. So, we should be by year -end, it should reach the historical averages, which will provide a better efficiency in terms of productivity for employees.

Rajiv Mehta: Got it. Thank you so much.

Moderator: Thank you. The next question is from the line of Himanshu Taluja from Aditya Birla Sunl

ife

AMC Limited. Please go ahead.

Himanshu Taluja: Hello, sir. Thanks for the opportunity. Just a few questions at my end. Sir, if I just take what is the new PAR accretion, what is currently 0.46 %. And if I assume that this stays at the current levels for another quarter, is it right? Because the credit cost, which you have showed in the 1st Quarter, 2.2% and if I assume that for the quarter, your forward flow rate would be 1.5. And if you make 63 %-65% of the PCR, probably 1% credit cost is required on a non-annualized basis. Will be for the no-end plus the write -offs, which can potentially. So, can we say that in the second quarter, your credit cost can revert to a level of 1.5% on a non -analyzed and then third, 4th Quarter, potentially, where we can see a massive improvement of below 1%. Is that understanding, right?

Nilesh Dalvi: Yes, Himanshu. So, largely, if things go as per what we are envisaging, this is the trajectory we should see. Because as you see, even in 1st Quarter, while there was certain provisioning with respect to the new PAR, which came in 1st Quarter, but there was also secondary impact of the PAR, which came in 4th Quarter and which kind of flew into the advanced buckets in the 1st Quarter. So, that's where in 1st Quarter, there has been a little elevated impact on the new PAR related provisioning. Now, when we go in second quarter, obviously, since the new PAR accretion in Q1 has been lower than what it was in Q4. So, obviously, the secondary impact of

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that will be lesser in Q2 and the primary impact of the new PAR, which comes in Q2, obviously, it will have a similar kind of provisioning. So, we should see this 572 number, it will keep declining.

Himanshu Taluja: So, the idea is to understand the pace of the decline, what my math says that from going ahead quarters, assuming if your flow rate doesn't increase and stays at even at the current to a declining trajectory, your credit cost should materially decline from the coming quarters now.

Nilesh Dalvi: Yes, Himanshu. So, that's what I mean, if we look at our guidance, we are saying that obviously, first half, the credit cost will be elevated and in second half, the run rate will be 3 %-3.5%. So, obviously, the 3- 3.5% is a run rate, the quarterly cost will be below 1% on a non-annualized basis.

Himanshu Taluja: Thank you. Thanks a lot for this clarification. Second is on the growth guidance. Sir, can you help us, what kind of the portfolio are you trying to build on your retail finance, because that proportion in the mix is also rising. Assuming the two years forward FY '26 and FY '27, where you see this mix will going to be? And if you can also help us, what kind of the portfolio you are trying to build in this?

Ganesh Narayanan: Right. So, right now, because our mortgage is a long journey, the book today is a little more of unsecured loans will grow faster, your mortgage will take time to grow. But once both businesses are established, the mortgage business will run down slower, whereas the unsecured business loan will run down faster. So, over the medium term, you should see that. Today, I think 70% is unsecured business loans, 30% is secured. 75-25, approximately. So, this should keep changing over the next few years. So, that's how we envisage. And in the medium term, should kind of reach around 50 -50.

Himanshu Taluja: Sorry, a round 15% over the medium term?

Ganesh Narayanan: Around 50- 50.

Himanshu Taluja: Okay, got it. But where do you think this mix of retail financier can go from 3% last year to 7% currently? Can this head towards 12 %-15% in the 2 years ' time frame?

Ganesh Narayanan: What we have guided is around by end of the year 2028, we should reach anywhere between 12%-15%. And we are confident of reaching that number.

Himanshu Taluja: Sorry, what percent?

Ganesh Narayanan: 1

2%-15% is what we've guided for 2028.

Himanshu Taluja: Fair. So, secondly, lastly, given this guardrail 1 and 2, probably we see potentially 20% of the borrowers have gone completely out of the system. On a sustainable basis, what sort of growth

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one can expect, assuming the second half become normalized, then if you have to really guide the growth on your MFI book, what do you believe on a sustainable basis you can deliver?

Ganesh Narayanan: Yes, I think in a normal scenario, MFI book should grow in the early teens, maybe around 13 %-15%. And along with retail, we projected that the overall growth should be 20% plus, 20 %-25% kind of range. So, it will moderate around 10% -15% in the microfinance side .

Himanshu Taluja: Thanks a lot, sir. Thanks a lot for answering. Thanks.

Ganesh Narayanan: Thank you very much.

Moderator: Thank you. The next question is from the line of Mr. Abhishek from HSBC . Please go ahead.

Abhishek: Thank you. Hi. Good evening, everyone. So, my first question is on Bihar. You've actually carved it out in your GLP branches and all, and there's a clear slowdown. This is just until November, until the elections are over, and then you think there's some growth potential, or you think that it's too overheated, and therefore, this consolidation in the AUM. So, just wanted to check what's your thoughts regarding that.

Ganesh Narayanan: Right. So, Bihar, we had actually slowed down last year because we saw a certain amount of abrasion in the credit costs in Bihar. So, we had kind of strengthened the team, added people, and we've started growing business there. So, it has nothing to do with the environment there. It is a lot more internal in our view that we saw that we were slightly higher credit costs in Bihar even compared to industry. So, we had to kind of slow down to see what's going on, correct our policies, people, and we started growth there. So, it's nothing to do with the election or overheat at this point. We are very small compared to the industry there, but I think we should be growing at some pace from now.

Abhishek: And can you highlight what change you made for yourself?

Ganesh Narayanan: No. So, Bihar, we had a slightly higher attrition, right? So, normally with higher attrition, you will have higher credit costs. So, we had to evolve a certain amount of people strategy there, and we strengthened the bench there, and we are okay now.

Abhishek: Okay, perfect. The other question is about this year's branch addition plan and hiring plan. Can you share that?

Ganesh Narayanan: Yes,. On an average, we do around 200. This year also, we should do around 8% to 10%. So, roughly around 200 branches we should add this year. We've done 54 in Q1, and we will spread this out over the next couple of quarters.

Abhishek: Okay. And hiring of employees?

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Ganesh Narayanan: Typically, we start a branch with around five field officers and one branch manager. So, if you include the rest of it, you can count six more. So, you can average, assume six per branch, because you also have support functions like auditors and all of the m coming in. So, then you can assume that kind of increase.

Abhishek: No, but you would also be hiring for the retail finance functions, which you are growing much more, and those are relatively smaller.

Ganesh Narayanan: Yes. Retail today is not material. We have around 110 branches, probably we will add around 10-15 branches , that is also baked into this branch count.

Abhishek: No, Ganesh, I was asking more from a hiring perspective, the employee addition point of view.

So, there is one which you explained, which is JLG related. But then retail finance related, how many do you need to add? Because that is where you need to really invest.

Ganesh Narayanan: Right. So, what I was

saying is that the branch count that we said of 200 also includes expansion in retail finance branches. And we start off the retail finance branches also with a similar headcount. And what we are working on is to see how we convert our group loan branches to contribute to mortgage, for which we may add a slight number of manpower, because right now it is on a pilot stage. But it should be similar. If you assume around six per count per branch, we should be in that range. So, we should be not more than that.

Nilesh Dalvi: And Abhishek, for retail finance, the scale up will be coming from the existing branches because the mortgage book was, I mean, the individual and secured loans were piloted four years back,

but mortgage loans were piloted two years back. So, now they will enter into a scale up mode.

And the existing 100 branches itself, wherein there is already an existing 1000 member team. So, the existing branches will be driving the scale up in this business. So, while the new branch addition will be there , but obviously, the larger component of growth will be coming from existing branches .

Abhishek: And it will primarily be these two products, individual and home loans. You are not looking to scale up any other product materially right now?

Ganesh Narayanan: The retail finance branches only do mortgage today, be it home loan or secured business loans.

As you know, we do unsecured business loans through the group loan branches, but through much more stronger underwriting norms there. It is a small pilot of two wheeler, which we could see some amount of scale up during this year, but may not be materially different, materially

high number.

Abhishek: Right. Understood. So, the 12 %-15% will basically be on the back of mortgage and individual?

Ganesh Narayanan: Yes.

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Abhishek: Perfect. Got it. Thanks so much and all the best. Thank you.

Moderator: Thank you. The next question is from the line of Abhishek from AB Capital. Please go ahead.

Abhishek: Just wanted to ask, one of your competitors had commented in their con call, I think in the last call, questioning the viability of the traditional joint lending group business model in future. So, do you have any doubt about it in future? Just wanted your broad opinion.

Ganesh Narayanan: See, I think we have kind of stated our position on this earlier also. The only change that we are seeing, Abhishek, is that the probability of the customer's life in the JL G model could be shorter.

So, we still do not see that the JLG liability model will become unviable. But however, we believe that once a customer comes into the formal financial system, today we have customers who are 15 years, 20 years also with us. So, the vintage of the customer and microfinance could get moderated over a period of time. So, they come in through the JL G model, probably spend 2-3 years, create a credit history and once they have a credit history, probably move up the ladder and move towards individual loan. So, this is what we envisage. Otherwise, I do not see today an alternative to JL G for this profile of customers to run very successfully. So, this model I think will be an entry point, but then the graduation can become faster.

Abhishek: Okay. Thank you.

Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Shreepal Doshi for closing comments.

Shreepal Doshi: Thank you, Shruthi . And thanks to the management of CreditAccess Grameen for giving us the opportunity to host the call. Thank you, sir and thanks to all participants for being there on the call.

Ganesh Narayanan: Thank you all for your continuous support. Look forward to the next quarter. Thank you.

Shreepal Doshi: Thank you.

Moderator: On behalf of Equirus Securities that concludes this conference. Thank you for joining us and you may now disconnect

your lines.

Call: Nov 2025

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To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip code: 541770 National Stock Exchange of India Limited
Exchange Plaza , C-1, Block G
Bandra Kurla Complex , Bandra (East)
Mumbai - 400051
Symbol : CREDITACC
Dear Sir/Madam,

Sub.: Transcript of Conference Call for Q 2 FY26 Results
Pursuant to provision of Regulation 30 and Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Q2 FY26 Earnings Conference Call, held on Tuesday, October 28, 2025.
The same is also available on the Company's website at : www.creditaccessgrameen.in.
This is for your information and records.
Thanking you,
Yours' Truly
For CreditAccess Grameen Limited
Deepti Ramani
Company Secretary & Compliance Officer
Encl. As above
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"CreditAccess Grameen Limited
Q2 FY'26 Earnings Conference Call "
October 28, 2025

MANAGEMENT : MR. GANESH NARAYANAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – CREDIT ACCESS
GRAMEEN LIMITED
MR. GURURAJ RAO – CHIEF OPERATING OFFICER –
CREDIT ACCESS GRAMEEN LIMITED
MR. NILESH DALVI – CHIEF FINANCIAL OFFICER –
CREDIT ACCESS GRAMEEN LIMITED
MR. SAHIB SHARMA – DEPUTY GENERAL MANAGER ,
INVESTOR RELATIONS – CREDIT ACCESS GRAMEEN
LIMITED

MODERATOR : MR. ABHIJIT TIBREWAL – MOTILAL OSWAL
FINANCIAL SERVICES LIMITED

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October 28, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the CreditAccess Grameen Q2 and FY'26 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference

call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Abhijit Tibrewal from Motilal Oswal Financial Services Limited. Thank you, and over to you, sir.

Abhijit Tibrewal: Thank you, Danish. Good evening, everyone. I'm Abhijit Tibrewal from Motilal Oswal, and it is our pleasure to welcome you all to this earnings call. Thank you very much for joining us for the CreditAccess Grameen call to discuss Q2 FY'26 earnings. To discuss the company's earnings, I am pleased to welcome Mr. Ganesh Narayanan, Managing Director and Chief Executive Officer; Mr. Gururaj Rao, Chief Operating Officer; Mr. Nilesh Dalvi, Chief Financial Officer; and Mr. Sahib Sharma, DGM, Investor Relations.

On behalf of Motilal Oswal, we thank the senior management and the Investor Relations team of CreditAccess Grameen for giving us this opportunity to host you today. I now invite Mr. Ganesh Narayanan for his opening remarks. With that, over to you, sir.

Ganesh Narayanan: Thank you, Abhijit. Good evening, everyone and a very warm welcome to discuss our second quarter and the first half of FY26 business performance.

We are pleased to report an improving trend in second quarter performance, reflecting consistent business momentum and stabilising asset quality. Despite the seasonally weaker nature of Q2, the outcome built on the strong trajectory established in Q1 FY'26, demonstrates the underlying strength of our customer-centric business model. We continue to operate in an evolving macro environment, and it is encouraging to note that economic indicators remain supportive. Healthy monsoons, strong agricultural output, and strengthening rural ecosystem trends are expected to drive robust on-ground demand in H2 FY26, resulting in stronger loan portfolio growth.

We disbursed Rs. 5,322 crore in Q2 FY'26, a 32.9% increase YoY. In H1 FY26, we added ~4.4 lakh new borrowers, of which 2.2 lakh borrowers were added in Q2 FY26. Notably, 39% of new borrowers added in Q2 were new-to-credit, reflecting our customer acquisition strength. With a healthy proportion of new-to-credit customers being added each quarter, the portfolio share of unique borrowers has risen to 41%, compared to 27% in Aug-24. We continued to strengthen our last-mile reach as we opened 150 branches in H1 FY'26, including 96 in Q2 FY'26, taking the total branch count to 2,209.

As stated on Slide 3 of the Presentation, the Retail Finance (RF) portfolio share now stands at 11.1% of the AUM at the end of Q2 FY'26 Vs 6.8% in Q1 FY'26. Firstly, the RF % share optically appears higher given a temporary decline in GL book due to accelerated write-offs. As the GL book growth picks up in H2 FY'26, the RF share is expected to show stable trend.

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Secondly, the Retail Finance growth also reflects a well-calibrated strategy driven by disciplined underwriting. Stabilising PAR trend across GL branches and higher regulatory limit for non-MFI asset classes, is enabling us to expand individual business loans through GL branches more effectively. Loan renewals of high-vintage group customers with better incomes, through individual business loans are supporting stronger borrower retention. With ~45% of GL book being 3-year loans, there is a good probability of graduating these customers to the retail finance in future. The graduation to retail finance would also help in

better asset quality as the individual

business loans are displaying relatively superior asset quality due to vintage customers and better underwriting.

Our employee base grew from 21,333 in Jun-25 to 21,701 in Sep-25 with annualised attrition rate of 28.9% in Q2 FY'26. Employee engagement and morale remain strong as we continue to drive steady growth, while maintaining a consistent focus on asset quality and profitability.

The deleveraging trend is moving on the expected lines with GLP % of borrowers with > 3 lenders at 6.9% in Sep-25 vs. 25.3% in Aug-24. The GLP of borrowers with > Rs 2 Lakh unsecured indebtedness stood at 7.2% as of Sep-25 compared to 19.1% in Aug-24. Further, the average total unsecured debt of CA Grameen borrowers and the average monthly obligation have declined by 2% QoQ. PAR 15+ in case of borrowers with 4 lenders stood at 15.1% as of mid-Sep 25 Vs 14.3% in mid-Jun-25. Similarly, PAR 15 in the case of borrowers with more than 4 lenders, stood at 30.2% in Sep-25 Vs 31.1% as of mid-Jun-25. This shows that the delinquencies have largely crystallised in case of borrowers with > 3 lenders, while around 80% of these customers continuing to make regular payments.

Our accelerated write-off journey has served its intended purpose by cleaning the legacy stress book and strengthening the foundation for sustainable growth in H2 FY'26. In Q2 FY'26 we undertook write-off of Rs. 683 crore, including an accelerated write-off of Rs. 554.7 crore related to 180+ dpd non-paying accounts, leading to an additional credit cost of Rs. 172 crore for the quarter. The share of credit cost due to new PAR accretion is consistently declining since Q3 FY'25. The Company continued to hold ~156 bps (Rs. 383 crore) higher provisions over PAR 90+, ~268 bps (Rs. 681 crore) higher provisions compared to IRAC prudential norms, and Rs.

89 crore higher provisions compared to NBFC provisioning norms. Our collection efficiency (excl. arrears) stood at 94.5% for Q2 FY'26. PAR 90+ stood at 2.50%, GNPA of 3.65%, and NNPA of 1.26% both predominantly measured at 60+ DPD.

Net interest income grew 4.2% QoQ to Rs. 976 crore with portfolio yield at 20.7% and interest spread of 11.1%. Our average cost of borrowings continues its downward trajectory, having declined 11 bps to 9.6% at the end of Q2 FY'26. During Q2 FY'26, we raised Rs. 3,519 crore, with marginal cost of borrowing stood at 8.9%. Our foreign borrowings stood healthy at 23.7%, progressing toward our medium-term target of achieving 25–30% foreign borrowings by FY'28. NIM remained steady at 13.3% for Q2 FY'26. Cost-to-income ratio stood at 32.5%, while PPOP stood at Rs. 695 crore in Q2 FY'26. The liquidity levels, including cash and cash equivalents, were adequate at Rs. 2,176 crore, amounting to 7.9% of total assets. Additionally, we have sanctions in hand of Rs. 3,455 crore and another Rs. 6,260 crore worth of sanctions in the pipeline. The capital adequacy remained comfortable at 26.1%.

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We delivered a PAT of Rs. 126 crore in Q2 FY'26, leading to ROA of 1.8% and ROE of 7.1%. The past few quarters clearly show that the industry has navigated challenges with remarkable resilience and discipline. Portfolio quality continues to improve, supported by prudent underwriting, focused collections, and sharper risk management across the ecosystem. We remain at the forefront of this upward trajectory, creating sustainable value for all stakeholders while reinforcing confidence in sector's long-term strength.

The PAR 15+ accretion rate trajectory remained range-bound, due to the temporary impact of heavy rains / floods across operating geographies. Since the PAR accretion rate is 40–45 bps as against 25–30 bps expected, every month of delay in PAR accretion improvement is resulting in an additional credit cost of 15–20 bps. Due to this delay

ed improvement, we expect additional

40–50 bps credit cost in FY'26. Further, we also anticipate increase in our ECL provisioning rates in line with the recent monthly PD & LGD data points. This would result in an additional 30–40 bps of credit cost impact in FY'26. Hence, overall for FY'26, we may see credit cost deviation of 70–100 bps as against our initial performance guidance. Further as we move into FY'27, we anticipate another 70–80 bps increase in ECL provisioning rates due to inclusion of recent monthly PD & LGD data points. Hence, the overall credit cost may range in 4–4.5% in FY'27, including the one-time ECL rate revision of 70–80 bps. Post this revision, the ECL rates should remain range bound.

Amidst the evolving market environment, we continue to leverage our risk-based pricing strategy, low cost of borrowings, and efficient operating structure to protect our ROA within the 4–4.5% range, whilst being one of the lowest-cost lender in the industry.

Before concluding my remarks, I am pleased to share with you all a significant development of our Board. Mr. Manoj Kumar has been appointed as the Chairman and Independent Director. A member of the Board since 2019, Manoj brings a rare blend of strategic foresight and entrepreneurial depth. He is the Founder of Social Alpha, which is at forefront of technology-led innovation tackling critical social and environmental challenges. He is the Founding Trustee of the Tata Institute for Genetics and Society. With more than two decades of experience spanning banking, capital markets, and fintech, Manoj brings the blend of integrity, and purpose to this leadership role.

Thank you for your patient hearing. We now open the forum for questions and answers.

.Moderator: The first question is from the line of Abhishek from AB Capital.

Abhishek : In Q1, you had indicated that we will grow the book by around 12% to 14% in FY '26. So now that in this quarter, it was by 3%, can we expect in H2, we will have more than 20% growth, robust growth we will expect?

Nilesh Dalvi : Yes. So, Abhishek, we do have visibility on the growth front. In the first half, while you see the disbursements have grown at 27% on a Y-o-Y basis, but it has not resulted in growth because of accelerated write-offs.

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Now in the second half, we will have a normative write-off trajectory. So that is where the disbursement growth will translate into portfolio growth. Largely, we do see we'll be able to meet the growth guidance what we have given.

Abhishek : Okay. And the PAR in M P was showing that it is gradually increasing. Is it something to worry about or it is normal?

Ganesh Narayanan: This is something that we are watching. There is a little bit of rain impact here. There has been a slight movement in PAR, but I think there is nothing to worry at this point of time.

Moderator: Our next question is from the line of Renish from ICICI Bank.

Renish : Congrats on a good set of numbers. Sir, just two, three things from my side. One on this , the entire credit cost guidance you have shared. If I read it correctly, you said that in FY'26, our credit cost will be higher by 70 basis points to 100 basis points than the earlier guidance range. Is that correct?

Ganesh Narayanan: Yes.

Renish : Okay. Now moving to the FY '27, wherein you did mention about the credit cost remaining at 4.5%, which is again 70 bps, 80 basis points higher. But I'm not able to understand when you said that the ECL impact will be there. I mean -- so what should lead to this higher credit cost?

When you say ECL refreshment, it is basically you are saying your PD, LGD will go up, because this year, delinquency data will be there in next year ECL model is that you're referring?

Nilesh Dalvi : Yes. So basically, the PD, LGDs are moving up. And hence, your provisioning rates will also move up,

because of the recent data points that can go through the ECL model. We are envisaging that the next year credit cost would be in the range of 4% to 4.5%. Renish, in this, we will see -- so like even if you have seen from Q1 to Q2, there has been an increase in our Stage 2 and Stage 3 provisioning rates.

This has primarily happened because of increase in the LGD data points. So even in second quarter, if you see out of the Rs. 525 crore of credit cost, there is a Rs. 35 crore of credit cost impact on account of increase in LGD rates. And now in third and fourth quarter, we believe that even the new PD points will start getting counted, I mean, included in the workings. So that will result in the Stage 1, 2, 3 provisioning rates slightly inching up.

And then next year, again, there will be inclusion of the PD points. So we don't see any larger change in LGD. But we have seen, in PD, we will see increase, which will result in increase in the ECL rate. So out of the 4%, 4.5% credit cost, maybe around 70 , 80 bps is the impact because of ECL, which is a onetime impact. And the remaining 3% to 3.5% or 3.3% to 3.6%, whatever that range is, that is considering the new PAR accretion.

We have made a little conservative estimate considering that the new PAR accretion stays around 35 bps per month. But if we are able to improve the new PAR accretion to the range of 20 to 25 bps per month, then maybe the number may come lower.

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So as of now, we have given this figure basis the current trend what we are seeing. We may come up with revised numbers maybe along with our fourth quarter results, if we see if there is any improvement in the monthly PAR accretion rate.

Renish : Got it. So okay. So just a follow -up on that. When you say that there will be onetime impact of this entire ECL refreshment in FY'27, but then in FY'28, I mean, going ahead also that PDs will remain in ECL, right, even if it is on a rolling basis.

Ganesh Narayanan: Yes. So ECL gets calculated on a longer time period, right? So, if you have better performance during the next year, subsequent years, the rates could moderate, but it may take some time to come back to normalcy still. It may not go further because this year, the current year's 12 data points will already be part of the computation in next year. So if next year, if we see the trend reversing, then obviously, in FY'28, we'll see the ECL rates coming down.

Renish : So, you are using what, 24 months rolling basis or 36 month rolling basis?

Ganesh Narayanan: 36, yes.

Renish : 36 months rolling basis.

Ganesh Narayanan: 36. Yes.

Renish : Got it. Okay. Okay. This is helpful. And secondly, again, on the growth side, I mean, adjusted for write -off and all will be delivered 14%, 15% growth this year. But what should be your target for next year in FY'27?

Ganesh Narayanan: It should be in the range of 20% plus combining retail finance and microfinance, but I think we should look at guidance by end of the year. But at least prima facie , we are confident, because we've added branches and the momentum is coming back. PAR is normalizing across all geographies. We should see momentum and we should see growth quite reasonably.

Renish : Okay. Got it. Got it. And just a last clarification, sorry. You said ROA at 4% to 4.5%, even after adjusting 4%, 4.5% of credit cost in FY'27?

Nilesh Dalvi : Yes. So Renish, this will largely be achieved through better operating profits. Even this year, if you see, even in second quarter, despite an 8% annualized credit cost run rate, we have given a 1.8% ROA, which means that we are doing close to 9.5% to 10% of PPOP.

And we still see some upward levers in our PPOP because the yields will keep improving as the interest reversal quantum keeps coming down. In first half, we had a sizable interest reversal

quantum, almost Rs. 176 crore of interest got

reversed, which will not reoccur in the coming quarters. We will see yield going up, plus our borrowing cost is coming down every quarter. So that will also help us to strengthen our NIMs. And even the operating cost will keep coming down, because in first half, the operating cost is higher, because we have added almost 150 new branches and the portfolio has kind of stayed flat over the last 4 to 6 quarters.

As the growth picks up, we believe the operating cost will again start trending towards our earlier 4.6% to 4.7% levels. All these factors will offset the higher credit cost. And we believe we our

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PPOP will cross 10%, and it will still be able to absorb the credit cost impact and give us the intended ROA.

Moderator: Our next question is from the line of Abhishek M urarka from HSBC.

Abhishek M urarka : Actually, my question was pretty much just answered by Nilesh that the second half should still see the 4.5% ROA achievement, which you had guided for last quarter. That's just sort of reconfirming this.

Nilesh Dalvi : Abhishek, this 4.5% we are saying on a steady -state basis, but maybe third and fourth quarter, the it maybe slightly lower. The revision in the PD rates will reflect into a slightly higher ECL in third and fourth quarter. And the benefit of pricing will only come gradually.

The benefit of pricing, the benefit of borrowing cost, these will play out largely in next year, though we will still see yields sequentially improving in third and fourth quarter. Tha we have also seen the yield improving by almost 40 basis points in the second quarter. We should see yields keep improving in third and fourth quarter. But I think we may do maybe 4 -ish kind of ROAs, 4.5% kind of ROAs may be possible next year.

Abhishek M urarka : Okay. Because your cost of borrowing should also fall quite a bit because your marginal cost is nearly 70 basis points below your weighted average, plus your yield is improving 30, 40 bps plus the interest reversal almost accounts for 140 bps of yield. So even if that were to come down, you would get a fair bit of release over there. I thought that it would still be enough to sort of counter your 70, 80 bps or 90 bps higher credit cost. Don't you think that...?

Nilesh Dalvi : It will happen, Abhishek. The only thing is like it will be more gradual process. While the borrowing cost is coming down, but if you see the weighted average borrowing cost is down by 20 bps in the year. It's not that the entire benefit has flown as of now because if you look at our borrowings, there is a 65% floating rate borrowings, which are linked to MCLR. But these MCLR resets happen over a period of 3 months, 6 months and 12 months. We have still not seen the entire repricing benefit. W hatever benefit which you are seeing, which is appearing in our weighted average cost of borrowing is on account of the marginal borrowing cost coming down. But the existing borrowings will also get repriced over a period of time as we keep hitting the reset dates. So that's why we believe that maybe this year, our weighted average borrowing cost started at 9.8%, maybe we end the year somewhere at 9.5%. So nex t year, we start at 9.5% and maybe we may have an average borrowing cost of around 9.3%. From that perspective, we will see an entire 50 bps of benefit in our cost of borrowing in next financial year.

And plus, even on our yields, we will see a similar 50 bps of benefit. And even the opex will come down by 20 bps. That's where we see around close to 100 bps of better operating profit, which will offset the credit cost. So, this full impact will play next year. This year in third and fourth quarter, partial impact may play.

Abhishek M urarka : Understood. The second question, this, is on this write -off. So, if I look at the presentation, I think it's Rs. 680 crore or so overall. Last quarter was R

s. 690 crore, it's Rs. 680 crore roughly.

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So, when do you see that number coming off more materially? Should we expect that to start coming off in 3Q? And how much of that -- now you are there -- how much of it is eligible for accelerated write -off?

Nilesh Dalvi : We are largely done with the accelerated write -off cycle. There may be some portion of Karnataka book, which we have to see, but largely, we are done. So, you will not see these figures in third and fourth quarter. The figures will be much lower, much, much lower.

Abhishek M urarka : The Rs. 170 crore accelerated write -off, that should come off materially. And yes, the remaining Rs. 500-odd crore, Rs. 510 crore, that should also see an improvement because now you r PAR and forward flows and all of that should be coming down.

Ganesh Narayanan: Right. Right. Sequentially also you are seeing that cost due to new PAR accretion is coming down, right? One of the slides you will see that quarter-on-quarter the contribution of credit cost due to write-off and PAR accretion. So that is falling down. It's expected to fall down further in Q3. And since we've done away with most of the accelerated write-off, you will see a much lesser component going forward in accelerated write-off also.

Abhishek M urarka : Ganesh, just one thing is confusing me, maybe I'm looking at it wrong. So, your write-off is Rs. 690 crore in first quarter and accelerated write-off out of that is Rs. 192 crore. So, Rs. 500 crore of normal write-off.

Nilesh Dalvi: No, Abhishek, you are reading it wrongly. Like in second quarter, out of the Rs. 680 crore of total write-off, the accelerated write-off is Rs. 554 crore. In first quarter, out of Rs. 692 crore of total write-off around Rs. 600 crore was accelerated write-off in first quarter.

The Rs. 192 crore and Rs. 172 crore figures, they are basically the credit cost impact, because when we write off, it will not entirely hit the P&L. Only the unprovided portion will hit the P&L. And typically, we'll have 70% provisions in place.

Abhishek M urarka : Yes. Got it. Got it. The third question is your opex. Now if you look at your opex to asset last 5, 6 quarters, it had rafted at roughly 4.4% last year 1Q. And from then, it has continued to go up. Partly, I think it would be because of your base.

But is there any other part of the opex, which can sort of start coming down? So, what parts can you save on and which you are hoping to drive that improvement in your cost to asset next year?

Ganesh Narayanan: It is largely due to the AUM decline, right? So otherwise, you increase branches, you increase employees, your increments have gone up, but your base has fallen. As we start building the portfolio size, it should fall back to normalcy in some time. There's no other component in this.

Moderator: Our next question is from the line of Deekshant from DB Wealth Management.

Deekshant : So, the first question is that the recent sort of environmental damage that we are seeing in Maharashtra, is that concerning to you? And how are we modeling for this right now with the current guidance that we are giving?

Ganesh Narayanan: You're talking about the rains, right?

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Deekshant: Yes, correct, the floods and the rains.

Ganesh Narayanan: Yes. So typically, during these periods, some of these geographies do see rains, including the Chennai rains that are happening as we speak. Right now, all of this is a part of our ECL model. There is nothing specific that we are working on. And typically, we've seen any rain impact is short term in nature for us, and it typically comes back roughly around 3 to 4 weeks.

Deekshant: Okay. Okay.

Ganesh Narayanan: The point I'm trying to is all these cycles of rains, etc, which are an yearly pattern and what

happens because of that, all of that goes into our ECL model itself, right? So it does take of it to a certain extent. Otherwise, we are not currently seeing a product, something like a natural calamity insurance or something, which we've explored. We think at this point of time, we may not look at something like that unless we see a substantial benefit to the customer from it.

Deekshant: Okay. The second question is, it seems that from the inference of our conversation fully that we might now start pressing the accelerator on loan disbursement. Is that the right assumption from our end?

Are we now in a confident state that we can now start pushing the accelerator? And part B to this question is what kind of acceleration are we seeing in this current quarter post September?

That means how has Diwali been for us?

Ganesh Narayanan: Ideally, for us, Q3, Q4 are strong quarters. With situation normalizing at ground, what we are saying is that we are confident of meeting the guidance that we've given at least from the AUM perspective, right? While the credit cost is going up, the growth perspective, I think the company is confident that we should reach the AUM guidance that we've given.

Deekshant: No. So just clarity is that, of course, the credit cost right now we will be seeing a little higher, but at some point, we are going to be going back to the downward trajectory, so does this sort of give us the confidence to now sort of start pushing the accelerator. because 20% is what we should be -- at least 20% is what we should be doing in the H2 to get to our numbers.

Ganesh Narayanan: Yes. Yes. That's why I'm saying. Even if you look at Q2, right, so Q2 typically is not a great quarter. Both Q1 and Q2 this year, we've done reasonably well, right? If you look at year-on-year comparison, we are saying that we are 30% up in Q2. Q3, Q4 typically are our strongest quarters.

And with the field situation improving, we should see AUM growth as guided. So that means we are talking about 20% in H2 to reach the guidance that we have given, and we are confident of doing that. I hope I answered your question.

Deekshant: Yes, yes, 100%, sir. But any sort of thought process when we will start seeing this credit cost

reasonably start coming down? Is it going to be in Q4 onwards?
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Ganesh Narayanan: See for us, right now, like we said in Q2, it has been range bound, right? So, October, again, you have large festivals. So, November, December, we are hoping that we should start seeing some downward trajectory.

And we'll have to wait and watch. At least the indicators right now say us that November, December should be a good month to start expecting better recovery trends from a new PAR accretion perspective.

Moderator: Our next question is from the line of Shreepal Doshi from Equirus.

Shreepal Doshi : My first question was on the pricing side. So since, let's say, we are seeing rising PD and also the overall ECL, are we trying to also take the interest rate upward because, I mean, all of us have moved to risk -based pricing, at least in the MFI space as well. Would we see that sort of a trend playing out? And if it will, then by how many basis points or percentages would we see that improvement in, let's say, second half of FY '25 / FY'26 and then in FY'27?

Ganesh Narayanan: Right. So given all the points that we've discussed so far and the visibility that the credit cost is going to be elevated in the last pricing review committee, the company has increased the pricing for group loan by around 75 basis points.

Shreepal Doshi : Okay. And -- so this is already incorporating the incremental rise that we will see in the LGDs and the risk that we see? Or will we further take more increase?

Ganesh Narayanan: See, pricing is reviewed every quarter, right? So, at this point of time, basis the visibility and data

at this point, the pricing has been moved up by 75 basis points. And as the situation improves or depending on data points, every quarter, we do review pricing. But I think given a combination of the pricing increase that we've already taken it and the reduction of cost of borrowing we expect, I think this is good enough for us to take care of this increase in credit cost that we predict.

Shreepal Doshi : Got it. Got it. And sir, the second question was, so if we look at the entire issue this time around that came up in the industry was pertaining to overleveraging and that has been answered with the help of the guardrails. However, one issue was also pertaining to duplication of ID proofs, right? So has there been any initiative or measures taken by us or by industry to overcome that problem?

Ganesh Narayanan: See majority of the industry has now moved to voter ID validation with whatever solution which is possible, right? And while voter ID duplication is a problem, it is not, in my view, a very large percentage to talk about. It is a very low number. But combined with both field checks practices as well as your validation options already available today, this is controllable to a large extent.

Shreepal Doshi : Okay. Okay. And sir, just the last question was on some of the state -wise delinquency. There is an increase in delinquency visible in Maharashtra and Bihar. But are we seeing, which are the other states where we believe there has been a rise in delinquency in, let's say, September and then early October, apart from these 2 states?

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Ganesh Narayanan: Except for Madhya Pradesh and Maharashtra, we don't see any impact at this point of time. Other things are range bound, right? To a certain extent, yes, Bihar has also gone up. But I think MP, Maharashtra largely due to rains, MP partially due to rains and also probably a trend that is recent. We are seeing a slight uptick, but we'll have to watch it. We think it will get corrected shortly.

Shreepal Doshi : Got it, sir. Got it. And sir, just on the growth front, I mean, I think the last quarter, the guidance slide reflected a growth guidance of almost 14% to 18%. So, is it fair to assume that it will be at the lower end of the bracket?

Ganesh Narayanan: Yes, we should assume at the lower end of the bracket.

Moderator: Our next question is from the line of Shweta Daptardar from Elara.

Shweta Daptardar : Sir, correct me if I'm wrong. So, don't you think next year, your growth per se should exceed 20% so as to release that kind of extra offsetting factor to achieve that 4% ROA from current 1.8% because like Nilesh mentioned, there might be a max little over 100 bps relief from yields and cost of funds improvement. I'm just trying to wrap my head around these calculations. Sorry for harping on it.

Ganesh Narayanan: You're talking about growth, right?

Shweta Daptardar : Yes. So, in my rough calculation...Yes.

Ganesh Narayanan: The current indicators tell us we should be in the range of around 20% plus, right? You also

have to take into account that there are guardrails now and there are higher rejections. I think an accelerated growth rate, I think, is quite difficult at this point of time to predict. But we'll have to watch for some time. So at this point of time, we maintain that we should be in the range of around 20% plus.

Shweta Daptardar : Okay. So then in that scenario, even if I were to assume on a roughly little closer to 20% kind of growth, still that 4% ROA looks slightly daunting for next year.

Nilesh Dalvi : But Shweta, how are you trying to link this to the growth aspect?

Shweta Daptardar : Yes, because growth will also give you that lower opex to assets number. And that has to -- so both these factors has to completely offset the credit cost of 4.5% to achieve that 4% plus ROA, which you're guiding for FY'27, right? So I'm still

struggling wrapping my head around that whole math, yes.

Nilesh Dalvi : The opex -related factor will play in the fag end of FY'27 because maybe this year, we end at somewhere around 4.8% - 4.9%. And next year, we start at that and end somewhere at 4.6% - 4.7%. Opex, we may see around 20 bps of benefit and balance coming from the pricing and the borrowing cost.

And even when it comes to yield, the entire benefit is not because of pricing. There will also be benefit coming from lower interest reversals because this year, the proportion of interest reversals is much higher compared to the normal levels.

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Shweta Daptardar : Okay. Okay. That's fairly answered. My second question is, so given the fact that now the group lending model has slightly destabilized and our retail finance share has also climbed to over 10% plus. What is the strategy now to grow the non -group lending portfolio? And where do you see this mix stacking up so as to contribute materially to growth going forward?

Nilesh Dalvi : See, Shweta, we will see continued momentum in retail finance because one thing is obviously now since the business is settling down at microfinance branches. So it gives us a good time to launch the retail finance products from more and more microfinance branches. Even in second quarter, we have launched the individual business loans from almost additional 150 branches. And there is a pipeline of another 200 branches in third and fourth quarter. And gradually, this will keep increasing because overall, we have almost close to 2,000 microfinance branches. And today, only 800 branches, we have started doing the individual business loans, 2 -wheeler loans, etcetera. And gradually, we are also focusing on starting the mortgage products selectively through the microfinance branches in addition to the retail finance branches what we have. While there are stand -alone 116 retail finance branches, which will purely be focusing on mortgage, but we will also be leveraging our microfinance branches for offering retail finance products. So obviously, as we scale these products across more and more microfinance branches, we'll get that delta. And we should be on track to whatever guidance we have kept. We are looking for maybe 15% kind of retail finance. We should be moving towards that. Obviously, initially, you will see more of unsecured share in that proportion, but unsecured loans typically run down faster. Over a period of time as the mortgage book catches up, then we will see a more balance between secured and unsecured products.

Moderator: Next question is from the line of Rajiv Mehta from Yes Securities.

Rajiv Mehta : What is the PAR 15 accretion rate for the loans disbursed in the recent quarters? I mean, in the last 3 quarters, post the implementation of all the guardrails, you would have done loan disbursements of Rs. 15,000 crore, Rs. 16,000 crore on that portfolio. Is the PAR 15 accretion rate not better than the overall portfolio reported number?

Ganesh Narayanan: So, the recent disbursements are showing better performance from an MOB perspective as well as roll forward, if that's what you're asking. So, the recent disbursements are definitely showing much better trend. And we will have to see further improvement, as I said, if we have better performances in November, December, Jan, then it can improve. Right now, I think between Q1 and Q2 is kind of range bound.

Rajiv Mehta : No, because a lot of players are giving us two collection efficiencies for the new portfolio and for the legacy portfolio, and they are saying that the blended number will improve because the new portfolio collection efficiency, the retention accretion rates are much better. I'm just thinking from us also, while we are assuming that PAR 15 accretion rate will remain where it is right now. But mathematically, as the new portfolio becomes

a larger portfolio, should it not directionally improve?

Ganesh Narayanan: It should. It should directionally improve. It has improved compared to the peak, right? So all that I'm saying is that between Q1 and Q2, there is not a significant improvement. However, the

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new disbursements, as you say, as we age a little more, we'll have better visibility, at least it's trending towards betterment.

Rajiv Mehta : Okay. And on the new borrower addition, I think that has been pretty stable. But I was of the view that maybe it should actually improve with the borrower leverage having corrected a lot across the system and even for your borrowers, when I look at the met rics, the borrower leverage has come down significantly.

And second is also the fact that some of the large competition in the market have taken a back step from the business for the time being. So then how do we see this new borrower addition run rate changing? And hence, how should it kind of move up your over all growth rate?

Ganesh Narayanan: See, ideally, we would like to add close to around 1 lakh customer s every month, right? So we are right now trending around 70,000 to 75,000. And we should expect it to improve as the ground situations improve further . So that's where we are. We are hoping to inch this up, but we'll have to wait and watch.

Rajiv Mehta : Yes, Ganesh, I just have one last clarification. On this, there is a footnote saying that about Rs. 285 crore of group loan borrowers were reclassified into retail finance, on reassessment of their household income and which was more than Rs. 3 lakh.

And then they were given individual loans. So , was this household income reassessment is being done when a vintage group loan borrower is coming up for a renewal and asking for a higher ticket loan and that's when you evaluate him for an individual loan? And these rea sssments will keep on happening ?

Ganesh Narayanan: Yes. When a customer asks for a new loan, we need to reassess income, right? There is a certain profile of vintage customers, where we are seeing the income has gone up, but there is also an existing GL loan running, right? The incremental loan that we are giving to them is classified as retail finance. And once the GL loan runs down, any further lending to this customer will become a full play retail finance.

Rajiv Mehta : Understood. So this can happen every quarter also, right? I mean, as per as the vintage borrower...

Ganesh Narayanan: It will happen on a continuous basis, yes.

Moderator: Our next question comes from the line of Ashlesh from Kotak.

Ashlesh : I have a few questions. I'll just pos t them upfront. Firstly, are you still seeing rejections in your group loans for your existing borrowers because of the existing guardrails? That is one. Secondly, if I look at your disbursements, they declined sequentially quarter -on-quarter. Why was that the case?

Because June is typically a seasonally weak quarter, plus you also had the three -lender cap getting implemented from April onwards. And do you expect the disbursement trend to materially improve from here on?

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And lastly, if I look at the AUM growth in Madhya Pradesh, that has remained steady at 25% Y-o-Y for the last 3, 4 quarters. And this is a little disproportionate to the overall AUM growth. So why is that the case? That was the last question.

Ganesh Narayanan: Okay. So, the first question, yes, there is rejection due to guardrails on a continuous basis. Like I said, for the question where we were asked about why not more growth and why not more customers, the rejection rates are quite strong due to guardrails. And hence, you will have to work harder to get new customers as well as disburse even to our existing customers, right? So that is the first part.

Secon

d part, seasonally, yes, Q1 is weak, but this year, we did have the best Q1. Once again, Q2, again, because of the COVID impact, right? So we always have a lower base for renewals. In spite of that, we did quite well in Q2. And if you see year -on-year basis, we are upwards of 30%. Q3, Q4 is typically a growth quarter, and we expect it to be much better than Q2 disbursement.

AUM growth in MP is because you're organically growing there, right? So , it is a smaller base compared to our core geographies. And there was a lull post COVID and which is coming back now, As you gain more vintage in a particular geography, your AUM keeps going up. So, there is no particular reason or there is no spike that is not organic in nature.

Ashlesh : Understood. Just one follow -up. If I look at Bihar, that portfolio is much smaller for you, but that portfolio has been declining. That's what I'm trying to understand.

Ganesh Narayanan: Bihar you know that last year, we reported there are issues internally with respect to more

attrition and in specific pockets of Bihar. And we said that this is more internal, and we will correct it. So, if you see the correction with respect to performance in collections, it's significant in Bihar over the past few quarters. When you are taking such actions to kind of take control of a situation, typically, your growth rate is not normal, right? Hence, you may not see a significant growth, but the performance of the portfolio has been significantly better. Once things continue to stay the way it is, we will see growth post probably this quarter.

Moderator: Our next question comes from the line of Prithviraj Patil from Investec.

Prithviraj Patil : I had a question on the percentage of portfolio that's under CGF MU and if there is any?

Ganesh Narayanan: We don't have anything at this point of time.

Prithviraj Patil : Okay. Also, another follow-up question. Is there any stress in the tariff impacted regions or in the Bihar state due to the elections?

Ganesh Narayanan: Say that again? Can you explain your question again?

Prithviraj Patil : So, after the implementation of the tariff, are we seeing any stress in those particular geographies like Bihar...

Ganesh Narayanan: Okay. No, no. We don't see any significant impact because of tariff in the pockets where we operate. And again, due to elections in Bihar, there is no impact at this point of time.

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Moderator: Our next question comes from the line of Aravind Ravichandran from Sundaram Alternates.

Aravind R. : Just one clarification. You mentioned about onetime nature of ECL, but the data is going to be driven by 36-month ruling, should n't it affect, let's say, FY'27 and FY'28 ECL guidance also.

Nilesh Dalvi : We need to see. Whatever ECL levels we reach in FY'27, they will only increase in FY'28 if FY '27 also stays elevated. If FY'27, we see stabilization, so obviously, the ECL rates will also settle at the FY'27 level. It purely depends upon the rolling data. The data pertaining to FY'26 will already be part of the ECL computations in the next year.

Aravind R. : Okay. So only next year should be having that impact, as you mentioned, not '28. I mean if data -- I mean if things improve ?

Nilesh Dalvi : Yes.

Moderator: Our next question comes from the line of Hitendra Pradhan from Maximal Capital.

Hitendra Pradhan : Most of the questions have been answered. Just one bit on the insurance part. So, I think a lot in the industry, a lot of players are moving towards sort of getting this cover because also the premiums are probably attractive compared to the normalized credit cost as of now. So, what is the thinking that we have, if you can elaborate a little bit more on not getting this insurance cover?

Ganesh Narayanan: Are you talking about CG FMU, right?

Hitendra Pradhan : CGFMU, yes.

Ganesh Narayanan: Okay. So, we're

currently exploring it. This year, we will take a certain part of our disbursements covered. So far, we've not taken it. But this year, we may take some of these options available to see how this pans out. And if we think it is meaningful and the experience is favourable, we may scale it up going forward. But right now, we are trying to see a certain volume to see how this works and whether it helps us.

Hitendra Pradhan : Okay. Okay. And sir, secondly, on the question of the growth, which is you said 20% for FY'27. Now in the past also, like whenever the industry has sort of flexed its muscles in terms of growing fast, we have had an episode. So, being the market leaders, what kind of normalized growth do you see and will growing at 20% eventually again lead to sort of problems in the industry?

Ganesh Narayanan: See, yes, I got your question. What you have to see when we guide a growth of 20% is also the fact that we've already moderated our growth percentages for microfinance, right? Even in the medium term, we are saying that the microfinance growth will continue to be in early teens, and the rest of the growth will come from retail finance. So, when we say 20%, it's a combination of both retail finance in GL and group loans, like I said, will be probably in the early teens.

Hitendra Pradhan : Okay. And what would be the yield difference between, let's say, your retail finance as it's becoming a bigger part of your portfolio versus the microfinance portfolio, which might be at 21% to 22%?

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Ganesh Narayanan: Right. Majority of the retail finance portfolio does not have an impact on the yield, because it is similar in nature. Why? it is range bound, but the average portfolio yield is similar to microfinance, except for home loans, which is in the range of around 16% to 17%. And other

than that, there is no other product that kind of dilutes our returns.

Moderator: In the interest of the time, that was the last question. I now hand the conference over to the management for the closing comments.

Ganesh Narayanan: Thank you all for your time and interest in our business performance. The company is looking at a very strong performance in Q3 / Q4 compared to our Q1 and Q2 performance. We have demonstrated this continuously over the past few quarters. And we are hopeful of kind of coming back with a good set of numbers in Q3 FY'27. Thank you so much for your time.

Moderator: Thank you, sir. On behalf of Motilal Oswal Financial Services Limited and CreditAccess Grameen, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2026

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Ref: CAGL/ EQ/2025-26/ 157
Jan
uary 27, 2026
To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip code: 541770 National Stock Exchange of India Limited
Exchange Plaza , C-1, Block G
Bandra Kurla Complex , Bandra (East)
Mumbai - 400051
Symbol : CREDITACC
Dear Sir/Madam,

Sub.: Transcript of Q3 FY26 Results Conference Call
Pursuant to provision of Regulation 30 and Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Q 3 FY26 Results Conference Call, held on Tuesday, January 20, 2026.
The same is also available on the Company's website at: www.creditaccessgrameen.in.
This is for your information and records.
Thanking you
Yours' Truly
For CreditAccess Grameen Limited
Deepti Ramani
Company Secretary & Compliance Officer
Encl.: As above
Page 1 of 15

"CreditAccess Grameen Limited
Q3 FY26 Earnings Conference Call "
January 20, 2026

MANAGEMENT : MR. GANESH NARAYANAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – CREDIT ACCESS
GRAMEEN LIMITED
MR. GURURAJ RAO – CHIEF OPERATING OFFICER –
CREDIT ACCESS GRAMEEN LIMITED
MR. NILESH DALVI – CHIEF FINANCIAL OFFICER –
CREDIT ACCESS GRAMEEN LIMITED
MR. SAHIB SHARMA – DEPUTY GENERAL MANAGER ,
INVESTOR RELATIONS – CREDIT ACCESS GRAMEEN
LIMITED

MODERATOR : MR. DEEPAK SHINDE – HDFC SECURITIES
CreditAccess Grameen Limited
January 20, 2026

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Moderator: Ladies and gentlemen, good day, and welcome to the CreditAccess Grameen Limited Q3 FY26 Earnings Conference Call , hosted by HDFC Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this

conference is being recorded.

I now hand the conference over to Mr. Deepak Shinde from HDFC Securities. Thank you, and over to you, sir.

Deepak Shinde: Good evening, everyone, and welcome to the Q3 FY26 Earnings Call of CreditAccess Grameen. Today, we have with us the senior management team of CreditAccess Grameen, represented by Mr. Ganesh Narayanan, Managing Director and Chief Executive Officer; Mr. Gururaj Rao, Chief Operating Officer; Mr. Nilesh Dalvi, Chief Financial Officer; and Mr. Sahib Sharma, DGM, Investor Relations. On behalf of HDFC Securities, I would like to thank the CreditAccess Grameen management team for giving us this opportunity to host the call. I will now hand over the call to Mr. Ganesh Narayanan: for his opening remarks, and then we will open up the floor for Q&A. Over to you, sir.

Ganesh Narayanan: Thank you all for joining the call today. Let me start by wishing you all a very happy, prosperous and fulfilling new year. Today, we are here to discuss our third quarter and the first 9 months of FY26 business performance.

Our performance this quarter reaffirms the strength and stability of our business model. We are witnessing a very clear normalization in the asset quality trends across operating geographies, enabling renewed focus on growth. Our X bucket collection efficiency stood at 99.71% in December 2025, while monthly PAR 15 + accretion declined sharply to 18 bps in December 2025 from 47 bps in September 2025. January-26 continues to show similar trends. The improvement is visible across our operating geographies with Karnataka showing a notable recovery with asset quality reverting to its historical levels, supported by tighter credit oversight.

The disbursements for Q3 FY26 stood at INR 5,767 Crore, increasing by 13.4% YoY with the exit month December crossing INR 2,200 Crore mark. As a result, we've seen sequential portfolio growth of 2.6% to INR 26,566 Crore and 3.3% QoQ adjusted for accelerated write-offs of INR 181 Crore. Borrower acquisition remains central to our growth strategy as we added 2.1 Lakh borrowers in Q3 FY26 and 6.4 Lakh during the 9-months FY26 period, of which 50% came outside of the top three states. While October 2025 saw a temporary lull in business momentum due to festive seasonality, the momentum accelerated meaningfully thereafter with December 2025 recording 90,000 new borrower additions. We continue to maintain a healthy new-to-credit ratio of 39%, which is reflected in the increase in the share of unique borrowers to 43.4% in December 2025 from 26.4% in August 2024, positioning us well for quality growth ahead.

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We added 15 branches in the quarter, taking our infrastructure to 2,222 branches. The retail finance portfolio continued to scale steadily with its share now at 14.1% of AUM at the end of third quarter versus 11.1% in the second quarter, reflecting structural progress. While part of the increase is optically driven by slower normalization in the group lending book, importantly, the expansion is driven by a shift of quality vintage customers towards individual business loans to meet their growing credit need.

Our employee base remained firm QoQ at 21,701 employees at the end of

December 2025 and

employee attrition moderating to 30.2% in the 9 M FY26 versus 35.2% in 9 M FY25. As indicated in Slide 10 of the Investor Presentation, the deleveraging trend has largely played out with MFIN guardrails in place over the last 6 quarters.

The GLP of borrowers with > 3 lenders nearly stood at 4.9% in December 2025 versus 25.3% in August 2024, while the GLP of borrowers > 2 Lakh unsecured indebtedness stood at 7.8% as of December 2025 compared to 19.5% in August 2024. The average total unsecured debt of CA Grameen borrowers and the average monthly obligation have increased by 3% QoQ. PAR 15+ in case of borrowers with > 3 lenders stood at 20.4% as of mid-December versus 19.5% in mid-September. While PAR 15+ with borrowers > 2 Lakh indebtedness came down to 6.9% in mid-December from 9.7% in mid-September. The implementation of MFIN guardrails has meaningfully strengthened the overall quality of the microfinance ecosystem.

As visible in Slide 11, PAR buckets 0-30, 30-60, 60-90 have clearly improved on a sequential basis, led by lower new PAR accretion, while PAR 90 witnessed forward flows in Q3 FY26.

We wrote off INR 259 Crore worth of loans in Q3, which includes INR 181 Crore of accelerated write-offs pertaining to 180 DPD non-paying accounts, leading to additional credit cost of INR 59 Crore in Q3 FY26.

The credit cost for Q3 FY26 stood at INR 343 Crore, which includes INR 59 Crore due to accelerated write-off and INR 37 Crore due to additional impact due to increase in ECL rates.

The provisioning rates for the past quarters are stated in Slide 12, helping quantify the increase in various stages. Excluding the impact of ECL provisioning rates and accelerated write-off,

credit cost non -annualized stood at 96 bps for Q3 FY26. This is in line with our new PAR 15+ accretion of 109 bps during Q3 FY26. Our FY27 credit cost guidance of 4% to 4.5% reflects a new PAR 15 accretion rate of 30 -35 bps per month. If we are able to demonstrate a monthly PAR 15+ accretion rate of 20 to 25 bps, it would translate in lower credit costs in the future. We shall monitor the monthly PAR trend for the next 3 to 4 months for revisiting our credit cost assumptions.

We continue to hold 132 bps or INR 335 Crore higher provisions over PAR 90 and 280 bps and INR 733 Crore higher provisions compared to IRAC prudential norms. Our collection efficiency, excluding arrears, stood at 95.5% in Q3 FY26. PAR 90 stood at 2.94%, GNPA of 4.04% and net NPA of 1.36%, both predominantly measured at 60 DPD.

The operating profitability continues to gain strength, driven by improving yields and lower average cost of borrowings. We incurred a one -time impact worth INR 18 Crore on account of new labour codes pertaining to the employee benefit obligations. It is important to note that the CreditAccess Grameen Limited

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company moved towards this 50% salary levels, including DA and basic to meet this guidance proactively, leading to very little impact during this quarter.

Net interest income grew 13.4% YoY to INR 977 Crore with portfolio yield of 21.0% versus 20.7% in Q2 FY26. Our average cost of borrowings continues to trend lower, reflecting disciplined liability management, having declined 26 bps QoQ to 9.4% at the end of Q3 FY26. In Q3 FY26, we raised INR 3,917 Crore with a marginal cost of borrowing, which stood at 8.9%. Our foreign borrowings stood healthy at 24.3%, moving closer to the medium -term target of 25 -30% by FY28 as we scale our business. We maintain ample liquidity at INR 2,397 Crore, amounting to 8.4% of our total assets. Our funding position remains strong with INR 3,431 Crore of sanctions in hand and INR 5,781 Crore sanctions in pipeline. NIM increased by 60 bps QoQ to 13.9% in Q3 FY26. Cost -to-income

ratio stood at 34.1%,

and adjusted figure at 32.3%, excluding the labour code impact. PPOP stood at INR 680 Crore in Q3 FY26, while adjusted figures stood at INR 699 Crore. PAT doubled QoQ to INR 252 Crore, while adjusted figures stood at INR 266 Crore, translating to an ROA and ROE of 3.5% and 13.8%, respectively.

If the labour code impact is excluded, the ROA would have been 3.7% and ROE will be at 14.6%. We would also like to update you all on our Grameen Mahi, our customer digital handle. With close to 1 million downloads, the platform is seeing strong adoption and reflects a meaningful shift in how our customers choose to engage with us. It enables instant digital loan eligibility checks for group loans, generates targeted reach for retail offerings and seamlessly integrates collections into a cashless ecosystem, playing a key role in achieving 20% digital collections at the end of December 2025. This also helps us build more trust and transparency amongst our customers.

With normalized asset quality, a stronger balance sheet and a motivated team, we are well positioned to achieve robust business growth and improving return ratios. Together, we are confident in nurturing business that consistently delivers returns, enhances stakeholder value and sets new benchmarks of excellence in our industry.

Thank you for listening. We'll now open the forum for questions and answers. Thank you.

Moderator: Our first question comes from the line of Shreya Shivani from Nomura.

Shreya Shivani : I had three questions. Congratulations on a great set of improvement numbers that we are seeing in the quarter. I was just wondering, while Karnataka and Tamil Nadu have done well the improvement has been quite good. Can you give some colour about trends in Uttar Pradesh, Bihar and Madhya Pradesh compared to the April -24 number that you had given us last year, they are still probably 15 to 20 bps higher currently? So, what is the trend over there? That will be my first question.

My second question is on the state of Karnataka. While you guys have reported great numbers, some of the non -MFI lenders commentary earlier this quarter or maybe even closer to December was that the credit discipline in Karnataka state, which got disturbed after the MFI ordinance came into place, which impacted our retail loans also is still not back. So, I am quite

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surprised with the great improvement that we are seeing in Karnataka. Some comments around that would be helpful.

And my third question is that while you guys have done quite well on the cost of funds, there

was a media article, and I can understand it may be more relevant for some other NBFC -MFIs, which did mention that the bank borrowings, the lines are drying up for many NBFC -MFIs. Even if the lines are available, they are coming at a significantly higher cost of funds. So, if you can speak to us about the -- any challenges or any areas that we are struggling with our bank borrowings or our bank relationships. Those are my 3 questions.

Ganesh Narayanan: Okay. Thank you, Shreya. With respect to trends in states like UP, Bihar, MP, all states, as demonstrated in our slides, are continuously coming down. But however, we have also earlier indicated that our non -core states generally have slightly higher credit cost than our core states, right? So, I think this is just playing out. It's just a matter of time. And we are consistently seeing that all states are trending downwards.

Nilesh Dalvi: Just to add, Shreya, since you referred to the earlier data for the states. As I see April, May, June-25, UP, Bihar was around -- sorry?

Shreya Shivani : April -24 data, which you used to give in last year, you had given those numbers, April -24 data. So, I was just comparing that.

Nilesh Dalvi: Yes. Fair enough. So, I think we are very much close to it, but I mean, we ha

ve come out of a

large cycle. Give us some more time, maybe in the upcoming months, we should see this trend getting better. But if I compare it on a YoY basis before the crisis, those numbers were around 40 bps to 50 bps in UP, Bihar and MP, which is now in the range of 25 bps to 30 bps.

Shreya Shivani : Yes, YoY is quite good. With respect to April -24, I felt there is still more improvement that is a possibility in these states, right?

Ganesh Narayanan: Yes. So, Karnataka spiked up faster. It's come back faster also. So that has also been a behaviour that we've seen because that's a core state. Other states, I think all of them are trending downwards. It's just a matter of time. We'll have to see for the next 3 to 4 months where it settles down.

And with respect to credit discipline in Karnataka, I think we have strongly come back. We'll have to watch the next 2 to 3 months. January is trending with a similar nature. And we are seeing such improvements across microfinance, mortgage as well as unsecured lending. Karnataka is coming back very, very strong to our normal levels. It's only a question of time if others are indicating that it has not come back to normalcy. Maybe a few more months, the rest of them would also come. You should appreciate that Karnataka is our home state and probably every 30 kilometres, we have a branch, and we've been here for the last 25 years. And probably we have a little more connect than the rest of them. But I think the industry would follow.

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The third point with respect to bank borrowing, I think when the industry is going through a credit cycle, it is natural of the banks to pull off a little. But fortunately, some of us have never had this situation because our diversification strategy has a very important role to play here. I think we are one of the few NBFCs which has a bank term loan borrowing dependency of less than 60%. And we've been continuously able to access bank funds. It has not impacted us during the entire credit cycle, right? And we continue to access more funds as we move ahead.

Moderator: Our next question comes from the line of Abhijeet Tibrewal from Motilal Oswal.

Abhijeet Tibrewal : Sir, first thing on the industry, most other players talk about a very high rejection rate today, especially after the implementation of MFN guardrails. So, if you could just help us understand how have our rejection rates trended over the last maybe 2, 3 quarters? That is the first question that I had. The second question that I had was that maybe next year onwards, maybe FY27 onwards, we'll look to start growing at 20% - 21%, thereabouts. So within this, what will be the split of the growth that will come from MFI and what growth can we expect from retail finance? Just trying to understand the way things are today very, very clearly, like you mentioned earlier, December, we saw very good improvement in PAR accretion and like you mentioned, continues in January as well.

I'm hoping that gives you a lot of confidence to start accelerating on disbursements and growth. So which is where that question of how are you thinking about the split between MFI and retail finance? And lastly, sir, I mean, you just mentioned about Karnataka came back very, very strongly. And like you rightly said, your home state as well.

So I just had one observation and just wanted to pick your brains on this. Yourself as well as other few MFIs have been talking about very strong recovery in Karnataka collection efficiency. And the ones who are still not seeing improvement, can it be a little bit to do with the fact that MFIs have already written off a large part of the loans, which are problematic in nature. And which is where on a zero DPD collection efficiency or expected collection efficiency is looking very good, while for some others, right, who have not written off, they

still are facing problems in Karnataka?

Ganesh Narayanan : Yes. Okay. So let me try and answer all the three questions . I think the first and second are slightly linked to each other. Rejection rates, definitely, yes, they have gone up. Our current approval rates for new borrowers, so that is new borrower entering CA Grameen is around 55% to 60%. And our existing renewal rates are around 45% to 50%. Just for comparison, this used to be around 65% before the guardrails, right?

It has fallen significantly. That also means that you will have to put more effort on acquiring customers to maintain some amount of growth rate in microfinance. And yes, since we are coming out of the cycle and another quarter of performance will give us the confidence to accelerate in the next year for sure. However, as we had indicated in our medium -term goal, the growth rate of microfinance would be lingering early teens and the rest of the growth will come from retail, right? And we are also seeing that retail, we are actually outperforming our guidance a little bit. We are growing a little more faster than what we anticipated. It's possible

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that retail will have a little more share than what we anticipated in the growth trajectory. But that's something that we will see over the next few quarters, I think.

Nilesh Dalvi : I'll just add it. So Abhijeet, on Karnataka, you are saying that there are other players who have not done write-off. That's why the collections are looking lower. I believe that was your question.

Abhijeet Tibrewal: Yes. So, all I was just trying to understand is, I mean, there are today players who are there in predominantly the small ticket LAP segment who still talk about weakness in Karnataka. While if I look at us and a few other players who are present in MFI segment, they have been talking about Karnataka having come back in a big way. Can it so happen that a lot of the problematic pool for us in Karnataka has already been written off. So, on an X bucket basis, collections are indeed looking good, while for some others, right, because the problem pool is still there, they're still not able to see that recovery?

Ganesh Narayanan : I get your question, but I think you may also have to see what is the new PAR addition there again. I don't have the data right now. For us, like I said, across retail, including mortgage as well as unsecured business loans, Karnataka is showing a sharp reversal. So, like I said, it's taking time for some people, probably it's just a matter of time. But it does look like at ground, things are coming back to normalcy.

Abhijeet Tibrewal: Got it, sir. And just one last clarification on your opening remarks. You had shared that this FY27 credit cost guidance of 4.0% to 4.5% is factoring in monthly PAR accretion of about 30 to 35 bps. In case, like you mentioned if the PAR accretion is lower than that, then there are downside risks, right, to this credit cost guidance.

Ganesh Narayanan : Yes. It's possible. We will need to watch it for a few more months. And probably by May, we will try and come back with a clearer guidance. It held good in December and January. We will have to watch it for a few more months to ensure that the pattern is stable and it is going to remain that. It looks like that, but we will have to come back with some guidance in May.

Moderator: Our next question is from the line of Nidhesh from Investec.

Nidhesh : Sir, on the retail finance, can you give some more details on the portfolio...

Moderator: Nidhesh, sorry to interrupt, but your volume is very low. I request you to please come closer to the mic.

Nidhesh: Yes. So my question is on retail finance. Can you give some more colour on retail finance that how much of the book is secured and how much is unsecured? And we have seen very strong growth in this business. If you can also share

some data about client profile, how much is unique to CREDAG and what is the total, let's say, sector outstanding on those customers, etcetera?

Ganesh Narayanan : Sure. So, the retail finance portfolio today roughly comprises of around INR 3,780 Crore, of which we have 2 types of unsecured loans extended to customers, graduating customers. One book is our product called Unnati Loan, which is profile of customers are significantly higher

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income earning. They are able to demonstrate better cash flow. We are able to visibly see proper business premises, the scale and size, etc. So that book is around INR 1,700 Crore. We also have a lighter version of the individual lending product, which is INR 1,600 Crore. They could have higher income, but if we have certain difficulties in ensuring that it is demonstratable or the size of the income is not clear or it's not visible to the level that the

customer is saying, we graduate them to a slightly lower ticket size. So that is around INR 1,600 Crore.

So, both these books put together is around INR 3,300 Crore. Both these books, PAR 30 is well under control, under 2% as we speak. We have INR 266 Crore of mortgage business loans. We have a home loan book of roughly around INR 200 Crore and a two-wheeler book of around INR 13 Crore. In secured loans, we are at a PAR 30 lower than 2% once again, right? So these books, while they are new, they have done around 2-3 years vintage, they're holding good so far, yes.

Nidhesh : Sure. So secured portfolio will be around INR 500-odd Crore?

Ganesh Narayanan : Yes, it's INR 500 Crore.

Nidhesh: And secondly, can you give some guidance on the margins? I think margins should keep on improving. What is the trajectory that you foresee for next year in terms of margins?

Ganesh Narayanan : You will take that?

Nilesh Dalvi : Nidhesh, we should see some improvement in margins because even as you saw in third quarter, the NIMs have improved because there has been around 30 bps improvement in yield on account of lower interest reversals and the cost of borrowing is down by 20 bps. So maybe for next year, we should see the NIMs anywhere between maybe 14% to 14.5%, in that range for some time because borrowing cost incrementally, we do see dropping by 10 bps every quarter for at least next 2 to 3 quarters, then it should settle down.

And also, one thing we need to understand is the current NIM profile is basis the current credit cost trend what we are seeing because we had taken a pricing increase in third quarter basis the current credit cost trend. So maybe going forward, if we are able to see a relatively lower credit cost trend, then obviously, it will translate into a lower pricing benefit to the customer. From that perspective, we will try to maintain our ROAs in 4.0-4.5% range. And NIMs will vary depending upon how the underlying risk is shaping up. But as of now, considering the current trend, we believe NIM should be around 14% range for some time. And then they may again revert basis the change in pricing.

Moderator: Our next question is from the line of Rajiv Mehta from Yes Securities.

Rajiv Mehta : Congrats on a very strong performance. Sir, my first question is on the new customer acquisition. That count is slightly even lower than Q2 and the industry has been continuously deleveraging. When do we see this new customer acquisition picking up for us? Because eventually, that number has to go up and keep growing for us to even grow higher in the JLG CreditAccess Grameen Limited
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model? Because, I mean, as we see that the ticket sizes of the portfolio is increasing largely because of bulk of the growth coming from the renewals of existing customers. But eventually, in the longer run, this lever has to pick up of new cust

omer acquisition. What is the outlook on that?

Ganesh Narayanan : Okay. I think new customer acquisition will pick up traction in Q4 itself. So, we believe we should see some significant improvement as we move ahead because you have cleared historical PAR now and the field level sentiments are a lot more positive now and people have more time to do new business. There are specific efforts that are targeted towards increasing these numbers. And I think in Q4 FY26 itself, we should be able to demonstrate that the run rate is picking up.

Rajiv Mehta : And can you segregate December disbursement number? And can we further build on that number as a run rate in Q4?

Ganesh Narayanan : Yes, we did INR 2,200 Crore worth disbursements in December. And we should hopefully do slightly better in Q4 because Q4 generally comes with our best performance. We will try and see if we can meet our historical Q4 numbers similar to those.

Rajiv Mehta : Okay. And just last thing on the credit cost. So, this quarter's credit cost did have some impact because of higher ECL provisioning rate, which I believe will remain. But you also had some balance or residual accelerated write-off of INR 187 Crore, which will not repeat in Q4, right? So that impact will not be there in Q4?

Ganesh Narayanan : Yes. We did accelerate write-off only in October. So it stopped from there, right? So we're not anticipating anything in Q4. However, we'll have...

Rajiv Mehta : Yes. Then the implied write-off for November, December, would that be the normal write-off run rate now?

Ganesh Narayanan : Yes. So, we should see Q4 will have similar credit cost as that of Q3. And it may take some more time to see where it stabilizes around.

Nilesh Dalvi : Yes. So, Rajiv, maybe I'll add a couple of points here. So largely, whatever new delinquencies, which came up in the first quarter, that is the month of April, May, June, those delinquencies will come for write-off in the fourth quarter because we do the write-off after 9 months. You

may get some indicative trend. It may be in line with whatever the new PAR, which came out in the Q1, maybe 70%, 80% of that may come for a write-off in fourth quarter. But I mean, anyways, we have 70% provisions on that. The residual will come to the P&L. And yes, on the ECL front, as we had indicated in the second quarter call, we should see the Stage 1 provisioning inch up closer to 1.5%. So that should happen in fourth quarter.

Moderator: Our next question is from the line of Shreepal Doshi from Equirus.

Shreepal Doshi : Sir, my question was on the retail portfolio. So that portfolio is quite diverse in terms of the product bouquet. So, what is the kind of, let's say, the DuPont in terms of margins and credit

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cost and ROA on a BAU basis that we are trying to sort of reach to over the next 2 to 3 years' time period?

Ganesh Narayanan : Okay. I think we've discussed this earlier, Shreepal. Thank you for the question. So, most of these products are very close to the pricing of microfinance, right? So, except for housing, where the average disbursement rate is around 16.7%. And mortgage is anywhere north of 21%, similarly two-wheeler. So, all of them should have similar margins as that of microfinance. But as we discussed, over a period of time, it will actually be a little more contributing once it reaches a certain amount of scale and we are able to kind of see the benefit of opex plays in .

Shreepal Doshi : Got it. I'll just look at that aspect in the call. Just the other question was on the microfinance side. So, what is the range of ticket size disbursement that we are doing for more than 6 years and 3 to 6 years customer vintage?

Ganesh Narayanan : It starts anywhere from INR 25,000 to 35,000 depending on geography, and it can go all the way up till 1.75 Lakh depending on the vintage of the customer

and the credit history.

Shreepal Doshi : Got it. Got it. I have more questions. I'll come in the queue. Thank you so much .

Ganesh Narayanan : Yes. But I would also like to add , customers with > INR 1 Lakh outstanding is less than -- it's almost in a single-digit percentage. It is generally not that high.

Shreepal Doshi : So more than 1 Lakh ticket size customers would be, as you said...

Ganesh Narayanan : Yes, more than INR 1 Lakh. Yes, yes.

Shreepal Doshi : So, it would be under 10% max.

Sahib Sharma : It will be in single digit, Shreepal.

Shreepal Doshi : Got it sir. Thank you.

Moderator : Thank you. Our next question is from the line of Chintan Shah from ICICI Securities. Please go ahead.

Renish : This is Renish here. Congrats on a great set of numbers. Sir, just 2 things. So one on the credit cost side, right? So if I refer to Slide #12, our credit cost adjusted for accelerated write-off and higher ECL provisioning is 0.96%, right? So very close to 4%, which we have been guiding for FY 27, right, earlier. But this is again, I'm assuming this will be more because of the higher delinquency in October, November, and December credit cost ideally should have been much lower. I mean that's what our PAR 15 accretion trend suggest. So, in that case, our FY 27 credit cost ideally should be lower than what you have guided for, right ?

Ganesh Narayanan : Yes. So that's what we want it to be, Renish. But I'm just saying it's too early. It's just December and January, we've seen. We'll have to maintain the trend. So, if we are able to maintain the trend in Feb, March, April, we'll come back with a better guidance in May, right? So, it gives us a few more months of visibility to ensure that we are trending on the right

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direction. But it does look like there is a possibility that it can be lower than that , at this point of time.

Renish : Okay. Got it. So, it is fair to assume that at least the January first half trend is as good as December?

Ganesh Narayanan : Yes, it is as good as December.

Renish : Got it. And lastly, again, on the AUM growth side. Obviously, Q4 should be our strongest quarter. And in this quarter as well, we have seen book growth, right, versus the book decline in the last 2 to 3 quarters. So, what is the aspiration level for us in FY27? And if you have to break that into, let's say, JLG versus non-JLG, what are our internal plans in terms of AUM mix and AUM growth for FY 27?

Ganesh Narayanan : Okay. Like I said, when we look at microfinance growth, early days, maybe 10% to 12%, so we'll have to finalize our business plans in a few months from now. But it does look like retail

will have a stronger growth momentum, probably contributing. We should be able to reach something over 20% that we want to grow to meet our medium-term goals. That's something that we are working on. It will be a good mix of both retail and microfinance, but microfinance will be lower compared to historical levels for sure.

Renish : Got it. And may I ask one last question, if possible?

Ganesh Narayanan : Yes, sir.

Renish : Yes. So again, on this retail finance slide, right? So, I was just looking at the outstanding per borrower, which is steadily coming down, right? I mean it fell also by 40% /50% to INR 92,000 -odd versus INR 1,68,000 earlier. So just wanted to understand what has been changed in last 3, 4 quarters, which is leading to this steep fall in the outstanding per borrower in the retail finance?

Ganesh Narayanan : Right. So, it's basically because of the second variant that I spoke about, which is called Vishesh individual loans, where we are seeing that the income has gone up beyond INR 3 Lakh. But we are not seeing the level of demonstrability of the income by the customer. That means we look at size of business, we look at cash flows, we look at whether we are able to see

cash flows in bank statements. So, we underwrite about INR 3 Lakh in individual loans, but a smaller ticket size. So, average there is around INR 80,000 because of which your average ticket size has fallen. Otherwise, if you see our main graduation product, which is Unnati, the average ticket size is still around INR 1.7 Lakh. And mortgage loans average ticket size is around INR 6.5 Lakh to INR 7 Lakh.

Renish : Okay. Got it. So basically, you are highlighting that incremental growth in retail finance is actually coming from JLG customer ...

Ganesh Narayanan : Yes. So around 10% of our customers every year will move or graduate into retail finance is our estimation at this point of time.

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Renish : But in that graduated customer, the ticket size will be higher, no?

Ganesh Narayanan : Yes. There are 2 types of graduation. One is where there is clear demonstrability of the customer with respect to their cash flows. Business has to be visible, has to be a certain size. There are a few other credit parameters that are important where you underwrite a larger ticket size. If some of these are not available, but we still see the income is > INR 3 Lakh, then that's a smaller ticket size. So, we do graduate them, but with a smaller ticket size loan, that's the reason.

Renish : Got it. But then in that case, the customer will come in centre meeting or I mean, how you will treat that customer... ?

Ganesh Narayanan : For individual unsecured products, the customers have access to the centre meeting as a payment point, but they are not a part of the JLG structure.

Renish : Got it. So basically, we will move her out from the JLG part?

Ganesh Narayanan : Yes.

Nilesh Dalvi : So, Renish, just to add, so see, largely -- hello?

Ganesh Narayanan : Go ahead.

Nilesh Dalvi : Renish, what we assess is basis the customer profile, maybe every year around 4% to 5% customers may move into the mid-ticket individual loan, which is the Vishesh loan, and maybe 2% to 3% moves into the high ticket Unnati loan bucket. So, we should see that 5% to 7% transition happening from JLG to retail. So that's where the balance 10% to 12% growth comes from retail and overall, we cross 20% growth. So that's the scheme of things.

Renish : And I'm assuming interest rate will be about 20%?

Nilesh Dalvi : Yes, it will be.

Renish : Yes. Got it. Okay, good. Thank you and best of luck sir.

Nilesh Dalvi : Thank you.

Mod erator : Our next question is from the line of Manav Bhavin Shah from Spiral Consultancy. Please go ahead. Manav, your line has been unmuted. You may proceed with your question. As we're not receiving a response from the current participant, we will move to the next participant. Our next question is from the line of Chinmay Nema from Prescient Capital. Please go ahead.

Chinmay Nema : Hi, sir. Good evening. Sir, just wanted to confirm, firstly, did I hear correctly the growth target for FY27 would be 20%?

Ganesh Narayanan : Like I said, maybe we will give some more clearer guidance in May. However, we need to do at least a 20% growth every year to reach our medium-term goal. And hence, things getting to

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normalcy, we believe that even next year, we should be able to, but we'll have to come back with a confirmed guidance in May.

Chinmay Nema : Understood. And secondly, sir, I just wanted to understand, if I look at the QoQ trend in PAR 90-plus, so while 0 to 90 has come down QoQ, there has been some stickiness in 90-plus. So basically, how should one interpret this increase in slippages in Q3?

Ganesh Narayanan : Okay. Basically, it means that customers who are going to Stage 2 and Stage 3, that flow forward rate has remained the same. However, the new PAR accretion is reducing, hence, what will flow forward, going forward will also reduce.

Chinmay Nema : I hope I answered your question, right? So

new PAR accretion rate is important to note because even if you see our PAR 15, we provide quite heavily after PAR 15, right? So that is basis a historic experience that once the customer does not pay for 15 days, then it does move to the next stage predominantly.

That's why you provide around 60% to 65% in that case. That means that so far, PAR accretion rate was also quite high. So all those things are moving forward. But the new PAR accretion for the last 2 months is quite stabilizing, so that means going forward, it will stabilize. And that is what we've tried to show in the second graph in the PAR sheet. You will see that the early buckets have started dropping. So hence, going forward, you will also see drop in the late buckets.

Chinmay Nema : Got it. Thank you.

Mod erator : The next question is from the line of Jay from NBIE. Please go ahead.

Jay: Hello, sir. Thank you for the opportunity and congrats on the good set of numbers. Sir, just one question on the retail book. Sir, can you just help me what is the percentage of your loans coming from below Tier 3 cities?

Ganesh Narayanan : Tier 2, Tier 3. Predominantly, because we are doing business only in our catchment, right? So we are not in any Tier 1, Tier 2. We are not even present much in Taluk headquarters. Most of our business will be in Tier 3, probably some bit in Tier 2 and lesser.

Jay: Okay. And sir, one more follow-up on the same. Where do we see your overall retail finance book going? So currently, we are at 14%. Do we see somewhere around 16% to 18% in the medium term? Or this is where you would like to be?

Ganesh Narayanan : See, at the current growth rate, it does look like that. But then like I said earlier, it is also looking at 14% now because your microfinance book has dropped. Once you start showing microfinance growth, it will moderate a little. But like I said, we had guided around 15% for FY28, but I think we will inch up a little further to that is what we will.

Jay: Thank you so much and best of luck.

Mod erator : Our next question is from the line of Rajkumar Vaidyanathan from RK Invest. Please go ahead.

Rajkumar Vaidyanathan: Hello, can you hear me?

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Mod erator : Yes, sir, you're audible.

Rajkumar Vaidyanathan: Thanks for the opportunity. Sir, just a couple of questions. First one is on the ROA guidance of 4.0% to 4.5% that you mentioned. That is the annualized ROA we are looking at for FY27 or it's going to be more an exit ROA?

Ganesh Narayanan : Yes. We are talking about annualized guidance for next year, the indicator is somewhere around that. So, we will come back with guidance in May is what we are seeing. But at least it looks like a stable period of credit cost stabilizing. Our normal guidance is also that we will be in that range, right? So, with no extraordinary event present, we should be in similar range, but we will have to come back to you in May.

Rajkumar Vaidyanathan: Yes. Sir, but you had already done 3.8% in current quarter. So, your guidance looks very conservative given that you will not be having a significant credit cost going forward. So, is it fair to assume that it's a conservative number? Or you want to kind of grow your volume rather than the ROA in the absolute...

Ganesh Narayanan : So, it's not like that like what Nilesh answered.

Nilesh Dalvi : Yes.

Ganesh Narayanan : Okay. So, what we are saying is that our principle is that our ROA will be around 4.5%. Hence, even though there's an opportunity, there could be a momentary increase for a quarter or 2 more than the estimated return. But if you're actually making more returns, we would moderate our pricing is what we are saying, right? So, you should assume that as a company, we'll be in the range of around 4.5% ROA even in a good time.

Rajkumar Vaidyanathan: Okay

. Yes, sorry to labour on the same question. So, my question is you want to have kind of fix the ROA between 4% to 4.5%, but then have a larger volume. Is that the preference you would want or you would still shoot for a higher ROA?

Ganesh Narayanan : I didn't understand it. Can you just help me understand this a little more?

Rajkumar Vaidyanathan: No, no. I'm asking the question is you want to improve the absolute bottom line number, higher bottom line number, but however, maintain ROA of 4.0%- 4.5%. You don't want the ROA number to go up significantly.

Nilesh Dalvi : See, Rajkumar, the way we are looking at it is that if you see historically, we have done a cross -cycle ROA of 3.5% and ROE of around 15%. So going forward with a better ability to price the risk, we would want to do a cross -cycle ROA of 4% and ROE of around 16% -17% on a cross cycle. Maybe in a good year, it may cross 4.5% and ROE may inch closer to 20%. And in a bad year, like what we have seen in this year and the previous year, RoA may be in the range of around 2.0%. If the ROAs cross a certain range, like, for example, you may see a couple of quarters, wherein it reaches closer to 5%, then obviously, we have to revisit our pricing because at any point in time, we always ensure that we give the best pricing to our customers.

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From that perspective, pricing is always a derivative of our credit cost, operating cost and borrowing cost. Now growth is a different parameter. We have already defined that we will be looking for 20% plus growth. So both the parameters will go hand in hand. And yes, I mean, we have not reached a stage wherein we have to cut pricing to do higher growth because the segment where we are operating, there's a lot of scope to provide formal sources of credit. We do see there is good potential for growth whilst maintaining our margins and profitability.

Rajkumar Vaidyanathan: Sir, if you permit me, can I ask one more question?

Nilesh Dalvi : Please go ahead.

Rajkumar Vaidyanathan: Yes. Sir, this question is on the unique customers that you added. You have added significant customers, that's what the presentation states. So my question is what would be the age profile of those customers? Are they all very young customers or they are middle -aged people?

Because the reason for asking this question is if they are really unique -- I mean, new to credit, then there should be really young people, right?

Ganesh Narayanan : Yes, I understand. But unfortunately, I don't have this data in hand. We'll share it across with you.

Rajkumar Vaidyanathan: Yes. Okay sir. Thank you so much.

Mod erator : Ladies and gentlemen, we have no further questions at this time. I would now like to hand the conference over to the management for closing comments. Over to you, gentlemen.

Ganesh Narayanan : Thank you. Thank you, Deepak. Thank you all for being a part of this discussion, and we are hopeful of closing Q4 once again with a strong performance and move towards a good normal year next year. And we'll see you in the next quarter . Thank you so much.

Mod erator : Thank you. On behalf of HDFC Securities, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2026

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Ref: CAGL/ EQ/2026 -27/21

May 13, 2026

To
BSE Limited
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai - 400001
Scrip code: 541770
National Stock Exchange of India Limited Exchange Plaza , C-1, Block G
Bandra Kurla Complex, Bandra (East)
Mumbai - 400051
Symbol : CREDITACC
Dear Sir/Madam,

Sub.: Transcript of Conference Call for Q 4 FY26 Results

Pursuant to provision of Regulation 30 and Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of Q 4 FY26 Results Conference Call, held on Friday , May 08, 2026.

The same is also available on the Company's website at: www.creditaccessgrameen.in.

This is for your information and records.
Thanking you

Yours' Truly
For CreditAccess Grameen Limited

Deepti Ramani
Company Secretary & Compliance Officer Encl.: As above
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MANAGEMENT : MR. GANESH NARAYANAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – CREDIT ACCESS
GRAMEEN LIMITED
MR. GURURAJ RAO – CHIEF OPERATING OFFICER –
CREDIT ACCESS GRAMEEN LIMITED
MR. NILESH DALVI – CHIEF FINANCIAL OFFICER –
CREDIT ACCESS GRAMEEN LIMITED
MR. SAHIB SHARMA – DGM - INVESTOR RELATIONS –
CREDIT ACCESS GRAMEEN LIMITED

MODERATOR : MR. CHINTAN SHAH – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to CreditAccess Grameen Q4 and FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need

assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

I now hand the conference over to Mr. Chintan Shah from ICICI Securities. Thank you, and over to you, sir.

Chintan Shah: Thank you, Danish. Welcome. On behalf of ICICI Securities, I'm pleased to welcome all to the Q4 FY26 results conference call of CreditAccess Grameen. First of all, I would like to thank the management for giving us the opportunity to host their conference call, and I would like to congratulate the team on a very strong set of numbers.

So from the management, we have Mr. Ganesh Narayanan, Managing Director and Chief Executive Officer; then Mr. Gururaj Rao, Chief Operating Officer; then Mr. Nilesh Dalvi, Chief Financial Officer and Mr. Sahib Sharma, DGM, Investor Relations. So, now without further ado, I would now like to hand over the floor to the MD & CEO, sir. Thank you, and over to you, Ganesh, sir.

Ganesh Narayanan: Thank you. Thank you so much, Chintan. Very good evening to all of you, and welcome to the conference call to discuss our fourth quarter and FY26 business performance. "Tested by cycles, strengthened by purpose" is the theme that we've chosen for our investor presentation. This team aptly captures our evolution into India's leading rural-focused inclusive finance platform, having delivered consistent performance despite multiple business and macroeconomic cycles. Over the past two years, we were navigating one of the most challenging environments. We continued to work on the future and never lost sight of our long-term mission. Our performance trajectory over the past four quarters not only evidences our recovery story, but also validates our resilience as an institution.

Let me begin with where we stand today. Q4 FY26 marks a decisive inflection in our performance trajectory. The AUM grew 14.0% YoY and 11.4% QoQ, in line with the annual growth guidance, despite 7.6% write-offs made in FY26. Disbursement in Q4 grew 28.4% YoY, and 44.1% QoQ to INR 8,313 Crore, while the full year disbursements came in at INR 24,859 Crore, up to 24.1%. We continue to scale borrower acquisition with 3.3 Lakh borrowers added in Q4, while 9.8 Lakh borrowers added in FY26, of which 38% were new to credit.

Our portfolio growth was a combination of new-to-credit customers, guardrailing compliant borrowers, and graduation of vintage borrowers to higher-value retail finance products. Today, the AUM share of GL borrowers with greater than three lenders has declined from 25.3% in August 2024 to 3.3% in March 2026. AUM share of unique group loan borrowers stands at 46.1%, up from 26.6% in August 2024. The share of retail finance increased to 18.1% as of March 2026, up from 5.9% a year ago. This expansion is driven by deepening of relationships with our 44 Lakh customer base and our ability to graduate them through a curated product suite.

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We opened 183 branches to close with 2,236 branches by March 2026. Our employee base grew 4.6% YoY to 21,941, with employee attrition moderating to 29.4% against the 33.5% in the previous year.

We observed strong and accelerating digital adoption among our customers. Our customer app, Grameen Mahi, onboarded 8.4 Lakh borrowers in FY26, taking the total active base to 11.2 Lakh customers, representing 25.4% of our borrower base. The proportion of digital collections increased YoY from 14% in Q4 FY25 to 22% in Q4 FY26.

NIMs expanded by 35 bps QoQ to 14.2% in Q4. Cost

of borrowing further declined to 9.2% in

Q4, marking a total 60 bps reduction during the year. Our marginal cost of borrowing continued to remain around 8.9% in Q4. Liability diversification was on track with the share of foreign borrowings increasing from 21% to 24.4%. Cost-to-income ratio improved QoQ to 30.4%. PPOP grew 23.1% YoY and 14.7% QoQ to INR 780 Crore in Q4, while PAT grew over 6x YoY and 34.7% QoQ to INR 340 Crore, translating to an ROA of 4.4% and an ROE of 17.8%.

Our recovery story is marked by PAR accretion rate, X bucket collection efficiency, and PAR 1-90 bucket reverting to pre-crisis levels. Gross NPA predominantly at 60 DPD, stood at 3.17%, net NPA at 1.12% and PAR 90 at 2.28%. Our balance sheet is strong with capital adequacy at 24.4%, total equity at INR 7,842 Crore and a debt equity ratio at a conservative 3.0x.

Considering the full year performance, our PPOP of INR 2,809 Crore grew 6.5% YoY. We ended the year with INR 778 Crore PAT, translating to ROA of 2.7% and ROE of 10.7%. While our PPOP was in line with the budget, our credit cost ended at 6.74% as against the guidance of 5.5% to 6.0%. The 6.74% credit cost consisted of 6.10% due to new PAR and 0.64% due to increase in ECL provisioning rates. Aligning with the prevailing delinquency trend, we have gradually increased our ECL provisioning every quarter. Further during Q4, we evolved our new ECL provisioning model to capture past data over long period covering various business scenarios and forward-looking macroeconomic variables. We believe the new ECL model aligns

with our conservative provisioning approach as our loan book scales over medium term. Considering the ongoing West Asia crisis, the new ECL model has incorporated a higher weightage for major external event scenario resulting in an additional provisioning of INR 39 Crore in Q4. The additional 0.64 % credit cost due to increase in ECL rates resulted in marginal miss on the lower end of our ROA and ROE guidance of 2.9% and 11.8%, respectively. The past two years were genuinely difficult, and we took structured steps to navigate through the challenging environment with discipline and intentionality. We prioritized collections first, then portfolio maintenance and only then growth. We stabilized our force through continuous training, the leaders at the forefront approach and extensive hiring. We increased the internal audit frequency from 60 days to 40 days, supported by real-time analytics. Senior leadership travelled extensively to provide ongoing direction and moral support. We deployed a dedicated quality control team for targeted collections to support across geographies. We accelerated digital capabilities - Grameen Mahi, digital payment channels, WhatsApp, daily calling to maintain customer engagement beyond center business. What the past two years also demonstrated is that our return ratio through this MFI credit cycle were meaningfully higher

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than what we delivered through the COVID crisis, despite higher credit costs. Our model has become more resilient with every passing crisis. Let me step back and give you a 10-year context because it's important to frame how you should think about this business. FY17 to FY26, we have compounded AUM at 28.6% per annum, disbursement at 24.7% and PAT at 29.7%. Our equity base is compounded at 32.7% from INR 613 Crore to INR 7,842 Crore. Through 3 major external disruptions, namely demonetization, COVID and the recent MSI credit cycle, the cross-cycle ROA stands at 3.4% and ROE at 13.9%. We've achieved this while maintaining industry-leading cost structures. Our internal accruals have primarily funded our growth. That kind of self-sustaining compounding is what we have committed to continue in the future.

Today, we are building a rural-focused inclusive financing platform that serves the custom

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across multiple financial needs over time. Starting with group-based microfinance, we are expanding into individual business loans, mortgage-backed loans and 2-wheeler financing, leveraging the trust our brand has built on the ground. We intend to selectively add products aligned to our customer life cycle approach, contingent on achieving scale in the newer business lines launched over the past 3 years.

Our focus remains on deepening these relationships responsibly while maintaining the credit discipline that defines our microfinance heritage. India's rural and semi-urban micro retail credit market across segments is growing at double-digit rates. CA Grameen is steadily evolving to target the vast and underpenetrated opportunity of serving the 23.5 Crore low-to-middle income households by 2030. We are no longer in the business of financing only one woman per household. We are building the capability to be the financial life cycle partner of the entire household across income stages, credit needs and life events. This is the transformation we are executing.

Now I want to turn the strategic section of what we are building because the opportunity ahead is significantly larger than what we have addressed so far. Our customers are evolving. Their income profiles are becoming diverse with multiple income streams adding resilience. Their credit footprint is expanding with increased access to various retail finance product segments. We are strengthening our acquisition engines through 3 channels, group-based sourcing, individual lending and digital through the Grameen Mahi app.

We are strengthening our acquisition engines through three channels: group-based sourcing, individual lending and digital through the Grameen Mahi app. Our focus markets are rural and semi-urban India with contiguous urban expansion. Our lifecycle engine is designed to ensure that every customer we acquire deepens in value over a period of time. The accelerators behind this engine are formidable, vast distribution reach, dedicated foot on the street, localized intelligence, strong customer references, trusted brand recall in every community, and a diverse product suite, spanning the full lifecycle.

We've strengthened our underwriting and controls to support our product diversifications, leveraging both proprietary and bureau data, centralized credit intelligence through a business

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rule engine and decentralized branch-based credit rating. Beyond underwriting, our risk and

audit framework is also evolving towards being predictive.

Our collections model is equally getting structured. Center meetings remain the primary touch point, with more than 99% of regular collections still happening there. Our customers are managed through a disciplined escalation protocol calibrated to each delinquency bucket. We've piloted a collections management platform, which provides customer profiling, geolocation, data, visit logs and prioritization engine feeding into predictive next best action decisioning. We're also working on enabling multi-channel customer engagement with center meetings as the anchor, the Grameen Mahi app for the end-to-end digital journeys in vernacular languages, WhatsApp for self-service queries, tele-calling for graduation outreach, and in-person relationship visits.

Our technology architecture processes over 30 Lakh transactions per day, with INR 10 Lakh to INR 15 Lakh loan repayments, INR 20 Lakh to INR 25 Lakh credit bureau submissions, and 70,000 to 80,000 loan applications. Looking ahead, our technology roadmap is focused on three things: strengthening the core for performance, security, and modern architecture, enabling our lifecycle strategy through paperless journeys, single-app visibility from lead to collection, and vernacular self-service UX, and making AI truly inclusive by embedding

AI into credit

decisioning, compliance monitoring, employee productivity and voice-based customer engagement. We are not treating AI as a future aspiration. We are building it into our operations today.

As we enter FY27 with a strengthened foundation, clear strategic priorities, improving return metrics. We are confident in our ability to deliver sustained value to shareholders. For FY27, we are guiding an AUM growth of 20.0-25.0%, NIM of 12.8-13.2%, cost to income of 33.0-35.0%, credit cost of 3.0-4.0%, ROA of 4.0-4.8%, and an ROE of 16.0-20.0%.

We've been tested, we've been honest with our challenges, and we've come through with stronger business, a more resilient risk framework, a clear strategic identity, and a much larger opportunity in front of us than behind us.

Over the coming decade, our ambition is to build a clear leadership position in inclusive finance space through a customer-first approach. We call this transformation journey, "Project Shakti" inspired by strength, resilience, and inspiration of our customers, we proudly serve. Project Shakti is not merely about scaling the business. It is about creating a stronger, future-ready, and more impactful institution. Our focus will be on deepening market reach, expanding household-level relationships, increasing customer wallet share, and significantly enhancing our people, technology, and AI capabilities, thereby positioning ourselves as one of the strongest players in the financial inclusion space in the years to come.

We would like to thank our investor and analyst community for their continued trust and unwavering support. A special note of gratitude to our employees, particularly our field teams, who've consistently gone beyond the call of duty to protect and serve the interests of our

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stakeholders. Their commitment in challenging environments reflects the true strength of our institution.

I also take this opportunity to thank all our lenders who have continuously supported us for so many years, and we hope that we've delivered to their expectations. We are now open to the forum for questions. Thank you.

Moderator: Our first question comes from the line of Abhijit Tibrewal from Motilal Oswal.

Abhijit Tibrewal: Congratulations on a good quarter. So, first question is around retail finance. I'm just referring to Slide number 41. Within that, I see that retail finance as a proportion of the GLP mix has become 3x; on an absolute basis, it's 3.5x, obviously on a small base. But very, very clearly, other than those other products, we are seeing individual loans growing much faster.

So just trying to understand is the future of MFI moving towards individual loans, which could obviously be given as part of a group for operational efficiencies on sourcing and collections, but without JLG safety net.

Ganesh Narayanan: While we've discussed this subject earlier too, our thought process is that individual finance to graduated microfinance customers is a clear way to progress. And the growth in individual loans will look larger because of the base, like you said, and its initial time period. As we start penetrating into a certain proportion of customers, which we believe roughly around 6-8% of our customer base, we should be able to target, convert to retail finance customers every year. And as the base increases, it will slow down, but we are of the firm belief that microfinance will continue to be as an entry point and a better strategy is to pick up the good ones, the ones which has established credit history. Are they able to demonstrate better cash flow to move into individual loans, right? So it will be calibrated growth while microfinance continues to grow.

Abhijit Tibrewal: Got it, sir. And sir, the second question I had was around the guidance that you have put out.

Just trying to understand this time around why suc

h a wide band in terms of the credit cost

guidance 3.0-4.0%. And within this, as per your estimates, what proportion of this could be because of the higher ECL provision?

Nilesh Dalvi : We have implemented a new ECL model in this current business, and you may have seen our Stage 1 ECL has gone up to 1.6 3%. And the current model is more of a forward -looking, wherein we have also taken into account probable impact because of the ongoing global issues. From that perspective, obviously, certain element of that has already been baked in the current ECL. Nevertheless, it's an evolving model, and every quarter fac ing the external factors, business factors as well as the macro factors, we will be revisiting the ECL. The broader range, what we have picked from 3 .0-4.0%, it is primarily to take into account all these evolving externalities, because we need to see how , what is going to be the actual fallout of the global issues.

While we also are aware of the fact that our customer segment will be relatively much more resilient in the current environment, but at the same time, we need to keep certain room to kind CreditAccess Grameen Limited

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of factor in certain macroeconomic effects, etcetera . So that is the reason why we have kept a broader range .

But largely we believe that we should be within this range because the current PAR accretion rate is very much stable. Now we have seen full month of April, and we are in the first week of May. Relatively, the trend what we have seen in fourth quarter, it i s holding.

So we need to see, I mean, as we set into the next year, we'll be in a better position to take a view whether we are at the lower end of the guidance or at the higher end of the guidance. Largely, we have kept that b and around.

Abhijit Tibrewal: Thanks Nilesh. A nd just a follow -up on that. Sir, I mean, when you say, just trying to understand April month, like Nilesh mentioned, has been in line with what we've been seeing in the fourth quarter. So in times like this, especially in the context of the current West A sia conflict, I remember seeing a chart that you've given or maybe a slide that you have given in the presentation where we have shown that in this cycle .

We have done better than COVID. So at times like this, if there is an economic impact, do we also see our segment of customers coming across as vulnerable, or like Nilesh mentioned, they will come across as more resilient given the more rural exposure and t he kind of various work that they are in?

Ganesh Narayanan: Typically, we have seen our customers segment specifically rural to be more resilient. But we'll have to see what happens in case of prolonged disruptions with respect to the ongoing global scenario. Any temporary issues, I think, we should be able to man age very strongly. But say, for example, if there is no supply of fuel or gas for months, then what happens? So those are things that we have to be really prepared for, and we budgeted a little more around that.

And I think at this point of time, while we don't anticipate something like that since the evolution of the model is such that we have to take into account certain risk weightage for external events. We've built a cushion around it . So now what happens subsequently, whether this ends or it has a larger impact on the country, we'll have to wait and watch. But just that we are a little more prepared in case something, that's what it means.

Moderator: Our next question comes from the line of Aravind Ravichandran from Sundaram Alternates.

Aravind R.: Congratulations on the very good set of numbers. I just like to understand, like, the overall guidance given on growth, margins and everything. Does it include even, like, for example, bond market borrowing rates have moved up and down? We have seen much volatility there? Like, have we considered all those things in our guidance? That is one que

stion. And similar question,

from the first participant also, our PAR accretion rates are much lower than what we've seen in the past in the last few qua rters.

And you know, it's under 10 bps; we are 13 plus. But still, we have given like 3 -4% kind of a guidance in credit cost. Like, are we on the conservative side here just to be on the safer side? Even with the geopolitical crisis, I know, the credit cost could be under 3%?

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Ganesh Narayanan: Right. So for your first question, the model itself takes care of any changes in pricing, if that's what you're talking about. Cost of borrowing is what you're talking about?

Aravind R.: Yes, sir.

Ganesh Narayanan: Cost of borrowing, yes. So the model takes care of it predominantly. But what we see is that, so far, we've had a very strong cost of borrowing reduction. And I think now we've reached kind of the bottom. We don't see ample opportunity to reduce any further. It could probably remain range-bound or slightly move up. And any movement, it will get automatically priced into our pricing model. And the second question on PAR accretion rate, yes, we have kept a wider range. We also have to keep in mind that we went through an elevated credit cost period. And then we've corrected very sharply in the last quarter. Normally, our last quarter would be much lower than any other quarter. Now we will start moving towards a normative range, right? So that also needs to be kept in mind.

And hence, what we've given also takes care of what is the normative range of one month accretion that we anticipate as well as probable external events, including the global crisis, probably some amount of heatwave that's going to build in, and any effects due to that, etc.

Moderator: Our next question comes from the line of Shreepal Doshi from Equirus.

Shreepal Doshi: Congrats on a good quarter. My first question, sir, was on the microfinance side. So have you taken any rate hike during the quarter or in the last 3-4 months' time period?

Ganesh Narayanan: No, we have not taken any rate hike in the last quarter.

Shreepal Doshi: Okay. And do we have any such or do we plan to take any rate increase in that segment?

Ganesh Narayanan: At this point of time, no, unless we see significant movement in cost of borrowing, that also comes in two quarters lag. That's how it will pan out.

Shreepal Doshi: Okay. Got it. Sir, my second question was on the retail side. So within the IBL portfolio, I see that the ticket size has changed materially. So from INR 142,000 to down to almost INR 93,000 in the last one year. So have we changed any strategy for that particular product?

Ganesh Narayanan: It's gone down because individual loans are practiced in two models. One is called Unnati & the other is Unnati Lite. So the first model is where we actually have a larger ticket size. Average ticket size is around INR 1.7 Lakh there, where we look at visible, how do you say, credit points that are required for underwriting a customer, right? So customers who exhibit better credit profile, better cash flow demonstration, we give them a slightly larger ticket size loan.

However, customers who have moved up the income cycle, but they are not able to or we are not able to reasonably validate while we move them to individual loans, we maintain a lower ticket size. And probably in the next cycle, we will look at graduating them to the normal individual loans. So that is why you are seeing that since both these books are growing, you're seeing a taper down of the unsecured business loan ticket size.

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Shreepal Doshi: Okay. Okay. So sir, in the Unnati product, you said the average ticket size would broadly be INR 1.7 Lakh, and Unnati Lite, wherein we are not having complete grip of the cash flows of the customer or growth.

There, the ticket size would be what?

Ganesh Narayanan: Can be in the range of INR 75,000 to INR 1 Lakh.

Shreepal Doshi: Okay. So there, we are broadly trying to match with the group loan ticket size thought process.

Ganesh Narayanan: It could be around INR 1 Lakh, but then if they have other borrowings, it gets minimized. But when they come for next cycle, it will go up.

Shreepal Doshi: Okay. Got it, sir. The last question was pertaining to the retail portfolio growth strategy. So in terms of launching this product or, let's say, having it implemented, so how are we doing it? We are doing it in some specific states initially, and then, or let's say, specific districts initially, and then expanding it because I know that this is done through a separate branch network.

So in terms of selection of those, let's say, geographies, how are we sort of planning that out? I just wanted to understand that because the growth has been pretty healthy.

Ganesh Narayanan: Sure. So you know that this is not new at this point of time. Our retail products are today at least 3 years vintage, except for 2-wheeler loans. And when we launched the individual products, we did go to our core markets, specific districts. We got them piloted. And once the assumptions were proven, we scaled up. So today, our individual products are predominantly offered across all our core markets. And a significant portion of our branches are already covered.

So we have specific branches for mortgage loans, you know that roughly around 120 branches.

And the rest of the group loan branches manage this portion of the individual business loan, which has also scaled up significantly over the last 3 years. So today, it's widespread.

Shreepal Doshi: Got it. So core markets, when we say it will be broadly be Karnataka, Tamil Nadu and the Southern belt, right, sir?

Ganesh Narayanan: Karnataka, Tamil Nadu, Maharashtra, Madhya Pradesh.

Shreepal Doshi: So that would be the broader belt where we are sort of launching this retail product so far. Got it, sir. Got it. And sir, so incrementally FY27 or FY27 end, where do we see the share of retail products, let's say, reaching?

Ganesh Narayanan: It should hit somewhere around 24-25%.

Moderator: Our next question comes from the line of Rajiv Mehta from Yes Securities.

Rajiv Mehta: Congratulations on good numbers. One clarification first. This INR 38 Crore of additional provision taken for the West Asia crisis. This will be sitting in Stage 1, right? So 1.63% will have some element of this. But would this become a usual provisioning rate or then this coverage will actually come down next quarter because you may not take this additional provision if it is not required?

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Ganesh Narayanan: So what we've done is based on the guidance of the Board, we formed an ECL committee with Board members and a part of it along with the management team. And this committee reviews various variables that need to be considered and what weightages have to be given based on the developments. So every quarter this committee will convene, and whatever has happened in the previous quarter, or we foresee for the next quarter will be taken into account before making any adjustment.

Rajiv Mehta: So in your guidance of 3 -4% credit costs, have you kind of -- your base assumption is that you will continue with this 1.63% broad based ECL provision rate .

Ganesh Narayanan: Broadly, you should expect that it will be range -bound. It will remain there.

Rajiv Mehta: Yes, yes. Got. I think just coming back to...

Ganesh Narayanan: Unless there is significant data points to look at the reduction, but that takes a longer period to move back.

Rajiv Mehta: Okay. Understood. And just coming back to growth, because we have exponential growth in retail, and as you were discussing that there's a lot of penetration to happen of

individual loans

in the group loan customer base. So this may continue. Then the residual growth has to come from your core group loan IGL. Then that will be what, 12 -15% in the current year. That's what the expectation is?

Ganesh Narayanan: So our assumption is around 10 -12%.

Rajiv Mehta: As the portfolio level?

Ganesh Narayanan: Yes.

Rajiv Mehta: And on NIM s, when I look at your guided NIM, the midpoint is 13%, you are exiting at 14.2%.

I know there will be a leveraging effect because of growth. But still, I mean, the kind of NIM decline that we are trying to indicate in the guidance, is it because of the change in mix, which I don't believe is so diluted, but is it because of cost of fund changes that you are indicating? Or are you planning to pass on incremental hand strength and efficiencies by reducing pricing?

Ganesh Narayanan: Okay. I'll ask Nilesh to take this one.

Nilesh Dalvi : The NIM range what we have given , compared to the fourth quarter NIM, it is at a low range.

There are a couple of things here. The NIMs what we generate, there are always the factor of our pricing what we charge to the customer. And the pricing currently is aligned with our borrowing cost, operating cost and credit cost. So obviously, on a YoY basis, we do see the credit cost will be trending downwards. And to that extent, there will be certain pricing which needs to be passed on to the customer on a YoY basis.

So from that perspective, if we are able to do a better credit cost this year, compared to FY26, obviously, some of it will flow as a benefit to the customer. So that is where slightly we are budgeting lower NIMs because at the same time, the credit cost will also be lower, and we'll be

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still doing ROA in our guided range. And on the borrowing front, as we said earlier, we believe that the borrowing cost seems to have stabilized now. We don't see it further dropping.

Depending upon the rate environment, we are keeping certain buffer on the borrowing cost as well because even, the domestic rate environment seems to have been reversing now in the coming 3 to 4 quarters. And even internationally, given the way global situation is panning out, the hedging rates have also gone up. So factoring all these aspects, we are keeping this NIM range.

And largely at any point in time, you will see that the NIMs will have to be commensurate to absorb our opex and credit cost and give a guided ROA range. So that will be the corridor within which we will always maintain our NIMs to achieve our intended ROAs.

Rajiv Mehta: Nilesh, just a similar question for cost -to-income ratio bands as well. I mean, the midpoint is 34%. I mean, I'll not take the agreed number of 30%, but even the whole year number is about 33%, while we grow income in this year very nicely. So would the opex grow more than commensurately, and that is what the guidance seems to be factoring.

And we were thinking that when the growth will come back, you will also have some operating efficiencies, which you're trying to pass through pricing. But when I look at cost -to-income guidance, it seems to suggest that your cost will grow higher than income?

Nilesh Dalvi : We need to see. Currently, things are a little volatile. So we have built certain inflationary elements because of the global issues. So if the global issues do not prolong, I mean, if they do not prolong and if there are no cascading effects on the input factors, then we may not see cost -to-income rise. But as of now, we have built certain increase considering the anticipated inflationary elements.

Moderator: Our next question comes from the line of Shreya Shivani from Nomura.

Shreya Shivani: I have a question on your long -term guidance that you have shared, which is Project Shakti. So the Slide number 21, I think fair to say that you're targeting for 20 -25% CAGR over next

10

years. Is that understanding correct, interpretation, correct?

Ganesh Narayanan: Yes. Right now, we've assumed a growth rate of at least 20% plus.

Shreya Shivani: Right. So now that makes me question that, see, you've always said that in the near term, your MFI will grow slower and your retail finance will grow faster, and that's how you will achieve the FY27 guidance. But over 10 years, if you're going to target this, then your MFI also has to grow at the same pace because you cannot breach the 60 -40 mix.

So what is our thought process around it? And when our entire presentation today has been about moving beyond MFI, then doesn't the NBFC MFI format somewhere restrict us on the longer -term period? I'm not talking about immediate 1 year.

Ganesh Narayanan: Yes. So broadly, we've picked up certain business lines, and we are anticipating certain growth rate in each of these lines, right? And you also have to remember the regulatory guideline was

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15%, till not so long ago, then it became 25% and now it's 40%. Our assumption probably, if there is enough room and potential, that also could move up. Or in the worst case, we can look at managing the 60 -40 in various methods, including securitization, sale of portfolio, whatever you deem it. We can also pick up co -lending as we always maintained.

For us, growing these independent business lines will be top priority. How we grow it and how we manage the various regulatory aspects is something that we can always work on . And we also indicated that we'll probably look at some kind of diversification over a period of time, including inorganic. We can figure out how to kind of do it, but for us, that is not a limited factor in what we're seeing. So these lines will continue. When it reaches a certain mark, where we need to work on that, we will start working on it. We're already working on some of these aspects. We will build on it, and we should be able to maintain it.

Shreya Shivani: Right, right. Now, that makes sense. Also, there's a very detailed slide on 32, where you've talked about the internal control structure, etc. So this is pertaining to your retail finance, right, because this is completely a branch model that we are talking about, right? The 3 lines of defense, there's a big slide on it.

Ganesh Narayanan: No, no. That is applicable to all our businesses. So both in GL and retail, we have the same concept, including our internal audit, including our risk, including our quality assurance, all of them are common across the business lines.

Shreya Shivani: Right. But you will have to scale it up in the retail finance, or is it that retail finance you already have the structure, and parallelly you will develop this structure in retail finance, or for retail finance, you have to start from.

Ganesh Narayanan: No, it is already in place. Whatever size and format we have, right? It is already in place. So any expansion that happens, even the control teams will naturally move towards that.

Gururaj Rao : And just to add in the same slide, we are on the right side, if you see. Retail finance, we have verticals, which are supporting, so which is already in place. So this will be scaled up as the business scale. So all this infrastructure is already built and our controls are in place.

Shreya Shivani: Got it. I think that answers my questions. This was useful.

Moderator: Our next question comes from the line of Varun Gajaria from Omkara Capital.

Varun Gajaria: Congratulations on a good set. So now that we start our individual loan business and Tamil Nadu being one of the prime blocks that we'll be targeting, what is the competition landscape like, especially in Tamil Nadu because one of your peers also has announced something similar. So just would like to understand how the competition set there?

Ganesh Narayanan: See, I think it is

natural for most institutions to take this path, right, both with respect to regulatory route as well as a large customer base. Now I think the biggest strength that we would probably have is in how we execute and how we strategize more, right? So from a potential perspective, I don't see that competition is something that's going to limit us, or we have to look

But I think our biggest strength is we already made investments on technology, our existing customer base, how we train our employees, how we figure out distribution across all these products, and try and retain as many customers who are graduating from us, not going out of us, right. So just for a broad data point within our existing customers, what we have built as a portfolio is roughly around INR 30,000 Crore. And what we have already outside is roughly around INR 40,000 Crore. So we just have to be sharper in ensuring we understand our customers' requirements, build products accordingly, and reach them on time to service their needs.

Varun Gajaria: Right. And on the back of the recent tough two years that we've had in the industry, they believe that there are a host of the customers that we will be -- the host of the clients that we'll be now targeting the pool must have gotten smaller over time because a lot of people must have gone out of system due to default, right? So how do you deal with something like this? What is our approach to this?

Ganesh Narayanan: A lot of customers would have gone because of default, yes, but what is your question?

Varun Gajaria: Yes. So I want to understand is how do we deal with a pool like this, especially when we are trying to ramp up a new portfolio.

Ganesh Narayanan: How do you deal with the pool, which has been written off is what you're asking?

Varun Gajaria: Yes, yes. Like which has gone out of system or probably is in the default zone.

Ganesh Narayanan: Okay. So see, typically, once we write off a customer, we don't do much with them, except for helping them come back through OTS as well as a restructuring product that we have, right? So that is the only way to approach, but we will continue to source new customers. And that is a very strong possibility because we only have around 7% market share when it comes to the number of customers, we are catering to in the microfinance space.

And most of our new geographies is still very new. We don't have sufficient depth there. So, we continue to grow both core and non-core space, but different percentages probably because of penetration. But there will be strong acquisition of customers through microfinance, and we will kind of bring them up the curve for a few years, and then proactively pick of them to move forward. That is the broad strategy. Do you want to add anything?

Gururaj Rao: Varun, just to add, if you refer to Slide number 11, even in a challenging year this financial year, we added 976,000 customers. And our write-off customers were 491,000. So there is a net addition of 4 Lakh plus customers in FY26. So this write-off is going to come down this year, whereas the customer addition rate will increase. So this is going to be the growth engine where customers will come through trends, and we will keep graduating them.

Ganesh Narayanan: I think I also want to add one point, what we are seeing because of very strict guardrail implementation is, we have even very old customers coming back for settlement now. As even for the COVID-period customers, we are now getting requests for either restructuring or settlement of some form of help to make them come back. So that's also playing out quite well, I would say with the guardrail.

Moderator: Our next question comes from the line of Chintan Shah from ICICI Securities.

Chintan Shah: So again, h

arking on this guidance part, particularly on the AUM growth, so 20-25% is the AUM growth guidance, of which, what kind of growth are we building from the MFI and non-MFI portfolio, if you could just help on that? And what would be the yield differential between MFI and the non-MFI the retail or other parts of the portfolio? What would be the yield differential there?

Ganesh Narayanan: Chintan, as we said earlier, the microfinance growth being in the range of 10-12% and the rest of the growth will come from the non-MFI. And from a yield perspective today, I think, both microfinance and non-microfinance are very close to each other, not very different in yield. Except for home loans, which is a small book. And like we said earlier, home loan is something we'll actually try and do in partnership with probably a larger bank or figure out some other strategy for that as we scale up.

Nilesh Dalvi: I'll add one more point here. So when we are saying that microfinance will grow at 10-12%, that doesn't mean that microfinance is growing at a slower pace. What we need to understand is that we'll continue to see strong customer acquisition. Like last year, we acquired close to 10 Lakh customers. So this year, we should be doing much, much better than what we did last year.

The new customer acquisition will continue to happen in MFI. But at the same time, what we'll also see is that 6% to 8% of MFI customers, they will get graduated into retail. So that is why the net growth in MFI will be 12%. It's not that the MFI as a segment will be growing at a slower pace. Overall, we will see that despite 6 -8%, customers moving out of MFI into retail, still MFI will grow at 10 -12%. And those 6 -8% customers who move into retail, we take at least 2 to 3x exposure on them compared to MF I. That gives us the balance 10 -12% growth, and that's where the overall, we fit it 20 -25% range.

Chintan Shah: Understood. Fair enough. And this question, again, MFI growth would be around probably other growth or other sectors are expanding. But also, for MFI, what incremental disbursements for FY27 or for FY26, how much of the incremental disbursement was towards the new customers and towards the existing customer? What would be that share?

Ganesh Narayanan: It may be around this year. I mean last year also, the disbursements were more skewed towards the existing customers because the new customer addition was relatively lesser than what we would have added in a normal year. You may take maybe 20% coming from new customers, 80% coming from existing. So in a steady -state basis, this should be around maybe 30 -40% coming from new customers and balance coming from existing.

Chintan Shah: So probably steady state means FY27, we should see that inching up to 30 -40% versus 20% in FY26?

Ganesh Narayanan: At least 30%, 40% and may take time 30%, it may have.

Chintan Shah: Okay. But going ahead also then, even in FY28, FY29 probably given the 30% is from new, so that MFI around 10 -15% ballpark means that, that could also inch up further ?

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Ganesh Narayanan: MFI growth rate, you're saying?

Chintan Shah: Yes, only MFI ?

Ganesh Narayanan: It will be range -bound, like we guided. It should not change much in the near term.

Moderator: Our next question comes from the line of Shreepal Doshi from Equirus.

Shreepal Doshi: Just had one question, which is on the product -wise profitability. So as we've been scaling up these newer products under the retail head, by when do you see these products like all of them, or rather, if you could give product -wise, let's say, some clarity, becoming profitable at a standalone level?

Nilesh Dalvi : Shreepal, today, except for the mortgage book, all other products are profitable at the product level because if you see for all retail finance products, we are leveragin

g our group loan

ecosystem. So we have been for the last 3 years, doing mortgage loan s through the standalone retail finance branches and the individual business loans, we have been doing through the group lending branches.

So there we get the economies of scale, and we have been able to achieve a faster breakeven in the individual business loan products. For mortgage loan products, the standalone retail finance branches, we should see them achieving breakeven as we near maybe INR 800 Crore to INR 1,000 Crore of mortgage book from the retail finance branches.

But at the same time, we have now also started expanding the mortgage loans through select group lending branches, adopting a similar approach for individual business loans. So overall, as these products scale up, we believe that we'll be able to see benefits of operating leverage because we'll be leveraging the GL ecosystem across various states. Obviously, first, we start with the high vintage states . And gradually, we populate into the newer states over a period of time.

Moderator: Ladies and gentlemen, as there is no question from the participant, I would like to hand the conference over to the management for the closing remarks. Thank you, and over to you, team.

Ganesh Narayanan: Thank you. Thank you, everybody. Wishing you all the best, and we hope this year will be a very normal year, and we will meet our guidances quite confidently. Thank you so much.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.